



Week beginning 3 August 2026

AUSTRALIA & NEW ZEALAND WEEKLY

Analysis and forecasts for this week's key releases.

In this week's edition:

Economic Insight: Hawkish hold expected in August; Four shock doctrines.

The Week That Was: A long-awaited reprieve.

Focus on New Zealand: Holding the line, but momentum is hard to find.

For the week ahead:

Australia: Household spending indicator, goods trade balance, NSW Bank Holiday.

New Zealand: Labour force statistics, labour cost index, ANZ commodity prices, building permits.

Japan: Household spending data.

China: RatingDog PMIs, trade balance.

Euro Area: Retail sales, PPI.

United States: ISM manufacturing and services PMI, nonfarm payrolls, JOLTS.

Information contained in this report current as at 31 July 2026.

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

Hawkish hold expected in August



Luci Ellis
Chief Economist, Westpac Group

We no longer expect rate hikes by the RBA this year. Inflation has been more benign than we feared and the RBA forecast. The substantial pass-through of higher energy costs seen in the early phase of the Middle East conflict has not been followed up in recent months. This is welcome – we [took no pleasure](#) in our prior hawkish view on pass-through, and so monetary policy.

There is still a risk of a hike in November if inflation picks up again in Q3. But that is not our base case. Meanwhile the timing of the eventual unwind of the recent hikes (August 2027 start) has not been shifted by the latest data, but we will continue to assess new information. With a lower peak, though, we are now pencilling three cuts rather than four as previously. The end-point of that cutting phase is now 25bps lower, which we think is appropriate given the emerging evidence on trend growth in labour supply capacity, noted below.

Ever since the June meeting's pause, RBA communication has been signalling that they think they are not finished hiking rates. Inflation is too high and while the economy is slowing, that is – as the Governor noted in [Tuesday's Q&A](#) – “part of the plan”. We therefore expect the communication of the RBA to stay hawkish and not rule out further hikes, similar to the language in June.

But it all depended on the inflation outlook, and the Q2 data show this has broken the other way, below our (and the RBA's) expectations. In particular, market services inflation and the all-important housing-related components both came in below expectations. If underlying inflation had been in line with our (and the market's) forecasts, a rate hike in August would have been more clearly on the table at the next Monetary Policy Board meeting. Although we still expect the Board will debate the case for a hike, things have not turned out in a way that supports the case for one.

Even if inflation had turned out as forecast, there would have been arguments made against a hike in the Board room. The labour market has turned out a bit softer than the RBA expected, with the participation and unemployment rates both higher in the June quarter than the RBA forecast in May. Revisions to history for underemployment could also be view-changing for the RBA. But our read of the communication and RBA forecasts was that below-expectation inflation was needed to rule out the hike, which is what we got.

In addition, as we [highlighted last week](#), the downbeat view about potential growth in supply capacity might not be shared by all Board members. Treasury's forecasts for labour force participation and assumptions on trend productivity growth are both notably higher than the RBA's. Had inflation turned out differently today, a split vote on a hike would have been quite likely.

“Downside surprise on inflation removes case for rate hike in August.”

As we have been [noting for some time](#), we think the RBA has been overly bearish on the trend growth in supply capacity. This is one of the reasons why our end-point for underlying inflation was below the RBA's, even though we had been slightly to the upside of their May forecasts in the near term. The more benign inflation data calls the RBA's supply view into question even sooner than we had believed.

Along with the downstream impact on the cutting cycle, in this week's publication we have made some minor changes to our financial forecasts in light of our change in view on the cash rate. Given our base case view that the Fed is on hold for an extended period, we expect this week's lift in US Treasury yields to unwind in coming quarters. But because of the longstanding fiscal risks and structural supply constraints we have previously identified in the US, an upward drift in Treasury yields thereafter is expected. Impact on the exchange rate outlook from our change in view is not material, noting that near-term rates differentials have moved by less than our view has.

Forecast changes

- We have amended our RBA cash rate view and now expect the Monetary Policy Board will hold the cash rate at 4.35% through 2026.
- The Australia inflation forecasts incorporate the June quarter CPI result. The broader profile is under review and will be confirmed in an upcoming bulletin.

Four shock doctrines

- **Supply shocks complicate the already difficult task of assessing the supply–demand balance underlying monetary policy decisions. If estimates of current slack or trend growth in capacity are inaccurate, so will be the interpretation of the size and impact of a supply shock.**
- **Some general principles about shocks are useful for analysis. First, many “supply shocks” are policy shocks within the control of some decisionmaker, and thus specific to that decisionmaker. Second, other people have agency to respond to the shock, usually to mitigate it but occasionally exacerbating it.**
- **Third, buffers of inventories or spare capacity absorb supply shocks, making them less visible. Without economic slack, supply shocks might seem more frequent even if they are not.**
- **Fourth, temporary shocks can have lasting effects. This is especially relevant for geopolitical policymakers, but recent research suggests central banks need to allow for the possibility that a period of tight policy worsens supply capacity over the longer term.**

The RBA's hawkish tone in recent months stems from its assessment that demand is currently outstripping supply. It is trying to engineer a period of below-trend growth so that demand comes back into line with supply. How far it thinks it needs to go with that slowdown in turn depends on how fast it thinks Australia can grow without hitting capacity constraints. However, this is one of those situations where you do not know exactly where you are, or how fast you can go before hitting the skids. The data are uncertain, supply capacity can only be estimated not directly observed, and you just have to do the best you can with the available data.

This uncertainty matters even more when supply shocks occur. You can only see the movements in quantity and prices, which capture the combined effect of the shock and the trend growth in supply capacity, conditional on the pre-shock starting point. You don't know how big the shock was, and if your estimates of the trend or the starting point are off, you will mis-attribute some of the resulting moves in price or quantity.

For example, a downbeat view of trend will lead you to attribute less of the weakness in quantity to the shock, and more to underlying supply capacity growth being slow. In this environment it is all too easy to either underestimate spare capacity or to overestimate the sensitivity of prices to shocks of this kind.

Extracting trend from shock and signal from noise is a perennial issue for any forecaster. If supply shocks have become more frequent or larger, though, forecasting becomes even harder. In that situation, it helps to think more deeply

about the shocks themselves. There are principles that can help with this, some of which suggest a need to step outside traditional models developed decades ago and incorporate more recent research.

Many shocks are a choice

First, the really big adverse supply shocks of recent years are mostly policy shocks. Russia invading Ukraine was a choice. The US imposing tariffs was a choice, as was attacking Iran. And while the pandemic was caused by a virus, most of the economic impact was driven by policy choices around control measures.

Because they are policy shocks, their size and shape are determined by the costs and constraints they impose on the policymakers who unleash them. Thus Trump blinked when the market fallout from tariffs reached a threshold and tends to stop attacking Iran when oil prices rise high enough. If a policy choice imposes a large cost on the community, it is only because the decisionmakers believe that the alternative is worse (think the casualties of an uncontrolled pandemic, but also the loss of face and power from an invasion-turned-quagmire). In other words, you can stop punching yourself in the face anytime you like, so you will only keep punching if the pain is less than the benefit of looking tough.

“Shocks make it hard to know where you are.”

Another implication of these being policy shocks is that their nature and frequency often depend on politics and personality. That means changing the personalities changes the shocks. For example, current trade disputes and other fractures in the US–European relationship should not be assumed to continue beyond 2028, though they still could.

Others can respond

Second, other people do not stand still. People can respond to shocks, and they will do so in ways that mitigate the impact on them. This is why second-round thinking is so important, as we have emphasised in a range of contexts.

Most of the time, responses that mitigate the impact on the individual reduce the overall impact as well. Much catastrophising about particular shocks is therefore overdone. However, sometimes people make things worse, as the panic buying of toilet paper in the pandemic and petrol more recently has shown. It is these adverse, compounding feedback loops that policymakers worry about most.

Shocks are perennial, symptoms differ

Third, economic slack is a buffer that absorbs supply shocks and makes them less visible. Supply shocks might not be more frequent, just more obvious. When economies no longer have significant spare capacity, even relatively small supply shocks become more visible in quantities and prices.

Consider a typical supply disruption – a flood or a train derailment affecting a mine, for example. Even if the repairs take a while, it is often the case that the disruption is not evident in economy-wide production or export data. Other facilities had enough spare capacity, or inventories were large enough, to fill the gap. And if there are spare resources in construction and related labour, the repairs are done quickly.

When supply and demand are in balance, though, small supply shocks cannot always be buffered. The inventories and other idle resources just aren't there to make up the gap. Then you are more likely to see the shock in economy-wide quantities and prices. Thus it is not clear whether we have more supply shocks, or just more visible ones.

As noted [last week](#) in a labour market context, for example, extra labour supply when there is already labour market slack means more unemployment, not more employment. At full employment, though, extra labour supply boosts employment (the quantity). Whether it also boosts unemployment depends on how much demand moved at the same time.

Effects can linger beyond the shock

Fourth, temporary shocks can have lasting effects. For example, even if energy prices return to something like pre-war levels over time, every person who bought an EV in response to high petrol prices will dampen demand – and so prices – in a lasting way. Indeed, one of the constraints for the Iranian government in the current conflict is the risk that the rest of the world protects its energy security by permanently decoupling from Middle East oil supply. This is why, as we have [noted previously](#), blocking the Strait of Hormuz is a time-limited source of leverage for Iran. Similarly, one can only disrupt relationships with allies (or customers) for so long until they start finding ways to do without you for good. It has also [been known](#) for some time that wars and crises lower output permanently.

These lasting effects are not always the ones people anticipate. Recall how worried [people were](#) about the scarring effects of job losses in the pandemic. But while it didn't happen that time, forecasters need to be alert to the possibility that cyclical developments have lasting path-dependent effects. There is an emerging literature on this possibility, including from central banks (see [here](#) and [here](#)). According to this work, the full-employment level of employment and productivity could both be dragged down by overly tight policy, and a mildly 'hot' economy might actually help more than a weak economy hurts; this is an aspect of "holding onto the employment gains" that has been underplayed in much of the debate. Standard models do not allow for this, and it makes policy decisions even more fraught than widely believed.

Cliff Notes: a long-awaited reprieve

Elliot Clarke, Head of International Economics

Ryan Wells, Economist

Illiana Jain, Economist

In Australia, the much-anticipated [Q2 CPI](#) report came in below our and the market's expectation. Headline inflation rose 0.6% in Q2, less than half of Q1's 1.4% gain. This largely reflects a shrinking contribution from auto fuel prices, the temporary halving of the fuel excise tax and falling global oil prices the key drivers. Importantly, underlying trimmed mean inflation also surprised to the downside, the RBA's preferred quarterly measure up 0.8% (3.6%yr) in Q2, 0.2ppts below their May Statement on Monetary Policy forecast. Two areas that policymakers and analysts were closely watching was housing and market services. Encouragingly, prices in these sectors are now rising at a much less alarming pace, alleviating fears over rapid and/or exaggerated pass-through.

Following the CPI release, [Chief Economist Luci Ellis](#) announced that Westpac Economics no longer expects additional rate hikes in 2026, though the Monetary Policy Board (MPB) is likely to hold on to a hawkish posture until risks fully subside. Absent an adverse price risk(s) materialising in the near term, at 4.35% the cash rate is appropriately restrictive to ensure inflation will sustainably return to the midpoint of the target range over the forecast period while prior gains for employment are retained. This capacity will provide the economy with a greater ability to weather future supply shocks, a topic taken up by Chief Economist Luci Ellis in this week's essay.

Offshore, the FOMC left rates unchanged at their July meeting. Activity was characterised as solid, aided by strong investment and productivity growth, and the labour market broadly balanced. Inflation remains well above target, however, and the Committee is clearly focused on whether recent energy and semiconductor price shocks hold broader significance. Unnerving market participants on the day, it appears the FOMC is not in a rush to determine whether the current stance of policy is appropriate to bring inflation back to target, or indeed if it is better to allow the market to balance expectations and risks by itself. Several months of data and discussion are likely necessary to determine the next step based on economic data alone. However, it is entirely possible risks to inflation, or to the long end of the yield curve, will push the FOMC to a decision sooner. Policy will be live at coming meetings, particularly in September and October, with an on-hold decision most likely, but by a very narrow margin.

US data and the actions of the White House are likely to pose challenges for market participants and the FOMC as they seek to distinguish the most probable path and material risks for the economy through year end. Q2 GDP growth slowed more than expected to 1.5% annualised, although the underlying detail was constructive – consumer spending rebounding strongly

after a weak Q1 while business investment held on to its buoyant momentum. A surge in imports offset this momentum, however, highlighting the extent of the US' reliance on the global production chain. June PCE data provided further reassurance on inflation, core PCE slowing to 0.1% in June. But energy prices remain a significant threat, Brent oil whipsawed between USD82 and USD97 this week as the US and Iran halted then resumed military strikes, and the Houthis and Iran-linked groups in Iraq sought to disrupt energy trade in the region. Communication between the US and Iran is only occurring through intermediaries and their positions on key issues remain far apart.

Policymakers at the Bank of England unsurprisingly continued to highlight risks stemming from the Middle East as they voted to remain on hold in a split decision, the minority of three favouring a 25bp hike. That said, recent data have increased confidence that the domestic disinflation process remains intact, the recent downside surprise for inflation, slower wage growth and softer labour market conditions cited as evidence supportive of a sustainable return to trend. Updated forecasts lowered the inflation profile while modestly upgrading growth expectations, leaving the BoE comfortable remaining on hold for now, albeit with a need to carefully assess the evolving spectrum of risks meeting by meeting.

Holding the line, but momentum is hard to find

Michael Gordon, Senior Economist
Paul Clark, Industry Economist

The indications are that the New Zealand economy has held its ground through this year's oil shock, though it has struggled to build on the momentum that was growing through late 2025 and early 2026. The agricultural sector remains a leading light for the economy, though with an eye to the risks stemming from supply-side disruptions and the weather.

Next Wednesday's labour market surveys are expected to show that the economy continues to operate with a substantial amount of spare capacity. The final input to our forecast was this week's Monthly Employment Indicator (MEI), which showed a 0.1% increase in filled jobs in June. This measure tends to be overstated on the first release, so we'd put this down as more of a flat outcome (the 0.3% increase in May was revised down to 0.2%).

The MEI is drawn from income tax data, so it provides a fairly comprehensive record of the number of jobs. While there are some conceptual differences between this and the quarterly HLFS (most importantly the distinction between jobs and workers), any major differences between the two will most likely reflect sampling error in the household survey.

The MEI points to around a 0.1% rise in employment over the June quarter. That's not enough to keep up with the growth in the working-age population (an already-reported 0.3% rise for the quarter), which suggests that we'll see some combination of higher unemployment and lower participation. We expect the unemployment rate to tick up to 5.4%, matching the cycle high that was reached at the end of last year. For more details see our [June quarter labour market preview](#).

The other notable data release this week was ANZ's business outlook survey. There was a solid lift in business confidence in July, almost returning to its pre-conflict levels. (There were similar results in their consumer confidence survey.) However, the speed at which things have been evolving in the Middle East means that even relatively frequent indicators may struggle to remain timely. Later responses during the month were less optimistic than earlier ones, as the resumption of hostilities in early July saw world oil prices surge higher again (though unusually, local prices at the pump barely moved over the month).

Inflation expectations and pricing intentions fell in July (again more so in the early part of the month). For the RBNZ, they can perhaps take comfort in signs that businesses are viewing the oil price shock symmetrically, rather than using recent movements as an opportunity to ratchet up their own prices. On the other hand, inflation perceptions were already elevated before the Iran conflict and have been so for some time –

something that was underscored by last week's inflation figures, with measures of core inflation remaining in the upper half of the RBNZ's target range. The case for removing some of last year's policy stimulus remains intact, but we think the RBNZ can continue at a gradual data-dependent pace.

Making hay while the sun shines

This week we released our latest [Agri Bites report](#), highlighting that New Zealand's agricultural sector is well positioned for the year ahead, with favourable commodity prices across most categories. While geopolitical and climate risks have increased uncertainty, global supply constraints and resilient demand are expected to keep farmgate and export returns elevated over the coming year.

The principal near-term risk is the Middle East conflict, which has increased volatility in energy, freight and fertiliser markets. Although supply chains remain operational, higher fuel and input costs could raise farm expenses and reduce some of the benefit of strong commodity prices. Fertiliser markets remain exposed to sanctions, trade restrictions and shipping disruptions, although stronger urea supply has helped to contain price increases.

Climate conditions are another source of uncertainty. Forecasts point to an increasing likelihood of a strong El Niño developing through summer 2026/27, raising the risk of dry conditions across northern and eastern New Zealand. While current soil moisture and feed levels are favourable, prolonged dryness could reduce production across the dairy, livestock and horticulture sectors.

The prognosis for commodity prices is mixed and extends to the impact that the predicted "super El Niño" event could have on agricultural output worldwide. In the case of dairy, New Zealand is a major supplier, and past droughts have often led to a significant rise in world prices (making them strongly revenue-positive for those regions not affected by drought). For sheep and beef, however, drought tends to mean early destocking and a glut of supply that pushes prices down in the near term.

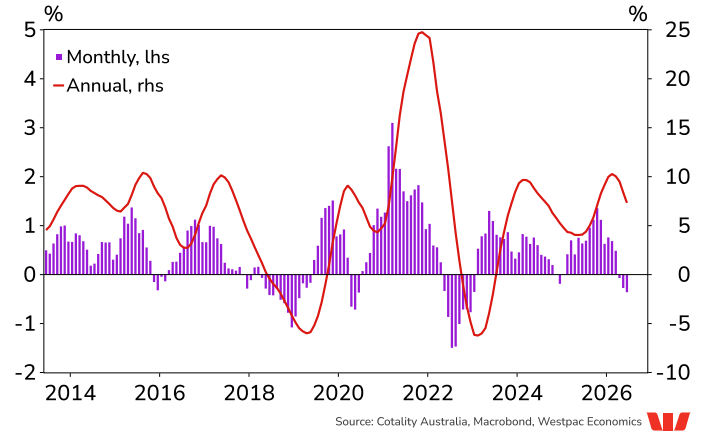
AUS: Jul Cotality Home Value Index (%mth)

Aug 3, Last: -0.4, Westpac f/c: -1.0

The Cotality home value index fell 0.4% in June following a 0.3% decline in May and a 0.1% dip in April. The cumulative 0.7% fall over the quarter is the biggest quarterly decline since the 2022-23 correction. Annual growth has slowed to 7.3%yr.

The July update is set to show a significant deterioration with a larger and more broadly-based decline. The daily measure points to a 1% fall nationally with monthly falls accelerating to 1.5% in Sydney and 1.2% in Melbourne. Declines are now showing through in Brisbane and Adelaide as well with momentum stalling flat in Perth. Turnover is likely to have pulled back sharply as well reflecting both higher interest rates and the tax policy changes introduced in the May Federal budget.

Cotality home value index



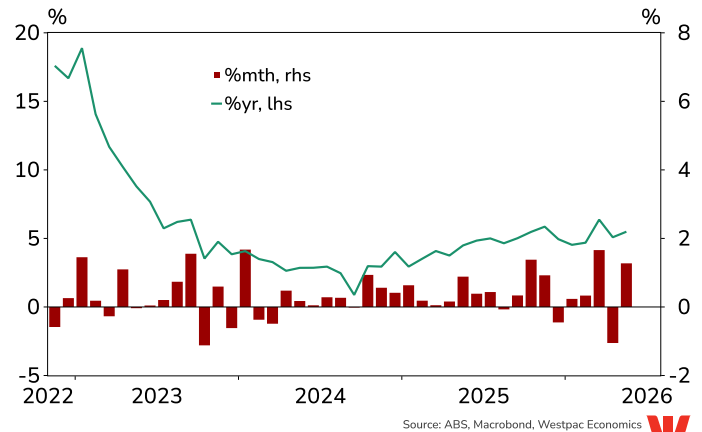
AUS: Jun Household Spending Indicator (%mth)

Aug 4, Last: 1.3, Westpac f/c: 0.1
Mkt f/c: 0.2, Range: -0.4 to 1.2

The monthly household spending indicator rose 1.3% in May, more than reversing April's -1.1% fall. Annual growth strengthened to 5.5%yr. The detail showed services and discretionary categories leading the gain.

June is expected to be a flatter month, with our Westpac-DataX Card Tracker pointing to a small 0.1% uptick. That would still leave nominal activity up 1%qtr in Q2, in line with the 1%qtr gain in Q1 but down from the 1.6%qtr average recorded over the second half of 2025. The June update will also include estimates of real household spending for Q2. The Q2 CPI detail suggests prices rose around 0.5%qtr for the goods and services covered by the spending indicator, pointing to a real spending increase of around 0.5%qtr, down slightly from Q1's 0.7%qtr.

Monthly household spending indicator



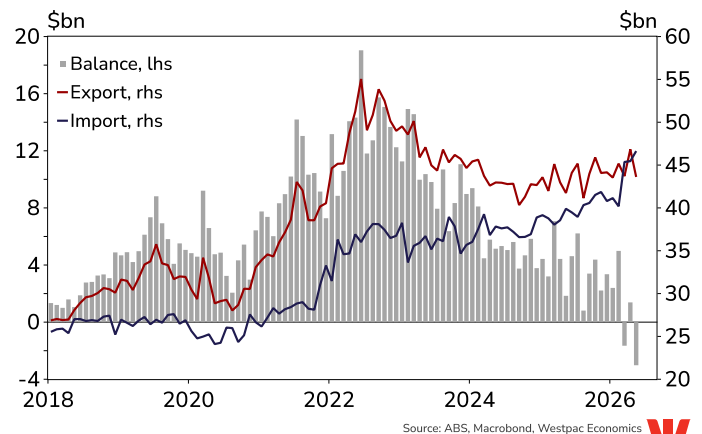
AUS: Jun Goods Trade Balance (\$bn)

Aug 6, Last: -3.0, Westpac f/c: -1.8
Mkt f/c: -1.0, Range: -2.6 to +1.3

After the goods trade deficit widened to \$3bn in May, the June data are likely to show an improvement. However, we expect the recovery to be modest, with the deficit narrowing to \$1.8bn.

The major drivers are likely to be mixed. Among key commodities, LNG exports appear to have surged, although this is likely to be offset by lower iron ore export earnings. On the import side, we will be watching ADP and fuel inflows closely. ADP imports will provide a signal on how data-centre investment developed at the end of Q2. Fuel imports stabilised in May and are likely to decline in June given lower oil prices. Volatile gold flows may complicate the picture. Gold prices fell notably in June, and after both inflows and outflows fell by close to a third in May, we expect a further decline this month.

Goods trade balance

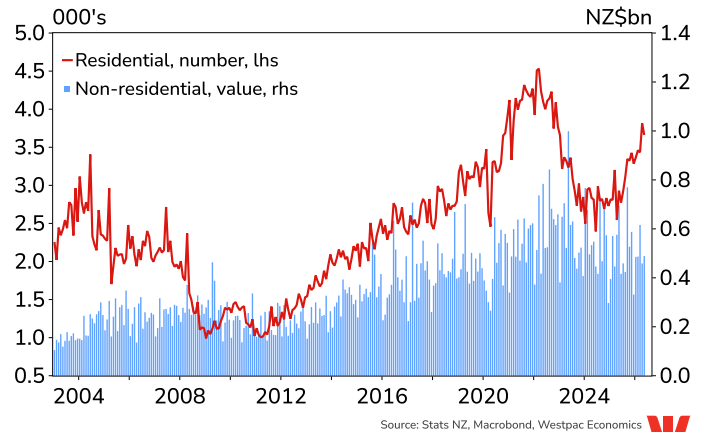


NZ: Jun Building Consents (%mth)

Aug 3, Last: -4.0, Westpac f/c: -5.0

Dwelling consent numbers slipped back in May, following a step higher in the previous month. We're expecting another modest easing in June, as large swings in the volatile medium density categories normalise. However, stepping back from the month-to-month swings, the annual total is continuing to rise. In fact, we expect it will lift above 40,000 for the first time since 2023. But while that points to a firming in homebuilding activity through the back half of the year, there are questions about whether that momentum will be sustained. Build costs have been rising, as have interest rates. At the same time, the market for existing housing remains soft. In the non-residential space, we expect the overall value of planned work will remain steady.

Building consents



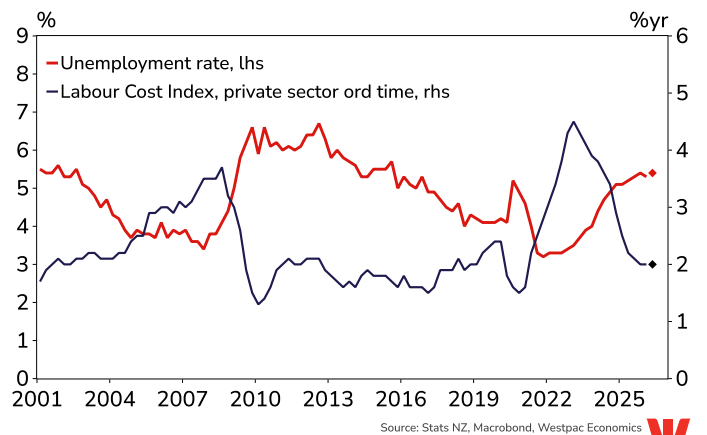
NZ: Q2 Labour Market Surveys (%)

Aug 5, Unemployment Rate, Last: 5.3, Westpac f/c: 5.4

Aug 5, LCI Private Sector, Last: 0.5, Westpac f/c: 0.6

We expect the unemployment rate to tick up to 5.4% for the June quarter, following a slight fall to 5.3% in the March quarter that was unexpected and not really reflective of the otherwise soft details. Jobs growth has held its ground through the Middle East conflict, but not enough to keep pace with population growth, which points to some combination of higher unemployment and lower participation. Wage growth is likely to remain subdued, given the existing slack in the labour market. Our picks are in line with the RBNZ's May Monetary Policy Statement forecasts.

Labour market indicators



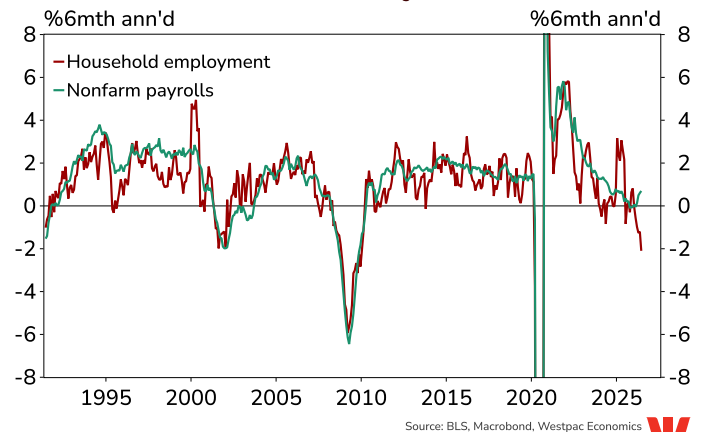
US: Jul Employment Report

Aug 7, payrolls Last: 57k, Mkt f/c: 88k, WBC f/c: 75k

Aug 7, U/E rate, Last: 4.2%, Mkt f/c: 4.2%, WBC f/c: 4.3%

Nonfarm payrolls surprised to the downside in June, registering a gain of just 57k after April and May were revised down by a cumulative 74k. Year-to-date, nonfarm payroll growth remains very healthy, sitting at the top end of estimates of new labour supply. However, June runs counter to the view held by some participants that the US labour market is re-tightening. A stronger argument against this view is that the household survey continues to point to outright job losses, with reduced participation holding the unemployment rate down. As we move through July and the remainder of the year, we expect the signals from the two surveys to draw closer together, broadly suggesting the labour market is marking time, with risks skewed to the downside.

Jobs measures differ markedly



What to watch

	For	Data/Event	Unit	Last	Market f/c	Westpac f/c	Risk/Comment
Mon 03							
Aus	Jul	MI Inflation Gauge	%ann	3.9	–	–	Provides a very general gauge on inflation pressures.
		NSW Bank Holiday	–	–	–	–	ASX open, bond markets closed.
NZ	Jun	Building Permits	%mth	–4.0	–	–	Annual consents to reach 40,000 for the first time since 2023.
Chn	Jul	RatingDog Manufacturing PMI	index	51.7	52.0	–	Export-oriented manufacturers faring well as trade booms.
US	Jul	ISM Manufacturing	index	53.3	54.0	–	Regional surveys point to continued expansion.
	Jun	Construction Spending	%mth	0.1	0.2	–	High rates weigh broadly; data centres buck the wider trend.
World	Jun	S&P Global Manufacturing PMI	index	–	–	–	Final estimate for Japan, Eurozone, UK and US.
Tue 04							
Aus	Jul	ANZ–Indeed Job Ads	%mth	–0.2	–	–	Suggests labour demand is broadly steady.
	Jun	Household Spending Indicator	%mth	1.3	0.1	0.1	Spending indicator points to softer pace through Q2
US	Jun	Trade Balance	US\$bn	–77.6	–73.0	–	Another round of tariff-related volatility incoming.
	Jun	Factory Orders	%mth	–1.3	0.4	–	Outside of noisy transport orders, strength is broadly based ...
	Jun	Durable Goods Orders	%mth	0.3	–	–	... across metal, machinery, computer and electronic goods.
	Jun	JOLTS Job Openings	000s	7594	7250	–	Falling participation rate leaving more vacancies unfilled.
Wed 05							
NZ	Q2	Employment	%qtr	0.2	0.1	–	Jobs market holding up in the face of the oil price shock...
	Q2	Unemployment Rate	%	5.3	5.4	–	...but not enough to prevent a further rise in unemployment.
	Q2	LCI Wage Inflation (Pvte, Ord. Time)	%qtr	0.5	0.6	–	Wage pressures remain muted given existing slack.
	Jul	ANZ Commodity Prices	%mth	–1.0	–	–	Falls in dairy, beef, wool, aluminium prices.
Chn	Jul	RatingDog Services PMI	index	54.1	53.7	–	Points to a much rosier picture than official PMIs suggest.
Eur	Jun	PPI	%ann	5.9	–	–	Higher energy costs clearly manifesting in upstream prices.
US	Jul	ADP Employment Change	000s	98	75	–	Broadly consistent with revised trend in payrolls data.
	Jul	ISM Services	index	54.0	54.3	–	Activity buoyant amid healthy orders, employment recovery.
World	Jun	S&P Global Services PMI	index	–	–	–	Final estimate for Japan, Eurozone, UK and US.
Thu 06							
Aus	Jun	Goods Trade Balance	\$bn	–3.0	–1.0	–1.8	Remain in deficit, despite the expected improvement
Eur	Jun	Retail Sales	%mth	0.2	0.1	–	Consumer in good standing to weather headwinds.
US	Q2	Productivity	%ann	0.3	0.7	–	Holding to a solid trend.
	Wkly	Initial Jobless Claims	000s	197	–	–	Remains at a relatively low level.
	Jun	Wholesale Inventories	%mth	0.3	–	–	Final estimate.
Fri 07							
Jpn	Jun	Household Spending	%ann	–0.4	1.0	–	Points to downside risks around the consumer.
Chn	Jul	Foreign Reserves	US\$bn	3416.3	–	–	Authorities have ample liquidity.
	Jul	Trade Balance	US\$bn	125.62	113.7	–	Trade a saving grace as domestic demand struggles to refire.
US	Jul	Nonfarm Payrolls	000s	57	88	75	Payrolls data has been incredibly noisy over recent months ...
	Jul	Unemployment Rate	%	4.2	4.2	4.3	... the household survey meanwhile points to downside risks ...
	Jul	Average Hourly Earnings	%mth	0.3	0.3	–	... with falling participation the only thing keeping U/E stable.
	Jun	Consumer Credit	\$bn	–0.182	–	–	Slower consumer spending gives leeway to pay down debt.
	Jul	NY Fed 1-Yr Inflation Expectations	%ann	3.67	–	–	May remain elevated as gasoline prices start to lift again.
		Fedspeak	–	–	–	–	Barkin.

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Economic & financial forecasts

Interest rate forecasts

Australia	Latest (31 Jul)	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
Cash	4.35	4.35	4.35	4.35	4.35	4.10	3.85	3.60	3.60	3.60	3.60
90 Day BBSW	4.50	4.45	4.45	4.45	4.25	4.00	3.75	3.60	3.70	3.70	3.70
3 Year Swap	4.48	4.50	4.45	4.40	4.30	4.20	4.10	4.05	4.00	3.95	3.90
3 Year Bond	4.49	4.50	4.45	4.40	4.30	4.20	4.10	4.05	4.00	3.95	3.90
10 Year Bond	4.95	4.95	4.85	4.75	4.65	4.65	4.65	4.65	4.65	4.65	4.65
10 Year Spread to US (bps)	28	30	25	20	10	5	0	-5	-10	-15	-20
United States											
Fed Funds	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625
US 10 Year Bond	4.66	4.65	4.60	4.55	4.55	4.60	4.65	4.70	4.75	4.80	4.85
New Zealand											
Cash	2.50	2.75	3.00	3.50	3.75	4.00	4.00	4.00	4.00	3.75	3.75
90 Day Bill	2.94	3.00	3.40	3.75	4.00	4.20	4.20	4.20	4.15	3.95	3.95
2 Year Swap	3.68	3.70	3.95	4.10	4.25	4.20	4.20	4.15	4.15	4.10	4.10
10 Year Bond	4.68	4.55	4.65	4.80	5.00	5.05	5.05	5.05	5.05	5.05	5.05
10 Year Spread to US (bps)	3	5	15	25	45	45	40	35	30	25	20

Exchange rate forecasts

	Latest (31 Jul)	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
AUD/USD	0.7029	0.71	0.72	0.72	0.73	0.73	0.73	0.73	0.72	0.72	0.72
NZD/USD	0.5872	0.59	0.60	0.62	0.64	0.65	0.66	0.66	0.66	0.66	0.66
USD/JPY	160.65	162	160	159	158	156	154	152	150	148	146
EUR/USD	1.1507	1.16	1.17	1.18	1.19	1.20	1.21	1.22	1.22	1.21	1.21
GBP/USD	1.3447	1.35	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.40
USD/CNY	6.7476	6.75	6.70	6.60	6.50	6.45	6.40	6.35	6.35	6.30	6.30
AUD/NZD	1.1978	1.20	1.19	1.16	1.14	1.12	1.11	1.10	1.10	1.10	1.10

Australian economic forecasts

	2026				2027				Calendar years			
% change	Q1	Q2(f)	Q3(f)	Q4(f)	Q1(f)	Q2(f)	Q3(f)	Q4(f)	2025	2026(f)	2027(f)	2028(f)
GDP %qtr	0.3	0.0	0.1	0.3	0.4	0.4	0.4	0.4	-	-	-	-
%yr end	2.5	1.6	1.3	0.7	0.9	1.2	1.4	1.5	2.5	0.7	1.5	2.6
Unemployment rate %	4.2	4.4	4.6	4.9	5.0	4.9	4.9	4.9	4.3	4.9	4.9	4.5
Wages (WPI) (sa) %qtr	0.8	0.8	1.0	0.8	0.8	0.8	0.8	0.8	-	-	-	-
%yr end	3.3	3.2	3.4	3.4	3.4	3.4	3.2	3.2	3.4	3.4	3.2	3.4
Headline CPI %qtr	1.4	0.6	1.3	1.0	0.7	0.6	0.9	0.5	-	-	-	-
%yr end	4.1	3.9	3.9	4.3	3.7	3.7	3.3	2.8	3.6	4.3	2.8	2.6
Trimmed Mean CPI %qtr	0.8	0.8	1.0	0.8	0.8	0.7	0.7	0.7	-	-	-	-
%yr end	3.5	3.6	3.6	3.5	3.4	3.3	3.0	2.8	3.4	3.5	2.8	2.4

New Zealand economic forecasts

	2026				2027				Calendar years			
% Change	Q1	Q2(f)	Q3(f)	Q4(f)	Q1(f)	Q2(f)	Q3(f)	Q4(f)	2025	2026(f)	2027(f)	2028(f)
GDP %qtr	0.8	-0.1	0.6	0.7	1.0	0.5	0.6	0.7	-	-	-	-
Annual avg change	0.8	1.6	1.8	1.9	2.0	2.1	2.4	2.6	0.3	1.9	2.6	3.2
Unemployment rate %	5.3	5.4	5.4	5.3	5.2	5.1	5.0	4.9	5.4	5.3	4.9	4.4
CPI %qtr	0.9	1.5	0.7	0.4	0.5	0.2	0.7	0.4	-	-	-	-
Annual change	3.1	4.1	3.7	3.5	3.1	1.8	1.9	1.9	3.1	3.5	1.9	2.0

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Corporate Directory

Westpac Economics / Australia

Sydney

Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis

Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan

Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke

Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner

Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk

Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante

Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas

Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells

Economist
E: ryan.wells@westpac.com.au

Illiana Jain

Economist
E: illiana.jain@westpac.com.au

Neha Sharma

Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic

Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland

Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold

Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon

Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs

Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod

Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark

Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva

1 Thomson Street
Suva, Fiji

Shamal Chand

Senior Economist
E: shamal.chand@westpac.com.au



 westpaciq.com.au

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31 July 2026

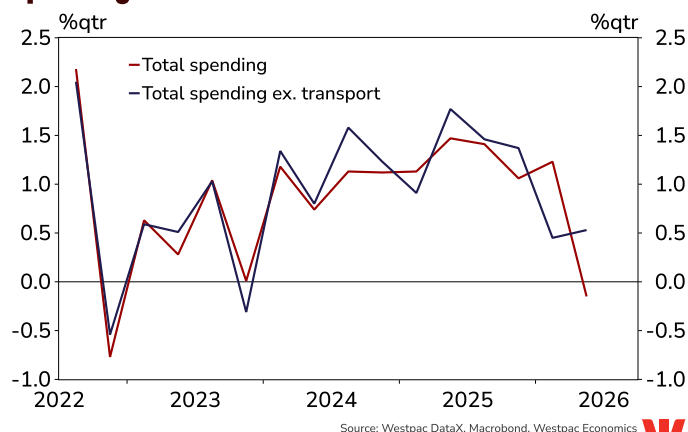
CONSUMER PANEL Q2 2026

ADJUST NOT RETREAT

Powered by DataX

- Consumer spending softened in Q2, with average spending across the **Westpac-DataX Consumer Panel** falling 0.2%qtr, annual growth slowing to 2.9%yr. Transport ex. fuel accounted for most of the weakness in the quarter while discretionary spending remained mixed.
- The slowdown was most evident amongst mortgage holders, pointing to higher rates increasingly influencing spending decisions.
- Savings balances continued to rise across most cohorts, suggesting households are preserving savings by moderating spending rather than drawing down buffers. Consumers with a mortgage were a notable exception. Buffers in this group - covering both savings and funds held in offset accounts - continue to erode, albeit with holdings still well above previous-cycle lows.

Spending weakens but still holds



Westpac-DataX Consumer Panel

The Westpac-DataX Consumer Panel is a large dataset that gives a timely and detailed picture of Australian consumer finances and behaviour. Developed by DataX, Westpac's data analytics team, the dataset links transaction activity with balance sheet information to give a complete view of income, spending, saving and borrowing flows.

All data is de-identified and aggregated to ensure privacy. The resulting sample of over one million customers gives an accurate representation of trends across the wider Australian consumer and is perfectly suited to quickly tracing responses to events like interest rate moves and energy price shocks.

Consumers trim spend and build buffers



Illiana Jain
Economist, Westpac Group
P: +61 403 908 032
E: illiana.jain@westpac.com.au

The Q2 **Westpac-DataX Consumer Panel** shows higher interest rates are increasingly influencing household behaviour, but not through a disorderly draw-down in savings. Spending fell 0.2%qtr, the first quarterly decline in a year. However, much of the weakness was concentrated in transport where airfare refunds were a notable dampening factor. Excluding transport, spending rose 0.5%qtr, broadly in line with last quarter's read. The detail points to households becoming more selective with spending rather than making broad cuts, while savings balances continued to rise and mortgage buffers remain well above previous-cycle lows. For the RBA, this suggests restrictive policy is gaining traction through a gradual moderation in demand rather than an abrupt deterioration in household finances.

Spending slows as households get picky

Average consumer spending fell 0.2%qtr in Q2, a sharp step down on the gains recorded in Q1 (+1.2%) and Q4 (+1.1%). Annual growth slowed to 2.9%yr. The weakness, however, was heavily concentrated in transport, some of which reflected airfare refunds relating to the conflict in the Middle East.

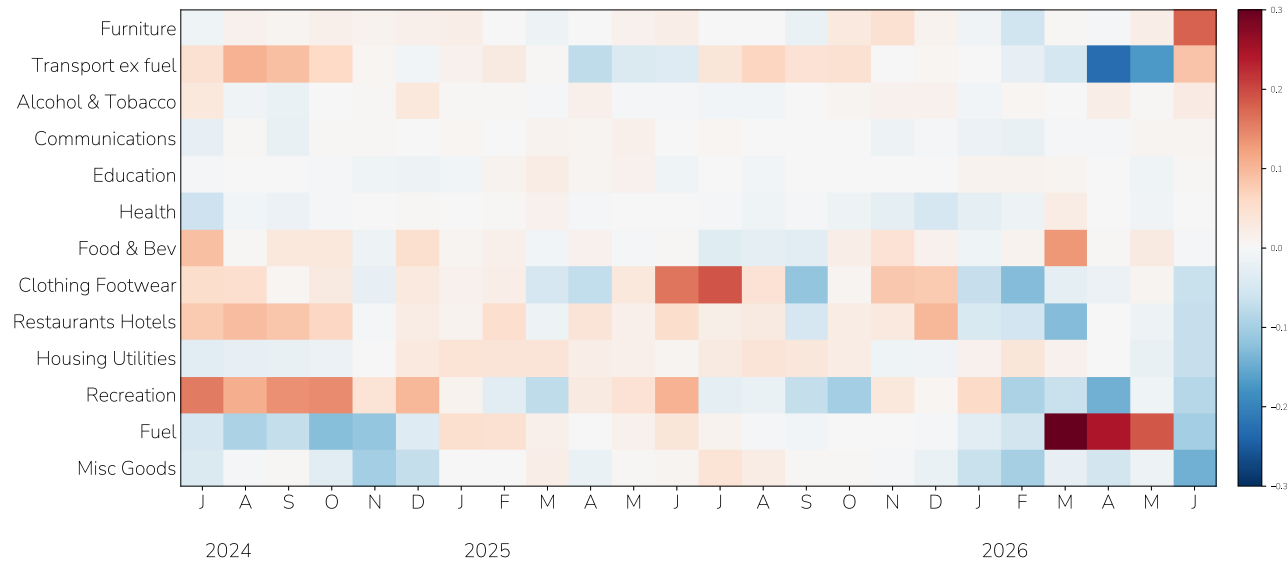
Fuel spending rose 2.2%qtr despite a notable fall in the June month as global oil prices declined. Non-fuel spending fell 0.2%qtr. Within this, transport ex. fuel spend – covering airfares, taxis, rideshare, tolls and vehicle-related spend – declined 6.8%qtr.

Note that spending is measured in net terms and will include any charge-backs or refunds. For Q2, there was a significant flow of refunds associated with cancelled air travel due to disruptions from the US-Iran war. With this almost certainly a one-off, non-fuel transport spending is likely to post a solid rebound in Q3.

Outside fuel and transport, the picture was more mixed. Spending rose across several discretionary categories, including: restaurants and hotels (+1.4%qtr), household furnishings (+3.6%qtr), and clothing and footwear (+0.8%qtr). Some of this reflects a reversal of weakness in the prior quarter rather than a sustained acceleration. Q2 also showed a notable lift in gambling spend (+4.4%qtr), likely associated with the FIFA World Cup. The gain follows three consecutive quarters of decline and is likely to at least partially unwind in Q3. Against this, there were notable falls in utilities (–1.1%qtr), the miscellaneous category (–0.4%qtr) and education spending (–1.7%qtr) although the combined contribution from these segments was minor in comparison to transport ex. fuel.

The table below shows a heatmap of the monthly contribution from categories to variations in total spend. Looking at the first half of the year as a whole, the figures suggest households are trimming spending growth rather than cutting back sharply with the detail showing they are becoming more selective about what they spend on.

Heatmap of monthly spending category contributions



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Slowdown uneven across sub-groups

The moderation in spending was not evenly distributed across the customer base.

By age, the largest falls in the latest quarter were recorded among the 65+ cohort (−0.8%qtr) and 45–54 year olds (−0.1%qtr). In both cases, this partially reversed gains in Q1, when these cohorts were among the strongest contributors to spending growth.

Younger customers continued to increase spending, with the strongest gains recorded among 18–24 and 25–34 year olds (both +0.8%qtr). Their spending was concentrated in discretionary categories such as restaurants and hotels, recreation and culture, and household furnishings. This suggests younger cohorts remain more willing to spend, although some of the latest lift also reflects a rebound from Q1 when higher fuel prices were more of a budget constraint.

Mortgage status provides a clearer read on the impact of higher interest rates. Spending declined for both mortgagors and non-mortgagors, but the weakness was more pronounced for those with a mortgage. There was some support from a rebound in household furnishings and restaurants and hotels, but recreation and culture spending declined further after a soft Q1. This points to higher borrowing costs starting to influence some discretionary choices but with few signs of outright financial stress.

For non-mortgagors, the category detail was closer to the broader aggregate pattern: discretionary spending improved, while transport was weighed down by airfare refunds. The contrast suggests higher rates are beginning to show most clearly in the behaviour of mortgage holders. Note that this group is quite broad, covering both freehold homeowners and renters.

Higher rates affecting behaviour more than balance sheets

Average savings balances rose 1.2%qtr in Q2, following gains of 1.3%qtr in Q1 and 3.0%qtr in Q4. Balances are now 8.3% higher over the year.

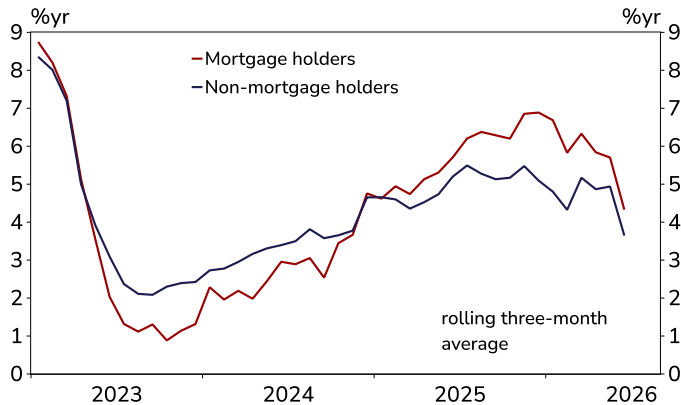
The strongest gains were recorded among younger customers, with balances for 25–34 year olds rising 2.0%qtr, while the slowest increase was among 55–64 year olds (+0.7%qtr).

Income growth slowed to 2.6%yr in Q2 from 3.4%yr previously. With spending growth tracking at 2.9%yr, this implies that consumers saved less out of current incomes. However, the relatively modest slowdown in growth in total savings balances from a strong starting point suggests consumers are still focussed on building their nest eggs rather than drawing down on them to fund spending.

The continued rise in savings is important given the softer spending backdrop. It suggests consumers are looking to preserve cash buffers in the face of uncertainty rather than run them down. This is consistent with the pessimistic and risk averse reads from the **Westpac-Melbourne Institute Consumer Sentiment** survey. It suggests the household sector as a whole is bracing for more cost-of-living pressures but still relatively well-placed financially.

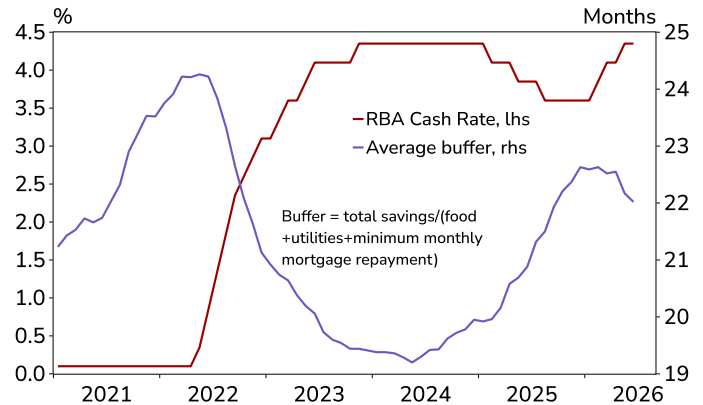
This pattern is clearest among mortgage holders. Savings balances for mortgagors rose 1.8%qtr, outpacing the 1.1%qtr gain among customers without a mortgage. The bigger savings build likely reflects specific concerns about the outlook for interest rates. Notably, our July **Westpac Consumer Sentiment** survey found that, amongst consumers with a mortgage, over 72% expect mortgage rates to rise further over the next year.

Spending growth by mortgage vs non-mortgage



Source: Westpac DataX, Macrobond, Westpac Economics

Buffers rose even as cash rate hit its peak



Source: RBA, ABS, Macrobond, Westpac Economics

Buffers lower but elevated

On average, mortgagors now hold savings equivalent to 22 months of 'essential expenses' – defined as the sum of minimum mortgage repayments, food and utilities. This is down from 22.5 months in Q1 and 22.6 months in December 2025, before the latest rate hikes came into effect. It is also below the 24.2 months recorded prior to the 2022 hiking cycle. However, it is well above the previous cycle low of 19.2 months reached in May 2024.

Averages are a little misleading when it comes to buffers as they are highly skewed by the distribution of household savings. A relatively small cohort of cash-rich households continue to hold very large balances, boosting the average considerably.

As such, the median – the middle observation of the distribution – provides a better gauge of where the bulk of mortgage holders are sitting. The current median buffer across mortgagors sits at just six months of minimum repayments. The history here offers a notable point of difference.

The median buffer fell sharply through the 2022–23 hiking cycle, from around 6.2 months prior to the first rate increase to a low of 4.3 months in April 2024. The scale and pace of the decline reflected both the magnitude of the tightening cycle and the frequency of rate increases, which were monthly through much of 2022–23, and a sizeable portion of 'fixed rate' borrowers that were rolling off onto much higher variable rates.

However, the average and median buffer measures tell very different stories when comparing current levels with their 2022 peaks. In June, the mean mortgage buffer was 22 months while the median buffer was just six months.

While average buffers in 2026 are well below their 2022 peaks, median buffer levels are on a par. Indeed, at the time the RBA resumed tightening in early 2026, median mortgage buffers had recovered to around 6.4 months, broadly back to levels seen before the 2022–23 hiking cycle began. The median suggests most households entered the current tightening phase with

about the same financial flexibility they had going into the much more aggressive tightening cycle four years ago.

Recent rate hikes have seen the median buffer declining from its late-2025 peak but the move has been modest relative to the experience of 2022–23.

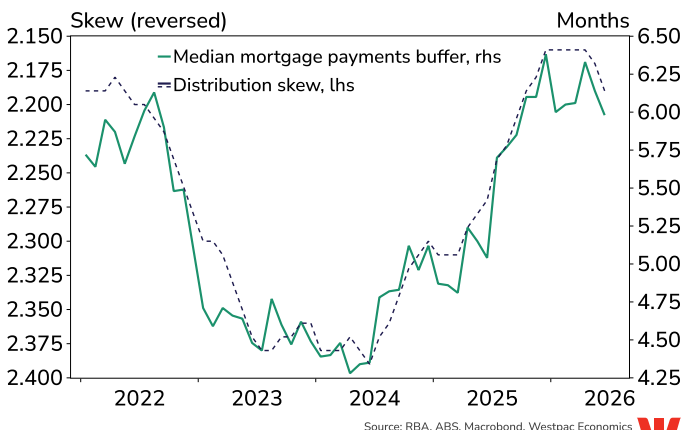
Also of note, the median buffer shows the rebuild began quite early, when the cash rate was still at a cyclical peak. Median buffers recovered steadily through late 2024 and 2025 before any easing in monetary policy. This suggests households adapted to higher borrowing costs and managed to accumulate savings through a combination of higher incomes and slower spending. Rate cuts would have supported this effort in 2025 but were not the initial catalyst.

The distribution of buffers also provides important clues about the sensitivity of households to future interest rate changes. During the previous hiking cycle, the savings distribution became increasingly skewed as a growing share of mortgagors were compressed towards very low buffer levels while a small group of cash-rich households remained largely unaffected. In practical terms, this meant each successive rate increase left a greater share of households vulnerable to further tightening.

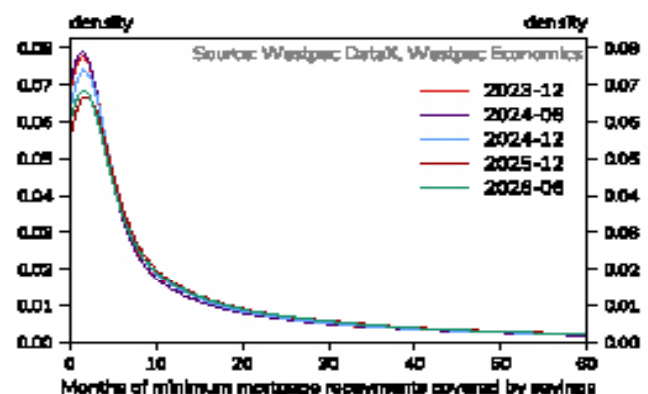
Encouragingly, while recent rate increases have again pushed the distribution in this direction, measures of skew remain well below the extremes recorded in 2024 and are broadly comparable to levels seen before the latest tightening cycle began. This suggests households are not being as pressured as they were during the previous hiking cycle.

Taken together, the distributional evidence suggests that monetary policy tightening is clearly squeezing the mortgage belt but that this segment is coming from a relatively solid starting point financially – with buffers slightly higher than they were at the start of the 2022 tightening. While pockets of pressure are beginning to emerge, the typical mortgagor remains materially better placed to absorb further increases in borrowing costs.

Median buffer around where it was before hikes



Mortgage Buffers: full distribution



What does this mean for the RBA?

The overall message from the Q2 Panel is that households are responding to higher rates but in a relatively controlled way. Rather than drawing down savings, households are trimming spending and continuing to build financial buffers which look to be in good shape for most mortgage holders. Indeed, the cycle shows mortgagors have been very forward-looking with their savings behaviour, actively building buffers when they can rather than waiting for lower interest rates to provide an opportunity. Around spending, growth has softened with mortgage holders in particular becoming more restrained and selective. Combined with the more benign inflation backdrop, the Panel is consistent with our revised view that the RBA will remain on hold in August. While the Board is likely to retain a hawkish bias and not rule out further increases altogether, the evidence from households suggests the current level of restrictiveness is already weighing on demand and reducing the need for additional tightening.

About the Westpac-DataX Consumer Panel

Developed by DataX, Westpac's data analytics service for institutional and business banking customers, the dataset links transaction activity with balance sheet information to give a complete view of income, spending, saving and borrowing flows.

The resulting sample of over one million customers provides an accurate representation of trends across the wider Australian consumer.

Monthly observations are available back to January 2019 with timely updates provided a few weeks after the end of each month. As such, it is perfectly suited to quickly tracing the impact and responses to events like interest rate moves and energy price shocks.



Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group

E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ

E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist

E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist

E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist

E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist

E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand

Senior Economist
E: shamal.chand@westpac.com.au



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Laurence Ball, Joern Onken

Hysteresis in unemployment:
evidence from OECD estimates
of the natural rate

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Abstract

This paper studies the dynamics of unemployment (u) and its natural rate (u^*), with u^* measured by real-time estimates for 29 countries from the OECD. We find strong evidence of hysteresis: an innovation in u causes u^* to change in the same direction, and therefore has permanent effects. For our baseline specification, a one percentage point deviation of u from u^* for one year has a long-run effect of 0.16 points on both variables. When we allow asymmetry, we find, perhaps surprisingly, that decreases in u have larger long-run effects than increases in u .

JEL Code: E24

Keywords: hysteresis, unemployment, natural rate, high-pressure economy

NON-TECHNICAL SUMMARY

According to mainstream macroeconomics, the long-run level of unemployment, or natural rate, is determined by imperfections in the labor market. Monetary policy and other determinants of aggregate demand can influence the fluctuations of unemployment around the natural rate but not the natural rate itself. This theory underlies the policies of many central banks, which focus on the inflation rate because it is a variable that monetary policy controls in the long run.

Some economists, however, dissent from this mainstream view. They argue that unemployment exhibits hysteresis, a concept introduced in 1986 by Blanchard and Summers. Hysteresis means that short-run fluctuations in unemployment cause the natural rate to change, for reasons including scarring effects on unemployed workers and changes in the number of insiders in wage bargaining. These effects imply that shifts in aggregate demand have long-run effects on unemployment, which potentially has profound implications for monetary policy. For example, Gali (2020) presents a model in which hysteresis makes it optimal for a central bank to target employment rather than inflation.

This paper seeks new evidence on the existence and strength of hysteresis effects. To that end, we examine real-time estimates of the natural rate of unemployment in 29 countries published by the Organization for Economic Cooperation and Development (OECD). We look for hysteresis effects in the evolution of these natural-rate measures over the period from 2002 to 2019.

We use the OECD series to estimate a simple statistical model of unemployment (u) and its natural rate (u^*). These variables respond to shocks to u^* , which we interpret as arising from changes in labor markets, and shocks to u for a given u^* , which we interpret as arising from shifts in aggregate demand. We assume that u and u^* move together in the long run: they are cointegrated. They deviate from each other in the short run but are drawn back together by one or both of two

effects: u is pulled toward u^* , as in mainstream models, and/or u^* is pulled toward u through hysteresis effects.

Our central finding is that shocks to u have permanent effects. After a positive shock, u rises above u^* for about eight years, and during that period u^* is pulled to a higher level. We use our estimates of these effects to calculate the “degree of hysteresis” as defined by Ball, DeLong, and Summers (2017): the ratio of the long-run change in u^* to the cumulative deviations of u from u^* . Our baseline estimate of this parameter is 0.16, which means that u^* changes by 0.16 percentage points when u deviates from u^* by one point for one year.

Our main specification assumes that positive and negative shocks to u have symmetric effects, but we also estimate a model that relaxes that assumption. With that specification, we estimate that the degree of hysteresis is larger after a decrease in unemployment than after an increase (0.29 compared to 0.13). This finding is somewhat surprising in light of the hysteresis literature, which has focused on increases in unemployment, but it is consistent with Okun’s (1973) idea that a “high pressure” economy has permanent benefits.

1. INTRODUCTION

According to mainstream macroeconomics, the long-run level of unemployment, or natural rate, is determined by imperfections in the labor market. Monetary policy and other determinants of aggregate demand can influence the fluctuations of unemployment around the natural rate but not the natural rate itself. This theory underlies the policies of many central banks, which focus on the inflation rate because it is a variable that monetary policy controls in the long run.

Some economists, however, dissent from this mainstream view. They argue that unemployment exhibits hysteresis: its short-run fluctuations cause the natural rate to change, for reasons including the scarring effects of unemployment on workers and changes in the number of insiders in wage bargaining. The concept of hysteresis was introduced by Blanchard and Summers (1986) and has been promoted over the years by authors such as Ball (1999), Stockhammer and Sturn (2011), and Gali (2020). Hysteresis implies that shifts in aggregate demand have long-run effects on unemployment, which potentially has profound implications for monetary policy. Gali, for example, presents a model in which hysteresis makes it optimal for a central bank to target employment rather than inflation.¹

This paper seeks new evidence on the existence and strength of hysteresis effects. To that end, we examine real-time estimates of the natural rate of unemployment in 29 countries published by the Organization for Economic Cooperation and Development (OECD). We look for hysteresis effects in the evolution of these natural-rate measures over the period from 2002 to 2019.

We use the OECD series to estimate a simple statistical model of unemployment (u) and its

¹ Evidence supporting hysteresis is also reported by Leon-Ledesma (2002), Ball (2009), Blanchard, Cerutti and Summers (2015), and Girardi, Meloni, and Stirati (2020), among others.

natural rate (u^*). These variables respond to shocks to u^* , which we interpret as arising from changes in labor markets, and shocks to u for a given u^* , which we interpret as arising from shifts in aggregate demand. We assume that u and u^* move together in the long run: they are cointegrated. They deviate from each other in the short run but are drawn back together by one or both of two effects: u is pulled toward u^* , as in mainstream models, and/or u^* is pulled toward u through hysteresis effects.

Our central finding is that shocks to u have permanent effects. After a positive shock, u rises above u^* for about eight years, and during that period u^* is pulled to a higher level. We use our estimates of these effects to calculate the “degree of hysteresis” as defined by Ball, DeLong, and Summers (2017): the ratio of the long-run change in u^* to the cumulative deviations of u from u^* . Our baseline estimate of this parameter is 0.16, which means that u^* changes by 0.16 percentage points when u deviates from u^* by one point for one year.

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An important caveat to our analysis is that the natural rate of unemployment is not directly observable, and there is surely considerable measurement error in the OECD’s natural rate series. We show, however, that this problem does not necessarily cause bias in our estimates of hysteresis effects. In particular, our results are robust to measurement error if the OECD’s natural-rate

estimates are optimal given all information available when the estimates are made. We cannot rule out the possibility of bias arising from some kind of systematic errors in the OECD series.

2. THE DYNAMICS OF U AND U*

Friedman (1968) introduced the concept of the natural rate of unemployment. He defined it as the level of unemployment consistent with inflation equal to expected inflation, a level that the actual unemployment rate must approach in the long run. Friedman's idea is captured by the expectations-augmented Phillips curve, a simple version of which is:

$$(1) \quad \pi_t = \pi_t^e + \alpha(u_t - u^*) + v_t, \quad \alpha < 0,$$

where π and π^e are actual and expected inflation, u and u^* are unemployment and its natural rate, and v captures transitory shocks to inflation arising from supply-side factors. In this theory, u^* is a time-varying intercept term in the short-run relationship between unemployment and inflation.

We seek to model the dynamic behavior of u and u^* . In many countries, these variables wander up and down in ways that suggest they are non-stationary. This impression is confirmed formally by univariate analyses of the unemployment rate, which find that this variable follows an I(1) process (e.g., Leon-Ledesma [2002] and Gali [2020]).

At the same time, there is a strong theoretical presumption that the unemployment gap $u - u^*$ is stationary: the unemployment rate does not wander arbitrarily far from its natural rate. Most procedures for estimating u^* build in this assumption. We therefore model u and u^* as cointegrated variables. The long-run cointegrating relation is simply $u = u^*$.

The dynamics of cointegrated variables can be captured by an error-correction model in which changes in the variables are influenced by the lagged deviation from the cointegrating relation

(Engle and Granger, 1987). We assume specifically that Δu and Δu^* , the changes in u and u^* , are determined by:

$$(2) \quad \Delta u^*_t = \beta_1(\Delta u^*)_{t-1} + \beta_2(\Delta u)_{t-1} + \beta_3(u_{t-1} - u^*_{t-1}) + \eta_t ;$$

$$(3) \quad \Delta u_t = \gamma_0(\Delta u^*)_t + \gamma_1(\Delta u^*)_{t-1} + \gamma_2(\Delta u)_{t-1} + \gamma_3(u_{t-1} - u^*_{t-1}) + \varepsilon_t .$$

To interpret these equations, notice first that each one includes $u_{t-1} - u^*_{t-1}$, the error-correction term. We presume that $\gamma_3 < 0$ and $\beta_3 \geq 0$. With $\gamma_3 < 0$, u is pulled toward u^* , an effect that arises from the economy's natural equilibrating forces and/or monetary policy that seeks to stabilize unemployment. If $\beta_3 > 0$, then there are also forces that pull u^* toward u : there is hysteresis.

Our model allows Δu^*_t to affect Δu_t : a change in the natural rate can affect actual unemployment contemporaneously. To obtain a recursive structure that identifies our equations, we do *not* allow Δu_t to affect Δu^*_t : each period's natural rate is determined before the current innovation in actual unemployment. An Appendix to this paper shows that our main results are robust to relaxing this assumption. In that analysis, we partially identify our model through sign restrictions and find that the degree of hysteresis estimated for our baseline specification is a lower bound on the range of estimates consistent with the restrictions.

As is standard in error-correction models, we include lags of Δu and Δu^* in our equations to capture short-run dynamics. For our annual data, the first lags of Δu and Δu^* appear sufficient: longer lags are never significant.

We interpret the shock η_t in the Δu^* equation as arising from changes in supply-side variables such as demographics, productivity, and labor market frictions. The shock ε_t in the Δu equation

arises from shifts in monetary policy and other determinants of aggregate demand.²

3. OECD ESTIMATES OF THE NATURAL RATE

Various academics and official agencies have developed techniques for estimating the natural rate of unemployment. In most of this work, the basic approach is to define the natural rate as an unobserved term in the Phillips curve and estimate its path along with the Phillips curve parameters. The Phillips curve is typically a more complex version of equation (1) that includes measures of expected inflation, lags of unemployment and inflation, and supply shocks such as changes in oil prices. The Kalman filter is used to disentangle movements in u^* from transitory shocks to inflation.³

This study uses natural rate estimates from the OECD because they are published for a large number of countries. Most of our analysis is based on real-time data. Specifically, for each year we use estimates of current natural rates (also called “structural unemployment rates”) that appear in the year’s second issue of the OECD *Economic Outlook*, which is usually published in November. All of the estimates are produced with the same basic Kalman filter approach, but some details of the methodology change over our sample period (such as the modeling of inflation expectations). We interpret each year’s estimates as the OECD’s best effort to measure natural rates given the available data and current views about the Phillips curve.⁴

² The Δu and Δu^* equations do not include constant terms, which means we do not allow a deterministic trend in the unemployment rate. If constants are added, they are insignificant.

³ Early papers using this approach include Staiger, Stock and Watson (1997) and Gordon (1997). Official sources of natural rate estimates include the European Community and the U.S. Congressional Budget Office.

⁴ The OECD’s evolving methodology is described in Turner et al. (2001), Gianella et al. (2008), Guichard and Rusticelli (2011), and Rusticelli et al. (2015). The last of these papers describes the change in the modeling of inflation expectations, from backward-looking to

We also measure the actual unemployment rate u with real-time data from the second issue of the *Economic Outlook*. When we analyze the effects of measurement error, it will be important that the measures of u and u^* in a given year are produced at the same time.

Our data cover 29 countries over the period 2001-2019 (with later start dates for recent joiners of the OECD). The total number of country-year observations is 494. When we estimate our error correction model, the sample starts in 2003 because we need two lags of u and u^* to construct the lags of Δu and Δu^* .⁵

Figure 1 shows the series for u and u^* in four countries. In three of them—Spain, Ireland, and the US—unemployment rose sharply after the 2008 financial crisis and fell later in the sample. The natural rate also rose and then fell, although the size and timing of the u^* movements varied. In the last country, Germany, both u and u^* fell fairly steadily. Overall the graphs give the impression that u and u^* movements are related in some way.

4. BASELINE ESTIMATES

Here we present baseline estimates of our model, equations (2) and (3). We make two strong assumptions:

- We assume that the OECD's real-time estimates of u and u^* are the true values of these variables. That is, we ignore the measurement error that surely exists in our data.

anchored expectations.

⁵ The countries in our sample are Australia, Austria, Belgium, Canada, Czech Republic, Denmark, Estonia, Finland, France, Germany, Greece, Iceland, Ireland, Israel, Italy, Japan, Korea, Luxembourg, Netherlands, New Zealand, Norway, Portugal, Slovak Republic, Slovenia, Spain, Sweden, Switzerland, United Kingdom, and United States.

- We assume that the coefficients in the equations are the same for all countries, ignoring possible heterogeneity in hysteresis effects. This allows us to estimate the equations with a single pooled sample.

We relax these assumptions in later parts of the paper.

While we assume common coefficients, we allow the variances of the errors ε and η to differ across countries (which is strongly suggested by the data). We also allow the errors in a given year to be correlated across countries. We estimate (2) and (3) by two-step generalized least squares (that is, the parameters of the error covariance matrices are estimated from OLS residuals).⁶

Table 1 presents the coefficient estimates. There is strong evidence that movements in actual unemployment affect the natural rate: in the equation for Δu^* , the coefficients on lagged $(u-u^*)$ and on lagged Δu are both positive and highly significant. In the Δu equation, there is a significantly negative coefficient on lagged $(u-u^*)$, confirming that u is pulled toward u^* as well as vice versa. Δu also depends positively on its own lag, meaning that unemployment movements exhibit momentum.

Figure 2 presents impulse response functions. We use our estimated equations to derive the responses of Δu and Δu^* to shocks, and then cumulate to derive the responses of the levels of u and

⁶ For each equation, we estimate the variance of a country's errors with the OLS residuals for the country. We assume that the correlation of errors across countries is the same for every country pair and estimate it by averaging the correlations of OLS residuals for the (29)(28) pairs in our sample. The correlation is 0.174 for equation (2) and 0.307 for equation (3). These correlations and the country-specific variances determine the variance-covariance matrices of the errors in (2) and (3), which we use for GLS.

We have also tried a specification that allows the correlation of errors across two countries to vary depending on which of three groups each country belongs to: the euro area, Europe outside the euro area, and outside Europe. This change has little effect on our results. Our qualitative results are also similar if we simply estimate (2) and (3) by OLS.

u^* . The Figure also shows 95% confidence intervals computed with Monte Carlo methods.⁷

To show the nature of hysteresis, Figure 3 compares the responses of u and u^* to an innovation in u , which again we interpret as a demand shock. After a shock that raises u by one percentage point, u continues to rise for two more years (reflecting the momentum in Δu) and then starts to decline slowly. During this process, the high levels of u pull u^* up. The paths of u and u^* converge after about eight years and both variables end up three quarters of a point above their initial level.

How strong are the effects of u on u^* ? Following Ball, DeLong, and Summers (2017), we define the “degree of hysteresis” h as the ratio

$$h = [\text{long-run effect of } u \text{ shock on } u^*] / [\text{cumulative deviations of } u \text{ from } u^*]$$

The denominator of h is the total amount of cyclical unemployment caused by a shock, and the numerator is the long-run effect of this cyclical unemployment. The ratio h is the long-run effect of a one percentage point deviation of u from u^* for one year.

For the impulse response functions in Figure 3, the numerator of h is 0.73 and the denominator is 4.65, which imply $h = 0.16$. This value of h means, for example, that if u exceeds u^* by two percentage points for three years, u^* rises by about one percentage point ($0.16 \times 2 \times 3 = 0.96$). A 95% confidence interval for h based on Monte Carlo simulations is $[0.12, 0.19]$.⁸

⁷ Our Monte Carlo method follows Romer and Romer (2004). For each of our equations, we take 10,000 draws of the coefficients from a multivariate normal distribution with mean and covariance matrix given by our GLS point estimates and their covariance matrix. We compute impulse response functions for each of the 10,000 draws. For each point in an impulse response function, our 95% confidence interval extends from the 251st smallest value to the 9750th smallest value.

⁸ We compute h for each of the 10,000 simulations described in footnote 7. The 95% confidence interval for h extends from the 251st smallest value to the 9750th smallest.

5. CROSS-COUNTRY DIFFERENCES IN HYSTERESIS

So far we have assumed that the dynamics of u and u^* are the same in all countries. In reality, hysteresis effects may vary because of differences in national labor markets. Many economists have suggested, for example, that hysteresis is stronger in European countries than in the United States because of European institutions such as strong labor unions and generous unemployment insurance.

Here, we allow country-specific coefficients in equations (2) and (3) by interacting each right-side variable with a full set of country dummies. We estimate the resulting equations by two-step GLS, assuming the same covariance structure of the error terms as in our baseline analysis. (This approach is more efficient than country-by-country OLS because of the correlation of errors across countries.)

To study heterogeneity in hysteresis, we first test the hypothesis that the three coefficients in the Δu^* equation are the same for all countries (which implies 84 restrictions on 87 country-specific coefficients). This hypothesis is strongly rejected (the Wald statistic is 152, which has a p-value below 0.001). We also test and reject the hypothesis of equal coefficients for all countries in the Δu equation (112 restrictions on 116 coefficients; Wald statistic = 149 and $p = 0.02$). We conclude, therefore, that our baseline model with equal coefficients is misspecified.

The natural next step is to ask which countries have the strongest hysteresis effects and why. Unfortunately, most of our estimates of country-specific coefficients are quite imprecise, reflecting the fact that we have 17 or fewer observations per country. The imprecise coefficient estimates lead to imprecise estimates of impulse response functions and wide confidence intervals for the degree of hysteresis. 95% confidence intervals for h include zero for 14 of the 29 countries in the sample. In sum, we do not have enough data to reliably measure the cross-country differences in hysteresis.

We can, however, derive precise estimates of the *averages* of coefficients across the 29 countries. These average coefficients, which we interpret as the coefficients for a typical country in our sample, are reported in Table 2. The average coefficients are similar to the coefficients in our baseline specification with homogeneity across countries. The average effect of lagged ($u-u^*$) on Δu^* is highly significant, which provides strong evidence of hysteresis without the dubious restriction of equal coefficients.

The impulse response functions implied by the average coefficients (not shown here) are similar to those in our baseline specification. The degree of hysteresis is 0.21, a bit higher than our baseline estimate of 0.16, with a 95% confidence interval of [0.16, 0.25].⁹

As a final exercise, we estimate average coefficients separately for the 15 countries that belonged to the European Union in 2003 and the 14 countries that did not. The two sets of estimates are quite similar, and we cannot reject the hypothesis that all the average coefficients are the same for the two groups ($p=0.18$ for the Δu^* equation and $p=0.30$ for the Δu equation). The degree of hysteresis is 0.20 for the EU countries (95% confidence interval of [0.15, 0.25]) and 0.22 for the non-EU countries ([0.14, 0.29]). Thus our data do *not* suggest that hysteresis effects are stronger in Europe than elsewhere.

6. ASYMMETRY IN HYSTERESIS?

Our linear model imposes the restriction that increases and decreases in unemployment have symmetric effects on the natural rate. It is not obvious whether this restriction is reasonable. Most

⁹ This confidence interval is derived using the covariance matrix of the average coefficients, which is determined by the covariance matrix of the country-specific coefficients, and the simulation method described in notes 7 and 8.

research on hysteresis has focused on the adverse effects of increases in u . Some work reports that decreases in u reduce u^* (e.g., Girardi et al., 2020), but the strength of these “reverse hysteresis” effects is unclear.

To explore this issue, we allow the behavior of u^* in our statistical model to be asymmetric. We do so by interacting each right-side variable in the Δu^* equation, (2), with dummies for positive and negative values of the variable. For simplicity, we continue to assume that the Δu equation, (3), is symmetric (a restriction that we cannot reject). We also return to our baseline assumption that the coefficients in (1) and (2) are the same for all countries.

Table 3 reports estimates of the expanded model, and Figure 4 shows the impulse response functions for shocks to Δu . We derive separate responses for positive and negative shocks, which reflect the different effects of positive and negative terms in the Δu^* equation.

Qualitatively, the effects of both positive and negative shocks are similar to those in the baseline specification with symmetry. A positive shock to Δu causes a persistent increase in u , and u^* is pulled up over time. The response to a negative shock is the mirror image: u falls persistently and u^* is pulled down. In both cases the long-run effect on u^* is highly significant, indicating hysteresis in both directions.

Perhaps surprisingly, the magnitude of these effects is larger for negative shocks. The long-run effect on u^* of a one-percentage-point shock to Δu is 0.59 points for a positive shock and -1.35 points for a negative shock. The degree of hysteresis is 0.13 for a positive shock (95% confidence interval of [0.08, 0.17]) and 0.29 for a negative shock (confidence interval of [0.20, 0.39]). These results reflect the fact that the error correction term in the Δu^* equation, which captures the pull of u on u^* , has a larger coefficient when the term is negative.

It is plausible that hysteresis effects work in both directions. For example, just as high unemployment can erode workers' skills and attachment to the labor force, low unemployment can pull marginally attached workers into the labor force and help them build up their skills (Okun, 1973). That said, it is not obvious why hysteresis effects should be larger for unemployment decreases than for increases. Future research should explore the robustness of this result and seek explanations.

7. THE EFFECTS OF MEASUREMENT ERROR

The true natural rate u^* is unobservable, and it is well known that estimates of u^* contain considerable measurement error (e.g., Staiger, Stock, and Watson, 1997). It is natural to wonder whether measurement error in the OECD's u^* estimates could cause some kind of bias in our estimates of hysteresis effects.

Here, we analyze the effects of measurement error under the assumption that the OECD's estimates of u^* are optimal in the sense of Hyslop and Imbens (2001): the estimates minimize the expected squared deviations from the true u^* s, given available information. In this case, our baseline analysis may produce biased estimates of hysteresis, but bias is eliminated by a modest modification of our approach. Our modified procedure uses OECD estimates of the natural rate one year in the past and one year in the future as well as the current natural rate. The results confirm our central finding that hysteresis effects are substantial.

The assumption of optimal u^* estimates is arguably a reasonable one in light of the resources and expertise that the OECD devotes to estimating the natural rate. But we cannot rule out the possibility that some systematic deviation from optimal estimation produces a spurious finding of

hysteresis. Future research could explore possible shortcomings of the OECD's methods for estimating u^* .

Analysis of Possible Biases

The assumption of optimal u^* estimates has a simple but powerful implication: the measurement error in an estimate is uncorrelated with any variable observed when the estimate is made, including the estimate itself. If that were not so, the variable could be used to adjust the estimate and reduce the sizes of errors. This property of optimal estimates is stressed by Mankiw and Shapiro (1986) and Hyslop and Imbens (2001).

To see the implications for our analysis, we introduce some notation. Let u_{t-i} and u^*_{t-i} be the true values of u and u^* in year $t-i$, and let ${}_{t-j}u_{t-i}$ and ${}_{t-j}u^*_{t-i}$ be OECD estimates of these variables made in year $t-j$. The measurement errors in the estimates are ${}_{t-j}m_{t-i} = {}_{t-j}u_{t-i} - u_{t-i}$ and ${}_{t-j}m^*_{t-i} = {}_{t-j}u^*_{t-i} - u^*_{t-i}$.

We assume that our model, equations (2)-(3), holds for the true u_{t-i} and u^*_{t-i} with $i = 0, 1, 2$. In our empirical work above, our proxies for these variables are estimates with $j=i$: we measure each year's u and u^* with estimates made in that year. Changes in u and u^* are measured with changes in these current-year estimates (for example, Δu^*_t is measured with ${}_tu^*_t - {}_{t-1}u^*_{t-1}$). Using (2)-(3) and the definitions of the errors w and w^* , we can derive the relationships among the variables in our regressions:

$$(4) \quad {}_tu^*_t - {}_{t-1}u^*_{t-1} = \beta_1({}_{t-1}u^*_{t-1} - {}_{t-2}u^*_{t-2}) + \beta_2({}_{t-1}u_{t-1} - {}_{t-2}u_{t-2}) + \beta_3({}_{t-1}u_{t-1} - {}_{t-1}u^*_{t-1}) \\ + [{}_tw^*_t - (1+\beta_1-\beta_3)({}_{t-1}w^*_{t-1}) + \beta_1({}_{t-2}w^*_{t-2}) - (\beta_2+\beta_3)({}_{t-1}w_{t-1}) + \beta_2({}_{t-2}w_{t-2}) + \eta_t] ;$$

$$(5) \quad {}_tu_t - {}_{t-1}u_{t-1} = \gamma_0({}_tu^*_t - {}_{t-1}u^*_{t-1}) + \gamma_1({}_{t-1}u^*_{t-1} - {}_{t-2}u^*_{t-2}) + \gamma_2({}_{t-1}u_{t-1} - {}_{t-2}u_{t-2}) + \gamma_3({}_{t-1}u_{t-1} - {}_{t-1}u^*_{t-1}) \\ + [-\gamma_0(w^*_t) + (\gamma_0-\gamma_1+\gamma_3)({}_{t-1}w^*_{t-1}) + \gamma_1({}_{t-2}w^*_{t-2}) + {}_tw_t - (1+\gamma_2+\gamma_3)({}_{t-1}w_{t-1}) + \gamma_2({}_{t-2}w_{t-2}) + \varepsilon_t] .$$

In each of these equations, the first line shows the variables in our regression and the second line, in

brackets, is the error term in the regression. As is standard, the error terms include components reflecting measurement error in the dependent and independent variables.

For our baseline regressions to yield unbiased estimates of the β and γ coefficients, the regressors in (4)-(5) must be uncorrelated with all the terms in the errors. This may not be the case, even with optimal estimation of u and u^* , because the regressors include variables that are *not* known when some measurement errors are made. Specifically, both equations include estimates that are made at $t-1$, which may be correlated with errors at $t-2$ (${}_{t-2}w_{t-2}$ and ${}_{t-2}w^*_{t-2}$). In addition, equation (5) includes ${}_tu^*$, which may be correlated with errors at both $t-2$ and $t-1$.

There is, however, a simple way to avoid such correlations: by measuring u and u^* in years t , $t-1$, and $t-2$ with estimates that are all made in the same year, specifically $t-1$. This is possible because each issue of the *Economic Outlook* reports estimates of u and u^* in the previous and following years as well as the current year. If all of these estimates are optimal given available information, then we can use them to obtain unbiased estimates of the β 's and γ 's.

To see this point, we derive a version of our two equations with all right-hand-side variables measured at $t-1$:

$$(6) \quad {}_tu^* - {}_{t-1}u^*_{t-1} = \beta_1({}_{t-1}u^*_{t-1} - {}_{t-1}u^*_{t-2}) + \beta_2({}_{t-1}u_{t-1} - {}_{t-1}u_{t-2}) + \beta_3({}_{t-1}u_{t-1} - {}_{t-1}u^*_{t-1}) \\ + [{}_tw^*_t - (1+\beta_1-\beta_3)({}_{t-1}w^*_{t-1}) + \beta_1({}_{t-1}w^*_{t-2}) - (\beta_2+\beta_3)({}_{t-1}w_{t-1}) + \beta_2({}_{t-1}w_{t-2}) + \eta_t] ;$$

$$(7) \quad {}_tu_t - {}_{t-1}u_{t-1} = \gamma_0({}_{t-1}u^*_t - {}_{t-1}u^*_{t-1}) + \gamma_1({}_{t-1}u^*_{t-1} - {}_{t-1}u^*_{t-2}) + \gamma_2({}_{t-1}u_{t-1} - {}_{t-1}u_{t-2}) + \gamma_3({}_{t-1}u_{t-1} - {}_{t-1}u^*_{t-1}) \\ + [-\gamma_0({}_{t-1}w^*_t) + (\gamma_0-\gamma_1+\gamma_3)({}_{t-1}w^*_{t-1}) + \gamma_1({}_{t-1}w^*_{t-2}) + {}_tw_t - (1+\gamma_2+\gamma_3)({}_{t-1}w_{t-1}) + \gamma_2({}_{t-1}w_{t-2}) + \varepsilon_t] .$$

In these equations, we replace estimates of u_{t-2} and u^*_{t-2} made at $t-2$, which appear in (4)-(5), with estimates of these variables made at $t-1$. In addition, on the right side of the Δu equation, we replace the estimate of u^*_t made at t with an estimate at $t-1$, that is, a forecast from the previous year. These

changes in regressors imply corresponding changes in the measurement errors that appear in the equations.

With these changes, all the regressors in our equations are estimates made at $t-1$, and all measurement errors are made at either $t-1$ or t , when the regressors are known. Assuming optimal estimation of u and u^* , the regressors are uncorrelated with the errors, and therefore GLS regressions based on (6)-(7) yield unbiased estimates of the β 's and γ 's.

Estimates of the Modified Equations

Table 4 reports the results of estimating equations (6)-(7). The β coefficients in the Δu^* equation are similar to the estimates for our baseline specification in Table 1. Once again, both lagged $(u-u^*)$ and lagged Δu have highly significant effects on Δu^* , indicating hysteresis.

In the Δu equation, by contrast, the coefficients on Δu^* and lagged Δu^* have large standard errors, so they are statistically insignificant despite sizable point estimates. The estimate of the Δu^* coefficient is negative. These results reflect the fact that the version of Δu^* in the Δu equation is a forecast of a future change in u^* (an estimate at $t-1$ of the change at t), which varies much less than the change in real-time u^* in our baseline specification. In addition, the Δu^* and lagged Δu^* terms are highly correlated.

Figure 5 shows the responses of u and u^* to a shock to u , along with 95% confidence intervals. The estimated responses are similar to those for our baseline specification, but the confidence intervals are larger, as one would expect from the imprecision of some coefficient estimates. The long-run effect of a u shock on u^* is still highly significant, reflecting the strong evidence of hysteresis in the Δu^* equation. The estimated degree of hysteresis is 0.18 with a 95% confidence interval of $[0.13, 0.25]$.

8. CONCLUSION

This paper studies the relationship between unemployment and its natural rate in 29 advanced economies. We find strong evidence of hysteresis: an innovation in actual unemployment changes the natural rate in the same direction, and therefore has permanent effects. In our baseline specification, a one percentage point deviation of actual unemployment from the natural rate for one year changes the natural rate by 0.16 points.

We find that the degree of hysteresis varies across countries, although our estimates for individual countries are imprecise. We also find evidence of an unexpected asymmetry: the natural rate is affected more strongly by decreases in unemployment than by increases. Future research could further explore cross-country differences and asymmetries in hysteresis.

Our analysis uses OECD estimates of the natural rate that are likely to contain considerable measurement error. We show that our results are robust to this problem if the estimates are optimal given the information available when they are made. We cannot, however, rule out the possibility that some deviation from optimality causes bias in our estimates of hysteresis. Future work could examine this possibility and also consider alternative approaches to measuring the natural rate.

APPENDIX: ALTERNATIVE IDENTIFYING ASSUMPTIONS

Our main analysis identifies the responses of u and u^* to shocks by excluding contemporaneous Δu from the equation for Δu^* . Here we consider the robustness of our results with different identifying restrictions.

We start with an error-correction model that allows both Δu and Δu^* to affect each other contemporaneously:

$$(A1) \quad \Delta u^*_t = \beta_0(\Delta u)_t + \beta_1(\Delta u^*)_{t-1} + \beta_2(\Delta u)_{t-1} + \beta_3(u_{t-1} - u^*_{t-1}) + \eta_t;$$

$$(A2) \quad \Delta u_t = \gamma_0(\Delta u^*)_t + \gamma_1(\Delta u^*)_{t-1} + \gamma_2(\Delta u)_{t-1} + \gamma_3(u_{t-1} - u^*_{t-1}) + \varepsilon_t.$$

Our main analysis assumes that β_0 , the coefficient on Δu in the Δu^* equation, is zero. A natural alternative is to leave β_0 unconstrained and achieve identification by setting γ_0 , the coefficient on Δu^* in the Δu equation, to zero. Table A1 reports estimates of our model with $\gamma_0=0$, and Figure A1 shows the implied responses to a Δu shock. The results are qualitatively similar to those for our baseline specification, but the degree of hysteresis, 0.22, is somewhat larger than our baseline estimate of 0.16.

It makes sense that the estimated degree of hysteresis is larger for this specification. The assumption that $\gamma_0=0$ means that co-movements of Δu and Δu^* are ascribed to an effect of u on u^* —a hysteresis effect—whereas the baseline assumption of $\beta_0=0$ implies the opposite.

To find evidence of hysteresis, we do not need to impose either $\beta_0=0$ or $\gamma_0=0$. Instead, following Faust (1998) and Uhlig (2017), we can partially identify our model with weak sign restrictions. Specifically, we assume that both β_0 and γ_0 are non-negative: an increase in actual unemployment does not decrease the natural rate, and an increase in the natural rate does not decrease actual unemployment. To see what these restrictions imply, we estimate our model for a range of assumed values of $\beta_0 \geq 0$ and for a range of assumed $\gamma_0 \geq 0$. Choosing either one of these parameters identifies

the model and allows us to estimate the responses to shocks.¹⁰

When we estimate the model for different values of $\beta_0 \geq 0$, we find that the degree of hysteresis h is smallest for $\beta_0=0$, in which case the model reduces to our baseline specification (2)-(3). Therefore, the estimate of h for that specification, 0.16, is a lower bound on h implied by $\beta_0 \geq 0$. When we impose different values of $\gamma_0 \geq 0$, we find that h is largest for $\gamma_0=0$, which is the specification in Table A1. The estimate of h for that specification, 0.22, is an upper bound on h implied by $\gamma_0 \geq 0$. Combining the lower and upper bounds, we conclude that our sign restrictions imply a degree of hysteresis in the range $[0.16, 0.22]$.

¹⁰ If we set β_0 at a value β_0' , we can define $X_t = \Delta u^*_t - \beta_0'(\Delta u)_t$ and rearrange equations (A1) and (A2) to obtain a recursive system in X and Δu . We estimate this system by GLS and use the coefficients to derive the β s and γ s in (A1) and (A2). We use a similar procedure when we set a value for γ_0 .

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Table 1
Error-correction model for u and u^* , baseline specification

	(2) Δu^*	(3) Δu
Δu^*		0.536 (0.062)
$\Delta u^*(-1)$	-0.063 (0.045)	0.038 (0.059)
$\Delta u(-1)$	0.112 (0.028)	0.428 (0.048)
$u(-1) - u^*(-1)$	0.149 (0.018)	-0.215 (0.031)
Observations	436	436
RMSE	0.587	0.893

Equations estimated by GLS. Standard errors in parentheses.

Table 2
Averages of country-specific coefficients

	Δu^*	Δu
Δu^*		0.634 (0.085)
$\Delta u^*(-1)$	-0.089 (0.051)	0.027 (0.079)
$\Delta u(-1)$	0.048 (0.041)	0.421 (0.053)
$u(-1) - u^*(-1)$	0.216 (0.027)	-0.308 (0.041)

Country-specific coefficients estimated by GLS. Standard errors of average coefficients in parentheses.

Table 3
 Δu^* equation with asymmetries

	Δu^*
$\Delta u^*(-1)$ x pos. dummy	-0.071 (0.069)
$\Delta u^*(-1)$ x neg. dummy	-0.049 (0.071)
$\Delta u(-1)$ x pos. dummy	0.122 (0.041)
$\Delta u(-1)$ x neg. dummy	0.091 (0.049)
$(u(-1) - u^*(-1))$ x pos. dummy	0.117 (0.023)
$(u(-1) - u^*(-1))$ x neg. dummy	0.279 (0.046)
Observations	436
RMSE	0.579

Equation estimated by GLS. Standard errors in parentheses.

Table 4
Error-correction model with all regressors measured at t-1

	(6) Δu^*	(7) Δu
Δu^*		-0.638 (0.445)
$\Delta u^*(-1)$	0.106 (0.137)	0.599 (0.339)
$\Delta u(-1)$	0.120 (0.031)	0.606 (0.057)
$u(-1) - u^*(-1)$	0.136 (0.018)	-0.145 (0.031)
Observations	436	436
RMSE	0.586	0.953

Equations estimated by GLS. Standard errors in parentheses.

Table A1
Error-correction model for u and u^* , alternative identification

	Δu^*	Δu
Δu	0.201 (0.026)	
$\Delta u^*(-1)$	-0.058 (0.043)	-0.013 (0.063)
$\Delta u(-1)$	0.006 (0.030)	0.499 (0.051)
$u(-1) - u^*(-1)$	0.188 (0.018)	-0.119 (0.030)
Observations	436	436
RMSE	0.543	0.967

Equations estimated by GLS. Standard errors in parentheses.

Figure 1. u and u^* for selected countries (real-time OECD data)

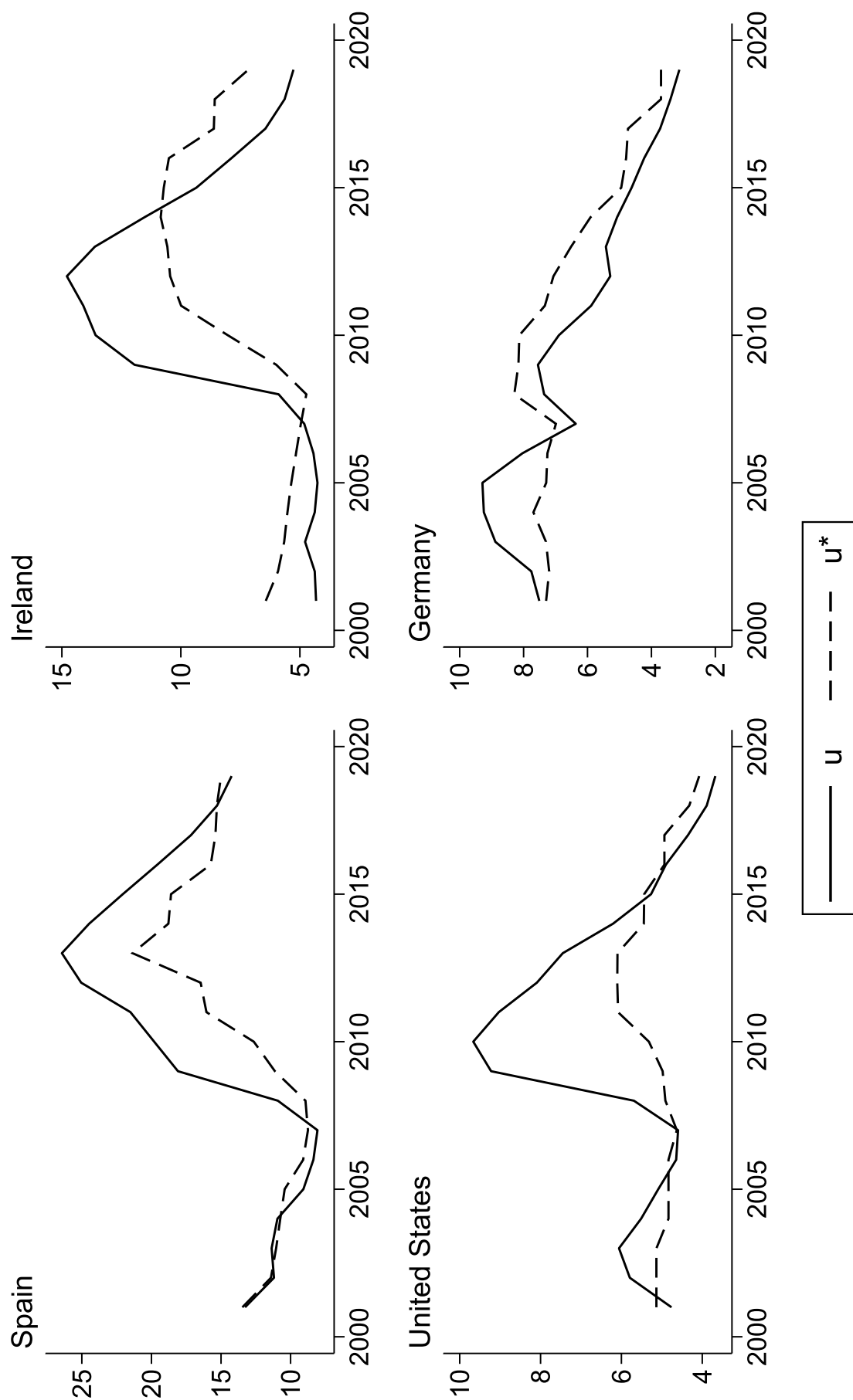
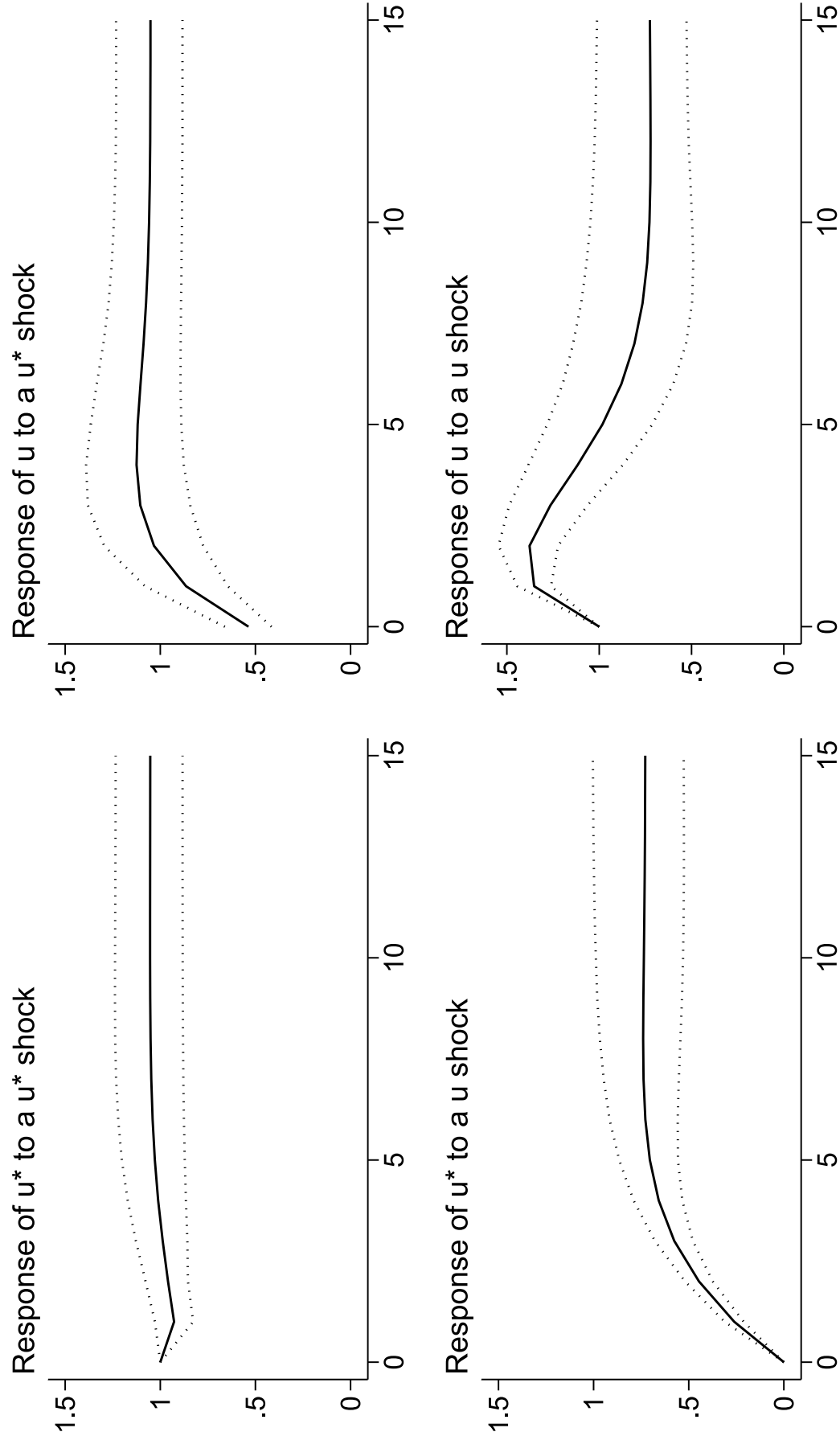
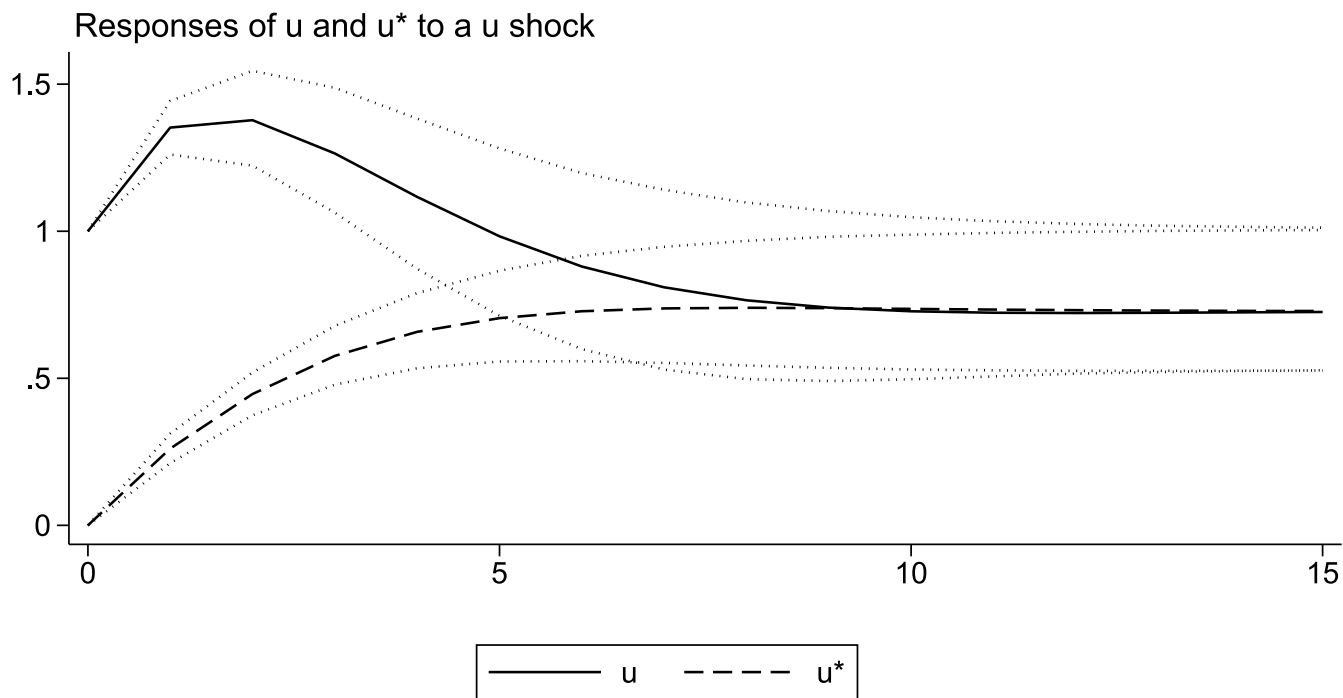


Figure 2. Impulse response functions, baseline specification



Dotted lines show 95% confidence intervals.

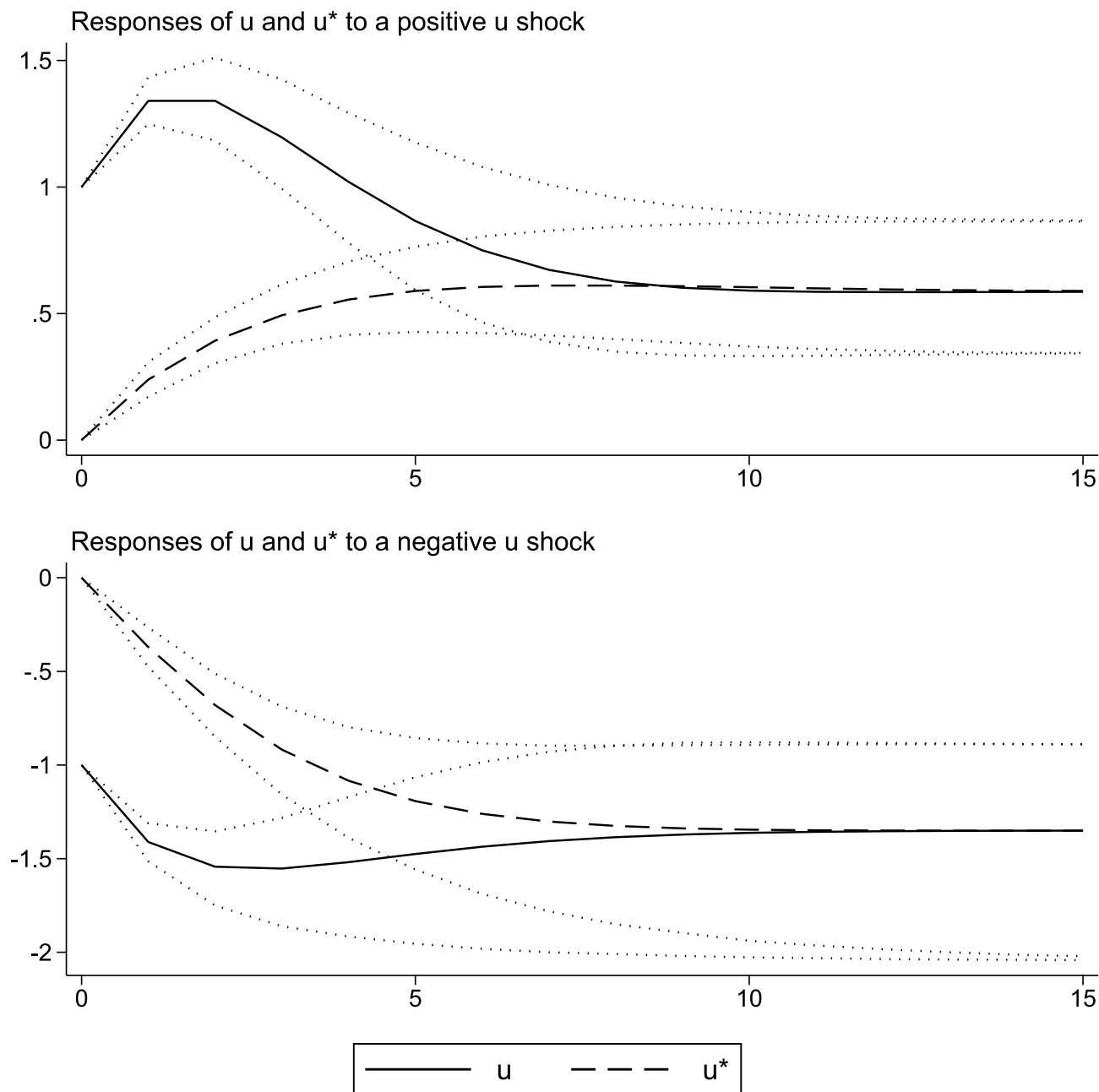
Figure 3. Measuring hysteresis, baseline specification



Dotted lines show 95% confidence intervals.

Degree of hysteresis = 0.157
(95% confidence interval = [0.124, 0.189])

Figure 4. Asymmetry in hysteresis

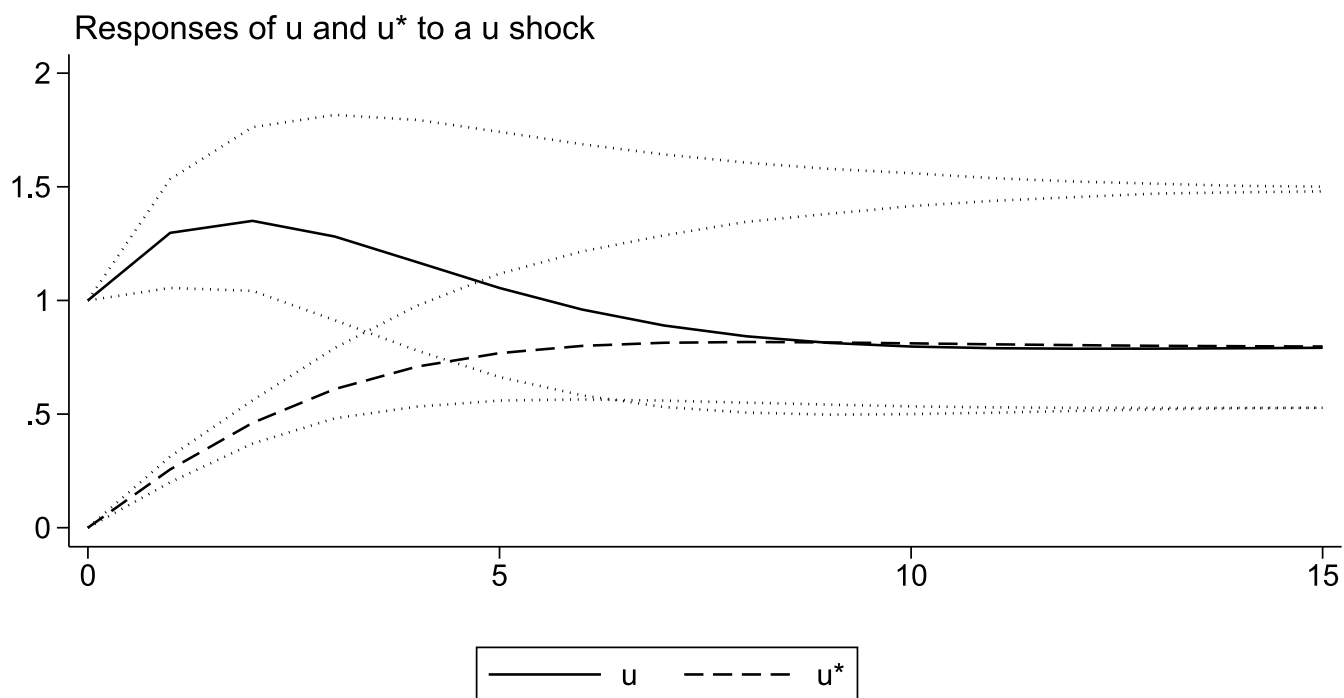


Dotted lines show 95% confidence intervals.

Positive shock: Degree of hysteresis = 0.126
(95% confidence interval = [0.081, 0.167])

Negative shock: Degree of hysteresis = 0.290
(95% confidence interval = [0.203, 0.385])

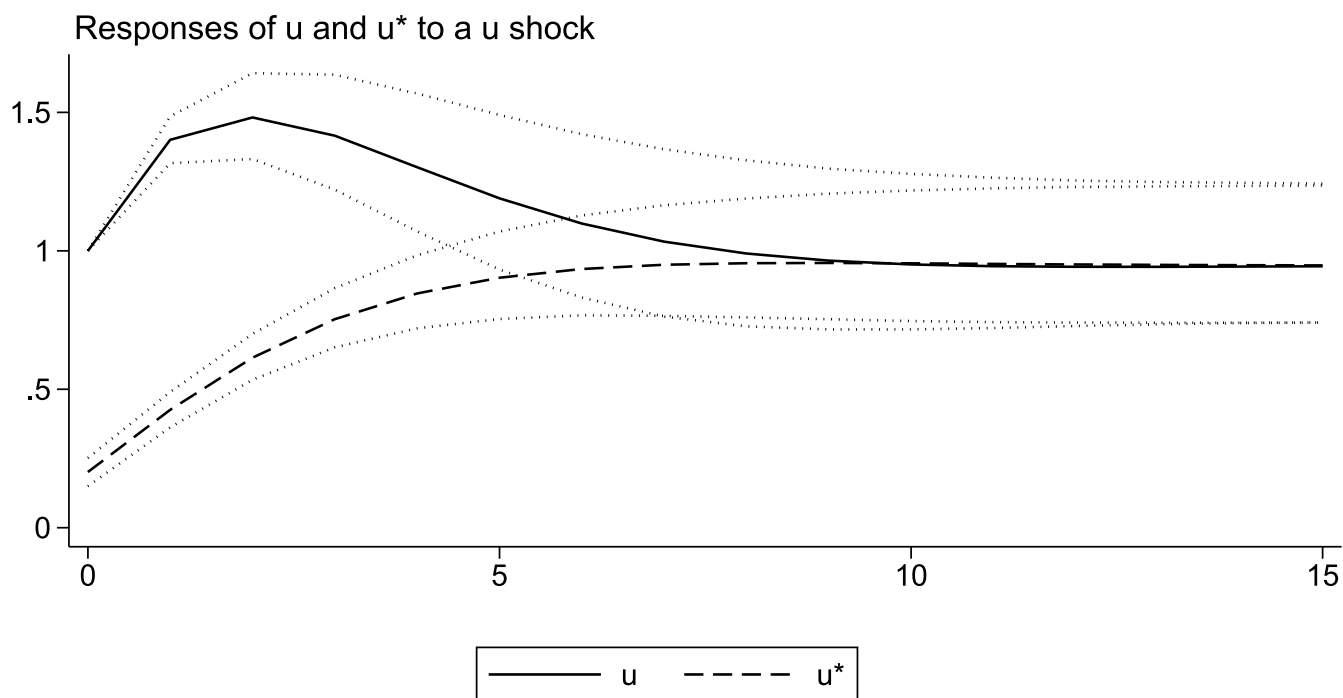
Figure 5. Hysteresis with all regressors measured at t-1



Dotted lines show 95% confidence intervals.

Degree of hysteresis = 0.176
(95% confidence interval = [0.128,0.254])

Figure A1. Measuring hysteresis, alternative identification



Dotted lines show 95% confidence intervals.

Degree of hysteresis = 0.220
(95% confidence interval = [0.181,0.261])

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Laurence Ball

Johns Hopkins University, Baltimore, United States; email: lball@jhu.edu

Joern Onken

University College London, London, United Kingdom; email: joern.onken.20@ucl.ac.uk

© European Central Bank, 2021

Postal address 60640 Frankfurt am Main, Germany

Telephone +49 69 1344 0

Website www.ecb.europa.eu

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MORNING REPORT

Today's economic developments and market movements.

Key themes

Risk sentiment improved after President Trump said there was a “good chance” of a deal with Iran as the fragile ceasefire in the Middle East continued overnight. The price of Brent crude fell almost 9% to around US\$88/bbl, the biggest one-day drop since mid-April.

This saw riskier assets rally, with equities outside of tech across the US and Europe generally higher. The tech sell-off continued overnight, with the Nasdaq continuing to underperform.

Bond markets rallied on the back of lower oil prices, with yields down across the US and Europe. In the US, 10-year yields have fallen around 5bps over the past two sessions. Markets continue to price in around a 38% chance of a hike when the Fed meets later this week.

The US dollar was broadly unchanged, while the Aussie was higher against the greenback and a number of crosses.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.6	0.3%
AUD/USD	0.6990	0.2%
AUD/JPY	114.45	0.1%
AUD/GBP	0.5259	0.4%
AUD/NZD	1.2106	0.3%
AUD/EUR	0.6147	0.1%
AUD/CNH	4.7289	0.0%
AUD/SGD	0.9025	0.1%
AUD/HKD	5.4823	0.1%
AUD/CAD	0.9872	0.7%
EUR/USD	1.1373	0.0%
USD/JPY	163.72	0.0%
USD Index	101.50	0.0%

Equities	Close	Change
S&P/ASX 200	8,894	1.4%
S&P 500	7,413	0.0%
Japan Nikkei	64,931	0.5%
Hang Seng	25,207	1.0%
Euro Stoxx 50	6,282	0.0%
UK FTSE100	10,782	0.4%
VIX Index	18.67	0.5%

Commodities	Current	Change
CRB Index	383.49	-3.1%
Gold	4076.68	0.6%
Copper	13732	0.6%
Oil (WTI futures)	82.61	-7.5%
Coal (coking)	222.83	0.8%
Coal (thermal)	134.50	-2.4%
Iron Ore	97.95	-0.3%
ACCU	36.13	-4.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.40	0.00
90 day BBSY	4.59	0.00
180 day BBSY	4.93	0.00
1 year swap	4.67	-0.01
2 year swap	4.66	-0.02
3 year swap	4.63	-0.03
4 year swap	4.63	-0.03
5 year swap	4.66	-0.03
6 year swap	4.70	-0.03
7 year swap	4.74	-0.03
8 year swap	4.79	-0.02
9 year swap	4.84	-0.02
10 year swap	4.88	-0.02

Government Bond Yields	Close	Change
Australia		
3 year bond	4.62	-0.10
10 year bond	5.00	-0.09
United States		
3-month T Bill	3.80	-0.01
2 year bond	4.32	-0.01
10 year bond	4.65	-0.03
Other (10 year yields)		
Germany	3.13	-0.04
Japan	2.79	-0.03
UK	5.00	-0.04

Sydney Futures Exchange	Current	Change
10 yr bond	5.05	0.02
3 yr bond	4.65	0.03
3 mth bill rate	4.47	0.00
SPI 200	8,821	-0.2%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



Pat Bustamante
Senior Economist, Westpac Group
P: +61 468 571 786
E: pat.bustamante@westpac.com.au

Financial Markets

- Risk sentiment improved after President Trump said there was a “good chance” of a deal with Iran as the fragile ceasefire in the Middle East continued overnight. Reports from the region also suggested Iranian and Omani officials were working to restart shipping through the Strait of Hormuz. Easing concerns about supply disruptions saw oil prices tumble, with Brent crude falling almost 9% to around US\$88/bbl, the biggest one-day drop since mid-April.
- US equity markets were mixed. The S&P 500 finished broadly unchanged, while the Dow Jones Industrial Average increased 0.5% on the day. The tech-related sell-off continued, with chipmakers falling for a third consecutive session, which saw the Nasdaq continue to underperform, falling 0.2%. Volatility edged slightly higher, with the VIX Index rising 0.5% to 18.67.
- European equities were also mixed, with the Euro Stoxx 50 little changed, the German DAX up almost 1.1% on the back of stronger-than-expected economic data, and the FTSE 100 up 0.4%. In Asia, markets strengthened, with the Nikkei rising 0.5% and the Hang Seng gaining 1.0%. Locally, the S&P/ASX 200 rose 1.4% to 8,894. However, SPI futures were down 0.2%, pointing to a softer open for the Australian market.
- Bond markets rallied as the sharp fall in oil prices eased inflation concerns and, therefore, the need for further tightening in the months ahead. In the US, the 2-year Treasury yield fell 1bp to 4.32%, while the 10-year Treasury yield declined 3bps to 4.65%. Traders are now pricing in roughly a 38% chance of a rate hike at this week's Federal Reserve meeting, up from just 13% a week ago. European bond yields also moved lower, with German 10-year Bund yields falling 4bps to 3.13% and UK 10-year gilt yields declining 4bps to 5.00%. Japanese 10-year government bond yields fell 3bps to 2.79%.
- Australian bond yields moved lower across the curve. The 3-year government bond yield fell 10bps to 4.62%, while the 10-year yield declined 9bps to 5.0%. In futures markets, however, yields rose modestly, with the 3-year and 10-year futures yields up 3bps and 2bps to 4.65% and 5.05%, respectively. OIS pricing suggests a terminal cash rate of around 4.60% this year, with the market pricing in one more hike by December this year.
- In foreign exchange markets, the US dollar index was broadly unchanged at 101.50. The Australian dollar strengthened, rising 0.2% against the US dollar to US\$0.6990. The Aussie also gained against most major currencies, including the Canadian dollar (+0.7%), pound sterling (+0.4%), New Zealand dollar (+0.3%), euro (+0.1%), Japanese yen (+0.1%),

Today's key data and events

Time	Event	Exp	Prev
22:30	US Wholesale Inventories Jun Prel.	0.5%	0.1%
23:00	US FHFA House Prices May	0.1%	-0.1%
23:00	US S&P/CS Home Price Index May	0.0%	0.0%
0:00	US Richmond Fed Manufacturing Jul	6pts	4pts
0:00	US Consumer Confidence Jul	92pts	91.2pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

Singapore dollar (+0.1%), and Hong Kong dollar (+0.1%). The trade-weighted index rose 0.3% to 65.6.

- Commodity markets were generally weaker. The CRB commodity index fell 3.1%, reflecting broad-based declines across energy and carbon markets. WTI crude oil dropped 7.5% to US\$82.61/bbl as concerns over Middle East supply disruptions eased. Iron ore slipped 0.3% to US\$97.95/t, while thermal coal fell 2.4%. Carbon prices were also weaker, with ACCUs down 4.3%. Offsetting some of the weakness, coking coal rose 0.8%, copper gained 0.6%, and gold added 0.6%.

International Data

After large swings over the prior two months, **US durable goods** orders rose only 0.3%*mt* in June, falling short of expectations for a 1.8%*mt* gain. Excluding transportation – a category that typically drives much of the volatility – the underlying picture was firmer, with orders up 0.6%*mt*. Core orders – capital goods excluding defence and aircraft – were stronger still, rising 0.9%*mt*, led by categories linked to the AI investment boom.

The **Dallas Fed Manufacturing Activity** Survey of Texas business executives reported an improvement in business conditions this month. The headline index edged up from zero to 1.3pts, its highest level in eighteen months. Production and new orders made notable gains, while input cost inflation remained elevated, albeit slightly lower than in the prior month.

Chinese industrial profits maintained a strong pace in June, with year-to-date growth at 18.7% – little changed from the prior two months and well above the near-zero growth recorded in 2025. However, the data continued to highlight large divergences across sectors. Manufacturing profits rose 20.1%*yr* YTD, but consumer-driven sectors – including car, furniture and apparel manufacturers – saw profitability contract rapidly.

The **German Ifo Business Climate Survey** suggested that business sentiment in the euro area's largest economy continues to recover gradually. The headline index rose by almost 1pt this month to 86.6 – around 2pts above its April trough, but still about 2pts below its February level, before the Middle East war broke out.

Local Data

There was no top tier data released yesterday.



Corporate Directory

Westpac Economics / Australia

Sydney

Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis

Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan

Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke

Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner

Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk

Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante

Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas

Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells

Economist
E: ryan.wells@westpac.com.au

Illiana Jain

Economist
E: illiana.jain@westpac.com.au

Neha Sharma

Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic

Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland

Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold

Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon

Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs

Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod

Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark

Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva

1 Thomson Street
Suva, Fiji

Shamal Chand

Senior Economist
E: shamal.chand@westpac.com.au



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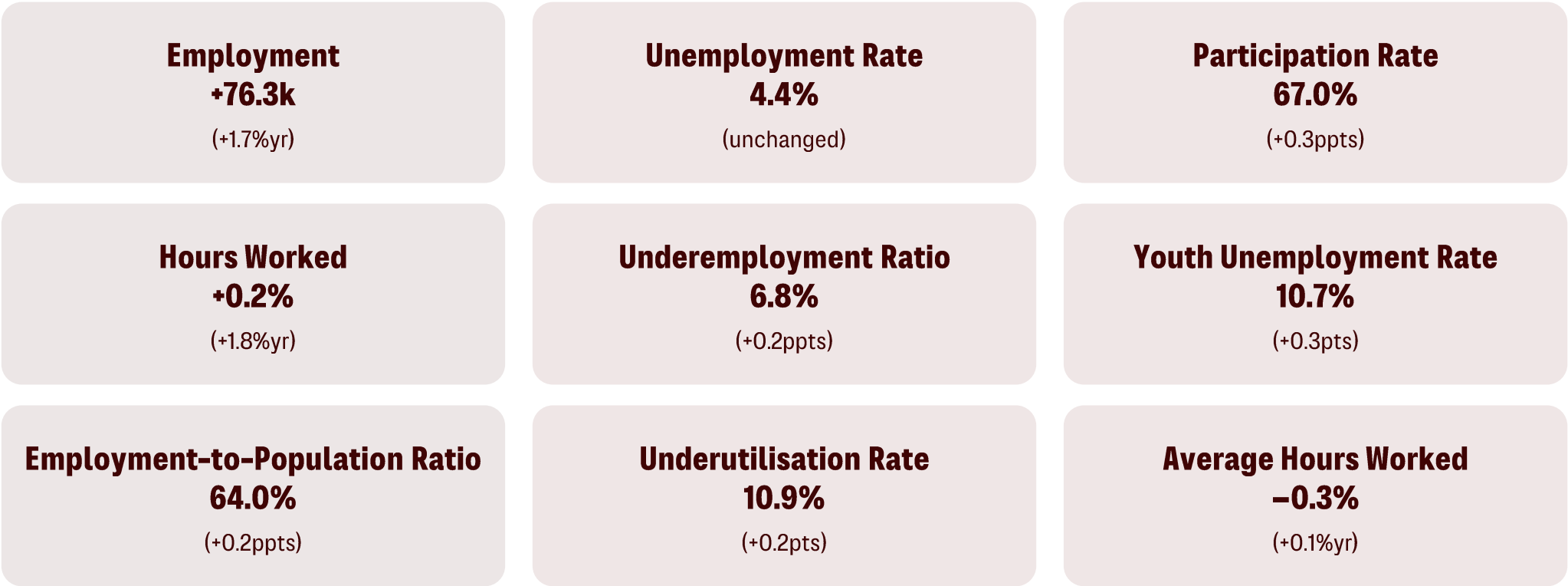
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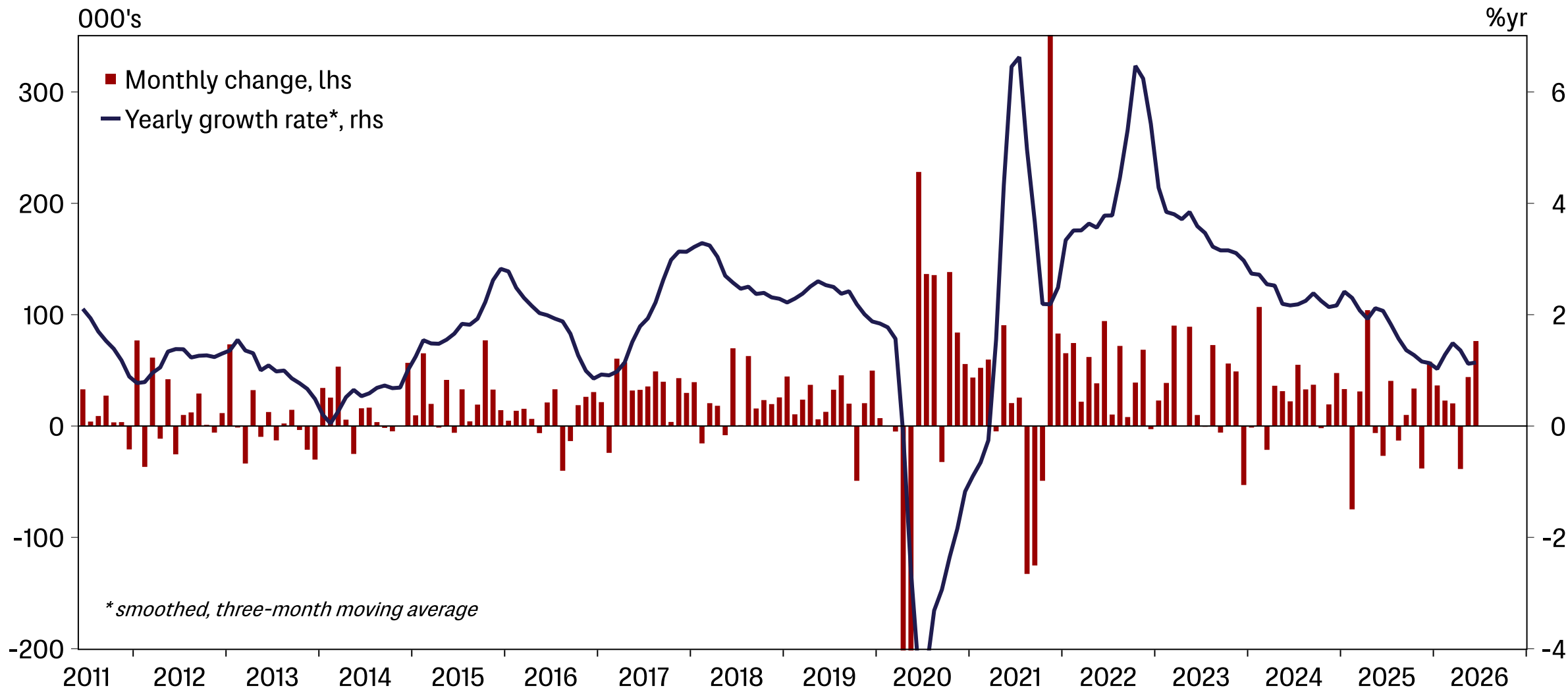
June 2026 Labour Force Survey

Westpac Economics

Key results



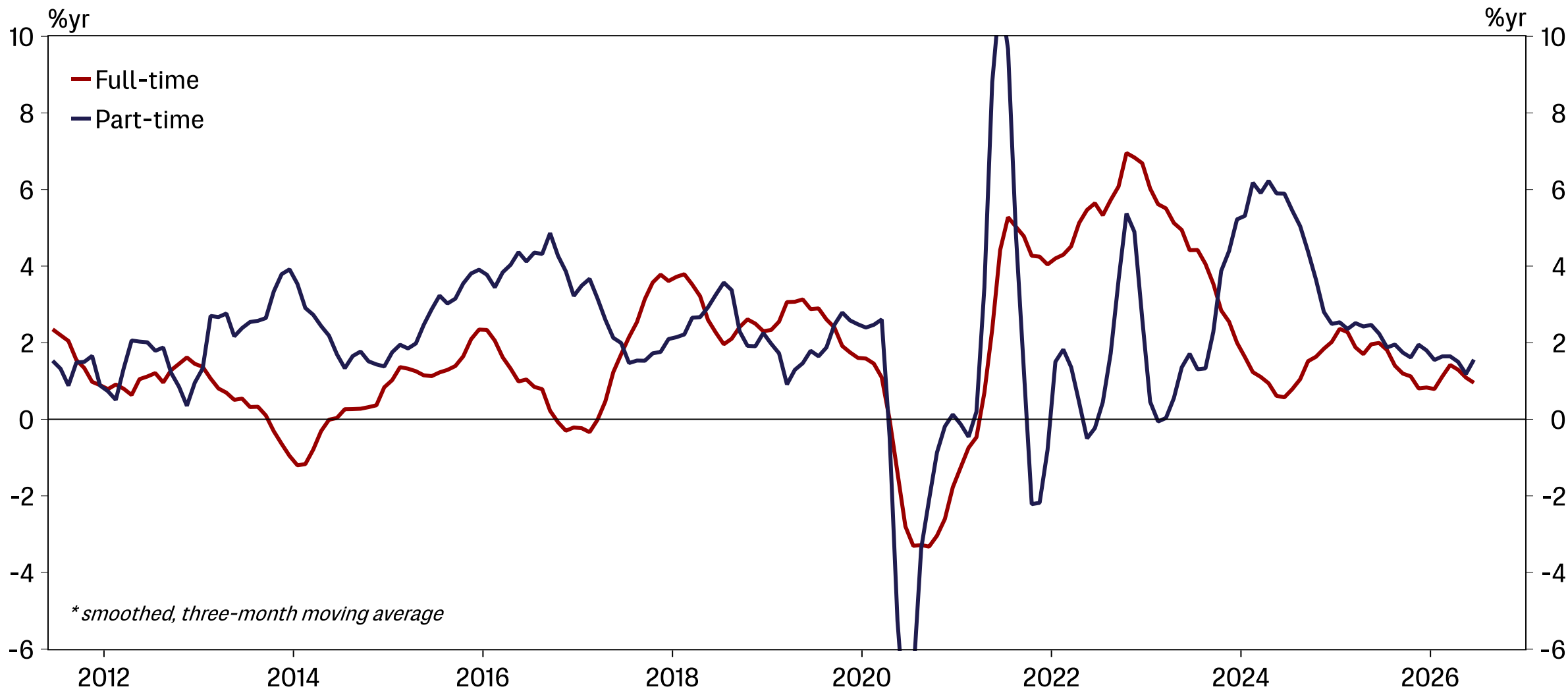
Employment growth



Source: ABS, Macrobond, Westpac Economics

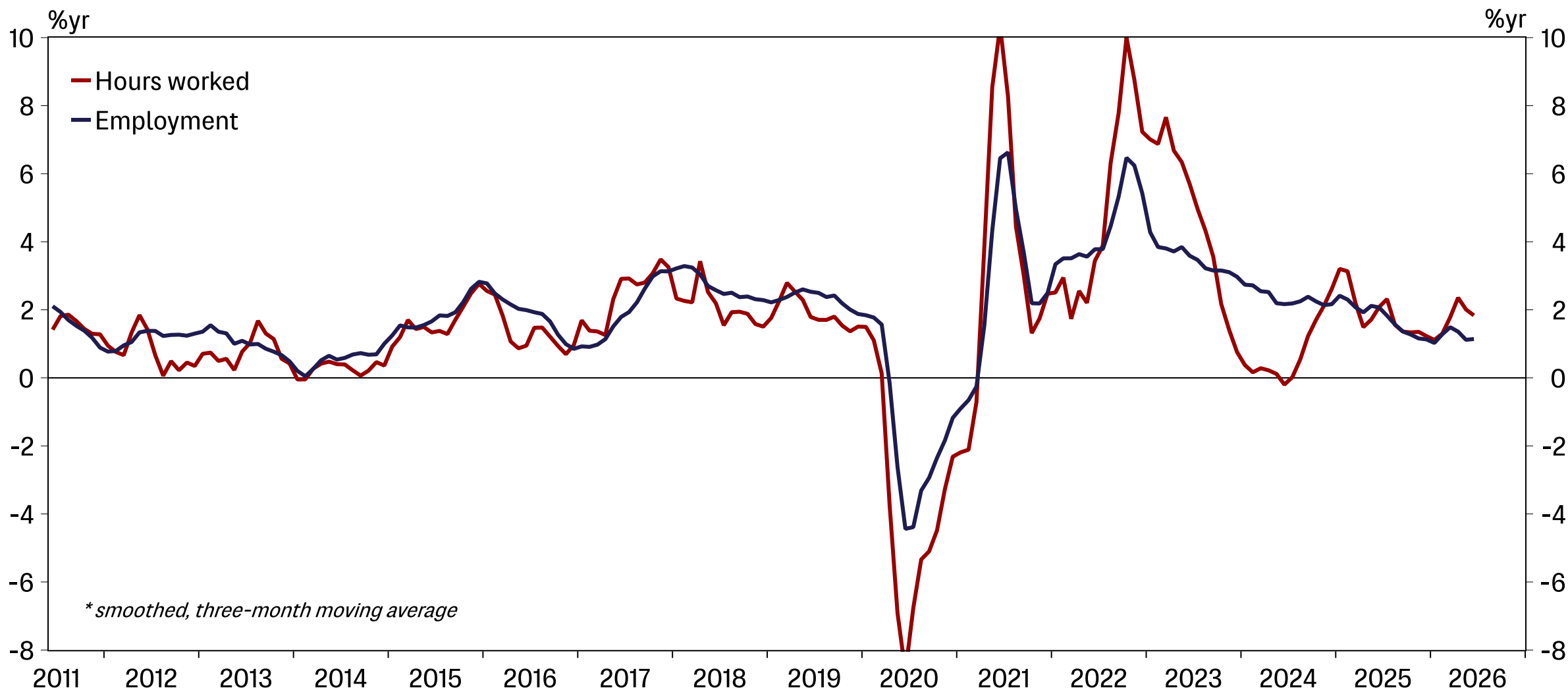


Employment: full-time and part-time



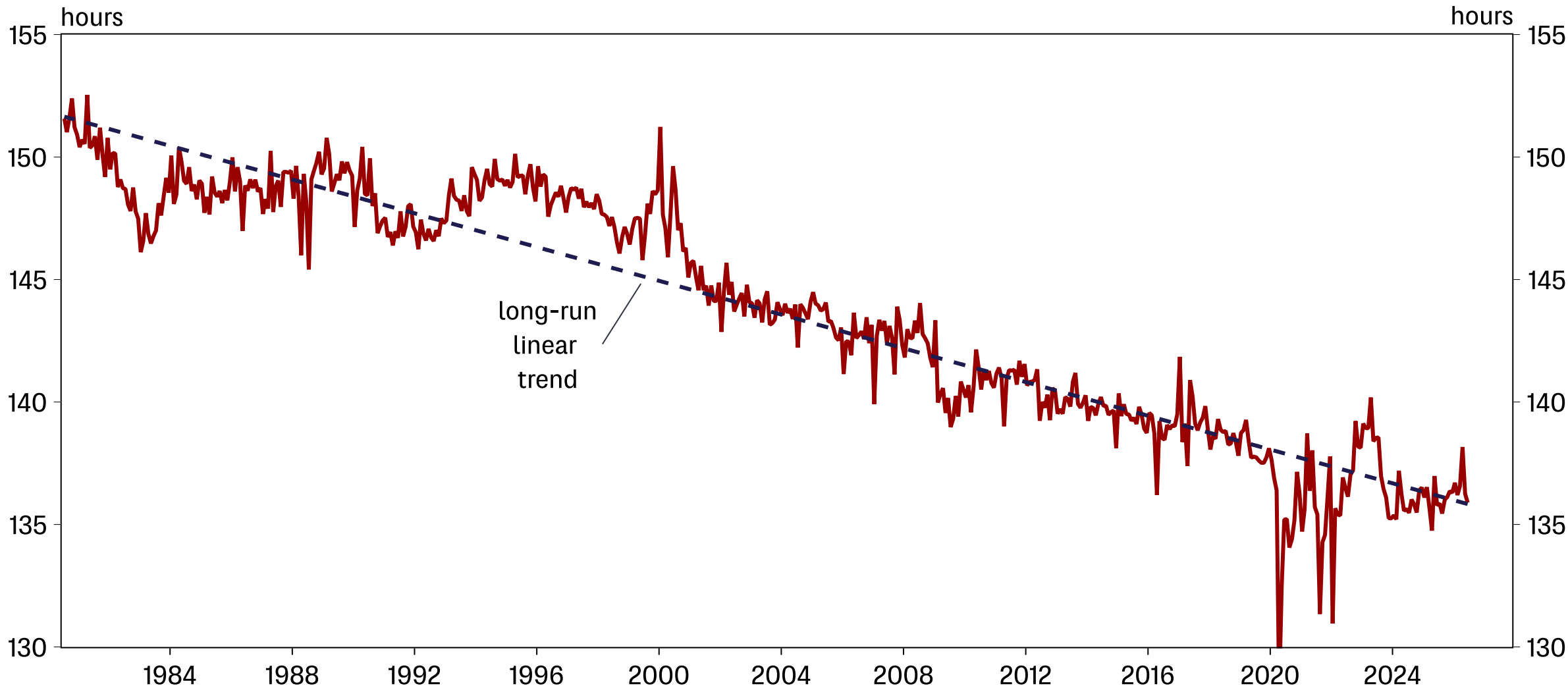
Source: ABS, Macrobond, Westpac Economics 

Employment vs. hours worked



Source: ABS, Macrobond, Westpac Economics 

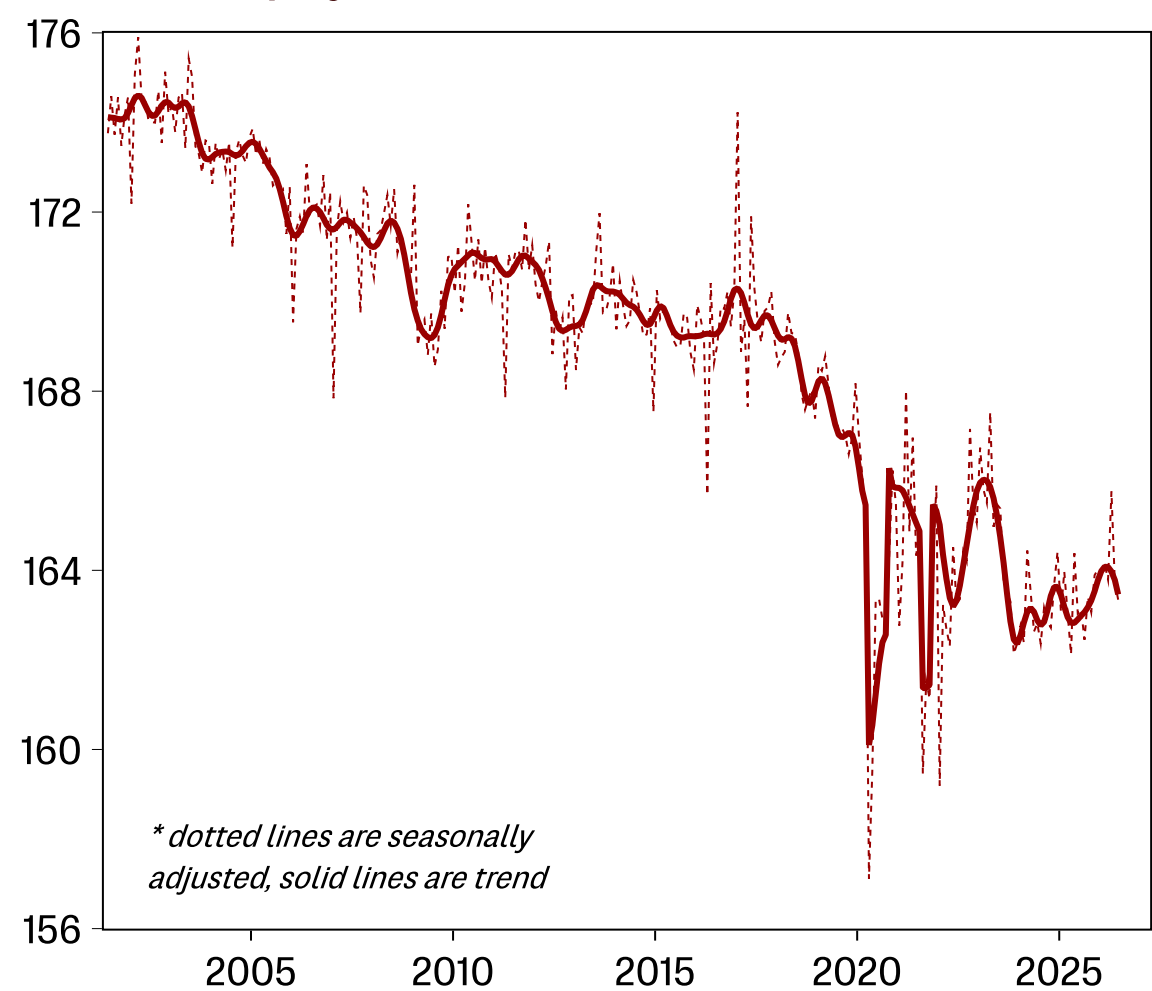
Average monthly hours worked



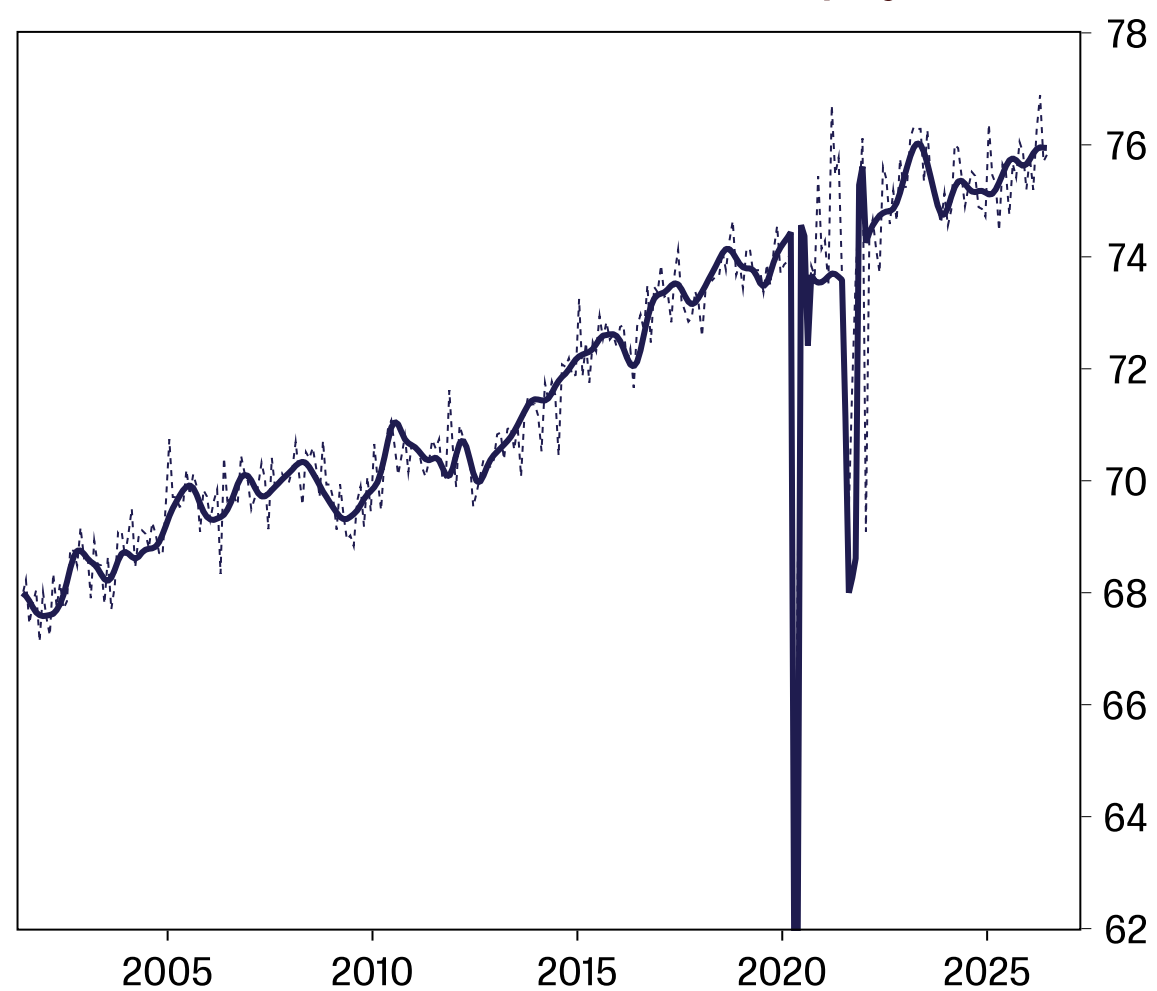
Source: ABS, Macrobond, Westpac Economics 

Average monthly hours worked: full-time and part-time

Full-Time Employment (hours)

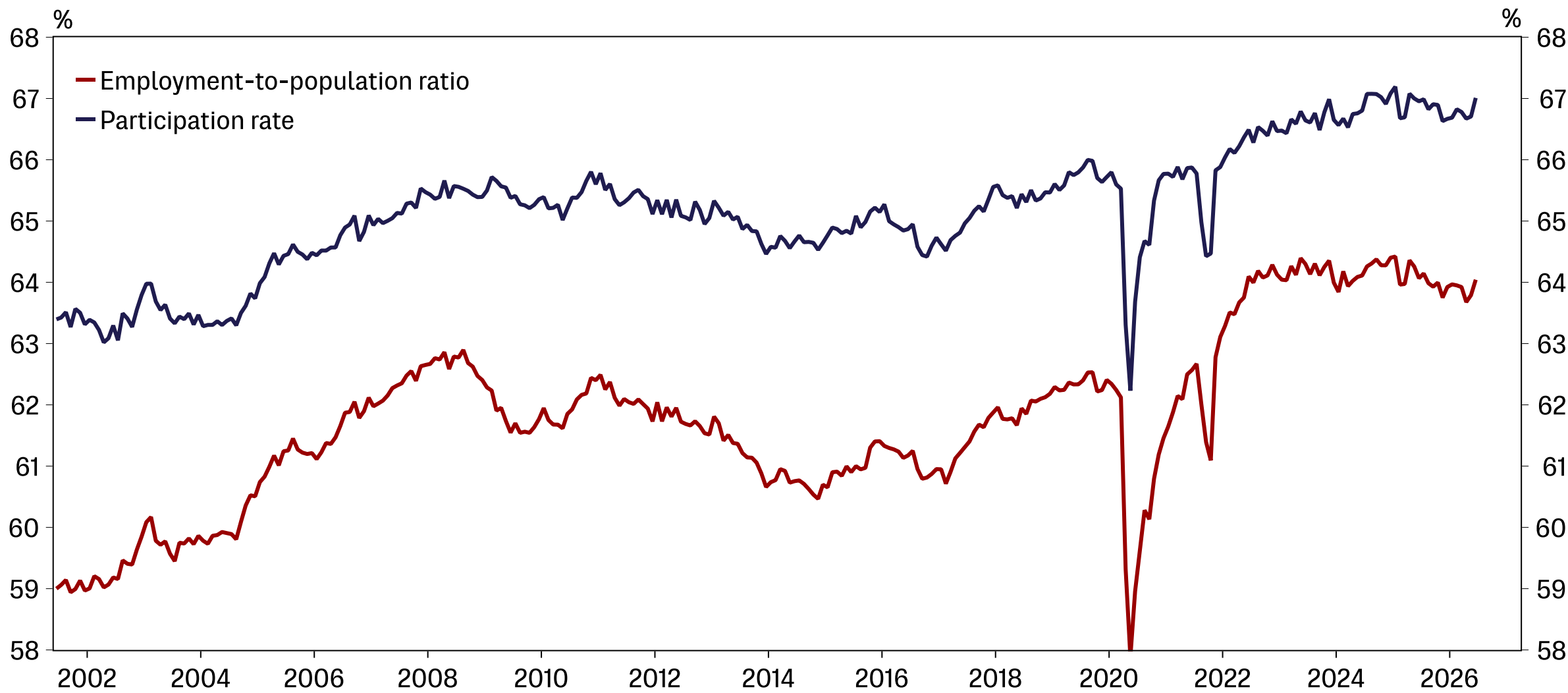


Part-Time Employment (hours)



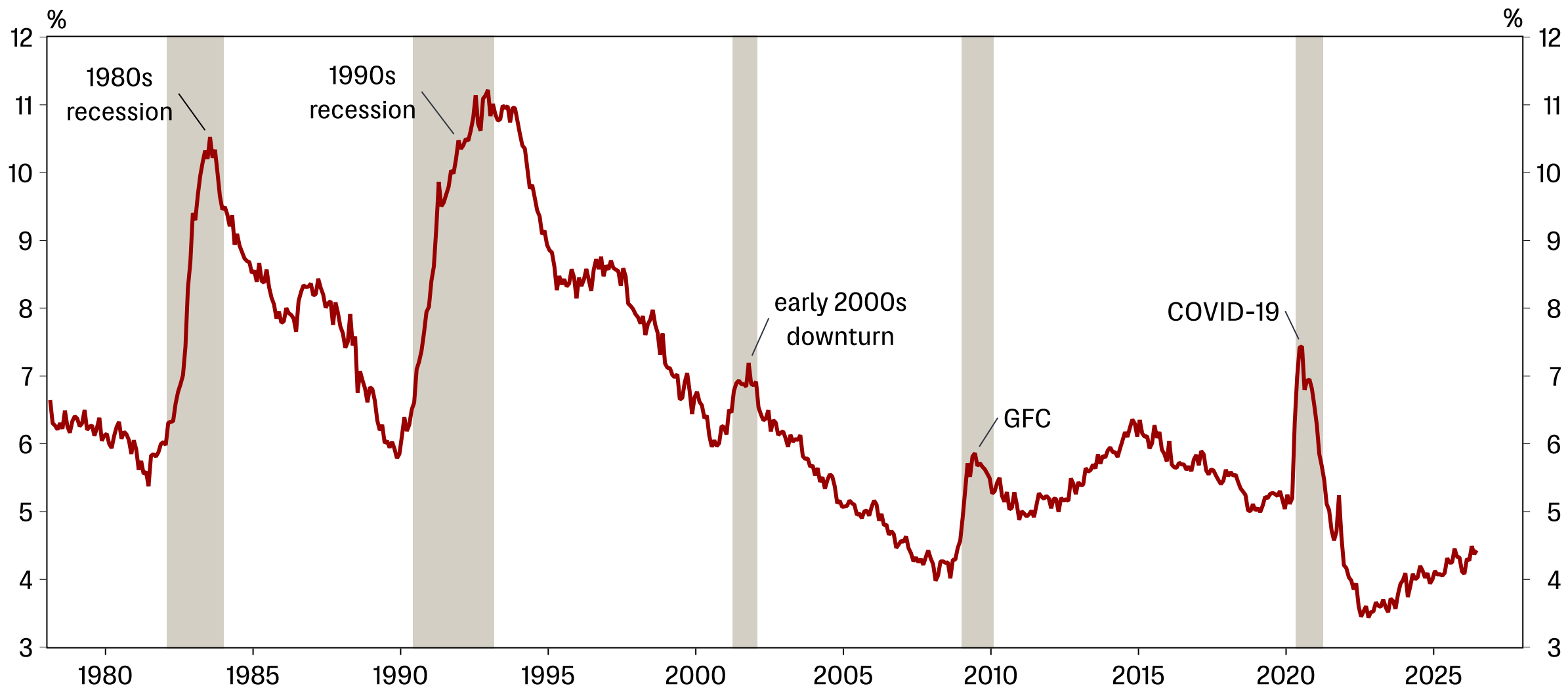
Source: ABS, Macrobond, Westpac Economics 

Employment-to-population ratio and participation rate



Source: ABS, Macrobond, Westpac Economics 

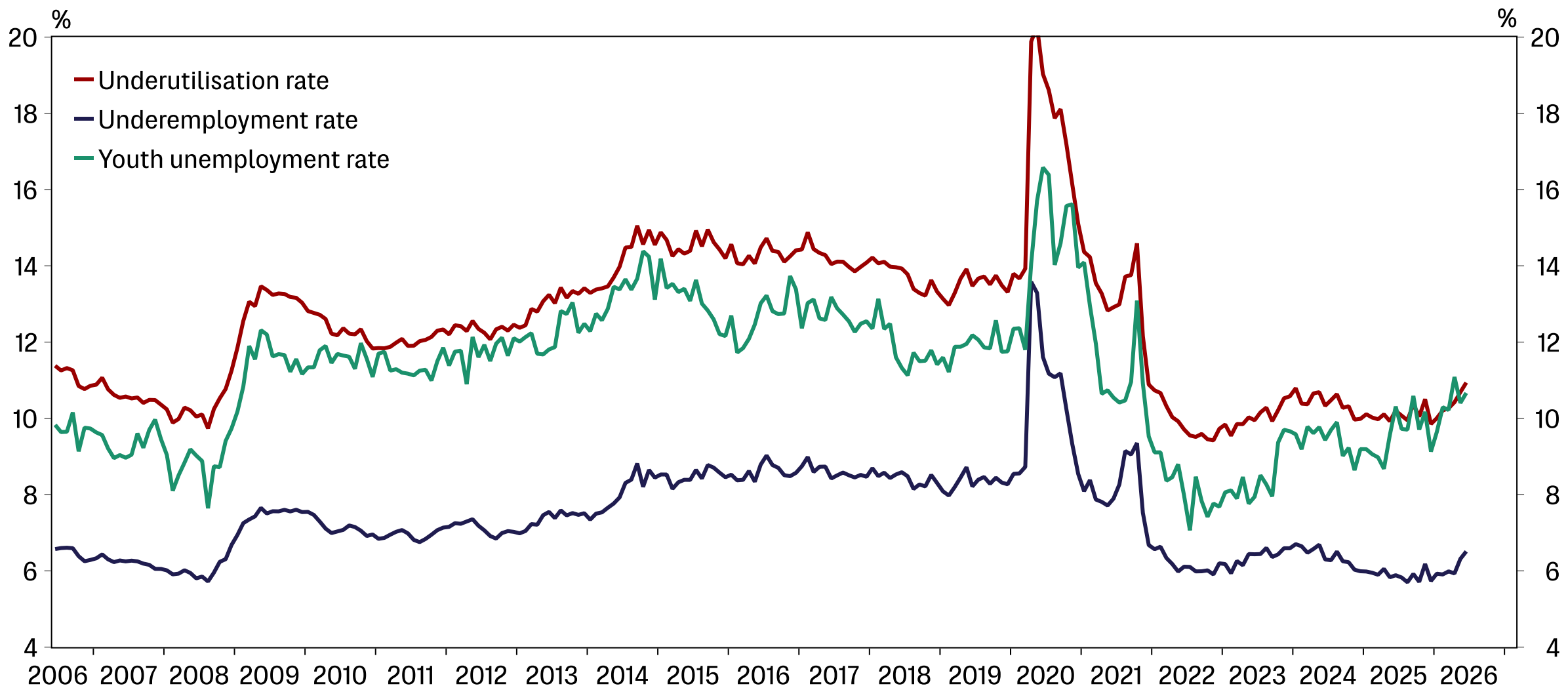
Unemployment rate



Source: ABS, Macrobond, Westpac Economics



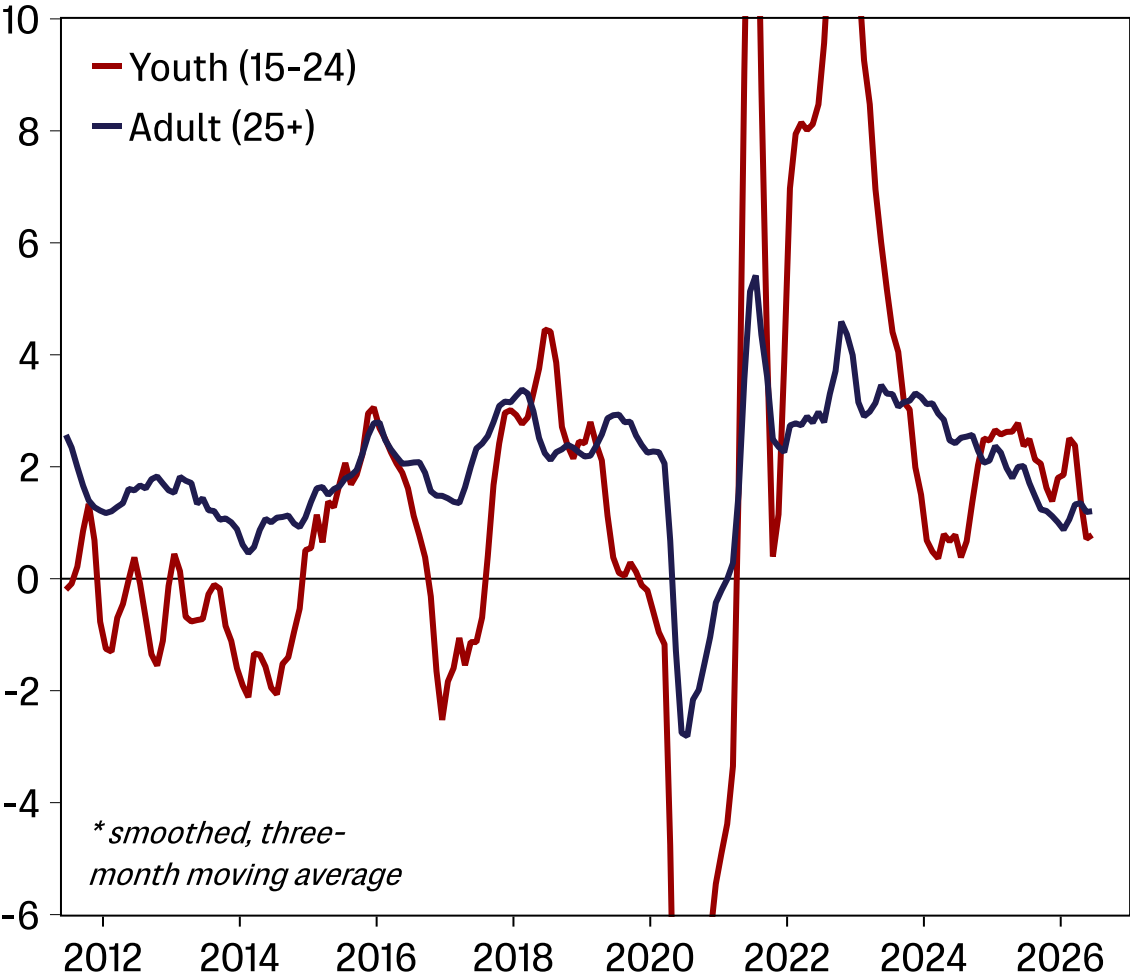
Other measures of labour market slack



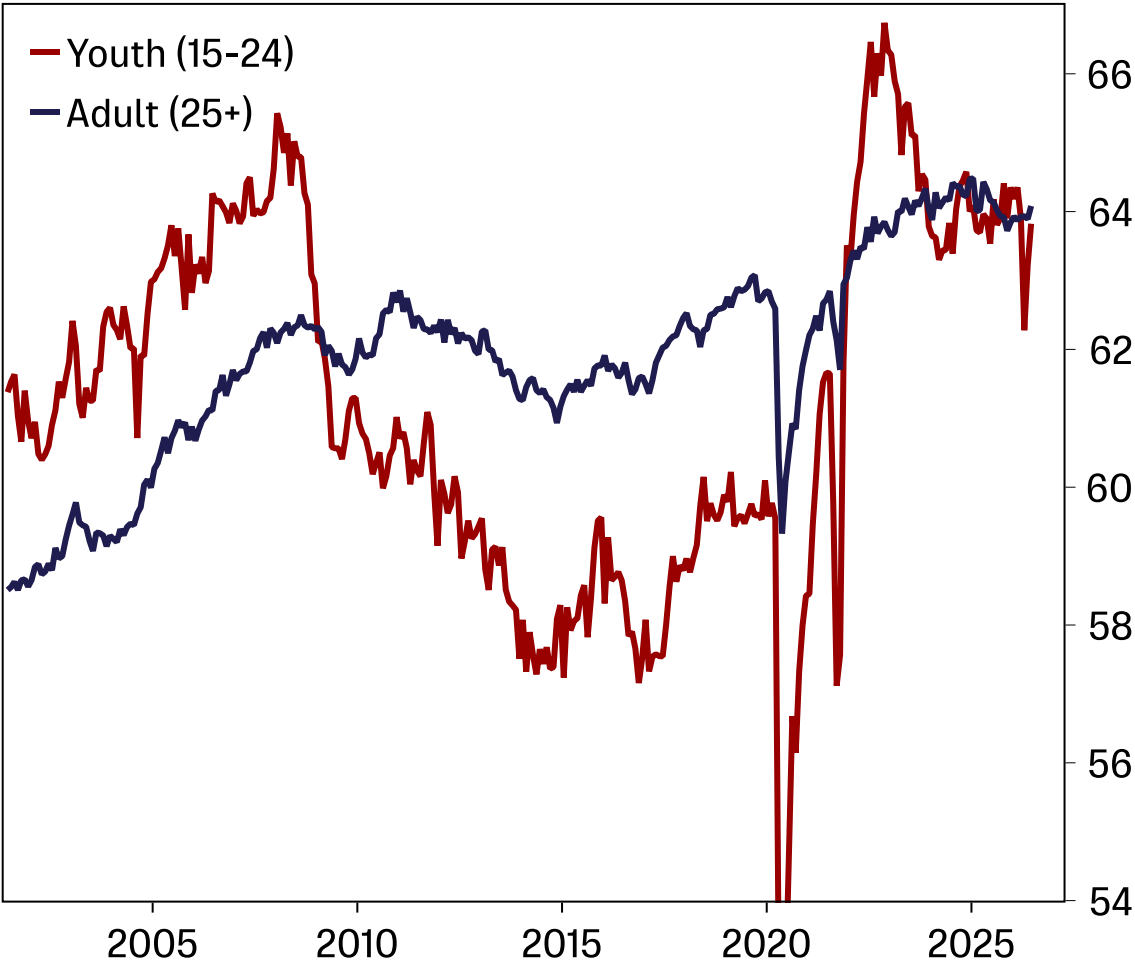
Source: ABS, Macrobond, Westpac Economics 

Trends by age

Employment Growth (%yr)



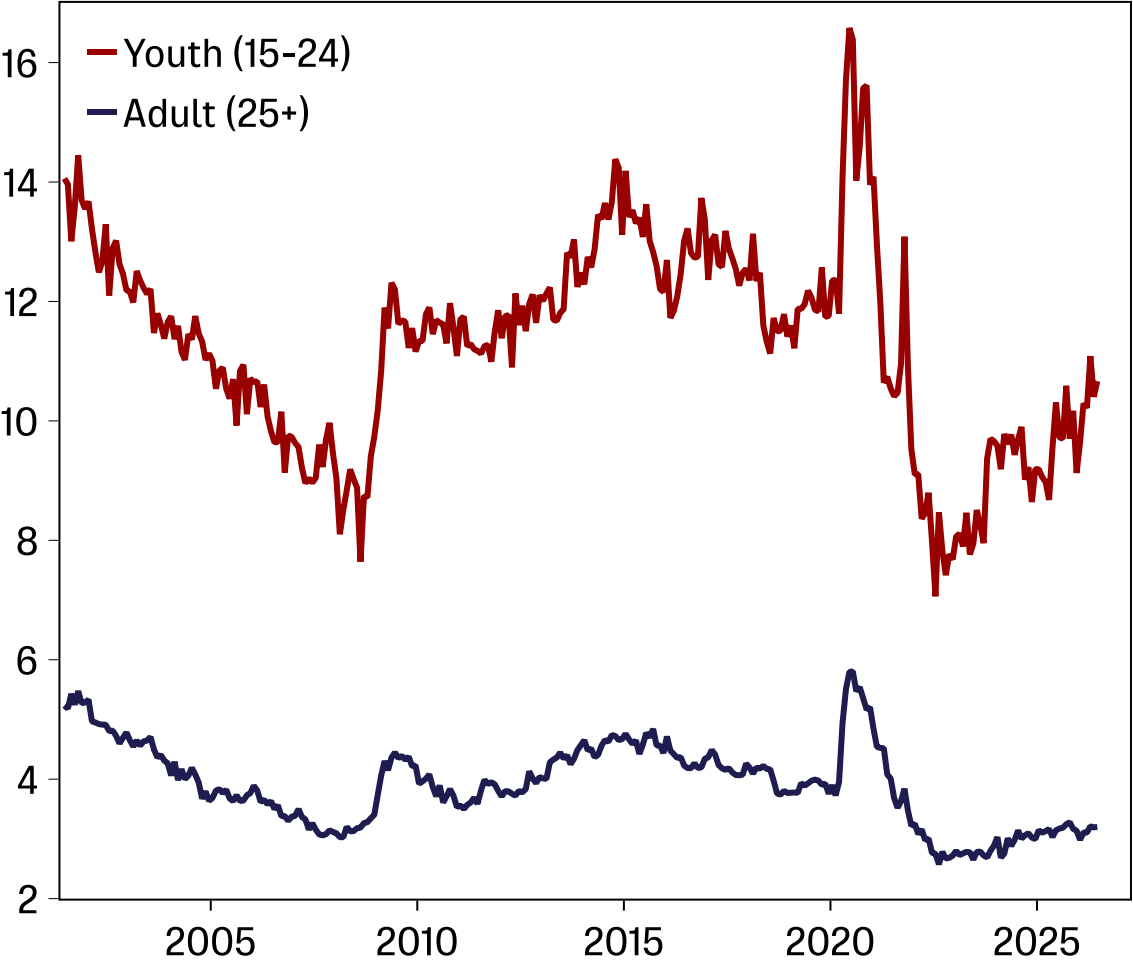
Employment-to-Population Ratio (%)



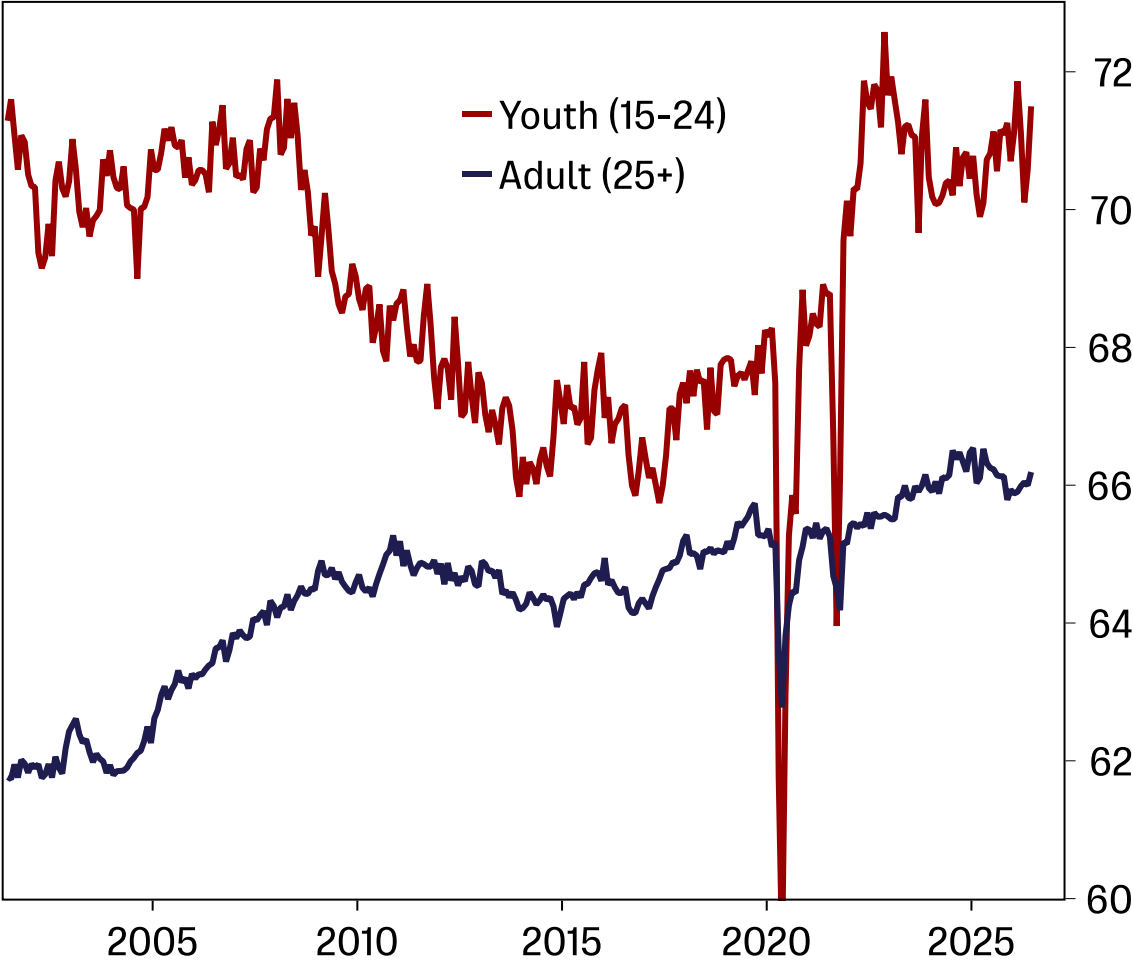
Source: ABS, Macrobond, Westpac Economics 

Trends by age

Unemployment Rate (%)



Participation Rate (%)

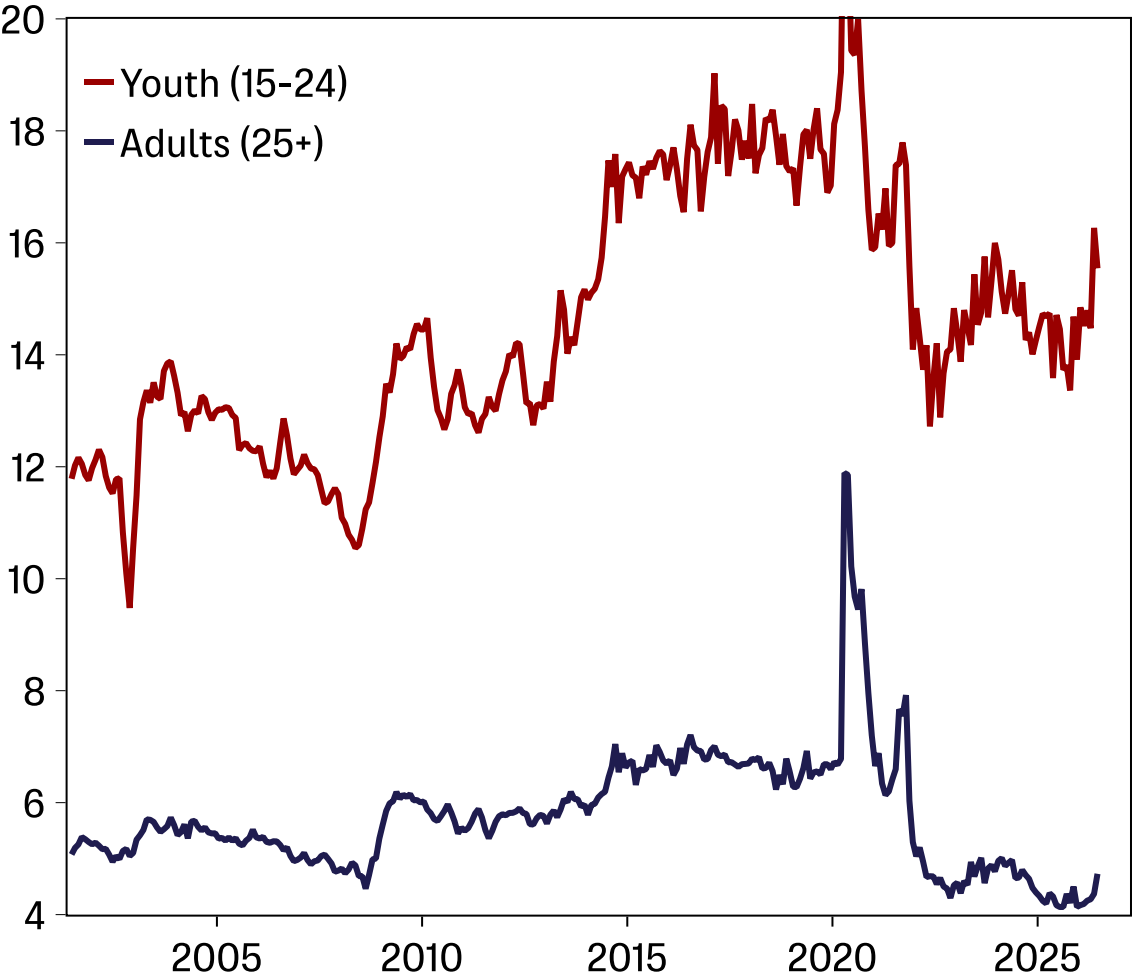


Source: ABS, Macrobond, Westpac Economics

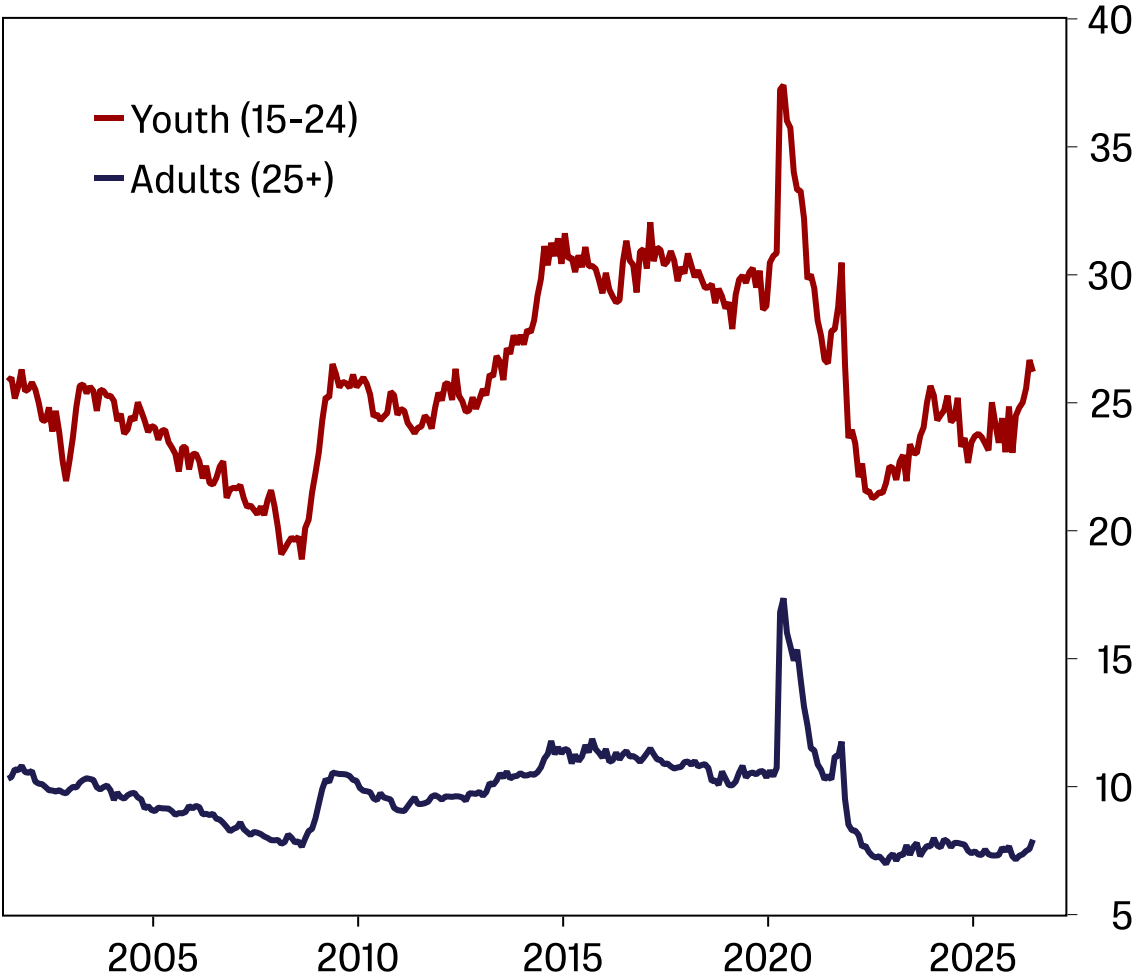


Trends by age

Underemployment Rate (%)



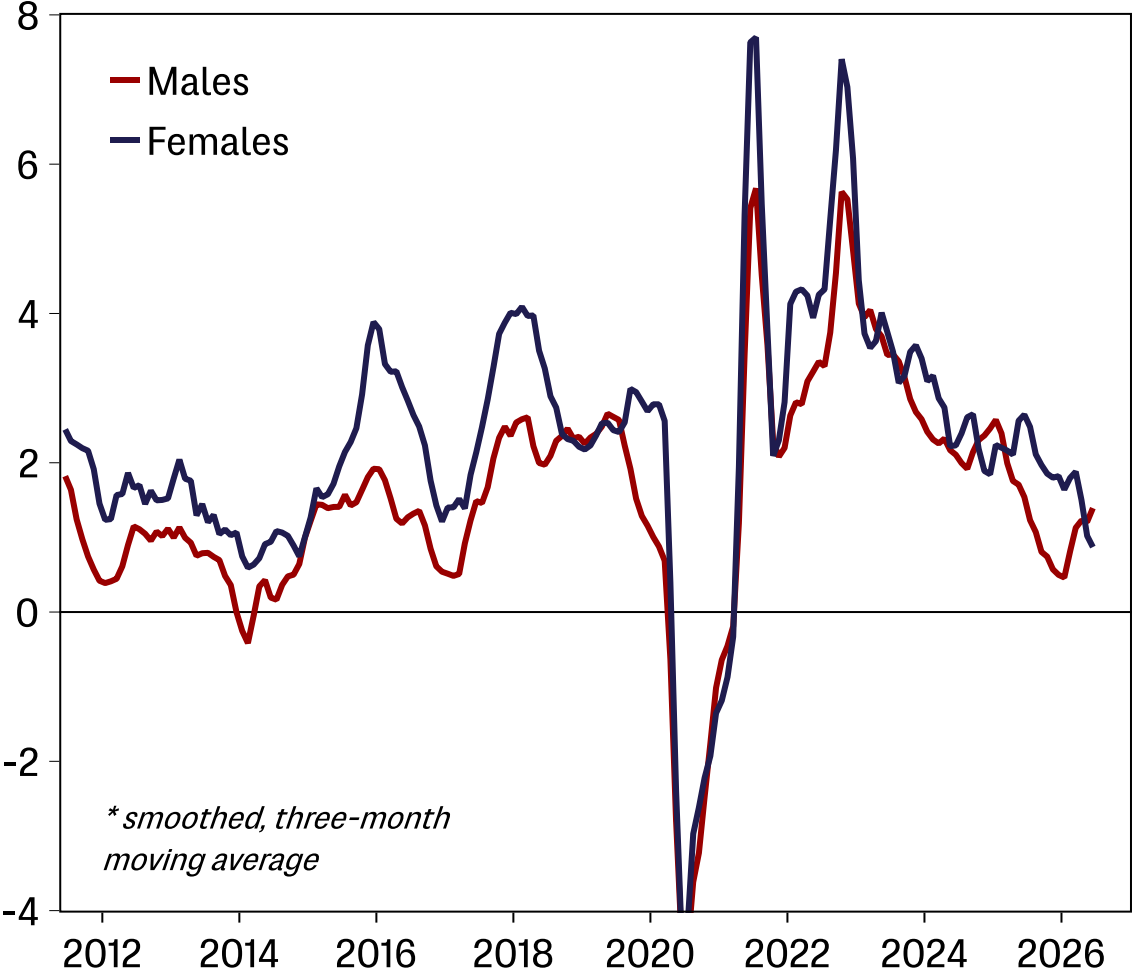
Underutilisation Rate (%)



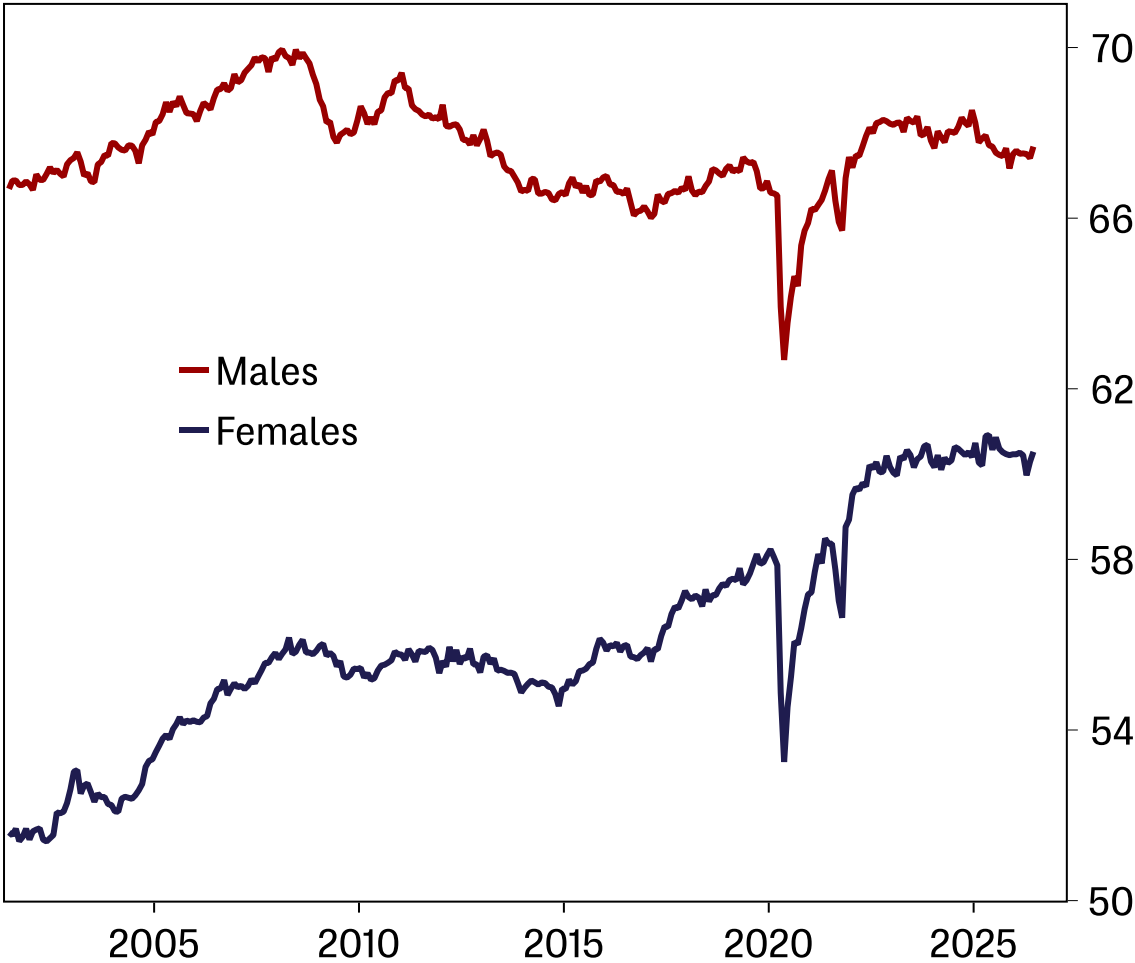
Source: ABS, Macrobond, Westpac Economics 

Trends by sex

Employment Growth (%yr)



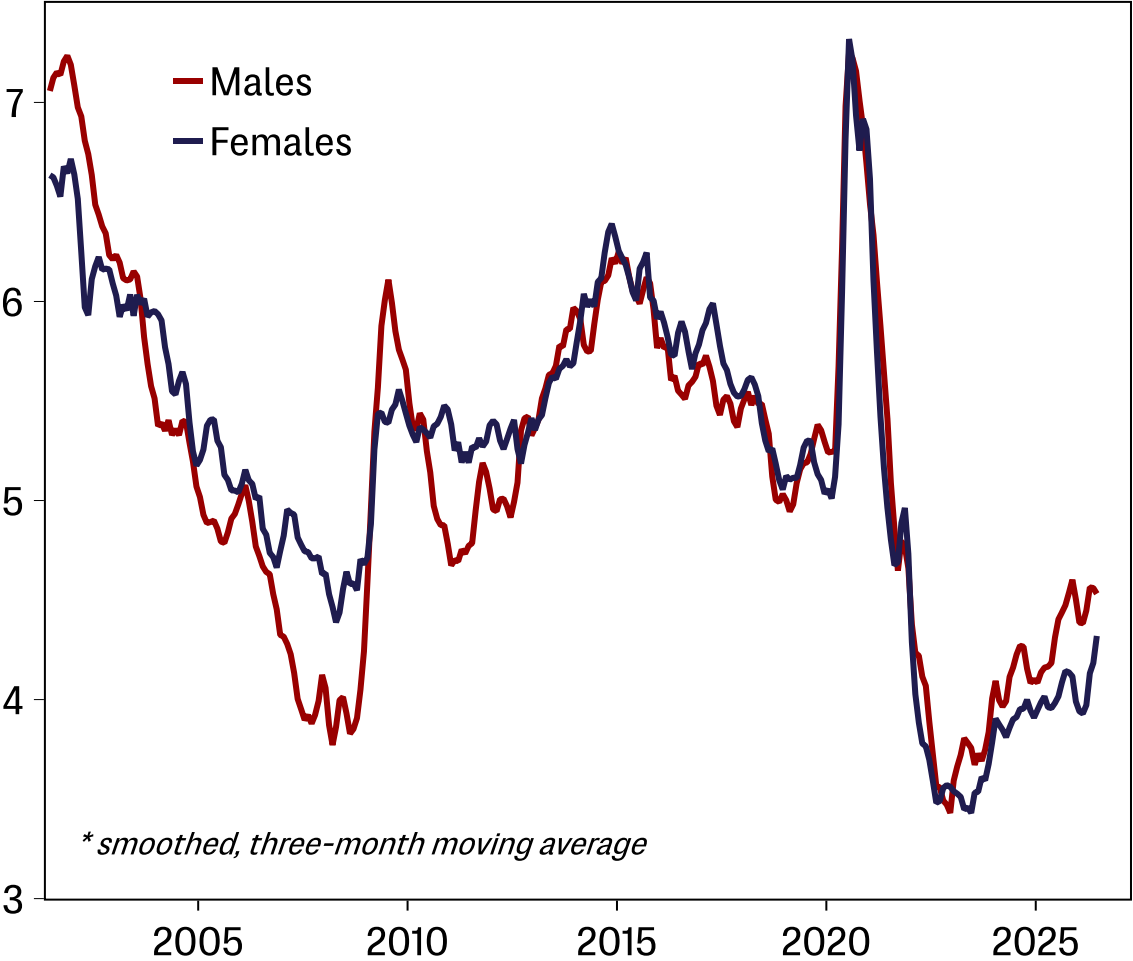
Employment-to-Population Ratio (%)



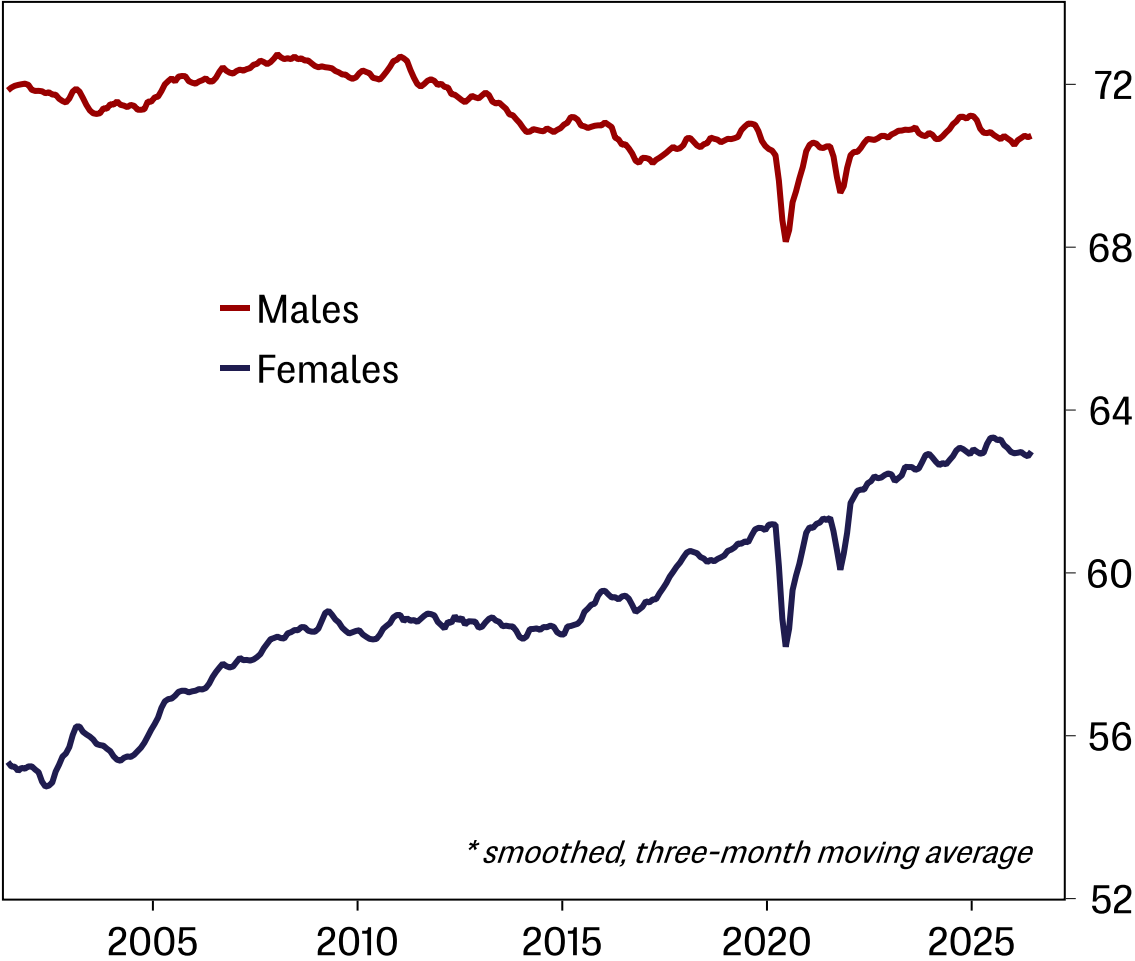
Source: ABS, Macrobond, Westpac Economics 

Trends by sex

Unemployment Rate (%)



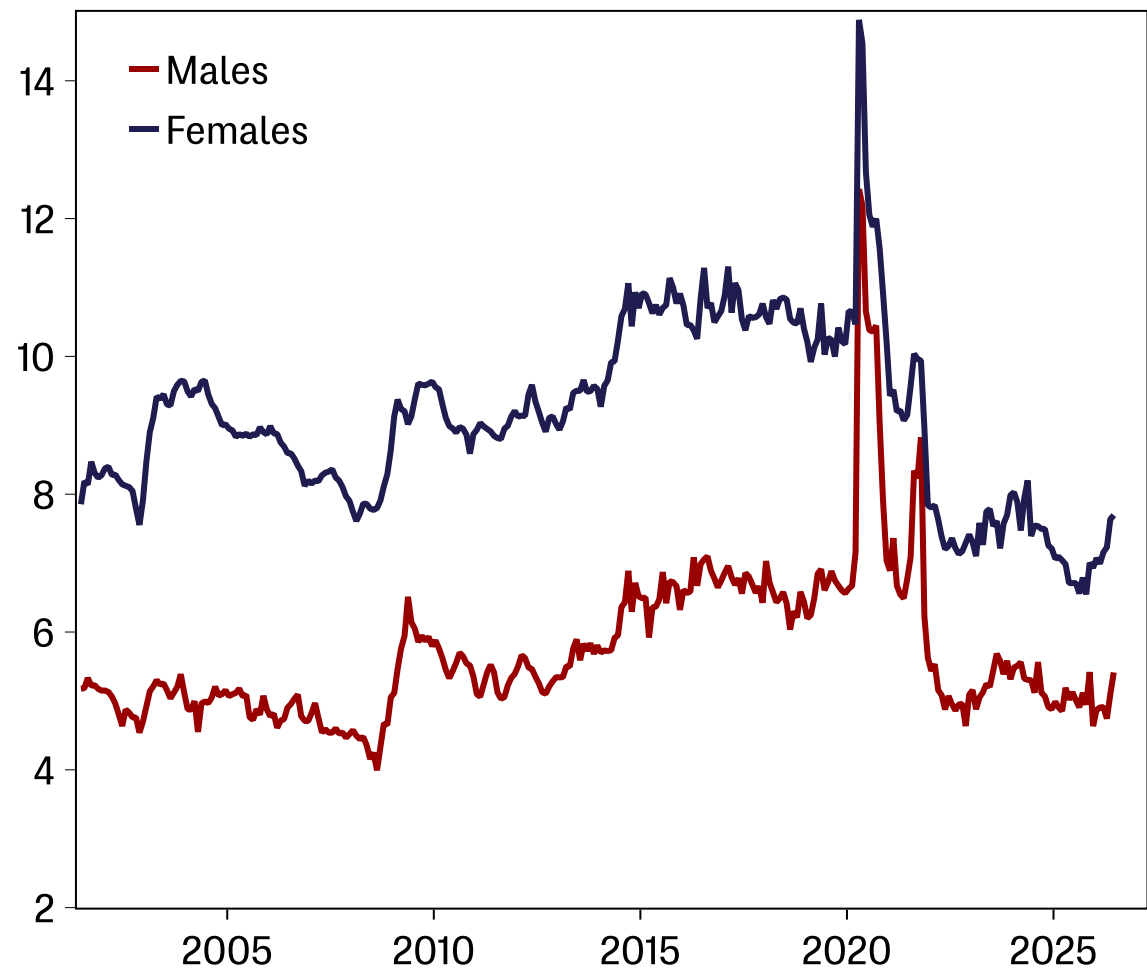
Participation Rate (%)



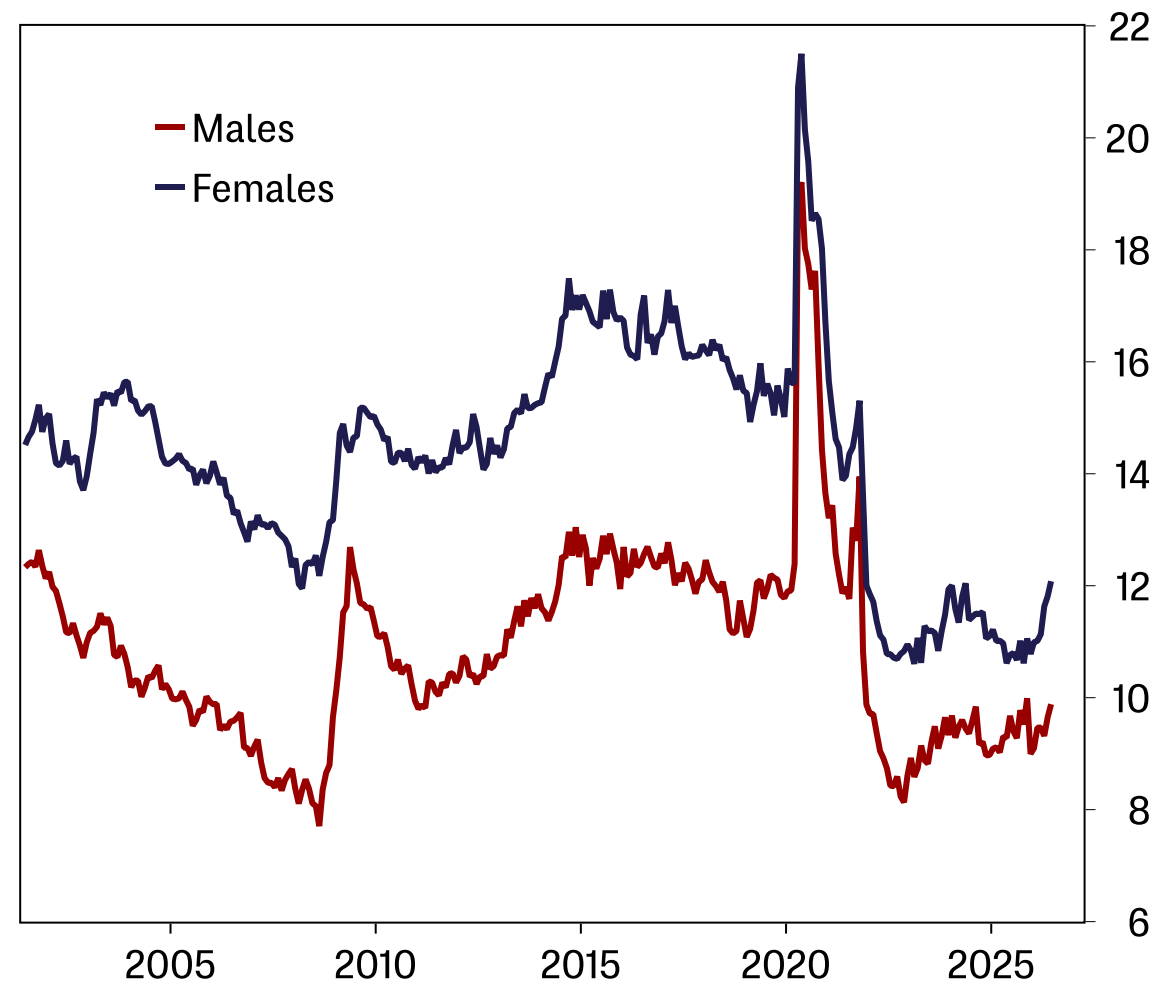
Source: ABS, Macrobond, Westpac Economics 

Trends by sex

Underemployment Rate (%)



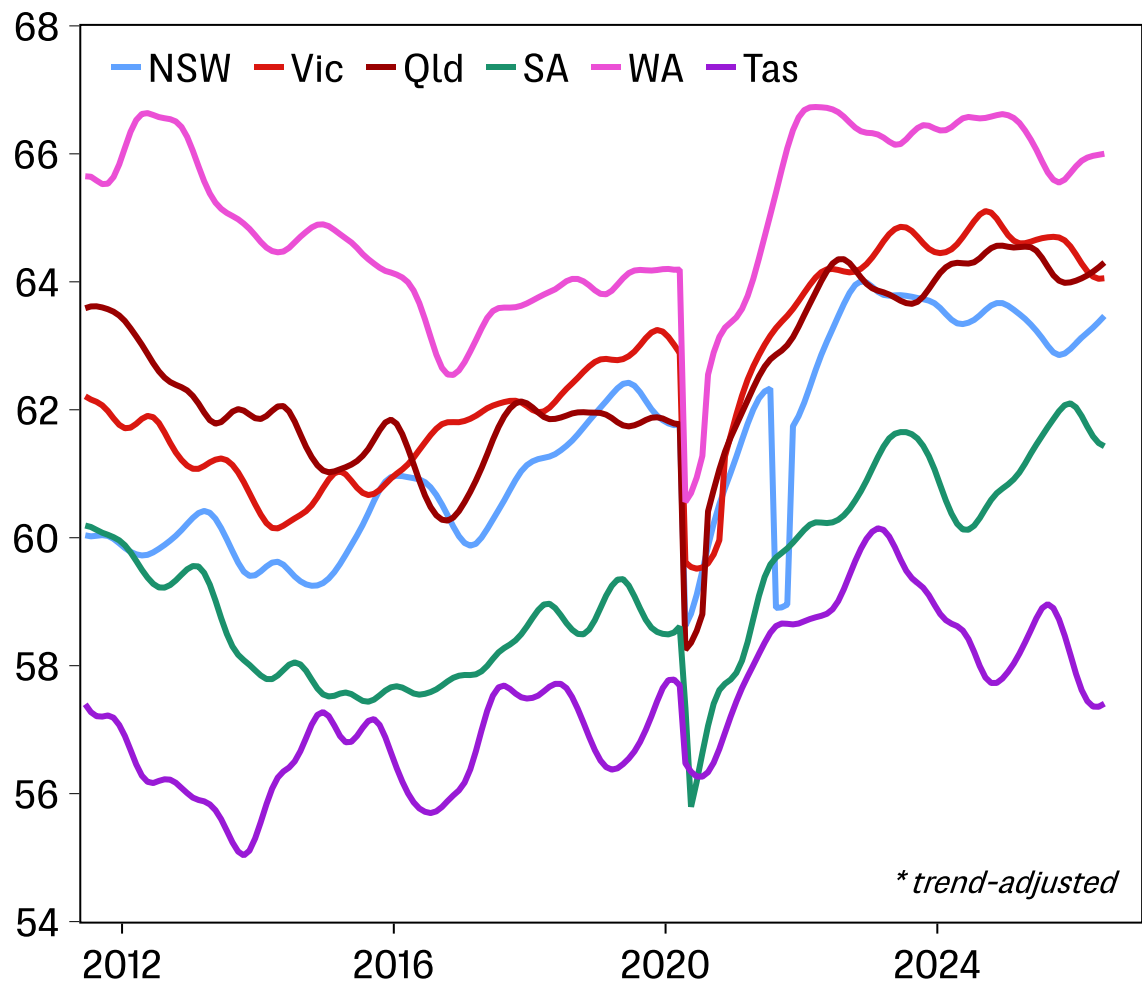
Underutilisation Rate (%)



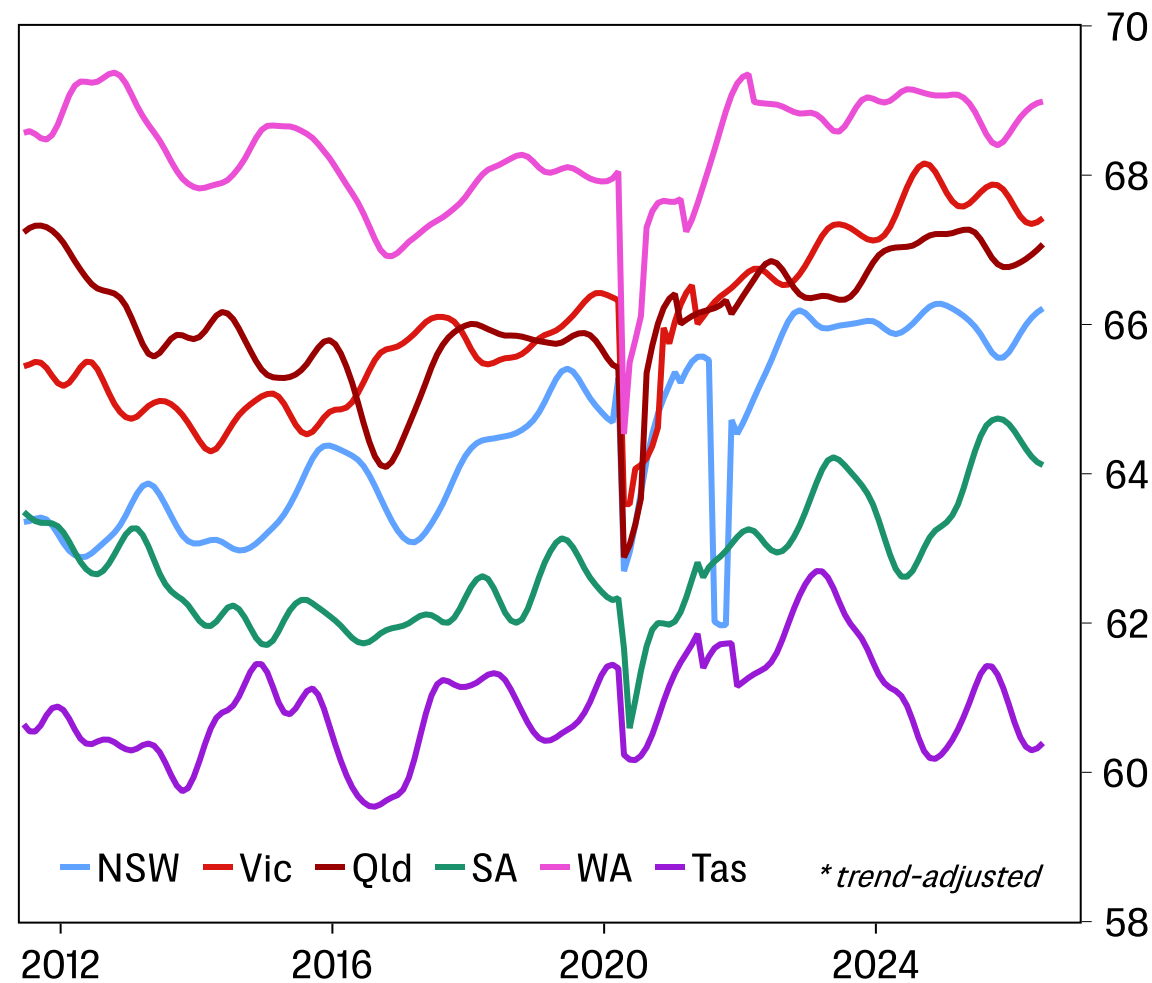
Source: ABS, Macrobond, Westpac Economics 

Trends by state

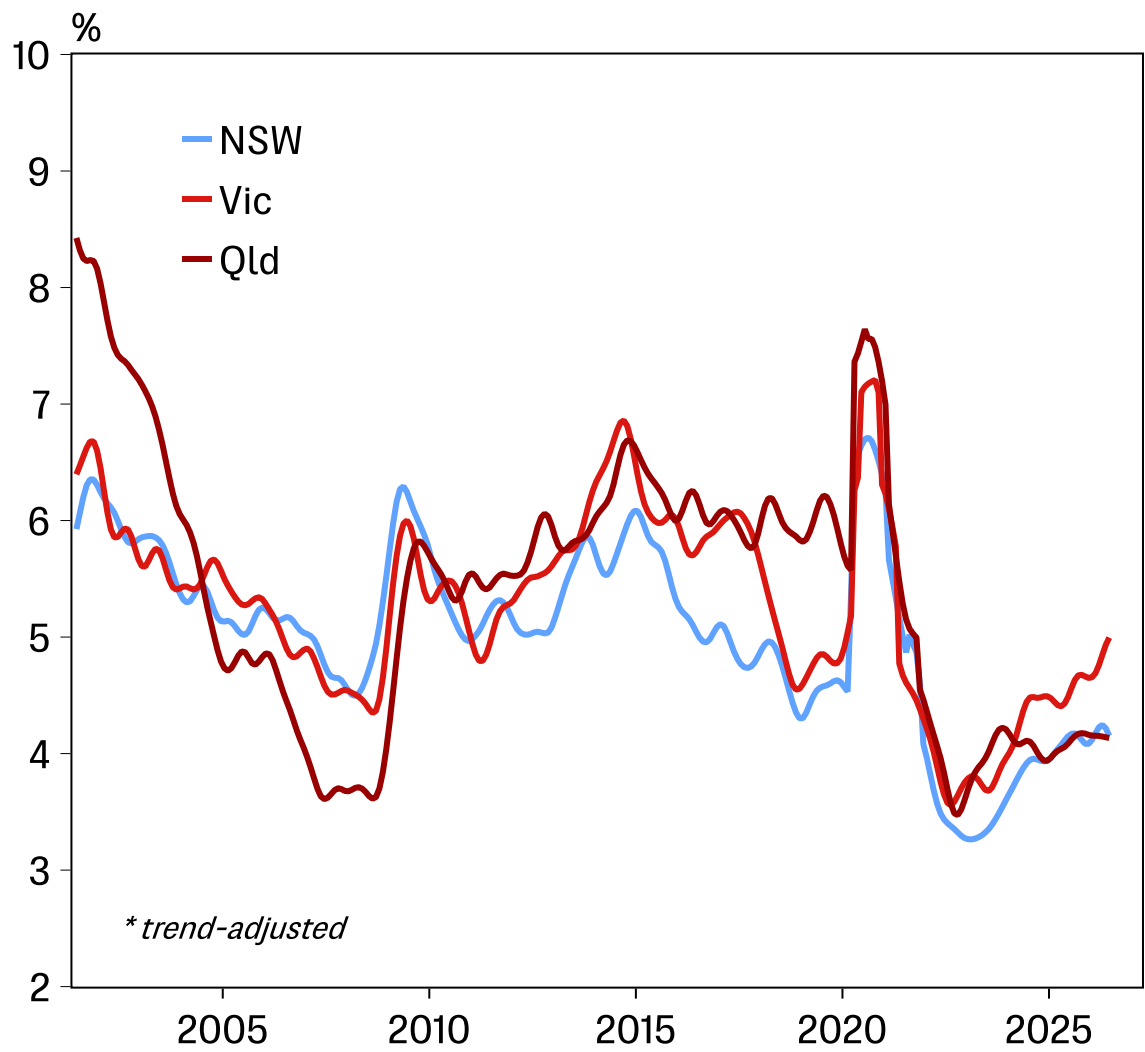
Employment-to-Population Ratio (%)



Participation Rate (%)

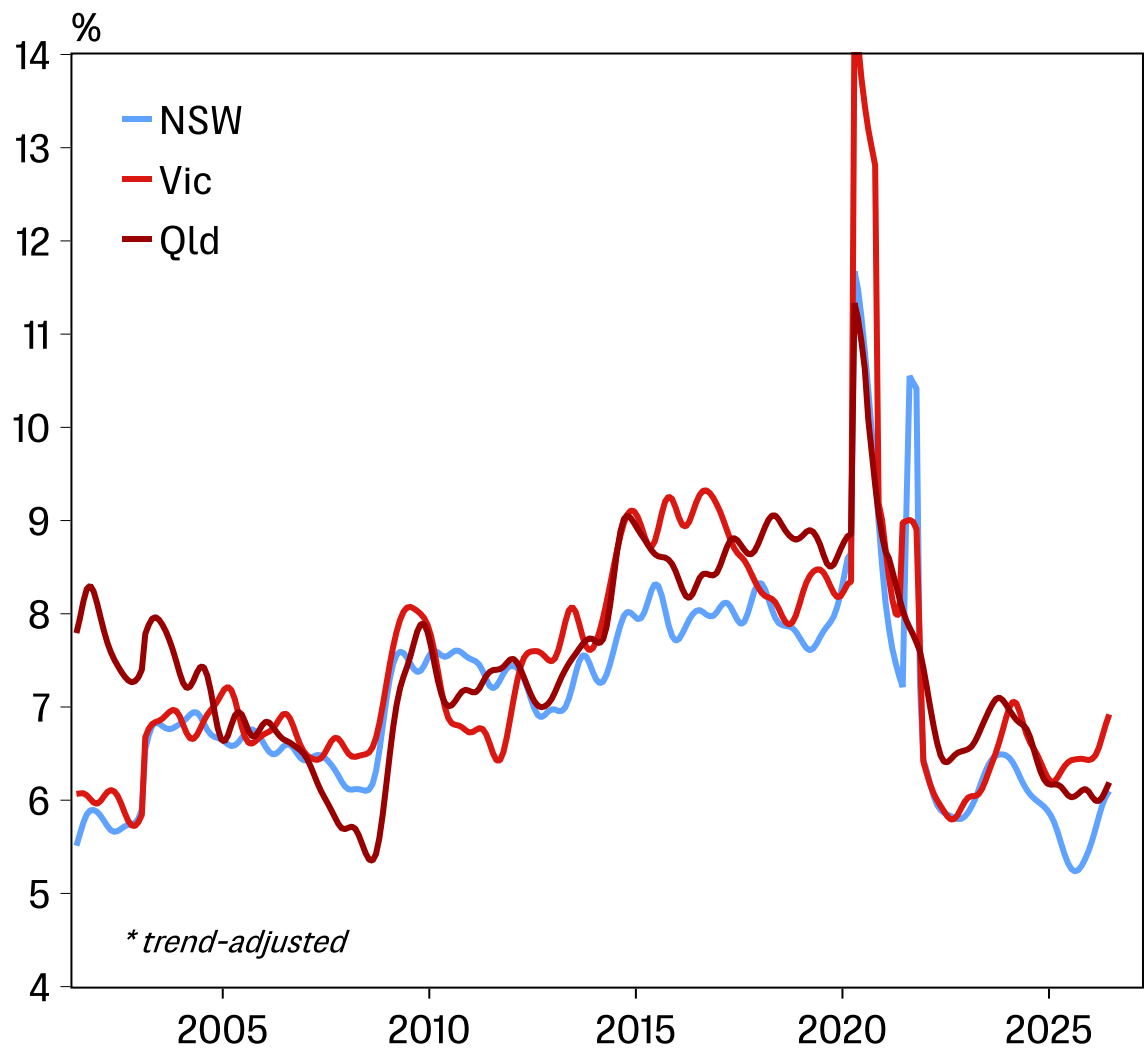


Unemployment rate by state



Source: ABS, Macrobond, Westpac Economics 

Underemployment rate by state



Source: ABS, Macrobond, Westpac Economics 

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Cliff Notes: markets on edge

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By [Elliot Clarke](#), [Ryan Wells](#) & [Illiana Jain](#)

09:56 July 24 2026

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Key insights from the week that was.



The [June Labour Force Survey](#) offered both noise and signal. Employment surprised materially to the upside, rising 76.3k in the month. However, the gain was matched by a sizeable lift in labour supply, the participation rate bouncing 0.3ppts to 67.0%, a 13-month high.

The ABS noted in the June release that there was a large group of individuals outside the labour force

with a job lined up in May, and that they began work in June. With the employment gain driven by new labour force entrants, the unemployment rate held steady at 4.4% (edging up from 4.37% to 4.43% at the second decimal place). Rising unemployment and the sharp lift in underemployment over recent months both suggest labour market slack is building steadily.

Unlike previous readings which implied a sudden loss of momentum, employment growth now looks to have been steadier over the first half of the year, albeit with significant month-to-month volatility. This is in line with our belief that any further softening was more likely to occur in the second half once the drag from higher inflation and recent interest rate rises works through the economy.

The Q2 Westpac Business Signal showcased that cost pressures are growing and consumer-facing industries are most exposed to deteriorating growth prospects. Together with weaker employment intentions from other business surveys, this points to a sluggish outlook for employment through the turn of the year when we expect the unemployment rate to peak around 5.0%.

Offshore, the Middle East remained the market's focus as tensions continued to ratchet higher. Overnight, President Trump stated he was close to deciding on a "massive attack" against Iran and threatened "major military punishment" for the Houthis and Iran if the Houthis attack any other ships in the Middle East after they targeted two Saudi ships a day earlier. This follows yesterday's threat that US forces "will bomb and destroy ONE BRIDGE OR POWER PLANT, including those located next to, or in, the Capital City of Tehran" any time Iran's military "shoots at a ship in the Strait of Hormuz". Iran continues to hold to their position on retaliation, with like-for-like strikes on regional military installations and infrastructure threatened. Brent oil reached USD102 overnight and currently trades just under that level.

Fresh for markets today are the potential implications of the imposition of an announced 10% to 12.5% tariff by the US on 99% of its imports effective 12:01am Friday Washington time. The basis for the tariff is an assessment by US authorities of 60 countries' restrictions on the use of forced labour in their production chain, though the tariff catches exporters to the US to almost the same degree. This measure replaces the temporary 10% tariff set to expire at 12:00am. As a result, it should have little-to-no net impact on US inflation or growth. That said, it maintains pressure on US households and businesses at a particularly inopportune time and so is a threat to sentiment.

Against that backdrop, the ECB left rates unchanged while emphasising the full inflationary impact of higher energy prices are yet to be felt and that risks remain skewed to the upside. While June inflation surprised to the downside and the ECB, as yet, has seen no evidence of secondary effects from 2026's energy price spike, heightened uncertainty and the skew of risks favour another hike in September along with the possibility of another late in the year, if conditions do not improve.

Turning to the UK, attention centred on the first week of UK Prime Minister Andy Burnham's government. Aside from cabinet appointments, Burnham indicated he would operate within existing fiscal rules while pursuing a "new economic model" aimed at boosting growth, likely through cost-of-living measures. He has already removed VAT from household electricity bills and is expected to announce initiatives targeting youth employment and further education. Markets are anticipating a generous Budget in November, although higher-than-expected borrowing is likely to constrain

policymakers.

Economic data recently received for the UK is broadly reassuring. Labour market indicators pointed to stabilisation, the unemployment rate holding at 4.9% in the three months to May and employment rising by 148k. That said, alternative measures, including the Bank of England's Decision Maker Panel, suggest the labour market is at risk of weakening further. The latest inflation data is consistent with a gradual easing in domestic pressures. Consumer prices rose 0.1% in June, slowing annual inflation from 2.8%yr to 2.6%yr. Services inflation was little changed at 3.6%yr, however, indicating that underlying price pressures remain. Taken together, the data did little to materially alter expectations for Bank of England policy.

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28 July 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Risk sentiment improved after President Trump said there was a “good chance” of a deal with Iran as the fragile ceasefire in the Middle East continued overnight. The price of Brent crude fell almost 9% to around US\$88/bbl, the biggest one-day drop since mid-April.

This saw riskier assets rally, with equities outside of tech across the US and Europe generally higher. The tech sell-off continued overnight, with the Nasdaq continuing to underperform.

Bond markets rallied on the back of lower oil prices, with yields down across the US and Europe. In the US, 10-year yields have fallen around 5bps over the past two sessions. Markets continue to price in around a 38% chance of a hike when the Fed meets later this week.

The US dollar was broadly unchanged, while the Aussie was higher against the greenback and a number of crosses.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.6	0.3%
AUD/USD	0.6990	0.2%
AUD/JPY	114.45	0.1%
AUD/GBP	0.5259	0.4%
AUD/NZD	1.2106	0.3%
AUD/EUR	0.6147	0.1%
AUD/CNH	4.7289	0.0%
AUD/SGD	0.9025	0.1%
AUD/HKD	5.4823	0.1%
AUD/CAD	0.9872	0.7%
EUR/USD	1.1373	0.0%
USD/JPY	163.72	0.0%
USD Index	101.50	0.0%

Equities	Close	Change
S&P/ASX 200	8,894	1.4%
S&P 500	7,413	0.0%
Japan Nikkei	64,931	0.5%
Hang Seng	25,207	1.0%
Euro Stoxx 50	6,282	0.0%
UK FTSE100	10,782	0.4%
VIX Index	18.67	0.5%

Commodities	Current	Change
CRB Index	383.49	-3.1%
Gold	4076.68	0.6%
Copper	13732	0.6%
Oil (WTI futures)	82.61	-7.5%
Coal (coking)	222.83	0.8%
Coal (thermal)	134.50	-2.4%
Iron Ore	97.95	-0.3%
ACCU	36.13	-4.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.40	0.00
90 day BBSY	4.59	0.00
180 day BBSY	4.93	0.00
1 year swap	4.67	-0.01
2 year swap	4.66	-0.02
3 year swap	4.63	-0.03
4 year swap	4.63	-0.03
5 year swap	4.66	-0.03
6 year swap	4.70	-0.03
7 year swap	4.74	-0.03
8 year swap	4.79	-0.02
9 year swap	4.84	-0.02
10 year swap	4.88	-0.02

Government Bond Yields	Close	Change
Australia		
3 year bond	4.62	-0.10
10 year bond	5.00	-0.09
United States		
3-month T Bill	3.80	-0.01
2 year bond	4.32	-0.01
10 year bond	4.65	-0.03
Other (10 year yields)		
Germany	3.13	-0.04
Japan	2.79	-0.03
UK	5.00	-0.04

Sydney Futures Exchange	Current	Change
10 yr bond	5.05	0.02
3 yr bond	4.65	0.03
3 mth bill rate	4.47	0.00
SPI 200	8,821	-0.2%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



Pat Bustamante
Senior Economist, Westpac Group
P: +61 468 571 786
E: pat.bustamante@westpac.com.au

Financial Markets

- Risk sentiment improved after President Trump said there was a “good chance” of a deal with Iran as the fragile ceasefire in the Middle East continued overnight. Reports from the region also suggested Iranian and Omani officials were working to restart shipping through the Strait of Hormuz. Easing concerns about supply disruptions saw oil prices tumble, with Brent crude falling almost 9% to around US\$88/bbl, the biggest one-day drop since mid-April.
- US equity markets were mixed. The S&P 500 finished broadly unchanged, while the Dow Jones Industrial Average increased 0.5% on the day. The tech-related sell-off continued, with chipmakers falling for a third consecutive session, which saw the Nasdaq continue to underperform, falling 0.2%. Volatility edged slightly higher, with the VIX Index rising 0.5% to 18.67.
- European equities were also mixed, with the Euro Stoxx 50 little changed, the German DAX up almost 1.1% on the back of stronger-than-expected economic data, and the FTSE 100 up 0.4%. In Asia, markets strengthened, with the Nikkei rising 0.5% and the Hang Seng gaining 1.0%. Locally, the S&P/ASX 200 rose 1.4% to 8,894. However, SPI futures were down 0.2%, pointing to a softer open for the Australian market.
- Bond markets rallied as the sharp fall in oil prices eased inflation concerns and, therefore, the need for further tightening in the months ahead. In the US, the 2-year Treasury yield fell 1bp to 4.32%, while the 10-year Treasury yield declined 3bps to 4.65%. Traders are now pricing in roughly a 38% chance of a rate hike at this week's Federal Reserve meeting, up from just 13% a week ago. European bond yields also moved lower, with German 10-year Bund yields falling 4bps to 3.13% and UK 10-year gilt yields declining 4bps to 5.00%. Japanese 10-year government bond yields fell 3bps to 2.79%.
- Australian bond yields moved lower across the curve. The 3-year government bond yield fell 10bps to 4.62%, while the 10-year yield declined 9bps to 5.0%. In futures markets, however, yields rose modestly, with the 3-year and 10-year futures yields up 3bps and 2bps to 4.65% and 5.05%, respectively. OIS pricing suggests a terminal cash rate of around 4.60% this year, with the market pricing in one more hike by December this year.
- In foreign exchange markets, the US dollar index was broadly unchanged at 101.50. The Australian dollar strengthened, rising 0.2% against the US dollar to US\$0.6990. The Aussie also gained against most major currencies, including the Canadian dollar (+0.7%), pound sterling (+0.4%), New Zealand dollar (+0.3%), euro (+0.1%), Japanese yen (+0.1%),

Today's key data and events

Time	Event	Exp	Prev
22:30	US Wholesale Inventories Jun Prel.	0.5%	0.1%
23:00	US FHFA House Prices May	0.1%	-0.1%
23:00	US S&P/CS Home Price Index May	0.0%	0.0%
0:00	US Richmond Fed Manufacturing Jul	6pts	4pts
0:00	US Consumer Confidence Jul	92pts	91.2pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

Singapore dollar (+0.1%), and Hong Kong dollar (+0.1%). The trade-weighted index rose 0.3% to 65.6.

- Commodity markets were generally weaker. The CRB commodity index fell 3.1%, reflecting broad-based declines across energy and carbon markets. WTI crude oil dropped 7.5% to US\$82.61/bbl as concerns over Middle East supply disruptions eased. Iron ore slipped 0.3% to US\$97.95/t, while thermal coal fell 2.4%. Carbon prices were also weaker, with ACCUs down 4.3%. Offsetting some of the weakness, coking coal rose 0.8%, copper gained 0.6%, and gold added 0.6%.

International Data

After large swings over the prior two months, **US durable goods** orders rose only 0.3%*month* in June, falling short of expectations for a 1.8%*month* gain. Excluding transportation – a category that typically drives much of the volatility – the underlying picture was firmer, with orders up 0.6%*month*. Core orders – capital goods excluding defence and aircraft – were stronger still, rising 0.9%*month*, led by categories linked to the AI investment boom.

The **Dallas Fed Manufacturing Activity** Survey of Texas business executives reported an improvement in business conditions this month. The headline index edged up from zero to 1.3pts, its highest level in eighteen months. Production and new orders made notable gains, while input cost inflation remained elevated, albeit slightly lower than in the prior month.

Chinese industrial profits maintained a strong pace in June, with year-to-date growth at 18.7% – little changed from the prior two months and well above the near-zero growth recorded in 2025. However, the data continued to highlight large divergences across sectors. Manufacturing profits rose 20.1%*yr* YTD, but consumer-driven sectors – including car, furniture and apparel manufacturers – saw profitability contract rapidly.

The **German Ifo Business Climate Survey** suggested that business sentiment in the euro area's largest economy continues to recover gradually. The headline index rose by almost 1pt this month to 86.6 – around 2pts above its April trough, but still about 2pts below its February level, before the Middle East war broke out.

Local Data

There was no top tier data released yesterday.



Corporate Directory

Westpac Economics / Australia

Sydney

Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis

Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan

Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke

Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner

Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk

Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante

Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas

Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells

Economist
E: ryan.wells@westpac.com.au

Illiana Jain

Economist
E: illiana.jain@westpac.com.au

Neha Sharma

Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic

Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland

Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold

Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon

Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs

Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod

Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark

Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva

1 Thomson Street
Suva, Fiji

Shamal Chand

Senior Economist
E: shamal.chand@westpac.com.au



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AI-carus?

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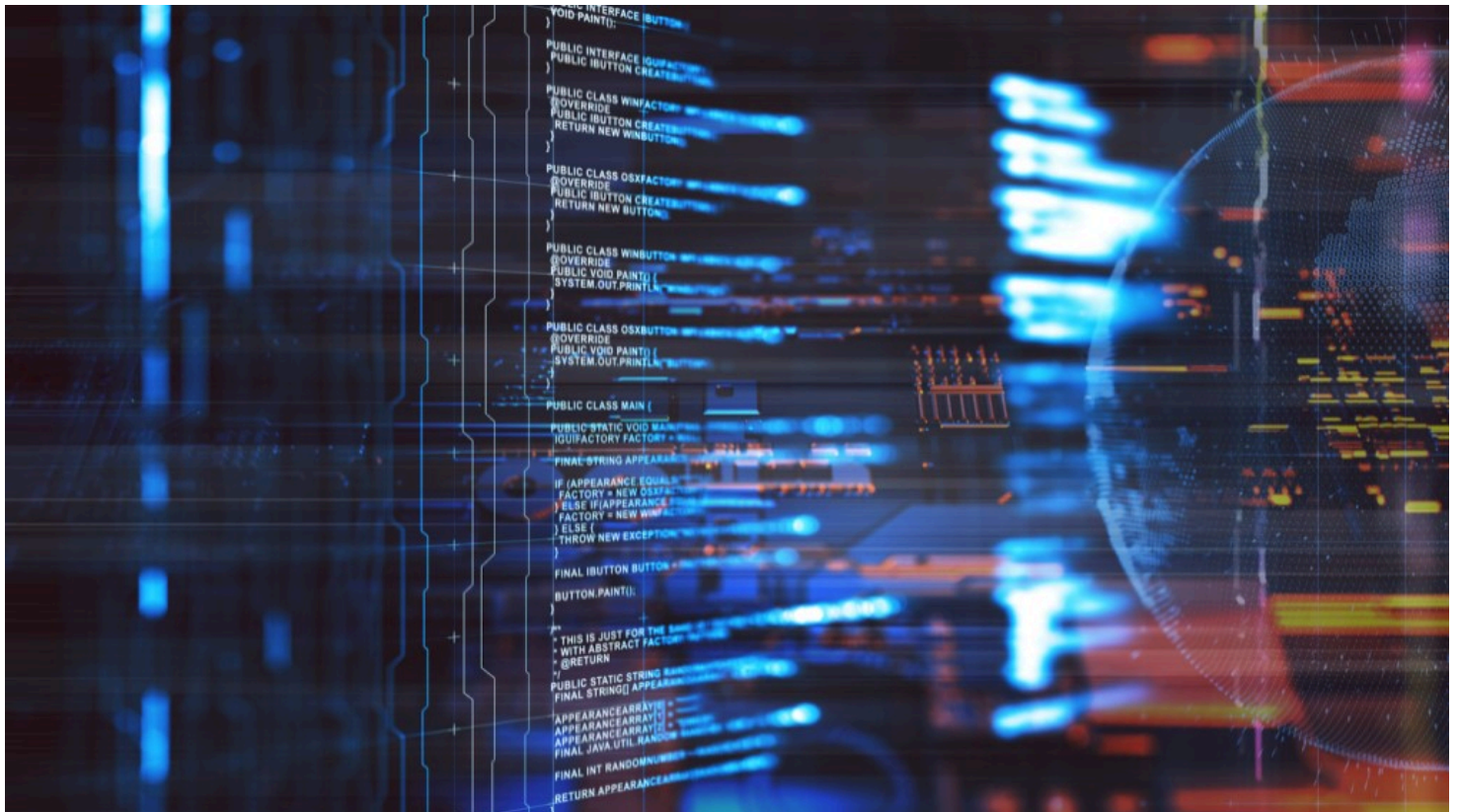
By Luci Ellis

Chief Economist Westpac Group, Westpac

08:31 July 17 2026

Share

AI is flying high. Will it fly too close to the sun and crash like Icarus in Greek myth? Physical constraints and ROI are the sunrays in this story. The likely downswing in prices and investment could be challenging but need not end in meltdown.



- Is AI a bubble? The extraordinary valuations and scale of investment raise the question. Missing, though, is the speculative behaviour of buying an asset now with the intent of resale for profit later.

- It is natural to want to look for parallels in history. Neither the late 1990s/early 2000s 'dot com' nor the 19th century railway booms quite match the current episode. Better analogies may be found in other price cycles stemming from investment booms, spurred by structural shifts. In the rush to build for the new technology, construction costs and end-product prices rise before eventually correcting. Time-to-build and resource constraints can create price cycles even where classic speculative behaviour is absent.
- Non-financial goals around geopolitics or a rush to build a god-like intelligence could blind investors to commercial reality and encourage investments that do not pay off. To avoid a mad flap that takes us, Icarus-like, too close to the sun, choices must be based on cost and ROI.

The exceptional valuations on AI-adjacent firms are matched only by the extraordinary scale of capital expenditure on data centres, both overseas and in Australia. The use of leverage and sometimes opaque financing structures twitch the antennae of those of us who have been through financial boom–bust cycles before. Naturally, people question the return on investment and whether this is a “bubble”. But is it?

It helps to define terms. The usual definition of a bubble is a deviation of asset prices from “fundamental” value, but this is only as good as your model of fundamentals. The distinctive feature in episodes labelled as bubbles is speculative behaviour: investors buying an asset mainly or solely because they expect its price will rise so they can resell at a profit. (In technical terms, the current price of the asset depends on expectations of future price growth). In the extreme, the market is in “Greater Fool” territory, where investors admit that they do not think the revenue warrants the price, but believe they will find a Greater Fool to buy it later.

Property assets are one of the main areas where “bubbly” boom–bust cycles can occur, because investors can use more leverage than for other assets. The asset also does not become obsolete quickly and much of the value is in the non-depreciating land or location component.

Data centres are a kind of property, and leverage is clearly being used to finance their construction. Even so, the speculative behaviour that typically characterises property bubbles is missing: nobody is making these investments in expectation of reselling data centres to make a quick buck. It is all about the expected value of the computing services these data centres will provide. Currently the “cost of compute” seems to be on the rise as the firms building the models try to shift their customer bases away from free and flat-rate subscriptions onto higher-cost pay-by-use plans. Yet everyone knows that AI can only achieve the desired returns by expanding usage, which means it needs to be cheaper than the human labour it seeks to replace. Even if investment decisions are based on expected returns on services provided by that capital, the realism of those return expectations can and should be scrutinised.

It is natural to want to look for parallels in history.

The seemingly obvious one is the 'dot com' boom of the late 1990s/early 2000s. But while there are some similarities to that episode, there are also important differences. Back then, the tech firms building the new technology were not so financially intertwined with the telco firms buying the

spectrum, laying the fibre – and borrowing the money.

There are also similarities to the railway boom of the 19th century, except that location is not as inherent to a data centre. You can train an LLM anywhere you can access the electricity, water and construction inputs. A railway, by contrast, goes from somewhere to somewhere else, and the returns to duplicating the route decline rapidly. Put more technically, data centres do not have the same network effects or location-based natural monopoly characteristics.

Better analogies to the current AI/data centre boom can be found in other price cycles. Many boom–bust cycles start from something real and substantial. A new technology might instigate an equities boom. Opening up a new region might instigate a land boom there. The value underlying the boom remains even after the period of over-exuberance ends. We did not regret creating the Internet, or building that fibre network, or opening up regions through better transport.

What we did sometimes do, though, is pay too much for what we got. If everyone is rushing to build the infrastructure, hoping not to be the Slower Builder who ends up losing money, pressure on construction resources rises, and so do construction prices. We have seen similar cost surges during the mining boom and more recently in the cycle of infrastructure projects in the eastern seaboard states. (This is likely one reason why suppliers of construction materials were so quick to pass increased fuel and transport costs into their prices.)

Along the way, the cost of the services also rise, precisely because of the lags involved in expanding the infrastructure. There is an analogy here in things like shipping costs, which show boom–bust price cycles even though there has obviously never been a bubble in shipping services. In shipping, office property and now data centres, demand might increase but supply is fixed in the short term because it takes time to build that infrastructure. The price of the service therefore rises in the upswing phase.

This upswing phase can also spill over into related sectors, as seen this time in the broader tech sector. Export prices for Korean semiconductors have exploded in the past 6–9 months, up more than 150% over the year. Pass-through to US import prices is more muted, given lags and the usual pricing to market, but tech inflation has increased. As well as the much-publicised price increases for iPads and Macs, the CPI components covering computers and other tech goods have picked up recently in Australia and other advanced economies, to inflation rates close to the peak of the pandemic. This is a departure from their usual deflationary pulse and shows that the current inflationary environment is about more than the US–Iran conflict.

The high costs of the upswing phase nonetheless contain the seeds of their reversal. They discourage use of the underlying service, so adoption is slower than its boosters assume. They also encourage further innovations to economise on the expensive input; routing algorithms to choose the most cost-effective AI model are one example. Over time, as data centres are completed, the supply of computing power expands and its price falls. Investments that only made sense when the service's price was high will become distressed.

What worries me about the current boom is how far financial considerations seem to sit in the background. Capitalism has its drawbacks, but at least raw commercial incentives limit people's

appetite to overpay for things. When all the focus is instead on geopolitical rivalries or being the first to build god-like intelligence, commercial discipline is lost. A potentially beneficial innovation wave instead risks becoming an Icarus-like mad flap that takes us too close to the sun. That is the perfect environment for a price cycle, including in the tech sector more broadly.

The end result need not be a meltdown. That depends on the debt: how much there is relative to revenues after the price downswing, who borrowed it and who lent it. The role of deep-pocketed tech firms eases some concerns. Some borrowers are substantial firms with other revenues. In addition, other tech firms who have not leveraged themselves to the data centre build-out have big enough cash piles to pick up the pieces (at discounted prices) should some projects come unstuck. Regulators will be most concerned about whether the lenders who lent to the hyperscalers and AI firms in turn funded themselves from parts of the financial system that amplify shocks through their leverage and connection to the regulated banking system.

The answer is not to regulate AI out of existence or stymie its further development – a point the federal government has clearly heeded in the PM’s latest announcements. The advice I’d give now is the same as I gave [a decade ago](#), in a different context: in the face of structural change giving rise to a boom, go in with your eyes open. Don’t get ahead of yourself. And have something to catch you when you fall.

Humans have managed to transcend Greek mythology and master the art of flying without melting. Yet the message of Icarus’s story endures: there are dangers when hubris goes unchecked. To avoid getting ahead of yourself, it helps to let commercial considerations shape decisions, especially around borrowing. Far better that than basing decisions on imagined scenarios that do not survive contact with real-world economics.

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28 July 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Risk sentiment improved after President Trump said there was a “good chance” of a deal with Iran as the fragile ceasefire in the Middle East continued overnight. The price of Brent crude fell almost 9% to around US\$88/bbl, the biggest one-day drop since mid-April.

This saw riskier assets rally, with equities outside of tech across the US and Europe generally higher. The tech sell-off continued overnight, with the Nasdaq continuing to underperform.

Bond markets rallied on the back of lower oil prices, with yields down across the US and Europe. In the US, 10-year yields have fallen around 5bps over the past two sessions. Markets continue to price in around a 38% chance of a hike when the Fed meets later this week.

The US dollar was broadly unchanged, while the Aussie was higher against the greenback and a number of crosses.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.6	0.3%
AUD/USD	0.6990	0.2%
AUD/JPY	114.45	0.1%
AUD/GBP	0.5259	0.4%
AUD/NZD	1.2106	0.3%
AUD/EUR	0.6147	0.1%
AUD/CNH	4.7289	0.0%
AUD/SGD	0.9025	0.1%
AUD/HKD	5.4823	0.1%
AUD/CAD	0.9872	0.7%
EUR/USD	1.1373	0.0%
USD/JPY	163.72	0.0%
USD Index	101.50	0.0%

Equities	Close	Change
S&P/ASX 200	8,894	1.4%
S&P 500	7,413	0.0%
Japan Nikkei	64,931	0.5%
Hang Seng	25,207	1.0%
Euro Stoxx 50	6,282	0.0%
UK FTSE100	10,782	0.4%
VIX Index	18.67	0.5%

Commodities	Current	Change
CRB Index	383.49	-3.1%
Gold	4076.68	0.6%
Copper	13732	0.6%
Oil (WTI futures)	82.61	-7.5%
Coal (coking)	222.83	0.8%
Coal (thermal)	134.50	-2.4%
Iron Ore	97.95	-0.3%
ACCU	36.13	-4.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.40	0.00
90 day BBSY	4.59	0.00
180 day BBSY	4.93	0.00
1 year swap	4.67	-0.01
2 year swap	4.66	-0.02
3 year swap	4.63	-0.03
4 year swap	4.63	-0.03
5 year swap	4.66	-0.03
6 year swap	4.70	-0.03
7 year swap	4.74	-0.03
8 year swap	4.79	-0.02
9 year swap	4.84	-0.02
10 year swap	4.88	-0.02

Government Bond Yields	Close	Change
Australia		
3 year bond	4.62	-0.10
10 year bond	5.00	-0.09
United States		
3-month T Bill	3.80	-0.01
2 year bond	4.32	-0.01
10 year bond	4.65	-0.03
Other (10 year yields)		
Germany	3.13	-0.04
Japan	2.79	-0.03
UK	5.00	-0.04

Sydney Futures Exchange	Current	Change
10 yr bond	5.05	0.02
3 yr bond	4.65	0.03
3 mth bill rate	4.47	0.00
SPI 200	8,821	-0.2%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



Pat Bustamante
Senior Economist, Westpac Group
P: +61 468 571 786
E: pat.bustamante@westpac.com.au

Financial Markets

- Risk sentiment improved after President Trump said there was a “good chance” of a deal with Iran as the fragile ceasefire in the Middle East continued overnight. Reports from the region also suggested Iranian and Omani officials were working to restart shipping through the Strait of Hormuz. Easing concerns about supply disruptions saw oil prices tumble, with Brent crude falling almost 9% to around US\$88/bbl, the biggest one-day drop since mid-April.
- US equity markets were mixed. The S&P 500 finished broadly unchanged, while the Dow Jones Industrial Average increased 0.5% on the day. The tech-related sell-off continued, with chipmakers falling for a third consecutive session, which saw the Nasdaq continue to underperform, falling 0.2%. Volatility edged slightly higher, with the VIX Index rising 0.5% to 18.67.
- European equities were also mixed, with the Euro Stoxx 50 little changed, the German DAX up almost 1.1% on the back of stronger-than-expected economic data, and the FTSE 100 up 0.4%. In Asia, markets strengthened, with the Nikkei rising 0.5% and the Hang Seng gaining 1.0%. Locally, the S&P/ASX 200 rose 1.4% to 8,894. However, SPI futures were down 0.2%, pointing to a softer open for the Australian market.
- Bond markets rallied as the sharp fall in oil prices eased inflation concerns and, therefore, the need for further tightening in the months ahead. In the US, the 2-year Treasury yield fell 1bp to 4.32%, while the 10-year Treasury yield declined 3bps to 4.65%. Traders are now pricing in roughly a 38% chance of a rate hike at this week's Federal Reserve meeting, up from just 13% a week ago. European bond yields also moved lower, with German 10-year Bund yields falling 4bps to 3.13% and UK 10-year gilt yields declining 4bps to 5.00%. Japanese 10-year government bond yields fell 3bps to 2.79%.
- Australian bond yields moved lower across the curve. The 3-year government bond yield fell 10bps to 4.62%, while the 10-year yield declined 9bps to 5.0%. In futures markets, however, yields rose modestly, with the 3-year and 10-year futures yields up 3bps and 2bps to 4.65% and 5.05%, respectively. OIS pricing suggests a terminal cash rate of around 4.60% this year, with the market pricing in one more hike by December this year.
- In foreign exchange markets, the US dollar index was broadly unchanged at 101.50. The Australian dollar strengthened, rising 0.2% against the US dollar to US\$0.6990. The Aussie also gained against most major currencies, including the Canadian dollar (+0.7%), pound sterling (+0.4%), New Zealand dollar (+0.3%), euro (+0.1%), Japanese yen (+0.1%),

Today's key data and events

Time	Event	Exp	Prev
22:30	US Wholesale Inventories Jun Prel.	0.5%	0.1%
23:00	US FHFA House Prices May	0.1%	-0.1%
23:00	US S&P/CS Home Price Index May	0.0%	0.0%
0:00	US Richmond Fed Manufacturing Jul	6pts	4pts
0:00	US Consumer Confidence Jul	92pts	91.2pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

Singapore dollar (+0.1%), and Hong Kong dollar (+0.1%). The trade-weighted index rose 0.3% to 65.6.

- Commodity markets were generally weaker. The CRB commodity index fell 3.1%, reflecting broad-based declines across energy and carbon markets. WTI crude oil dropped 7.5% to US\$82.61/bbl as concerns over Middle East supply disruptions eased. Iron ore slipped 0.3% to US\$97.95/t, while thermal coal fell 2.4%. Carbon prices were also weaker, with ACCUs down 4.3%. Offsetting some of the weakness, coking coal rose 0.8%, copper gained 0.6%, and gold added 0.6%.

International Data

After large swings over the prior two months, **US durable goods** orders rose only 0.3%*mt* in June, falling short of expectations for a 1.8%*mt* gain. Excluding transportation – a category that typically drives much of the volatility – the underlying picture was firmer, with orders up 0.6%*mt*. Core orders – capital goods excluding defence and aircraft – were stronger still, rising 0.9%*mt*, led by categories linked to the AI investment boom.

The **Dallas Fed Manufacturing Activity** Survey of Texas business executives reported an improvement in business conditions this month. The headline index edged up from zero to 1.3pts, its highest level in eighteen months. Production and new orders made notable gains, while input cost inflation remained elevated, albeit slightly lower than in the prior month.

Chinese industrial profits maintained a strong pace in June, with year-to-date growth at 18.7% – little changed from the prior two months and well above the near-zero growth recorded in 2025. However, the data continued to highlight large divergences across sectors. Manufacturing profits rose 20.1%*yr* YTD, but consumer-driven sectors – including car, furniture and apparel manufacturers – saw profitability contract rapidly.

The **German Ifo Business Climate Survey** suggested that business sentiment in the euro area's largest economy continues to recover gradually. The headline index rose by almost 1pt this month to 86.6 – around 2pts above its April trough, but still about 2pts below its February level, before the Middle East war broke out.

Local Data

There was no top tier data released yesterday.



Corporate Directory

Westpac Economics / Australia

Sydney

Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis

Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan

Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke

Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner

Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk

Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante

Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas

Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells

Economist
E: ryan.wells@westpac.com.au

Illiana Jain

Economist
E: illiana.jain@westpac.com.au

Neha Sharma

Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic

Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland

Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold

Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon

Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs

Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod

Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark

Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva

1 Thomson Street
Suva, Fiji

Shamal Chand

Senior Economist
E: shamal.chand@westpac.com.au



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Cliff Notes: a long-awaited reprieve

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By [Elliot Clarke](#), [Ryan Wells](#) & [Illiana Jain](#)

10:40 July 31 2026

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Key insights from the week that was.



In Australia, the much-anticipated Q2 CPI report came in below our and the market's expectation. Headline inflation rose 0.6% in Q2, less than half of Q1's 1.4% gain. This largely reflects a shrinking contribution from auto fuel prices, the temporary halving of the fuel excise tax and falling global oil prices the key drivers. Importantly, underlying trimmed mean inflation also surprised to the downside, the RBA's preferred quarterly measure up 0.8% (3.6%yr) in Q2, 0.2ppts below their May Statement on

Monetary Policy forecast. Two areas that policymakers and analysts were closely watching was housing and market services. Encouragingly, prices in these sectors are now rising at a much less alarming pace, alleviating fears over rapid and/or exaggerated pass-through.

Following the CPI release, Chief Economist Luci Ellis announced that Westpac Economics no longer expects additional rate hikes in 2026, though the Monetary Policy Board (MPB) is likely to hold on to a hawkish posture until risks fully subside. Absent an adverse price risk(s) materialising in the near term, at 4.35% the cash rate is appropriately restrictive to ensure inflation will sustainably return to the midpoint of the target range over the forecast period while prior gains for employment are retained. This capacity will provide the economy with a greater ability to weather future supply shocks, a topic taken up by Chief Economist Luci Ellis in this week's essay.

Offshore, the FOMC left rates unchanged at their July meeting. Activity was characterised as solid, aided by strong investment and productivity growth, and the labour market broadly balanced. Inflation remains well above target, however, and the Committee is clearly focused on whether recent energy and semiconductor price shocks hold broader significance. Unnerving market participants on the day, it appears the FOMC is not in a rush to determine whether the current stance of policy is appropriate to bring inflation back to target, or indeed if it is better to allow the market to balance expectations and risks by itself. Several months of data and discussion are likely necessary to determine the next step based on economic data alone. However, it is entirely possible risks to inflation, or to the long end of the yield curve, will push the FOMC to a decision sooner. Policy will be live at coming meetings, particularly in September and October, with an on-hold decision most likely, but by a very narrow margin.

US data and the actions of the White House are likely to pose challenges for market participants and the FOMC as they seek to distinguish the most probable path and material risks for the economy through year end. Q2 GDP growth slowed more than expected to 1.5% annualised, although the underlying detail was constructive – consumer spending rebounding strongly after a weak Q1 while business investment held on to its buoyant momentum. A surge in imports offset this momentum, however, highlighting the extent of the US' reliance on the global production chain. June PCE data provided further reassurance on inflation, core PCE slowing to 0.1% in June. But energy prices remain a significant threat, Brent oil whipsawed between USD82 and USD97 this week as the US and Iran halted then resumed military strikes, and the Houthis and Iran-linked groups in Iraq sought to disrupt energy trade in the region. Communication between the US and Iran is only occurring through intermediaries and their positions on key issues remain far apart.

Policymakers at the Bank of England unsurprisingly continued to highlight risks stemming from the Middle East as they voted to remain on hold in a split decision, the minority of three favouring a 25bp hike. That said, recent data have increased confidence that the domestic disinflation process remains intact, the recent downside surprise for inflation, slower wage growth and softer labour market conditions cited as evidence supportive of a sustainable return to trend. Updated forecasts lowered the inflation profile while modestly upgrading growth expectations, leaving the BoE comfortable remaining on hold for now, albeit with a need to carefully assess the evolving spectrum of risks meeting by meeting.

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28 July 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Risk sentiment improved after President Trump said there was a “good chance” of a deal with Iran as the fragile ceasefire in the Middle East continued overnight. The price of Brent crude fell almost 9% to around US\$88/bbl, the biggest one-day drop since mid-April.

This saw riskier assets rally, with equities outside of tech across the US and Europe generally higher. The tech sell-off continued overnight, with the Nasdaq continuing to underperform.

Bond markets rallied on the back of lower oil prices, with yields down across the US and Europe. In the US, 10-year yields have fallen around 5bps over the past two sessions. Markets continue to price in around a 38% chance of a hike when the Fed meets later this week.

The US dollar was broadly unchanged, while the Aussie was higher against the greenback and a number of crosses.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.6	0.3%
AUD/USD	0.6990	0.2%
AUD/JPY	114.45	0.1%
AUD/GBP	0.5259	0.4%
AUD/NZD	1.2106	0.3%
AUD/EUR	0.6147	0.1%
AUD/CNH	4.7289	0.0%
AUD/SGD	0.9025	0.1%
AUD/HKD	5.4823	0.1%
AUD/CAD	0.9872	0.7%
EUR/USD	1.1373	0.0%
USD/JPY	163.72	0.0%
USD Index	101.50	0.0%

Equities	Close	Change
S&P/ASX 200	8,894	1.4%
S&P 500	7,413	0.0%
Japan Nikkei	64,931	0.5%
Hang Seng	25,207	1.0%
Euro Stoxx 50	6,282	0.0%
UK FTSE100	10,782	0.4%
VIX Index	18.67	0.5%

Commodities	Current	Change
CRB Index	383.49	-3.1%
Gold	4076.68	0.6%
Copper	13732	0.6%
Oil (WTI futures)	82.61	-7.5%
Coal (coking)	222.83	0.8%
Coal (thermal)	134.50	-2.4%
Iron Ore	97.95	-0.3%
ACCU	36.13	-4.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.40	0.00
90 day BBSY	4.59	0.00
180 day BBSY	4.93	0.00
1 year swap	4.67	-0.01
2 year swap	4.66	-0.02
3 year swap	4.63	-0.03
4 year swap	4.63	-0.03
5 year swap	4.66	-0.03
6 year swap	4.70	-0.03
7 year swap	4.74	-0.03
8 year swap	4.79	-0.02
9 year swap	4.84	-0.02
10 year swap	4.88	-0.02

Government Bond Yields	Close	Change
Australia		
3 year bond	4.62	-0.10
10 year bond	5.00	-0.09
United States		
3-month T Bill	3.80	-0.01
2 year bond	4.32	-0.01
10 year bond	4.65	-0.03
Other (10 year yields)		
Germany	3.13	-0.04
Japan	2.79	-0.03
UK	5.00	-0.04

Sydney Futures Exchange	Current	Change
10 yr bond	5.05	0.02
3 yr bond	4.65	0.03
3 mth bill rate	4.47	0.00
SPI 200	8,821	-0.2%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



Pat Bustamante
Senior Economist, Westpac Group
P: +61 468 571 786
E: pat.bustamante@westpac.com.au

Financial Markets

- Risk sentiment improved after President Trump said there was a “good chance” of a deal with Iran as the fragile ceasefire in the Middle East continued overnight. Reports from the region also suggested Iranian and Omani officials were working to restart shipping through the Strait of Hormuz. Easing concerns about supply disruptions saw oil prices tumble, with Brent crude falling almost 9% to around US\$88/bbl, the biggest one-day drop since mid-April.
- US equity markets were mixed. The S&P 500 finished broadly unchanged, while the Dow Jones Industrial Average increased 0.5% on the day. The tech-related sell-off continued, with chipmakers falling for a third consecutive session, which saw the Nasdaq continue to underperform, falling 0.2%. Volatility edged slightly higher, with the VIX Index rising 0.5% to 18.67.
- European equities were also mixed, with the Euro Stoxx 50 little changed, the German DAX up almost 1.1% on the back of stronger-than-expected economic data, and the FTSE 100 up 0.4%. In Asia, markets strengthened, with the Nikkei rising 0.5% and the Hang Seng gaining 1.0%. Locally, the S&P/ASX 200 rose 1.4% to 8,894. However, SPI futures were down 0.2%, pointing to a softer open for the Australian market.
- Bond markets rallied as the sharp fall in oil prices eased inflation concerns and, therefore, the need for further tightening in the months ahead. In the US, the 2-year Treasury yield fell 1bp to 4.32%, while the 10-year Treasury yield declined 3bps to 4.65%. Traders are now pricing in roughly a 38% chance of a rate hike at this week's Federal Reserve meeting, up from just 13% a week ago. European bond yields also moved lower, with German 10-year Bund yields falling 4bps to 3.13% and UK 10-year gilt yields declining 4bps to 5.00%. Japanese 10-year government bond yields fell 3bps to 2.79%.
- Australian bond yields moved lower across the curve. The 3-year government bond yield fell 10bps to 4.62%, while the 10-year yield declined 9bps to 5.0%. In futures markets, however, yields rose modestly, with the 3-year and 10-year futures yields up 3bps and 2bps to 4.65% and 5.05%, respectively. OIS pricing suggests a terminal cash rate of around 4.60% this year, with the market pricing in one more hike by December this year.
- In foreign exchange markets, the US dollar index was broadly unchanged at 101.50. The Australian dollar strengthened, rising 0.2% against the US dollar to US\$0.6990. The Aussie also gained against most major currencies, including the Canadian dollar (+0.7%), pound sterling (+0.4%), New Zealand dollar (+0.3%), euro (+0.1%), Japanese yen (+0.1%),

Today's key data and events

Time	Event	Exp	Prev
22:30	US Wholesale Inventories Jun Prel.	0.5%	0.1%
23:00	US FHFA House Prices May	0.1%	-0.1%
23:00	US S&P/CS Home Price Index May	0.0%	0.0%
0:00	US Richmond Fed Manufacturing Jul	6pts	4pts
0:00	US Consumer Confidence Jul	92pts	91.2pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

Singapore dollar (+0.1%), and Hong Kong dollar (+0.1%). The trade-weighted index rose 0.3% to 65.6.

- Commodity markets were generally weaker. The CRB commodity index fell 3.1%, reflecting broad-based declines across energy and carbon markets. WTI crude oil dropped 7.5% to US\$82.61/bbl as concerns over Middle East supply disruptions eased. Iron ore slipped 0.3% to US\$97.95/t, while thermal coal fell 2.4%. Carbon prices were also weaker, with ACCUs down 4.3%. Offsetting some of the weakness, coking coal rose 0.8%, copper gained 0.6%, and gold added 0.6%.

International Data

After large swings over the prior two months, **US durable goods** orders rose only 0.3%*mt* in June, falling short of expectations for a 1.8%*mt* gain. Excluding transportation – a category that typically drives much of the volatility – the underlying picture was firmer, with orders up 0.6%*mt*. Core orders – capital goods excluding defence and aircraft – were stronger still, rising 0.9%*mt*, led by categories linked to the AI investment boom.

The **Dallas Fed Manufacturing Activity** Survey of Texas business executives reported an improvement in business conditions this month. The headline index edged up from zero to 1.3pts, its highest level in eighteen months. Production and new orders made notable gains, while input cost inflation remained elevated, albeit slightly lower than in the prior month.

Chinese industrial profits maintained a strong pace in June, with year-to-date growth at 18.7% – little changed from the prior two months and well above the near-zero growth recorded in 2025. However, the data continued to highlight large divergences across sectors. Manufacturing profits rose 20.1%*yr* YTD, but consumer-driven sectors – including car, furniture and apparel manufacturers – saw profitability contract rapidly.

The **German Ifo Business Climate Survey** suggested that business sentiment in the euro area's largest economy continues to recover gradually. The headline index rose by almost 1pt this month to 86.6 – around 2pts above its April trough, but still about 2pts below its February level, before the Middle East war broke out.

Local Data

There was no top tier data released yesterday.



Corporate Directory

Westpac Economics / Australia

Sydney

Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis

Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan

Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke

Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner

Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk

Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante

Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas

Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells

Economist
E: ryan.wells@westpac.com.au

Illiana Jain

Economist
E: illiana.jain@westpac.com.au

Neha Sharma

Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic

Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland

Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold

Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon

Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs

Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod

Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark

Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva

1 Thomson Street
Suva, Fiji

Shamal Chand

Senior Economist
E: shamal.chand@westpac.com.au



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7 year swap	4.74	-0.03
8 year swap	4.79	-0.02
9 year swap	4.84	-0.02
10 year swap	4.88	-0.02

Government Bond Yields	Close	Change
Australia		
3 year bond	4.62	-0.10
10 year bond	5.00	-0.09
United States		
3-month T Bill	3.80	-0.01
2 year bond	4.32	-0.01
10 year bond	4.65	-0.03
Other (10 year yields)		
Germany	3.13	-0.04
Japan	2.79	-0.03
UK	5.00	-0.04

Sydney Futures Exchange	Current	Change
10 yr bond	5.05	0.02
3 yr bond	4.65	0.03
3 mth bill rate	4.47	0.00
SPI 200	8,821	-0.2%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



Pat Bustamante
Senior Economist, Westpac Group
P: +61 468 571 786
E: pat.bustamante@westpac.com.au

Financial Markets

- Risk sentiment improved after President Trump said there was a “good chance” of a deal with Iran as the fragile ceasefire in the Middle East continued overnight. Reports from the region also suggested Iranian and Omani officials were working to restart shipping through the Strait of Hormuz. Easing concerns about supply disruptions saw oil prices tumble, with Brent crude falling almost 9% to around US\$88/bbl, the biggest one-day drop since mid-April.
- US equity markets were mixed. The S&P 500 finished broadly unchanged, while the Dow Jones Industrial Average increased 0.5% on the day. The tech-related sell-off continued, with chipmakers falling for a third consecutive session, which saw the Nasdaq continue to underperform, falling 0.2%. Volatility edged slightly higher, with the VIX Index rising 0.5% to 18.67.
- European equities were also mixed, with the Euro Stoxx 50 little changed, the German DAX up almost 1.1% on the back of stronger-than-expected economic data, and the FTSE 100 up 0.4%. In Asia, markets strengthened, with the Nikkei rising 0.5% and the Hang Seng gaining 1.0%. Locally, the S&P/ASX 200 rose 1.4% to 8,894. However, SPI futures were down 0.2%, pointing to a softer open for the Australian market.
- Bond markets rallied as the sharp fall in oil prices eased inflation concerns and, therefore, the need for further tightening in the months ahead. In the US, the 2-year Treasury yield fell 1bp to 4.32%, while the 10-year Treasury yield declined 3bps to 4.65%. Traders are now pricing in roughly a 38% chance of a rate hike at this week's Federal Reserve meeting, up from just 13% a week ago. European bond yields also moved lower, with German 10-year Bund yields falling 4bps to 3.13% and UK 10-year gilt yields declining 4bps to 5.00%. Japanese 10-year government bond yields fell 3bps to 2.79%.
- Australian bond yields moved lower across the curve. The 3-year government bond yield fell 10bps to 4.62%, while the 10-year yield declined 9bps to 5.0%. In futures markets, however, yields rose modestly, with the 3-year and 10-year futures yields up 3bps and 2bps to 4.65% and 5.05%, respectively. OIS pricing suggests a terminal cash rate of around 4.60% this year, with the market pricing in one more hike by December this year.
- In foreign exchange markets, the US dollar index was broadly unchanged at 101.50. The Australian dollar strengthened, rising 0.2% against the US dollar to US\$0.6990. The Aussie also gained against most major currencies, including the Canadian dollar (+0.7%), pound sterling (+0.4%), New Zealand dollar (+0.3%), euro (+0.1%), Japanese yen (+0.1%),

Today's key data and events

Time	Event	Exp	Prev
22:30	US Wholesale Inventories Jun Prel.	0.5%	0.1%
23:00	US FHFA House Prices May	0.1%	-0.1%
23:00	US S&P/CS Home Price Index May	0.0%	0.0%
0:00	US Richmond Fed Manufacturing Jul	6pts	4pts
0:00	US Consumer Confidence Jul	92pts	91.2pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

Singapore dollar (+0.1%), and Hong Kong dollar (+0.1%). The trade-weighted index rose 0.3% to 65.6.

- Commodity markets were generally weaker. The CRB commodity index fell 3.1%, reflecting broad-based declines across energy and carbon markets. WTI crude oil dropped 7.5% to US\$82.61/bbl as concerns over Middle East supply disruptions eased. Iron ore slipped 0.3% to US\$97.95/t, while thermal coal fell 2.4%. Carbon prices were also weaker, with ACCUs down 4.3%. Offsetting some of the weakness, coking coal rose 0.8%, copper gained 0.6%, and gold added 0.6%.

International Data

After large swings over the prior two months, **US durable goods** orders rose only 0.3%*mt* in June, falling short of expectations for a 1.8%*mt* gain. Excluding transportation – a category that typically drives much of the volatility – the underlying picture was firmer, with orders up 0.6%*mt*. Core orders – capital goods excluding defence and aircraft – were stronger still, rising 0.9%*mt*, led by categories linked to the AI investment boom.

The **Dallas Fed Manufacturing Activity** Survey of Texas business executives reported an improvement in business conditions this month. The headline index edged up from zero to 1.3pts, its highest level in eighteen months. Production and new orders made notable gains, while input cost inflation remained elevated, albeit slightly lower than in the prior month.

Chinese industrial profits maintained a strong pace in June, with year-to-date growth at 18.7% – little changed from the prior two months and well above the near-zero growth recorded in 2025. However, the data continued to highlight large divergences across sectors. Manufacturing profits rose 20.1%*yr* YTD, but consumer-driven sectors – including car, furniture and apparel manufacturers – saw profitability contract rapidly.

The **German Ifo Business Climate Survey** suggested that business sentiment in the euro area's largest economy continues to recover gradually. The headline index rose by almost 1pt this month to 86.6 – around 2pts above its April trough, but still about 2pts below its February level, before the Middle East war broke out.

Local Data

There was no top tier data released yesterday.



Corporate Directory

Westpac Economics / Australia

Sydney

Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis

Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan

Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke

Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner

Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk

Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante

Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas

Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells

Economist
E: ryan.wells@westpac.com.au

Illiana Jain

Economist
E: illiana.jain@westpac.com.au

Neha Sharma

Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic

Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland

Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold

Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon

Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs

Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod

Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark

Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva

1 Thomson Street
Suva, Fiji

Shamal Chand

Senior Economist
E: shamal.chand@westpac.com.au



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8 year swap	4.79	-0.02
9 year swap	4.84	-0.02
10 year swap	4.88	-0.02

Government Bond Yields	Close	Change
Australia		
3 year bond	4.62	-0.10
10 year bond	5.00	-0.09
United States		
3-month T Bill	3.80	-0.01
2 year bond	4.32	-0.01
10 year bond	4.65	-0.03
Other (10 year yields)		
Germany	3.13	-0.04
Japan	2.79	-0.03
UK	5.00	-0.04

Sydney Futures Exchange	Current	Change
10 yr bond	5.05	0.02
3 yr bond	4.65	0.03
3 mth bill rate	4.47	0.00
SPI 200	8,821	-0.2%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



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P: +61 468 571 786
E: pat.bustamante@westpac.com.au

Financial Markets

- Risk sentiment improved after President Trump said there was a “good chance” of a deal with Iran as the fragile ceasefire in the Middle East continued overnight. Reports from the region also suggested Iranian and Omani officials were working to restart shipping through the Strait of Hormuz. Easing concerns about supply disruptions saw oil prices tumble, with Brent crude falling almost 9% to around US\$88/bbl, the biggest one-day drop since mid-April.
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Today's key data and events

Time	Event	Exp	Prev
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Singapore dollar (+0.1%), and Hong Kong dollar (+0.1%). The trade-weighted index rose 0.3% to 65.6.

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Corporate Directory

Westpac Economics / Australia

Sydney

Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis

Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan

Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke

Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner

Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk

Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante

Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas

Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells

Economist
E: ryan.wells@westpac.com.au

Illiana Jain

Economist
E: illiana.jain@westpac.com.au

Neha Sharma

Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic

Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland

Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold

Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon

Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs

Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod

Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark

Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva

1 Thomson Street
Suva, Fiji

Shamal Chand

Senior Economist
E: shamal.chand@westpac.com.au



 westpaciq.com.au

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28 July 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Risk sentiment improved after President Trump said there was a “good chance” of a deal with Iran as the fragile ceasefire in the Middle East continued overnight. The price of Brent crude fell almost 9% to around US\$88/bbl, the biggest one-day drop since mid-April.

This saw riskier assets rally, with equities outside of tech across the US and Europe generally higher. The tech sell-off continued overnight, with the Nasdaq continuing to underperform.

Bond markets rallied on the back of lower oil prices, with yields down across the US and Europe. In the US, 10-year yields have fallen around 5bps over the past two sessions. Markets continue to price in around a 38% chance of a hike when the Fed meets later this week.

The US dollar was broadly unchanged, while the Aussie was higher against the greenback and a number of crosses.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.6	0.3%
AUD/USD	0.6990	0.2%
AUD/JPY	114.45	0.1%
AUD/GBP	0.5259	0.4%
AUD/NZD	1.2106	0.3%
AUD/EUR	0.6147	0.1%
AUD/CNH	4.7289	0.0%
AUD/SGD	0.9025	0.1%
AUD/HKD	5.4823	0.1%
AUD/CAD	0.9872	0.7%
EUR/USD	1.1373	0.0%
USD/JPY	163.72	0.0%
USD Index	101.50	0.0%

Equities	Close	Change
S&P/ASX 200	8,894	1.4%
S&P 500	7,413	0.0%
Japan Nikkei	64,931	0.5%
Hang Seng	25,207	1.0%
Euro Stoxx 50	6,282	0.0%
UK FTSE100	10,782	0.4%
VIX Index	18.67	0.5%

Commodities	Current	Change
CRB Index	383.49	-3.1%
Gold	4076.68	0.6%
Copper	13732	0.6%
Oil (WTI futures)	82.61	-7.5%
Coal (coking)	222.83	0.8%
Coal (thermal)	134.50	-2.4%
Iron Ore	97.95	-0.3%
ACCU	36.13	-4.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.40	0.00
90 day BBSY	4.59	0.00
180 day BBSY	4.93	0.00
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Pat Bustamante
Senior Economist, Westpac Group
P: +61 468 571 786
E: pat.bustamante@westpac.com.au

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Corporate Directory

Westpac Economics / Australia

Sydney

Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis

Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan

Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke

Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner

Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk

Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante

Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas

Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells

Economist
E: ryan.wells@westpac.com.au

Illiana Jain

Economist
E: illiana.jain@westpac.com.au

Neha Sharma

Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic

Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland

Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold

Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon

Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs

Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod

Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark

Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva

1 Thomson Street
Suva, Fiji

Shamal Chand

Senior Economist
E: shamal.chand@westpac.com.au



 westpaciq.com.au

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24 July 2026

JUNE CPI PREVIEW

Quarterly trimmed mean in focus

Key points

- We expect June CPI to rise 0.4%*mth*, lifting the annual pace to 4.2%*yr* from 4.0%*yr* in May. On a seasonally adjusted basis, we expect a 0.2%*mth* increase.
- Monthly trimmed mean inflation is forecast to be 0.4%*mth*, taking the annual pace to 3.7%*yr*. However, market attention will be firmly on the quarterly trimmed mean, which we expect to rise 0.9%*qtr* and lift the annual pace to 3.7%*yr*.
- Recreation & culture and housing are expected to be the key drivers of the monthly outcome, reflecting higher holiday travel, rents and new dwelling purchase costs. These gains are expected to be partly offset by a sharp decline in automotive fuel prices.
- Risks remain two-sided, with holiday travel and stronger-than-expected EOFY discounting posing downside risks, while housing and domestic market services could again surprise to the upside.

Breakdown: Q2 Quarterly & June Monthly CPI

	Q2	Apr	May	Jun
	Qtr fcs	Mth	Mth	Mth fcs
Item	% qtr	% mth	% mth	% mth
Food	0.9	0.1	0.6	0.2
of which, bread & cereals	-0.3	-0.3	0.2	0.0
of which, meat & seafood	0.8	-0.3	1.1	-0.4
of which, dairy & related prod.	1.7	-0.2	2.3	0.1
of which, fruit & vegetables	3.8	0.7	1.1	2.0
of which, food products nec	-0.6	0.2	-0.9	0.2
of which, non-alcohol bev.	1.0	-0.7	1.5	0.5
Alcohol & tobacco	0.6	-0.5	0.9	-0.1
of which, alcohol	0.2	-1.0	1.3	-0.3
of which, tobacco	1.7	0.7	-0.1	0.4
Clothing & footwear	1.2	3.9	-2.9	-0.7
of which, garments	1.3	4.8	-3.3	-1.6
Housing	0.9	0.2	0.5	0.5
of which, rents	0.8	0.2	0.4	0.4
of which, house purchases	1.9	0.7	0.9	0.7
of which, electricity	0.1	-0.9	0.9	0.0
of which, gas & other fuels	-1.6	-0.6	-3.1	3.3
H/hold contents & services	0.3	-0.3	0.3	-1.0
Health	2.2	2.6	-0.5	0.0
Transportation	-0.7	-2.7	-3.9	-2.6
of which, auto fuel	-1.9	-7.0	-11.9	-10.2
Communication	0.6	0.4	0.2	-0.9
Recreation	0.3	2.6	-3.1	4.4
of which, holiday travel	0.4	5.5	-6.9	8.1
Education	0.3	0.0	0.0	0.0
Financial & insurance services	0.9	0.1	0.2	0.5
CPI: All groups	0.7	0.4	-0.7	0.4
CPI: Trimmed mean	0.9	0.3	0.4	0.4

Sources: ABS, Westpac Banking Corporation

A story of persistence



Neha Sharma
Economist

Underlying price pressures will be firm in June ...

The May monthly CPI provided a mixed read on price pressures in the economy. Headline CPI came in below our expectations, falling 0.7%*mth*, largely on account of weaker-than-expected holiday travel and clothing & footwear prices. Meanwhile, the monthly trimmed mean (TM) was in line with our expectations rising 0.4%*mth* – the second strongest read in the monthly series' short history. Even within this, there were several surprises, including firmer reads for new dwelling purchase costs, rents and several market services categories such as restaurant meals and repair costs.

The June data will overlap a period of easing tensions in the Middle East. A ceasefire was in place, with a memorandum of understanding signed between the US and Iran helping to calm concerns around further oil price spikes and other supply chain pressures. Consistent with this, survey measures pointed to a moderation in cost pressures, with purchase and output price growth slowing to 2.0%*qtr* and 0.6%*qtr*, respectively (see [here](#)). Average announced price increases for construction materials also continued to ease, declining from 17% in May to 11% in June, 9% in July and 7% in August. Meanwhile, consumer's year-ahead inflation expectations also nudged lower and have reached around pre-conflict levels, though they remain elevated at 4.7%. Although these are promising signs of moderation, the recent re-escalation in hostilities will keep upside risks to inflation front of mind for the RBA.

... but all focus will be on the quarterly outcome

We expect the June monthly CPI to rise 0.4%*mth*, taking the annual pace to 4.2%*yr* from 4.0%*yr* in May. On a seasonally adjusted basis, we expect a 0.2%*mth* lift. We estimate monthly TM inflation to rise 0.4%*mth*, taking the annual pace to 3.7%*yr* from 3.6%*yr* in May.

The largest contributors to the monthly print are recreation & culture (+0.6ppts) and housing (+0.1ppt). Partly offsetting these are transport (–0.3ppts) and household furnishings (–0.1ppt).

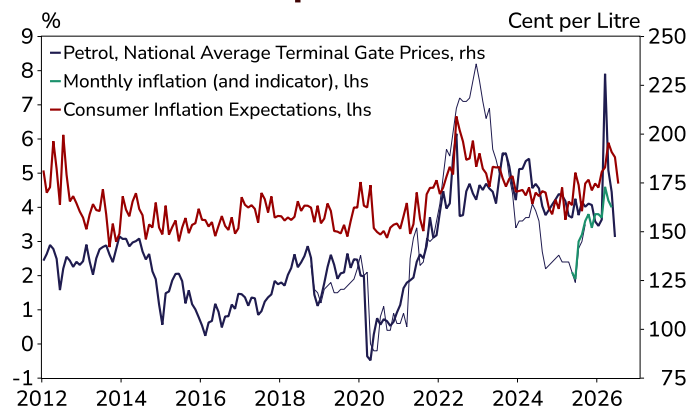
The policy-relevant quarterly TM, which is calculated on a pre-October 2025 basis, will be the focus of next week's release. We expect TM inflation to be 0.9%*qtr* (0.91%*qtr* to 2dp) in Q2, lifting the annual pace to 3.7%*yr* (see page 4 for more information). For the quarterly headline CPI print, we expect a 0.7%*qtr* lift in Q2, easing the annual pace to 4.0%*yr*.

Breakdown Monthly CPI Indicator

	Mar	Apr	May	Jun
	Mth	Mth	Mth	Mth fcs
Item	%yr	%yr	%yr	%yr
Food	3.1	2.8	3.3	3.1
of which, bread & cereals	0.6	0.7	1.5	1.7
of which, meat & seafood	4.8	5.0	5.4	5.2
of which, dairy prod.	2.5	2.3	5.2	5.1
of which, fruit & vegetables	1.8	0.1	2.0	1.7
of which, food products	2.9	2.2	1.6	1.8
of which, non-alcohol bev.	2.2	2.0	1.5	1.6
Alcohol & tobacco	4.4	4.3	4.7	4.8
of which, alcohol	1.7	1.6	2.2	2.0
of which, tobacco	11.2	10.7	10.9	11.6
Clothing & footwear	7.1	5.9	5.0	5.2
of which, garments	4.3	3.1	2.1	3.1
Housing	6.5	6.3	6.5	6.9
of which, rents	3.7	3.5	3.6	3.7
of which, house purchases	4.5	4.7	5.6	6.1
of which, electricity	25.4	22.5	21.1	21.6
of which, gas & other fuels	5.7	5.7	4.9	7.8
H/hold contents & services	1.4	1.2	1.7	1.8
Health	3.0	4.0	3.8	3.8
Transportation	8.9	6.6	3.3	0.2
of which, auto fuel	24.2	18.6	7.7	–6.6
Communication	1.4	1.5	2.1	2.0
Recreation	2.8	2.5	2.4	6.0
of which, holiday travel	2.2	1.7	1.9	7.5
Education	4.8	4.8	4.8	4.8
Financial & insurance	2.8	3.0	3.2	3.2
CPI: All groups	4.6	4.2	4.0	4.2
CPI: Trimmed mean	3.7	3.4	3.6	3.7

Sources: ABS, Westpac Banking Corporation

Consumer inflation expectations



Source: Melbourne Institute of Applied Economic & Social Research, AIP, ABS, Macrobond, Westpac Economics

Key details

Food & non-alcoholic beverages are expected to rise 0.2%*mth* in June, driven by a 2.0%*mth* increase in fruit & vegetable prices. Meals out & takeaway is expected to lift a more modest 0.1%*mth*, following the strong 0.5%*mth* rise in May, which the ABS attributed to higher ingredient and labour costs. Looking ahead, we continue to expect food inflation to pick up as the effects of El Niño, together with higher fertiliser, diesel and wage costs, increasingly flow through to both grocery and dining-out prices. We expect food inflation to lift from 3.9%*yr* in June to 4.7%*yr* by year-end.

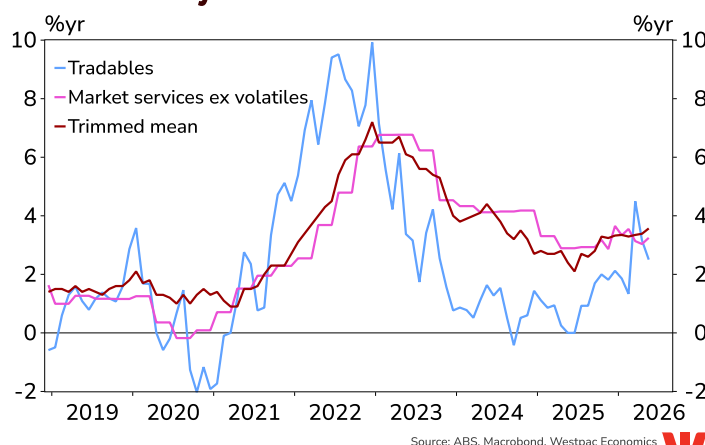
Transport is expected to fall 2.6%*mth* in June, driven by a 10.2%*mth* decline in automotive fuel. Retail petrol and diesel prices continued to ease over the month, averaging \$1.60/l and \$1.85/l, respectively. Petrol prices fell below pre-conflict levels, while diesel prices remained modestly higher. June also marked the final month of the 32c/l fuel excise reduction, before a one-month reduced discount of 16c/l came into effect in July. Urban transport fares are expected to contribute modestly, reflecting Vic's move to half-price public transport in June following a period of free public transport over April–May.

Housing is expected to rise 0.5%*mth*.

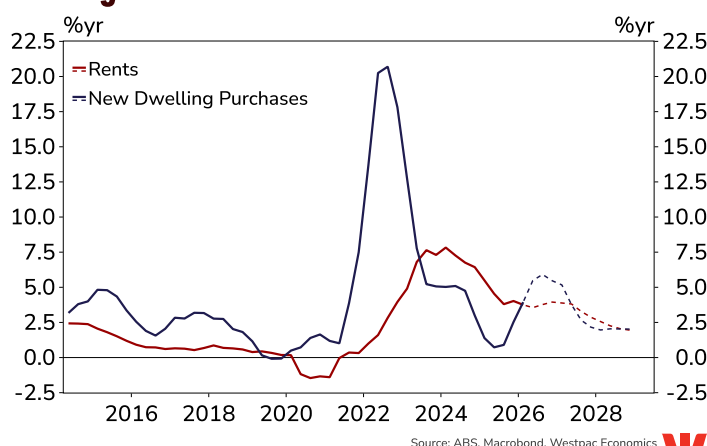
- Rents are expected to rise 0.4%*mth* in June, matching the increase recorded in May and lifting annual rent inflation to 3.7%*yr*. We continue to expect upward pressure on rents in the months ahead, with advertised rent growth still running well ahead of CPI rents and vacancy rates remaining historically tight. Our forecasts have rent inflation peaking at 4.0%*yr* in October. However, affordability constraints and a softening labour market may limit the extent of the acceleration.
- New dwelling purchases are expected to rise 0.7%*mth* in June, following gains of 0.9%*mth* and 0.7%*mth* over the previous two months. This would lift annual inflation to 6.1%*yr*, the highest rate in almost three years. As noted last month, competition for labour and materials from non-residential construction is likely to add to cost pressures over the year ahead. However, a more pronounced downturn in established housing markets could limit the extent to which developers are able to maintain margins by passing through higher costs to new builds.

Recreation & culture is expected to rise 4.4%*mth* in June, driven primarily by an 8.1%*mth* increase in holiday travel. Holiday travel has been the key source of forecast misses recently, with higher airline operating and jet fuel costs not flowing through to travel prices as strongly as anticipated. Apple also announced price increases for some hardware and subscription services, reflecting higher memory and storage chip costs associated with the AI-driven surge in demand. However, given the late in the month timing of these changes, we expect most of the impact to be reflected in the July CPI.

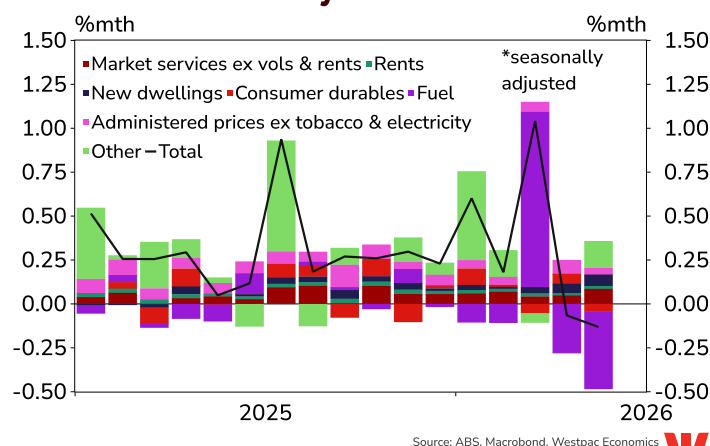
Inflation: analytical measures



Housing inflation with forecasts



Contribution to monthly CPI inflation



Risks to June baseline

Holiday travel remains the key risk, having been the largest source of forecast misses in recent months. Airline fares have proven less responsive to higher jet fuel costs than historical relationships would suggest, raising the possibility that holiday travel prices could again be weaker-than-expected. International experience has also been mixed, with some countries, including the US and South Korea, recording sharp increases in airfares, while outcomes in others, like New Zealand, have been benign. Deeper-than-expected discounting in clothing, footwear and household furnishings during end-of-financial-year sales also presents a downside risk.

On the upside, housing inflation could again surprise. Capacity constraints in residential construction and strong growth in advertised rents may flow through to CPI housing more quickly than anticipated, as has been the case recently. Domestic market services inflation is another source of upside risk, with the strong pass-through of higher operating costs seen in May potentially recurring in June.

Quarterly profile

We released updated forecasts in our latest *Market Outlook* on 10 July (see [here](#)). The revised inflation outlook is softer than what we expected back in June, but still above the RBA's May SMP profile.

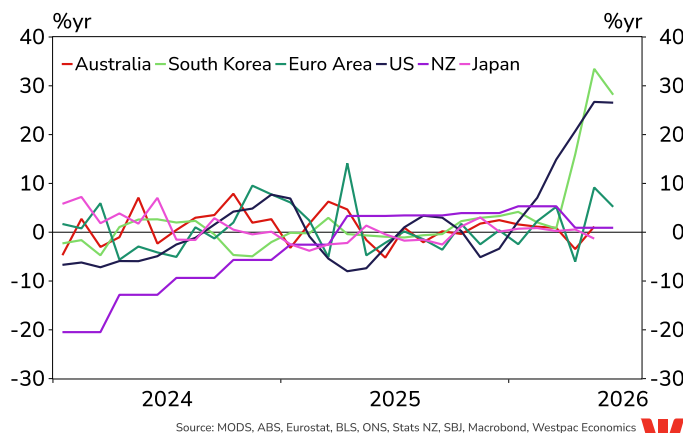
Q2 TM inflation was revised down slightly to 0.9%qtr. The downward revision primarily reflects softer outcomes for at-home food, motor vehicles and garments, partly offset by upward revisions to rents and new dwelling purchase costs.

We also lowered our Q3 and Q4 TM forecasts by 0.1ppt, to 1.0%qtr and 0.8%qtr respectively. As a result, TM inflation is now expected to peak in Q2 before easing to 3.6%yr by end-2026. Food, housing and market services remain the key areas of inflation pressure for the remainder of the year.

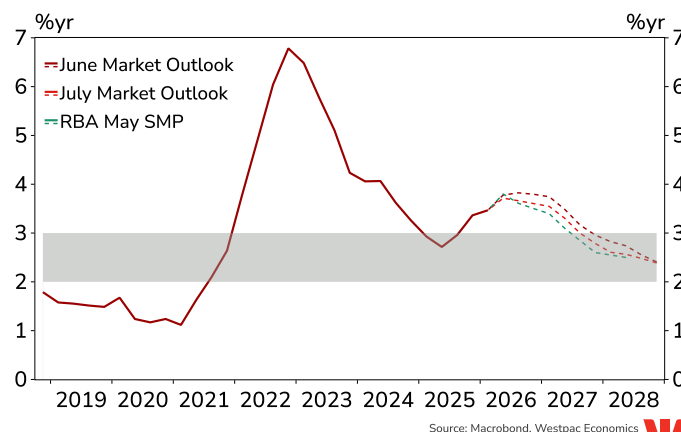
The recent re-escalation in the Middle East does not pose a material risk to our near-term inflation outlook. Periodic flare-ups in the conflict have been incorporated into our baseline forecasts for some time. Volatile moves in oil prices across July have on aggregate broadly tracked our assumptions (see [here](#)). However, given we are only a few weeks into Q3 and the conflict appears to be escalating, the balance of risks could shift.

We now expect faster disinflation from mid-2027 onwards as higher interest rates, sluggish economic growth and weaker labour market outcomes begin to impact and bring supply and demand into better balance. This will see TM inflation reach the mid-point of the RBA's target band by Q3 2028, a quarter earlier than previously envisaged, dipping below the mid-point by end-2028.

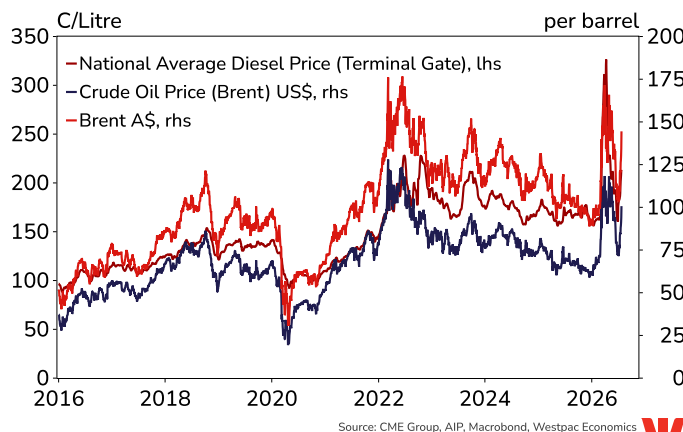
International travel inflation



Trimmed mean forecast revisions



Oil and Diesel Prices





Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au



 westpaciq.com.au

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28 July 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Risk sentiment improved after President Trump said there was a “good chance” of a deal with Iran as the fragile ceasefire in the Middle East continued overnight. The price of Brent crude fell almost 9% to around US\$88/bbl, the biggest one-day drop since mid-April.

This saw riskier assets rally, with equities outside of tech across the US and Europe generally higher. The tech sell-off continued overnight, with the Nasdaq continuing to underperform.

Bond markets rallied on the back of lower oil prices, with yields down across the US and Europe. In the US, 10-year yields have fallen around 5bps over the past two sessions. Markets continue to price in around a 38% chance of a hike when the Fed meets later this week.

The US dollar was broadly unchanged, while the Aussie was higher against the greenback and a number of crosses.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.6	0.3%
AUD/USD	0.6990	0.2%
AUD/JPY	114.45	0.1%
AUD/GBP	0.5259	0.4%
AUD/NZD	1.2106	0.3%
AUD/EUR	0.6147	0.1%
AUD/CNH	4.7289	0.0%
AUD/SGD	0.9025	0.1%
AUD/HKD	5.4823	0.1%
AUD/CAD	0.9872	0.7%
EUR/USD	1.1373	0.0%
USD/JPY	163.72	0.0%
USD Index	101.50	0.0%

Equities	Close	Change
S&P/ASX 200	8,894	1.4%
S&P 500	7,413	0.0%
Japan Nikkei	64,931	0.5%
Hang Seng	25,207	1.0%
Euro Stoxx 50	6,282	0.0%
UK FTSE100	10,782	0.4%
VIX Index	18.67	0.5%

Commodities	Current	Change
CRB Index	383.49	-3.1%
Gold	4076.68	0.6%
Copper	13732	0.6%
Oil (WTI futures)	82.61	-7.5%
Coal (coking)	222.83	0.8%
Coal (thermal)	134.50	-2.4%
Iron Ore	97.95	-0.3%
ACCU	36.13	-4.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.40	0.00
90 day BBSY	4.59	0.00
180 day BBSY	4.93	0.00
1 year swap	4.67	-0.01
2 year swap	4.66	-0.02
3 year swap	4.63	-0.03
4 year swap	4.63	-0.03
5 year swap	4.66	-0.03
6 year swap	4.70	-0.03
7 year swap	4.74	-0.03
8 year swap	4.79	-0.02
9 year swap	4.84	-0.02
10 year swap	4.88	-0.02

Government Bond Yields	Close	Change
Australia		
3 year bond	4.62	-0.10
10 year bond	5.00	-0.09
United States		
3-month T Bill	3.80	-0.01
2 year bond	4.32	-0.01
10 year bond	4.65	-0.03
Other (10 year yields)		
Germany	3.13	-0.04
Japan	2.79	-0.03
UK	5.00	-0.04

Sydney Futures Exchange	Current	Change
10 yr bond	5.05	0.02
3 yr bond	4.65	0.03
3 mth bill rate	4.47	0.00
SPI 200	8,821	-0.2%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



Pat Bustamante
Senior Economist, Westpac Group
P: +61 468 571 786
E: pat.bustamante@westpac.com.au

Financial Markets

- Risk sentiment improved after President Trump said there was a “good chance” of a deal with Iran as the fragile ceasefire in the Middle East continued overnight. Reports from the region also suggested Iranian and Omani officials were working to restart shipping through the Strait of Hormuz. Easing concerns about supply disruptions saw oil prices tumble, with Brent crude falling almost 9% to around US\$88/bbl, the biggest one-day drop since mid-April.
- US equity markets were mixed. The S&P 500 finished broadly unchanged, while the Dow Jones Industrial Average increased 0.5% on the day. The tech-related sell-off continued, with chipmakers falling for a third consecutive session, which saw the Nasdaq continue to underperform, falling 0.2%. Volatility edged slightly higher, with the VIX Index rising 0.5% to 18.67.
- European equities were also mixed, with the Euro Stoxx 50 little changed, the German DAX up almost 1.1% on the back of stronger-than-expected economic data, and the FTSE 100 up 0.4%. In Asia, markets strengthened, with the Nikkei rising 0.5% and the Hang Seng gaining 1.0%. Locally, the S&P/ASX 200 rose 1.4% to 8,894. However, SPI futures were down 0.2%, pointing to a softer open for the Australian market.
- Bond markets rallied as the sharp fall in oil prices eased inflation concerns and, therefore, the need for further tightening in the months ahead. In the US, the 2-year Treasury yield fell 1bp to 4.32%, while the 10-year Treasury yield declined 3bps to 4.65%. Traders are now pricing in roughly a 38% chance of a rate hike at this week's Federal Reserve meeting, up from just 13% a week ago. European bond yields also moved lower, with German 10-year Bund yields falling 4bps to 3.13% and UK 10-year gilt yields declining 4bps to 5.00%. Japanese 10-year government bond yields fell 3bps to 2.79%.
- Australian bond yields moved lower across the curve. The 3-year government bond yield fell 10bps to 4.62%, while the 10-year yield declined 9bps to 5.0%. In futures markets, however, yields rose modestly, with the 3-year and 10-year futures yields up 3bps and 2bps to 4.65% and 5.05%, respectively. OIS pricing suggests a terminal cash rate of around 4.60% this year, with the market pricing in one more hike by December this year.
- In foreign exchange markets, the US dollar index was broadly unchanged at 101.50. The Australian dollar strengthened, rising 0.2% against the US dollar to US\$0.6990. The Aussie also gained against most major currencies, including the Canadian dollar (+0.7%), pound sterling (+0.4%), New Zealand dollar (+0.3%), euro (+0.1%), Japanese yen (+0.1%),

Today's key data and events

Time	Event	Exp	Prev
22:30	US Wholesale Inventories Jun Prel.	0.5%	0.1%
23:00	US FHFA House Prices May	0.1%	-0.1%
23:00	US S&P/CS Home Price Index May	0.0%	0.0%
0:00	US Richmond Fed Manufacturing Jul	6pts	4pts
0:00	US Consumer Confidence Jul	92pts	91.2pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

Singapore dollar (+0.1%), and Hong Kong dollar (+0.1%). The trade-weighted index rose 0.3% to 65.6.

- Commodity markets were generally weaker. The CRB commodity index fell 3.1%, reflecting broad-based declines across energy and carbon markets. WTI crude oil dropped 7.5% to US\$82.61/bbl as concerns over Middle East supply disruptions eased. Iron ore slipped 0.3% to US\$97.95/t, while thermal coal fell 2.4%. Carbon prices were also weaker, with ACCUs down 4.3%. Offsetting some of the weakness, coking coal rose 0.8%, copper gained 0.6%, and gold added 0.6%.

International Data

After large swings over the prior two months, **US durable goods** orders rose only 0.3%*mt* in June, falling short of expectations for a 1.8%*mt* gain. Excluding transportation – a category that typically drives much of the volatility – the underlying picture was firmer, with orders up 0.6%*mt*. Core orders – capital goods excluding defence and aircraft – were stronger still, rising 0.9%*mt*, led by categories linked to the AI investment boom.

The **Dallas Fed Manufacturing Activity** Survey of Texas business executives reported an improvement in business conditions this month. The headline index edged up from zero to 1.3pts, its highest level in eighteen months. Production and new orders made notable gains, while input cost inflation remained elevated, albeit slightly lower than in the prior month.

Chinese industrial profits maintained a strong pace in June, with year-to-date growth at 18.7% – little changed from the prior two months and well above the near-zero growth recorded in 2025. However, the data continued to highlight large divergences across sectors. Manufacturing profits rose 20.1%*yr* YTD, but consumer-driven sectors – including car, furniture and apparel manufacturers – saw profitability contract rapidly.

The **German Ifo Business Climate Survey** suggested that business sentiment in the euro area's largest economy continues to recover gradually. The headline index rose by almost 1pt this month to 86.6 – around 2pts above its April trough, but still about 2pts below its February level, before the Middle East war broke out.

Local Data

There was no top tier data released yesterday.



Corporate Directory

Westpac Economics / Australia

Sydney

Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis

Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan

Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke

Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner

Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk

Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante

Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas

Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells

Economist
E: ryan.wells@westpac.com.au

Illiana Jain

Economist
E: illiana.jain@westpac.com.au

Neha Sharma

Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic

Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland

Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold

Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon

Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs

Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod

Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark

Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva

1 Thomson Street
Suva, Fiji

Shamal Chand

Senior Economist
E: shamal.chand@westpac.com.au



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Cliff Notes: frayed nerves

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By [Elliot Clarke](#), [Ryan Wells](#) & [Illiana Jain](#)

10:44 July 17 2026

 Share

Key insights from the week that was.



The [Westpac–MI Consumer Sentiment Index](#) rose 4.1% in July; but at 83.9, the index is still in the bottom decile of historical outcomes, pointing to deep pessimism. Lower fuel prices have provided some breathing room, contributing to a less-negative assessment of ‘family finances vs a year ago’ (+5.6%) and ‘family finances next 12mths’ (+13.4%). Consumers remain sensitive to developments in the Middle East, however, last week’s re-escalation of the conflict resulting in a progressive

deterioration in daily responses while the survey was in the field.

Views on the economic outlook are weak and little changed, the one- and five-years ahead sub-indexes lifting just 0.6% and 0.7% in the month; more encouragingly, concerns over the jobs outlook have eased. Most consumers still expect mortgage rates to rise over the next year, though the share has declined from 66% to 60%, with a rising proportion reporting uncertainty about where rates are headed. Ultimately, the survey reported a reprieve from worst-case fears but is also evidence of the scale of challenges ahead.

The latest NAB business survey echoed similar themes. Business confidence continued to retrace the sharp falls seen at the onset of the Middle East conflict, rising +9pts to a less-pessimistic reading of -5. Lower fuel prices contributed to slower growth in purchase costs and final prices, but the cumulative impact of these pressures have weighted on capital expenditure plans and labour demand. Business conditions remain subdued, holding at +3 for a third consecutive month having weakened earlier in 2026. This is consistent with sluggish activity growth as households and businesses approach the outlook with caution.

Offshore, US inflation data was supportive of interest rates remaining on hold in coming months. Headline prices fell 0.4% in June as energy prices responded to the Middle East ceasefire agreed mid-month, pulling annual inflation down from 4.2%yr to 3.5%yr. Of greater significance for monetary policy, however, was the flat monthly read for core inflation, 2.6%yr.

Members of the FOMC want to see further evidence of disinflation towards the 2.0%yr target. In our view, the multi-month trends are consistent with such an out-turn, with core goods prices broadly unchanged year-to-date and core services inflation averaging just below 0.3% per month. The June PPI report corroborates this view, headline producer prices falling 0.3%, while May was revised down sharply from 1.1% to 0.6%. Ex food and energy, prices rose a modest 0.2%moth, and the prior month's gain was revised lower from 0.4% to 0.1%. The latest readings on consumer demand are also consistent with inflation returning to target, nominal control group retail sales up a modest 0.5% in June after a 0.8% gain in May, and the latest Beige Book also pointing to consumer demand being constrained by cost-of-living pressures. The duration and severity of the renewed conflict in the Middle East will be critical to the US growth outlook given University of Michigan consumer sentiment remains stuck near multi-decade lows.

Over in Asia, China's Q2 GDP and June activity data provided a mixed read on their economy. Q2 GDP met expectations at 0.9%qtr, although the annual rate disappointed at 4.3%yr. Year-to-date, growth remains broadly consistent with our expectation of 4.7%, but such an outcome would be at the lower end of authorities' 4.5–5.0% full-year target. The industrial sector continues to drive aggregate momentum, production growth rebounding to 5.3%yr in June from around 4.0%yr through April and May. But the domestic growth story remains fragile, primarily owing to declining investment, -5.7%ytd in June. Retail sales growth recovered from -0.6%yr in May to 1.0%yr in June, though that still leaves it at the lower end of the historical range. Together, the state of domestic investment and household consumption call for urgent pro-active stimulus to support cyclical momentum as well as structural change to help the gains of trade flow to the wider economy.

The Bank of Korea raised rates by 25bp this week and signalled further tightening is likely. Inflation remains elevated, due to a combination of higher energy, exchange rate and food costs alongside resilient domestic demand. But the BoK's greater challenge is managing an increasingly two-speed economy, with tech-related sectors benefiting directly from the AI and data centre investment boom while others wait for those gains to spill over. For now, policymakers appear comfortable leaning against inflation and expecting the benefits of AI production and investment to broaden; although, in the interim, this leaves Korea exposed should enthusiasm around AI turn. Investment and the implications for growth and policy is a focus of this month's edition of [The Wrap on Asia](#); and, with a particular focus on AI investment, [Chief Economist Luci Ellis' weekly essay](#).

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28 July 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Risk sentiment improved after President Trump said there was a “good chance” of a deal with Iran as the fragile ceasefire in the Middle East continued overnight. The price of Brent crude fell almost 9% to around US\$88/bbl, the biggest one-day drop since mid-April.

This saw riskier assets rally, with equities outside of tech across the US and Europe generally higher. The tech sell-off continued overnight, with the Nasdaq continuing to underperform.

Bond markets rallied on the back of lower oil prices, with yields down across the US and Europe. In the US, 10-year yields have fallen around 5bps over the past two sessions. Markets continue to price in around a 38% chance of a hike when the Fed meets later this week.

The US dollar was broadly unchanged, while the Aussie was higher against the greenback and a number of crosses.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.6	0.3%
AUD/USD	0.6990	0.2%
AUD/JPY	114.45	0.1%
AUD/GBP	0.5259	0.4%
AUD/NZD	1.2106	0.3%
AUD/EUR	0.6147	0.1%
AUD/CNH	4.7289	0.0%
AUD/SGD	0.9025	0.1%
AUD/HKD	5.4823	0.1%
AUD/CAD	0.9872	0.7%
EUR/USD	1.1373	0.0%
USD/JPY	163.72	0.0%
USD Index	101.50	0.0%

Equities	Close	Change
S&P/ASX 200	8,894	1.4%
S&P 500	7,413	0.0%
Japan Nikkei	64,931	0.5%
Hang Seng	25,207	1.0%
Euro Stoxx 50	6,282	0.0%
UK FTSE100	10,782	0.4%
VIX Index	18.67	0.5%

Commodities	Current	Change
CRB Index	383.49	-3.1%
Gold	4076.68	0.6%
Copper	13732	0.6%
Oil (WTI futures)	82.61	-7.5%
Coal (coking)	222.83	0.8%
Coal (thermal)	134.50	-2.4%
Iron Ore	97.95	-0.3%
ACCU	36.13	-4.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.40	0.00
90 day BBSY	4.59	0.00
180 day BBSY	4.93	0.00
1 year swap	4.67	-0.01
2 year swap	4.66	-0.02
3 year swap	4.63	-0.03
4 year swap	4.63	-0.03
5 year swap	4.66	-0.03
6 year swap	4.70	-0.03
7 year swap	4.74	-0.03
8 year swap	4.79	-0.02
9 year swap	4.84	-0.02
10 year swap	4.88	-0.02

Government Bond Yields	Close	Change
Australia		
3 year bond	4.62	-0.10
10 year bond	5.00	-0.09
United States		
3-month T Bill	3.80	-0.01
2 year bond	4.32	-0.01
10 year bond	4.65	-0.03
Other (10 year yields)		
Germany	3.13	-0.04
Japan	2.79	-0.03
UK	5.00	-0.04

Sydney Futures Exchange	Current	Change
10 yr bond	5.05	0.02
3 yr bond	4.65	0.03
3 mth bill rate	4.47	0.00
SPI 200	8,821	-0.2%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



Pat Bustamante
Senior Economist, Westpac Group
P: +61 468 571 786
E: pat.bustamante@westpac.com.au

Financial Markets

- Risk sentiment improved after President Trump said there was a “good chance” of a deal with Iran as the fragile ceasefire in the Middle East continued overnight. Reports from the region also suggested Iranian and Omani officials were working to restart shipping through the Strait of Hormuz. Easing concerns about supply disruptions saw oil prices tumble, with Brent crude falling almost 9% to around US\$88/bbl, the biggest one-day drop since mid-April.
- US equity markets were mixed. The S&P 500 finished broadly unchanged, while the Dow Jones Industrial Average increased 0.5% on the day. The tech-related sell-off continued, with chipmakers falling for a third consecutive session, which saw the Nasdaq continue to underperform, falling 0.2%. Volatility edged slightly higher, with the VIX Index rising 0.5% to 18.67.
- European equities were also mixed, with the Euro Stoxx 50 little changed, the German DAX up almost 1.1% on the back of stronger-than-expected economic data, and the FTSE 100 up 0.4%. In Asia, markets strengthened, with the Nikkei rising 0.5% and the Hang Seng gaining 1.0%. Locally, the S&P/ASX 200 rose 1.4% to 8,894. However, SPI futures were down 0.2%, pointing to a softer open for the Australian market.
- Bond markets rallied as the sharp fall in oil prices eased inflation concerns and, therefore, the need for further tightening in the months ahead. In the US, the 2-year Treasury yield fell 1bp to 4.32%, while the 10-year Treasury yield declined 3bps to 4.65%. Traders are now pricing in roughly a 38% chance of a rate hike at this week's Federal Reserve meeting, up from just 13% a week ago. European bond yields also moved lower, with German 10-year Bund yields falling 4bps to 3.13% and UK 10-year gilt yields declining 4bps to 5.00%. Japanese 10-year government bond yields fell 3bps to 2.79%.
- Australian bond yields moved lower across the curve. The 3-year government bond yield fell 10bps to 4.62%, while the 10-year yield declined 9bps to 5.0%. In futures markets, however, yields rose modestly, with the 3-year and 10-year futures yields up 3bps and 2bps to 4.65% and 5.05%, respectively. OIS pricing suggests a terminal cash rate of around 4.60% this year, with the market pricing in one more hike by December this year.
- In foreign exchange markets, the US dollar index was broadly unchanged at 101.50. The Australian dollar strengthened, rising 0.2% against the US dollar to US\$0.6990. The Aussie also gained against most major currencies, including the Canadian dollar (+0.7%), pound sterling (+0.4%), New Zealand dollar (+0.3%), euro (+0.1%), Japanese yen (+0.1%),

Today's key data and events

Time	Event	Exp	Prev
22:30	US Wholesale Inventories Jun Prel.	0.5%	0.1%
23:00	US FHFA House Prices May	0.1%	-0.1%
23:00	US S&P/CS Home Price Index May	0.0%	0.0%
0:00	US Richmond Fed Manufacturing Jul	6pts	4pts
0:00	US Consumer Confidence Jul	92pts	91.2pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

Singapore dollar (+0.1%), and Hong Kong dollar (+0.1%). The trade-weighted index rose 0.3% to 65.6.

- Commodity markets were generally weaker. The CRB commodity index fell 3.1%, reflecting broad-based declines across energy and carbon markets. WTI crude oil dropped 7.5% to US\$82.61/bbl as concerns over Middle East supply disruptions eased. Iron ore slipped 0.3% to US\$97.95/t, while thermal coal fell 2.4%. Carbon prices were also weaker, with ACCUs down 4.3%. Offsetting some of the weakness, coking coal rose 0.8%, copper gained 0.6%, and gold added 0.6%.

International Data

After large swings over the prior two months, **US durable goods** orders rose only 0.3%*mt* in June, falling short of expectations for a 1.8%*mt* gain. Excluding transportation – a category that typically drives much of the volatility – the underlying picture was firmer, with orders up 0.6%*mt*. Core orders – capital goods excluding defence and aircraft – were stronger still, rising 0.9%*mt*, led by categories linked to the AI investment boom.

The **Dallas Fed Manufacturing Activity** Survey of Texas business executives reported an improvement in business conditions this month. The headline index edged up from zero to 1.3pts, its highest level in eighteen months. Production and new orders made notable gains, while input cost inflation remained elevated, albeit slightly lower than in the prior month.

Chinese industrial profits maintained a strong pace in June, with year-to-date growth at 18.7% – little changed from the prior two months and well above the near-zero growth recorded in 2025. However, the data continued to highlight large divergences across sectors. Manufacturing profits rose 20.1%*yr* YTD, but consumer-driven sectors – including car, furniture and apparel manufacturers – saw profitability contract rapidly.

The **German Ifo Business Climate Survey** suggested that business sentiment in the euro area's largest economy continues to recover gradually. The headline index rose by almost 1pt this month to 86.6 – around 2pts above its April trough, but still about 2pts below its February level, before the Middle East war broke out.

Local Data

There was no top tier data released yesterday.



Corporate Directory

Westpac Economics / Australia

Sydney

Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis

Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan

Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke

Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner

Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk

Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante

Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas

Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells

Economist
E: ryan.wells@westpac.com.au

Illiana Jain

Economist
E: illiana.jain@westpac.com.au

Neha Sharma

Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic

Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland

Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold

Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon

Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs

Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod

Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark

Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva

1 Thomson Street
Suva, Fiji

Shamal Chand

Senior Economist
E: shamal.chand@westpac.com.au



 westpaciq.com.au

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June CPI – better than feared

#inflation

#australia

#rba

#economicbulletinsaustralia

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By Neha Sharma
Economist, Westpac

16:28 July 29 2026

 Share

June Quarter CPI: Headline 0.6%qtr/3.9%yr; Trimmed Mean 0.8%qtr/3.6%yr. June Monthly CPI: Headline –0.1%mt/3.8%yr, Trimmed Mean 0.3%mt/3.6%yr.



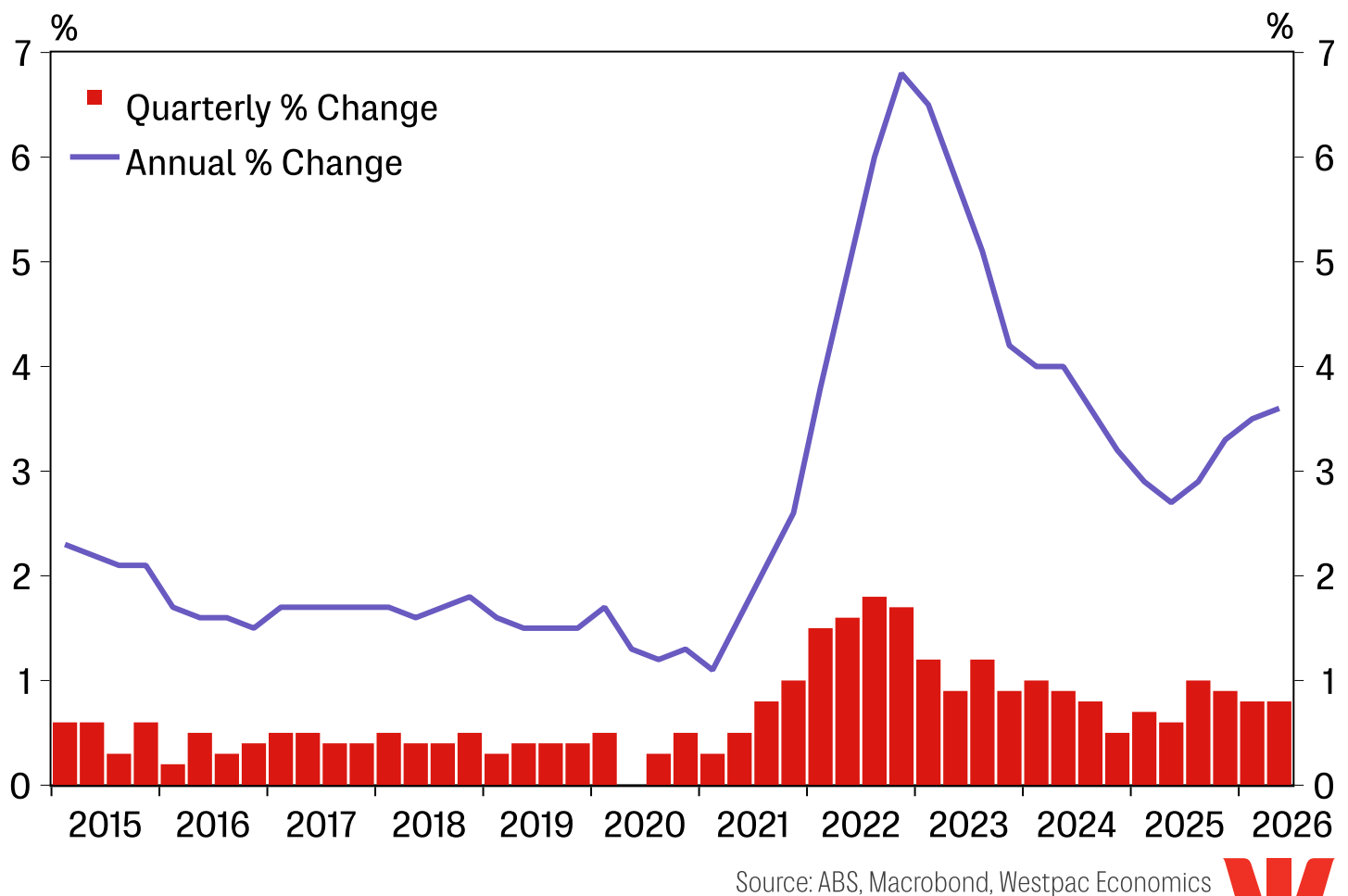
- June quarter CPI rose 0.6%qtr, below both Westpac and market expectations of 0.7%qtr, while annual headline inflation eased to 3.9%yr.

- Trimmed mean inflation printed 0.8%qtr and 3.6%yr, again below our and the market's expectations. The quarterly momentum slowed slightly from the March quarter and we saw the share of items running above 3%yr narrow.
- The June monthly CPI printed –0.1%mth and 3.8%yr. The result was also weaker than we expected as downside risks around holiday travel and seasonal discounting were materialised. The monthly trimmed mean inflation rose 0.3%mth and 3.6%yr.
- While domestic inflation pressures remain elevated, the result was less concerning than feared and reduces the risk of a renewed acceleration in inflation. As such, we no longer expect the RBA to deliver further rate hikes this year.

The CPI rose 0.6% in the June quarter, below both Westpac's forecast and market expectations of 0.7%qtr. As a result, annual headline inflation eased to 3.9%yr. The moderation in headline inflation largely reflected the temporary halving of the fuel excise over the quarter, which saw automotive fuel prices fall –2.1%qtr. Weakness elsewhere was driven by domestic travel and urban transport fares.

The trimmed mean (TM) rose 0.8% in the June quarter, taking the annual pace to 3.6% from 3.5% in the March quarter. This was also below Westpac's forecast and market expectations of 0.9%qtr and 3.7%yr. The quarterly TM pace slowed at the margin, printing at 0.81%qtr in the June quarter versus 0.84% in the March quarter. The result was also below the RBA's profile in its May Statement on Monetary Policy, which had annual TM inflation at 3.8%yr.

Trimmed Mean Inflation



Market services excluding volatile items (3mth average) came in at 0.5%qtr and 3.3%yr, with the year-ended pace holding steady from the March quarter.

We also saw a narrowing in the breadth of inflation, with the share of the basket running above 3%yr easing to 42% from 45% in the March quarter and 46% in the December quarter. We also saw the share running below 2%yr tick higher.

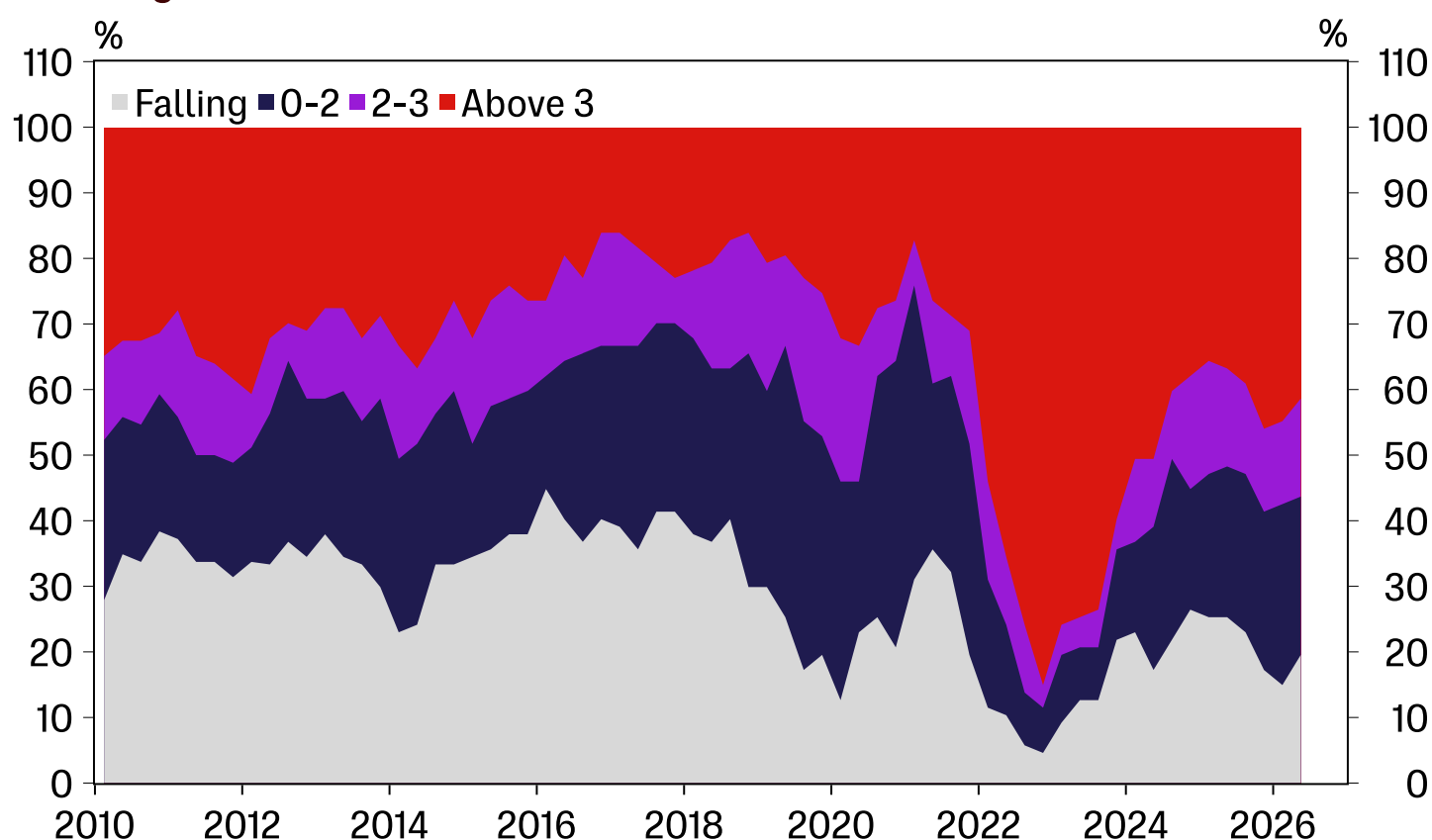
Overall, the June quarter data were less concerning than we had anticipated. We highlighted some key risks in our preview – in particular, that holiday travel and areas that see the usual end-of-financial-year discounting could come in weaker-than-expected, with stronger reads for housing and domestic market services being a potential offset. In the event, only the downside risks materialised.

As Chief Economist Luci Ellis [detailed](#) earlier today, we no longer expect the RBA to deliver further rate hikes this year. The sizeable pass-through from higher energy costs evident in the early phase of the Middle East conflict has not been sustained, reducing the risk of a renewed inflation acceleration. A November rate hike remains a possibility if inflation surprises to the upside in Q3, but it is no longer our central expectation.

Today's result suggests downside risks to our broader inflation profile. We had expected some strength in the back half of the year, some of this relating to the ongoing impact from the Middle East conflict, particularly from fertilizer prices, but also the impact of weather events and the higher minimum wage outcome. We will revisit these in an upcoming bulletin once we have processed all the data, accounting for the lower starting point.

Inflation Sub-Categories

Annual growth as a share of the basket



Source: ABS, Macrobond, Westpac Economics



June month in more detail (all monthly figures are non-seasonally adjusted unless stated):

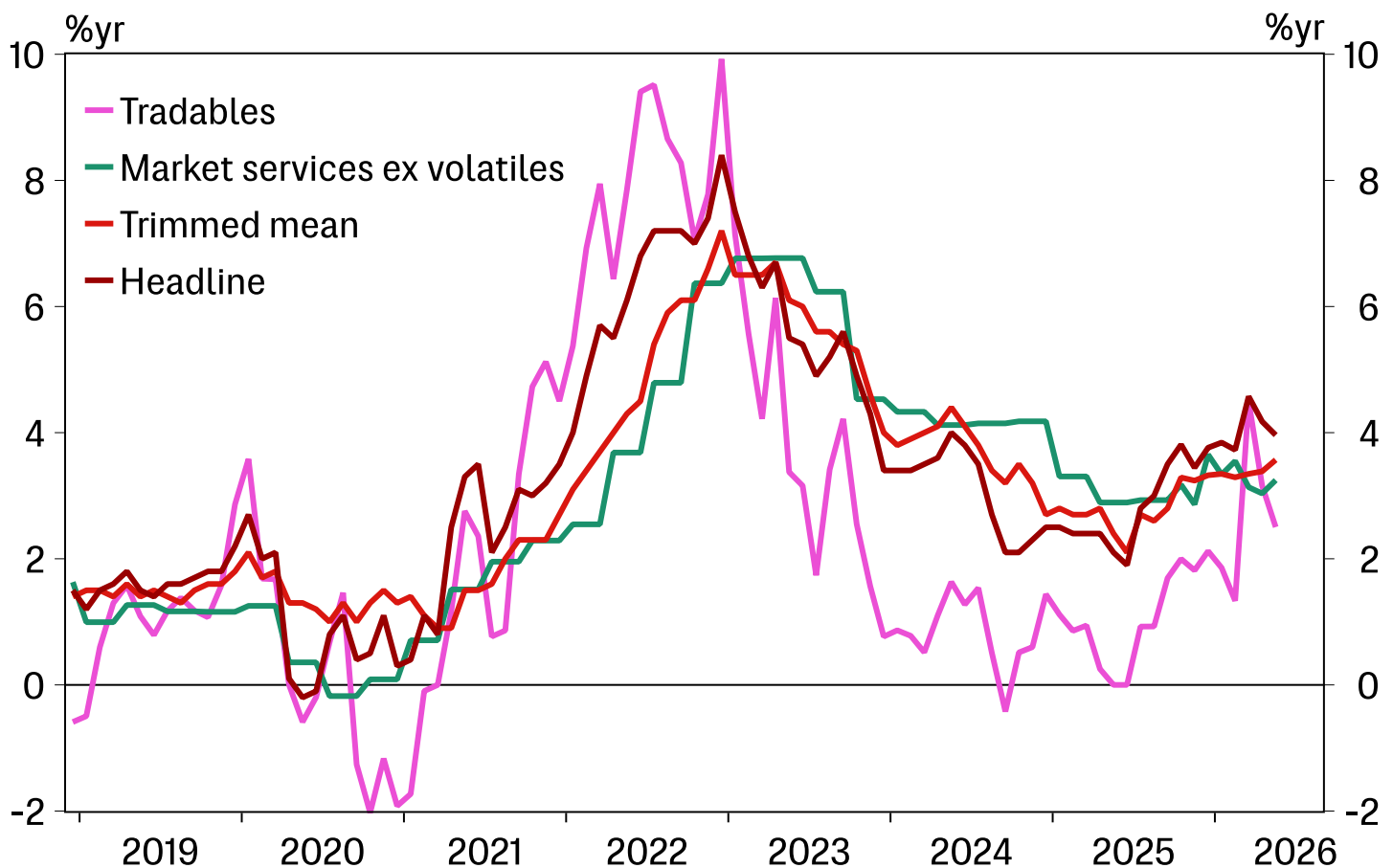
The June CPI printed $-0.1\% \text{mth}$, below both our forecast and market expectations of $0.4\% \text{mth}$ and $0.2\% \text{mth}$, respectively. TM inflation rose $0.3\% \text{mth}$ and $3.6\% \text{yr}$, also softer than our forecast of $0.4\% \text{mth}$ and $3.7\% \text{yr}$.

The chief culprit behind the decline in the month was automotive fuel, which fell $10.9\% \text{mth}$ and subtracted 0.4ppts from headline inflation. Other sources behind the monthly weakness were clothing & footwear, household furnishings, and audio, visual and computing equipment. These saw the usual end-of-financial-year discounting and also eased on a year-on-year basis.

Partly offsetting the above, was a 12.7%^{mth} rise in urban transport fares and a 4.6%^{mth} increase in holiday travel. For the latter, most of this reflected a seasonal increase with domestic travel falling – 1.0%^{mth} and international rising 0.3%^{mth}, suggesting conditions here remain benign and are not reflecting earlier pricing pressures from the Middle East conflict.

Market services excluding volatiles and holiday travel was flat in the month, with annual inflation here at 4.4%^{yr}. Insurance was notably weak, with prices falling 0.3%^{mth} and annual inflation easing to 4.9%^{yr}. The softness in the month was somewhat surprising given replacement and repair costs for housing and motor vehicles continue to record solid gains.

Monthly Inflation



Source: ABS, Macrobond, Westpac Economics



In terms of the key surprises:

Upside surprises

- Accessories rose 4.0%^{mth}, well above our 0.4%^{mth} forecast.
- Food inflation was slightly firmer, driven by non-alcoholic beverages (1.0%^{mth} vs –0.6%^{mth}) and dairy (1.3%^{mth} vs 0.1%^{mth}). Takeaway also surprised to the upside (0.6%^{mth} vs 0.0%^{mth}). Partly offsetting these was a softer outcome for fruit & vegetables (1.0%^{mth} vs 2.0%^{mth}).

- Spare parts for motor vehicles were up 0.7%*mt* vs –0.5%*mt*, while repair costs rose 0.3%*mt* vs –0.3%*mt*.

Downside surprises

- Holiday travel was the key downside surprise, rising 4.6%*mt* vs 8.1%*mt*.
- Housing was broadly in line in the quarter, though both new dwelling costs (0.4%*mt* vs 0.7%*mt*) and rents (0.3%*mt* vs 0.4%*mt*) came in slightly softer than expected in June.
- Audio, visual and computing equipment and services fell 1.4%*mt*, well below our expectation of a 0.1% decline.
- Household textiles fell 2.9%*mt*, compared with our expectation of a flat outcome.

History month & qtr					
CPI Item	Qtr CPI	Monthly CPI			
	Jun-26 % yr	Apr-26 % yr	May-26 % yr	Jun-26 % yr	Jun-26 % yr
Food	3.1	2.8	3.3	3.3	3.1
of which, bread & cereals	1.3	0.7	1.5	2.3	1.7
of which, meat & seafood	5.2	5.0	5.4	5.4	5.2
of which, dairy & related products	4.1	2.3	5.2	6.3	5.1
of which, fruit & vegetables	1.3	0.1	2.0	0.7	1.7
of which, food products nec	1.9	2.2	1.6	1.3	1.8
of which, non-alcohol beverages	1.3	2.0	1.5	2.0	1.6
Alcohol & tobacco	4.6	4.3	4.7	4.4	4.8
of which, Alcohol	1.9	1.6	2.2	1.6	2.0
of which, Tobacco	11.1	10.7	10.9	11.2	11.6
Clothing & footwear	3.9	5.9	5.0	4.9	5.2
of which, garments	1.4	3.1	2.1	1.5	3.1
Housing	6.8	6.3	6.5	6.8	6.9
of which, Rents	3.6	3.5	3.6	3.6	3.7
of which, House purchases	5.5	4.7	5.6	5.8	6.1
of which, Electricity	21.7	22.5	21.1	22.4	21.6
of which, Gas & other fuels	6.1	5.7	4.9	7.2	7.8
H/hold contents & services	1.0	1.2	1.7	1.6	1.8
Health	4.0	4.0	3.8	3.7	3.8
Transportation	3.2	6.6	3.3	0.1	0.2
of which, auto fuel	6.5	18.6	7.7	-7.3	-6.6
Communication	2.1	1.5	2.1	2.2	2.0
Recreation	3.4	2.5	2.4	3.3	6.0
of which, holiday travel	3.9	1.7	1.9	4.0	7.5
Education	3.6	4.8	4.8	4.8	4.8
Financial & insurance services	3.3	3.0	3.2	3.2	3.2
CPI: All groups % year	4.0	4.2	4.0	3.8	4.2

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28 July 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Risk sentiment improved after President Trump said there was a “good chance” of a deal with Iran as the fragile ceasefire in the Middle East continued overnight. The price of Brent crude fell almost 9% to around US\$88/bbl, the biggest one-day drop since mid-April.

This saw riskier assets rally, with equities outside of tech across the US and Europe generally higher. The tech sell-off continued overnight, with the Nasdaq continuing to underperform.

Bond markets rallied on the back of lower oil prices, with yields down across the US and Europe. In the US, 10-year yields have fallen around 5bps over the past two sessions. Markets continue to price in around a 38% chance of a hike when the Fed meets later this week.

The US dollar was broadly unchanged, while the Aussie was higher against the greenback and a number of crosses.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.6	0.3%
AUD/USD	0.6990	0.2%
AUD/JPY	114.45	0.1%
AUD/GBP	0.5259	0.4%
AUD/NZD	1.2106	0.3%
AUD/EUR	0.6147	0.1%
AUD/CNH	4.7289	0.0%
AUD/SGD	0.9025	0.1%
AUD/HKD	5.4823	0.1%
AUD/CAD	0.9872	0.7%
EUR/USD	1.1373	0.0%
USD/JPY	163.72	0.0%
USD Index	101.50	0.0%

Equities	Close	Change
S&P/ASX 200	8,894	1.4%
S&P 500	7,413	0.0%
Japan Nikkei	64,931	0.5%
Hang Seng	25,207	1.0%
Euro Stoxx 50	6,282	0.0%
UK FTSE100	10,782	0.4%
VIX Index	18.67	0.5%

Commodities	Current	Change
CRB Index	383.49	-3.1%
Gold	4076.68	0.6%
Copper	13732	0.6%
Oil (WTI futures)	82.61	-7.5%
Coal (coking)	222.83	0.8%
Coal (thermal)	134.50	-2.4%
Iron Ore	97.95	-0.3%
ACCU	36.13	-4.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.40	0.00
90 day BBSY	4.59	0.00
180 day BBSY	4.93	0.00
1 year swap	4.67	-0.01
2 year swap	4.66	-0.02
3 year swap	4.63	-0.03
4 year swap	4.63	-0.03
5 year swap	4.66	-0.03
6 year swap	4.70	-0.03
7 year swap	4.74	-0.03
8 year swap	4.79	-0.02
9 year swap	4.84	-0.02
10 year swap	4.88	-0.02

Government Bond Yields	Close	Change
Australia		
3 year bond	4.62	-0.10
10 year bond	5.00	-0.09
United States		
3-month T Bill	3.80	-0.01
2 year bond	4.32	-0.01
10 year bond	4.65	-0.03
Other (10 year yields)		
Germany	3.13	-0.04
Japan	2.79	-0.03
UK	5.00	-0.04

Sydney Futures Exchange	Current	Change
10 yr bond	5.05	0.02
3 yr bond	4.65	0.03
3 mth bill rate	4.47	0.00
SPI 200	8,821	-0.2%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



Pat Bustamante
Senior Economist, Westpac Group
P: +61 468 571 786
E: pat.bustamante@westpac.com.au

Financial Markets

- Risk sentiment improved after President Trump said there was a “good chance” of a deal with Iran as the fragile ceasefire in the Middle East continued overnight. Reports from the region also suggested Iranian and Omani officials were working to restart shipping through the Strait of Hormuz. Easing concerns about supply disruptions saw oil prices tumble, with Brent crude falling almost 9% to around US\$88/bbl, the biggest one-day drop since mid-April.
- US equity markets were mixed. The S&P 500 finished broadly unchanged, while the Dow Jones Industrial Average increased 0.5% on the day. The tech-related sell-off continued, with chipmakers falling for a third consecutive session, which saw the Nasdaq continue to underperform, falling 0.2%. Volatility edged slightly higher, with the VIX Index rising 0.5% to 18.67.
- European equities were also mixed, with the Euro Stoxx 50 little changed, the German DAX up almost 1.1% on the back of stronger-than-expected economic data, and the FTSE 100 up 0.4%. In Asia, markets strengthened, with the Nikkei rising 0.5% and the Hang Seng gaining 1.0%. Locally, the S&P/ASX 200 rose 1.4% to 8,894. However, SPI futures were down 0.2%, pointing to a softer open for the Australian market.
- Bond markets rallied as the sharp fall in oil prices eased inflation concerns and, therefore, the need for further tightening in the months ahead. In the US, the 2-year Treasury yield fell 1bp to 4.32%, while the 10-year Treasury yield declined 3bps to 4.65%. Traders are now pricing in roughly a 38% chance of a rate hike at this week's Federal Reserve meeting, up from just 13% a week ago. European bond yields also moved lower, with German 10-year Bund yields falling 4bps to 3.13% and UK 10-year gilt yields declining 4bps to 5.00%. Japanese 10-year government bond yields fell 3bps to 2.79%.
- Australian bond yields moved lower across the curve. The 3-year government bond yield fell 10bps to 4.62%, while the 10-year yield declined 9bps to 5.0%. In futures markets, however, yields rose modestly, with the 3-year and 10-year futures yields up 3bps and 2bps to 4.65% and 5.05%, respectively. OIS pricing suggests a terminal cash rate of around 4.60% this year, with the market pricing in one more hike by December this year.
- In foreign exchange markets, the US dollar index was broadly unchanged at 101.50. The Australian dollar strengthened, rising 0.2% against the US dollar to US\$0.6990. The Aussie also gained against most major currencies, including the Canadian dollar (+0.7%), pound sterling (+0.4%), New Zealand dollar (+0.3%), euro (+0.1%), Japanese yen (+0.1%),

Today's key data and events

Time	Event	Exp	Prev
22:30	US Wholesale Inventories Jun Prel.	0.5%	0.1%
23:00	US FHFA House Prices May	0.1%	-0.1%
23:00	US S&P/CS Home Price Index May	0.0%	0.0%
0:00	US Richmond Fed Manufacturing Jul	6pts	4pts
0:00	US Consumer Confidence Jul	92pts	91.2pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

Singapore dollar (+0.1%), and Hong Kong dollar (+0.1%). The trade-weighted index rose 0.3% to 65.6.

- Commodity markets were generally weaker. The CRB commodity index fell 3.1%, reflecting broad-based declines across energy and carbon markets. WTI crude oil dropped 7.5% to US\$82.61/bbl as concerns over Middle East supply disruptions eased. Iron ore slipped 0.3% to US\$97.95/t, while thermal coal fell 2.4%. Carbon prices were also weaker, with ACCUs down 4.3%. Offsetting some of the weakness, coking coal rose 0.8%, copper gained 0.6%, and gold added 0.6%.

International Data

After large swings over the prior two months, **US durable goods** orders rose only 0.3%*month* in June, falling short of expectations for a 1.8%*month* gain. Excluding transportation – a category that typically drives much of the volatility – the underlying picture was firmer, with orders up 0.6%*month*. Core orders – capital goods excluding defence and aircraft – were stronger still, rising 0.9%*month*, led by categories linked to the AI investment boom.

The **Dallas Fed Manufacturing Activity** Survey of Texas business executives reported an improvement in business conditions this month. The headline index edged up from zero to 1.3pts, its highest level in eighteen months. Production and new orders made notable gains, while input cost inflation remained elevated, albeit slightly lower than in the prior month.

Chinese industrial profits maintained a strong pace in June, with year-to-date growth at 18.7% – little changed from the prior two months and well above the near-zero growth recorded in 2025. However, the data continued to highlight large divergences across sectors. Manufacturing profits rose 20.1%*yr* YTD, but consumer-driven sectors – including car, furniture and apparel manufacturers – saw profitability contract rapidly.

The **German Ifo Business Climate Survey** suggested that business sentiment in the euro area's largest economy continues to recover gradually. The headline index rose by almost 1pt this month to 86.6 – around 2pts above its April trough, but still about 2pts below its February level, before the Middle East war broke out.

Local Data

There was no top tier data released yesterday.



Corporate Directory

Westpac Economics / Australia

Sydney

Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis

Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan

Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke

Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner

Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk

Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante

Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas

Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells

Economist
E: ryan.wells@westpac.com.au

Illiana Jain

Economist
E: illiana.jain@westpac.com.au

Neha Sharma

Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic

Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland

Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold

Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon

Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs

Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod

Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark

Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva

1 Thomson Street
Suva, Fiji

Shamal Chand

Senior Economist
E: shamal.chand@westpac.com.au



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28 July 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Risk sentiment improved after President Trump said there was a “good chance” of a deal with Iran as the fragile ceasefire in the Middle East continued overnight. The price of Brent crude fell almost 9% to around US\$88/bbl, the biggest one-day drop since mid-April.

This saw riskier assets rally, with equities outside of tech across the US and Europe generally higher. The tech sell-off continued overnight, with the Nasdaq continuing to underperform.

Bond markets rallied on the back of lower oil prices, with yields down across the US and Europe. In the US, 10-year yields have fallen around 5bps over the past two sessions. Markets continue to price in around a 38% chance of a hike when the Fed meets later this week.

The US dollar was broadly unchanged, while the Aussie was higher against the greenback and a number of crosses.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.6	0.3%
AUD/USD	0.6990	0.2%
AUD/JPY	114.45	0.1%
AUD/GBP	0.5259	0.4%
AUD/NZD	1.2106	0.3%
AUD/EUR	0.6147	0.1%
AUD/CNH	4.7289	0.0%
AUD/SGD	0.9025	0.1%
AUD/HKD	5.4823	0.1%
AUD/CAD	0.9872	0.7%
EUR/USD	1.1373	0.0%
USD/JPY	163.72	0.0%
USD Index	101.50	0.0%

Equities	Close	Change
S&P/ASX 200	8,894	1.4%
S&P 500	7,413	0.0%
Japan Nikkei	64,931	0.5%
Hang Seng	25,207	1.0%
Euro Stoxx 50	6,282	0.0%
UK FTSE100	10,782	0.4%
VIX Index	18.67	0.5%

Commodities	Current	Change
CRB Index	383.49	-3.1%
Gold	4076.68	0.6%
Copper	13732	0.6%
Oil (WTI futures)	82.61	-7.5%
Coal (coking)	222.83	0.8%
Coal (thermal)	134.50	-2.4%
Iron Ore	97.95	-0.3%
ACCU	36.13	-4.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.40	0.00
90 day BBSY	4.59	0.00
180 day BBSY	4.93	0.00
1 year swap	4.67	-0.01
2 year swap	4.66	-0.02
3 year swap	4.63	-0.03
4 year swap	4.63	-0.03
5 year swap	4.66	-0.03
6 year swap	4.70	-0.03
7 year swap	4.74	-0.03
8 year swap	4.79	-0.02
9 year swap	4.84	-0.02
10 year swap	4.88	-0.02

Government Bond Yields	Close	Change
Australia		
3 year bond	4.62	-0.10
10 year bond	5.00	-0.09
United States		
3-month T Bill	3.80	-0.01
2 year bond	4.32	-0.01
10 year bond	4.65	-0.03
Other (10 year yields)		
Germany	3.13	-0.04
Japan	2.79	-0.03
UK	5.00	-0.04

Sydney Futures Exchange	Current	Change
10 yr bond	5.05	0.02
3 yr bond	4.65	0.03
3 mth bill rate	4.47	0.00
SPI 200	8,821	-0.2%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



Pat Bustamante
Senior Economist, Westpac Group
P: +61 468 571 786
E: pat.bustamante@westpac.com.au

Financial Markets

- Risk sentiment improved after President Trump said there was a “good chance” of a deal with Iran as the fragile ceasefire in the Middle East continued overnight. Reports from the region also suggested Iranian and Omani officials were working to restart shipping through the Strait of Hormuz. Easing concerns about supply disruptions saw oil prices tumble, with Brent crude falling almost 9% to around US\$88/bbl, the biggest one-day drop since mid-April.
- US equity markets were mixed. The S&P 500 finished broadly unchanged, while the Dow Jones Industrial Average increased 0.5% on the day. The tech-related sell-off continued, with chipmakers falling for a third consecutive session, which saw the Nasdaq continue to underperform, falling 0.2%. Volatility edged slightly higher, with the VIX Index rising 0.5% to 18.67.
- European equities were also mixed, with the Euro Stoxx 50 little changed, the German DAX up almost 1.1% on the back of stronger-than-expected economic data, and the FTSE 100 up 0.4%. In Asia, markets strengthened, with the Nikkei rising 0.5% and the Hang Seng gaining 1.0%. Locally, the S&P/ASX 200 rose 1.4% to 8,894. However, SPI futures were down 0.2%, pointing to a softer open for the Australian market.
- Bond markets rallied as the sharp fall in oil prices eased inflation concerns and, therefore, the need for further tightening in the months ahead. In the US, the 2-year Treasury yield fell 1bp to 4.32%, while the 10-year Treasury yield declined 3bps to 4.65%. Traders are now pricing in roughly a 38% chance of a rate hike at this week's Federal Reserve meeting, up from just 13% a week ago. European bond yields also moved lower, with German 10-year Bund yields falling 4bps to 3.13% and UK 10-year gilt yields declining 4bps to 5.00%. Japanese 10-year government bond yields fell 3bps to 2.79%.
- Australian bond yields moved lower across the curve. The 3-year government bond yield fell 10bps to 4.62%, while the 10-year yield declined 9bps to 5.0%. In futures markets, however, yields rose modestly, with the 3-year and 10-year futures yields up 3bps and 2bps to 4.65% and 5.05%, respectively. OIS pricing suggests a terminal cash rate of around 4.60% this year, with the market pricing in one more hike by December this year.
- In foreign exchange markets, the US dollar index was broadly unchanged at 101.50. The Australian dollar strengthened, rising 0.2% against the US dollar to US\$0.6990. The Aussie also gained against most major currencies, including the Canadian dollar (+0.7%), pound sterling (+0.4%), New Zealand dollar (+0.3%), euro (+0.1%), Japanese yen (+0.1%),

Today's key data and events

Time	Event	Exp	Prev
22:30	US Wholesale Inventories Jun Prel.	0.5%	0.1%
23:00	US FHFA House Prices May	0.1%	-0.1%
23:00	US S&P/CS Home Price Index May	0.0%	0.0%
0:00	US Richmond Fed Manufacturing Jul	6pts	4pts
0:00	US Consumer Confidence Jul	92pts	91.2pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

Singapore dollar (+0.1%), and Hong Kong dollar (+0.1%). The trade-weighted index rose 0.3% to 65.6.

- Commodity markets were generally weaker. The CRB commodity index fell 3.1%, reflecting broad-based declines across energy and carbon markets. WTI crude oil dropped 7.5% to US\$82.61/bbl as concerns over Middle East supply disruptions eased. Iron ore slipped 0.3% to US\$97.95/t, while thermal coal fell 2.4%. Carbon prices were also weaker, with ACCUs down 4.3%. Offsetting some of the weakness, coking coal rose 0.8%, copper gained 0.6%, and gold added 0.6%.

International Data

After large swings over the prior two months, **US durable goods** orders rose only 0.3%*month* in June, falling short of expectations for a 1.8%*month* gain. Excluding transportation – a category that typically drives much of the volatility – the underlying picture was firmer, with orders up 0.6%*month*. Core orders – capital goods excluding defence and aircraft – were stronger still, rising 0.9%*month*, led by categories linked to the AI investment boom.

The **Dallas Fed Manufacturing Activity** Survey of Texas business executives reported an improvement in business conditions this month. The headline index edged up from zero to 1.3pts, its highest level in eighteen months. Production and new orders made notable gains, while input cost inflation remained elevated, albeit slightly lower than in the prior month.

Chinese industrial profits maintained a strong pace in June, with year-to-date growth at 18.7% – little changed from the prior two months and well above the near-zero growth recorded in 2025. However, the data continued to highlight large divergences across sectors. Manufacturing profits rose 20.1%*yr* YTD, but consumer-driven sectors – including car, furniture and apparel manufacturers – saw profitability contract rapidly.

The **German Ifo Business Climate Survey** suggested that business sentiment in the euro area's largest economy continues to recover gradually. The headline index rose by almost 1pt this month to 86.6 – around 2pts above its April trough, but still about 2pts below its February level, before the Middle East war broke out.

Local Data

There was no top tier data released yesterday.



Corporate Directory

Westpac Economics / Australia

Sydney

Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis

Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan

Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke

Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner

Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk

Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante

Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas

Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells

Economist
E: ryan.wells@westpac.com.au

Illiana Jain

Economist
E: illiana.jain@westpac.com.au

Neha Sharma

Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic

Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland

Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold

Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon

Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs

Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod

Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark

Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva

1 Thomson Street
Suva, Fiji

Shamal Chand

Senior Economist
E: shamal.chand@westpac.com.au



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22 July 2026

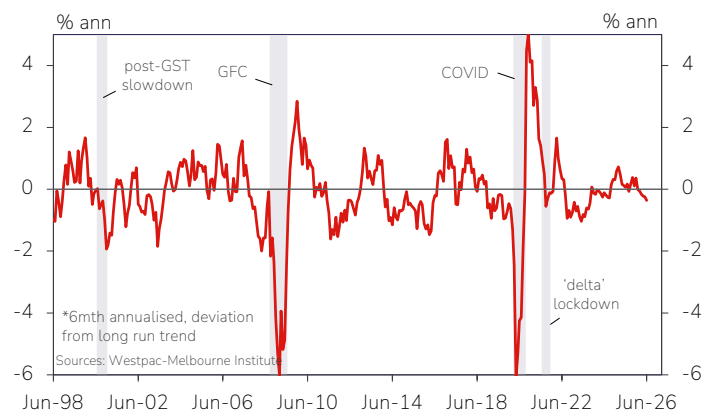
WESTPAC-MI LEADING INDEX BULLETIN

Latest insights into economic momentum

Key points

- Leading Index growth rate drops to -0.36% .
- Signal broadly consistent with quarterly GDP growth stalling flat.
- Detail suggests combination of fuel price spike earlier in the year and rate rises are weighing on growth through a variety of channels.

Westpac-MI Leading Index



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Leading Index suggests growth is stalling



Matthew Hassan
Head of Australian Macro-Forecasting

The six-month annualised growth rate in the Westpac-Melbourne Institute Leading Index, which indicates the likely pace of economic activity relative to trend three to nine months into the future, dropped to -0.36% in June from -0.25% in May.

The latest update points to a further loss of momentum across the Australian economy. The June update marks the sixth consecutive below-trend read on the Leading Index growth rate and the weakest pace since late 2023, when quarterly GDP growth stalled flat. While the latest growth pulse is still not overly weak it is broadly consistent with stalling activity through the middle of the year.

The detail suggests the conflict-related spike in fuel prices in March–April and the RBA's interest rate rises in February, March and May are now weighing materially on growth, with the effects working through a variety of channels.

The Leading Index growth rate has seen an abrupt turnaround since late last year, flipping from $+0.36\%$ in December to -0.36% currently. Just over half of the 0.72ppt reversal has come from a sharp narrowing in the yield spread (-0.40 ppts). The move in the spread, which is the difference between short- and long-term interest rates, is a direct reflection of the RBA's rate moves. The tightening has likely had an indirect hand in weaker reads across other components as well, including: dwelling approvals (which account for -0.21 ppts of the swing in headline growth since December); the Westpac-Melbourne Institute Consumer Expectations Index (-0.08 ppts); and a softening in monthly hours worked (-0.03 ppts).

The Westpac-Melbourne Institute Leading Index of Economic Activity is designed to assist in identifying turning points in the economy. The index combines variables that reflect different aspects of the economy into a single index that generally produces a more reliable cyclical indicator than any single component taken individually. The Leading Index of Economic Activity provides advance information on the state of the economy and gives early warnings of cyclical turning points.

Where this goes next is a little uncertain. Most of the weakness in the Leading Index growth rate – which is based on a six-month window – came in the first three months of the year, with the underlying index actually stabilising since then. The more recent pattern reflects both the easing in fuel costs locally and the RBA's decision to leave interest rates unchanged at its June meeting. However, both could come back into frame negatively in coming months with conditions deteriorating in the Middle East and the RBA still clearly uneasy about persistently high inflation.

The Reserve Bank Monetary Policy Board next meets on August 10–11. While the latest Leading Index update confirms that growth momentum is slowing, high inflation remains the Board's primary concern. As such, the June quarter CPI update on July 29 will be the critical reading ahead of the August meeting. On balance we expect it to show inflation running too high and a further 25bp rate increase from the RBA Board in August.



Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au



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28 July 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Risk sentiment improved after President Trump said there was a “good chance” of a deal with Iran as the fragile ceasefire in the Middle East continued overnight. The price of Brent crude fell almost 9% to around US\$88/bbl, the biggest one-day drop since mid-April.

This saw riskier assets rally, with equities outside of tech across the US and Europe generally higher. The tech sell-off continued overnight, with the Nasdaq continuing to underperform.

Bond markets rallied on the back of lower oil prices, with yields down across the US and Europe. In the US, 10-year yields have fallen around 5bps over the past two sessions. Markets continue to price in around a 38% chance of a hike when the Fed meets later this week.

The US dollar was broadly unchanged, while the Aussie was higher against the greenback and a number of crosses.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.6	0.3%
AUD/USD	0.6990	0.2%
AUD/JPY	114.45	0.1%
AUD/GBP	0.5259	0.4%
AUD/NZD	1.2106	0.3%
AUD/EUR	0.6147	0.1%
AUD/CNH	4.7289	0.0%
AUD/SGD	0.9025	0.1%
AUD/HKD	5.4823	0.1%
AUD/CAD	0.9872	0.7%
EUR/USD	1.1373	0.0%
USD/JPY	163.72	0.0%
USD Index	101.50	0.0%

Equities	Close	Change
S&P/ASX 200	8,894	1.4%
S&P 500	7,413	0.0%
Japan Nikkei	64,931	0.5%
Hang Seng	25,207	1.0%
Euro Stoxx 50	6,282	0.0%
UK FTSE100	10,782	0.4%
VIX Index	18.67	0.5%

Commodities	Current	Change
CRB Index	383.49	-3.1%
Gold	4076.68	0.6%
Copper	13732	0.6%
Oil (WTI futures)	82.61	-7.5%
Coal (coking)	222.83	0.8%
Coal (thermal)	134.50	-2.4%
Iron Ore	97.95	-0.3%
ACCU	36.13	-4.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.40	0.00
90 day BBSY	4.59	0.00
180 day BBSY	4.93	0.00
1 year swap	4.67	-0.01
2 year swap	4.66	-0.02
3 year swap	4.63	-0.03
4 year swap	4.63	-0.03
5 year swap	4.66	-0.03
6 year swap	4.70	-0.03
7 year swap	4.74	-0.03
8 year swap	4.79	-0.02
9 year swap	4.84	-0.02
10 year swap	4.88	-0.02

Government Bond Yields	Close	Change
Australia		
3 year bond	4.62	-0.10
10 year bond	5.00	-0.09
United States		
3-month T Bill	3.80	-0.01
2 year bond	4.32	-0.01
10 year bond	4.65	-0.03
Other (10 year yields)		
Germany	3.13	-0.04
Japan	2.79	-0.03
UK	5.00	-0.04

Sydney Futures Exchange	Current	Change
10 yr bond	5.05	0.02
3 yr bond	4.65	0.03
3 mth bill rate	4.47	0.00
SPI 200	8,821	-0.2%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



Pat Bustamante
Senior Economist, Westpac Group
P: +61 468 571 786
E: pat.bustamante@westpac.com.au

Financial Markets

- Risk sentiment improved after President Trump said there was a “good chance” of a deal with Iran as the fragile ceasefire in the Middle East continued overnight. Reports from the region also suggested Iranian and Omani officials were working to restart shipping through the Strait of Hormuz. Easing concerns about supply disruptions saw oil prices tumble, with Brent crude falling almost 9% to around US\$88/bbl, the biggest one-day drop since mid-April.
- US equity markets were mixed. The S&P 500 finished broadly unchanged, while the Dow Jones Industrial Average increased 0.5% on the day. The tech-related sell-off continued, with chipmakers falling for a third consecutive session, which saw the Nasdaq continue to underperform, falling 0.2%. Volatility edged slightly higher, with the VIX Index rising 0.5% to 18.67.
- European equities were also mixed, with the Euro Stoxx 50 little changed, the German DAX up almost 1.1% on the back of stronger-than-expected economic data, and the FTSE 100 up 0.4%. In Asia, markets strengthened, with the Nikkei rising 0.5% and the Hang Seng gaining 1.0%. Locally, the S&P/ASX 200 rose 1.4% to 8,894. However, SPI futures were down 0.2%, pointing to a softer open for the Australian market.
- Bond markets rallied as the sharp fall in oil prices eased inflation concerns and, therefore, the need for further tightening in the months ahead. In the US, the 2-year Treasury yield fell 1bp to 4.32%, while the 10-year Treasury yield declined 3bps to 4.65%. Traders are now pricing in roughly a 38% chance of a rate hike at this week's Federal Reserve meeting, up from just 13% a week ago. European bond yields also moved lower, with German 10-year Bund yields falling 4bps to 3.13% and UK 10-year gilt yields declining 4bps to 5.00%. Japanese 10-year government bond yields fell 3bps to 2.79%.
- Australian bond yields moved lower across the curve. The 3-year government bond yield fell 10bps to 4.62%, while the 10-year yield declined 9bps to 5.0%. In futures markets, however, yields rose modestly, with the 3-year and 10-year futures yields up 3bps and 2bps to 4.65% and 5.05%, respectively. OIS pricing suggests a terminal cash rate of around 4.60% this year, with the market pricing in one more hike by December this year.
- In foreign exchange markets, the US dollar index was broadly unchanged at 101.50. The Australian dollar strengthened, rising 0.2% against the US dollar to US\$0.6990. The Aussie also gained against most major currencies, including the Canadian dollar (+0.7%), pound sterling (+0.4%), New Zealand dollar (+0.3%), euro (+0.1%), Japanese yen (+0.1%),

Today's key data and events

Time	Event	Exp	Prev
22:30	US Wholesale Inventories Jun Prel.	0.5%	0.1%
23:00	US FHFA House Prices May	0.1%	-0.1%
23:00	US S&P/CS Home Price Index May	0.0%	0.0%
0:00	US Richmond Fed Manufacturing Jul	6pts	4pts
0:00	US Consumer Confidence Jul	92pts	91.2pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

Singapore dollar (+0.1%), and Hong Kong dollar (+0.1%). The trade-weighted index rose 0.3% to 65.6.

- Commodity markets were generally weaker. The CRB commodity index fell 3.1%, reflecting broad-based declines across energy and carbon markets. WTI crude oil dropped 7.5% to US\$82.61/bbl as concerns over Middle East supply disruptions eased. Iron ore slipped 0.3% to US\$97.95/t, while thermal coal fell 2.4%. Carbon prices were also weaker, with ACCUs down 4.3%. Offsetting some of the weakness, coking coal rose 0.8%, copper gained 0.6%, and gold added 0.6%.

International Data

After large swings over the prior two months, **US durable goods** orders rose only 0.3%*month* in June, falling short of expectations for a 1.8%*month* gain. Excluding transportation – a category that typically drives much of the volatility – the underlying picture was firmer, with orders up 0.6%*month*. Core orders – capital goods excluding defence and aircraft – were stronger still, rising 0.9%*month*, led by categories linked to the AI investment boom.

The **Dallas Fed Manufacturing Activity** Survey of Texas business executives reported an improvement in business conditions this month. The headline index edged up from zero to 1.3pts, its highest level in eighteen months. Production and new orders made notable gains, while input cost inflation remained elevated, albeit slightly lower than in the prior month.

Chinese industrial profits maintained a strong pace in June, with year-to-date growth at 18.7% – little changed from the prior two months and well above the near-zero growth recorded in 2025. However, the data continued to highlight large divergences across sectors. Manufacturing profits rose 20.1%*yr* YTD, but consumer-driven sectors – including car, furniture and apparel manufacturers – saw profitability contract rapidly.

The **German Ifo Business Climate Survey** suggested that business sentiment in the euro area's largest economy continues to recover gradually. The headline index rose by almost 1pt this month to 86.6 – around 2pts above its April trough, but still about 2pts below its February level, before the Middle East war broke out.

Local Data

There was no top tier data released yesterday.



Corporate Directory

Westpac Economics / Australia

Sydney

Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis

Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan

Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke

Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner

Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk

Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante

Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas

Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells

Economist
E: ryan.wells@westpac.com.au

Illiana Jain

Economist
E: illiana.jain@westpac.com.au

Neha Sharma

Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic

Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland

Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold

Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon

Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs

Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod

Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark

Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva

1 Thomson Street
Suva, Fiji

Shamal Chand

Senior Economist
E: shamal.chand@westpac.com.au



 westpaciq.com.au

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30 July 2026

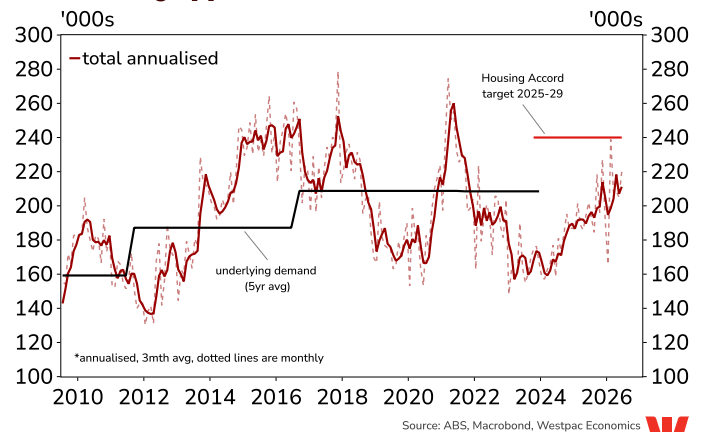
AUSTRALIAN DWELLING APPROVALS BULLETIN

Unit approvals drive rebound

Key points

- Total dwelling approvals rose 7.2%^{mth} in June, with the annual pace strengthening to 8.9%^{yr}. The result was driven by a rebound in unit approvals.
- Private detached dwelling approvals remained resilient, rising 0.4%^{mth}. Private unit approvals reversed recent weakness, increasing 17.8%^{mth}, led by a sharp rise in high-rise projects.
- Queensland recorded the strongest result, while NSW and WA also posted gains. In contrast, SA and Victoria recorded declines.
- The value of residential building approvals rose 15.1%^{mth}. However, a sharp fall in non-residential approvals, led by the 'other commercial buildings' segment, saw the total value of building approvals decline 5.5%^{mth}.
- Recent RBA cash rate increases and still-elevated construction costs are expected to remain headwinds for the sector.

Dwelling approvals



**Total dwelling approvals
7.2%^{mth},
8.9%^{yr}**

Detached dwelling approvals hold at elevated levels



Luka Belobrajdic
Economist

Total dwelling approvals rose 7.2%*mt* in June, with the annual pace strengthening to 8.9%*yr*. The result was well above both Westpac's and the market's expectations of a 2.0%*mt* and 0.5%*mt* decline respectively. Unit approvals drove the upside surprise, while private detached dwelling approvals remained above 10,000 for a sixth consecutive month.

Note that most figures in the charts and table are presented on a rolling-three month basis to smooth out monthly volatility.

Private detached dwelling approvals recorded a modest 0.4%*mt* increase in June following May's strong result. While May was revised slightly lower to 2.4%*mt* (–0.4*ppts*), the annual pace strengthened to 15.8%*yr*. Detached dwelling approvals continue to show resilience despite higher interest rates and elevated construction costs.

Private unit approvals reversed course in June, rising 17.8%*mt* and partially unwinding the weakness recorded over the previous three months. However, with May revised lower to –1.0%*mt* (–0.6*ppts*), the annual pace remained in contraction at –1.5%*yr*. High rise approvals again drove the headline move, with Westpac seasonally adjusted estimates across both private and public sectors rising 76%*mt*, while low mid rise approvals declined 7.3%*mt*.

Queensland recorded the strongest result, with private dwelling approvals rising 40.3%*mt*, supported by both detached dwellings and units. NSW also recorded growth (11.6%*mt*), driven by units, while WA approvals increased 9.9%*mt* following a sharp rise in unit approvals, as detached dwelling approvals fell in the month. In contrast, SA (–10.0%*mt*) and Victoria (–18.5%*mt*) recorded declines, reflecting weakness in unit approvals despite some resilience in detached housing.

In value terms, residential building approvals rose 15.1%*mt*, driven by an 18.0%*mt* increase in new residential approvals, partly offset by a 4.0%*mt* decline in renovation activity. The value of non residential approvals fell 24.7%*mt* partly unwinding a 40.4%*mt* surge in May. The decline was led by the other commercial buildings segment, which fell 88%*mt* on a non seasonally adjusted basis. As a result, the total value of building approvals declined 5.5%*mt* in June.

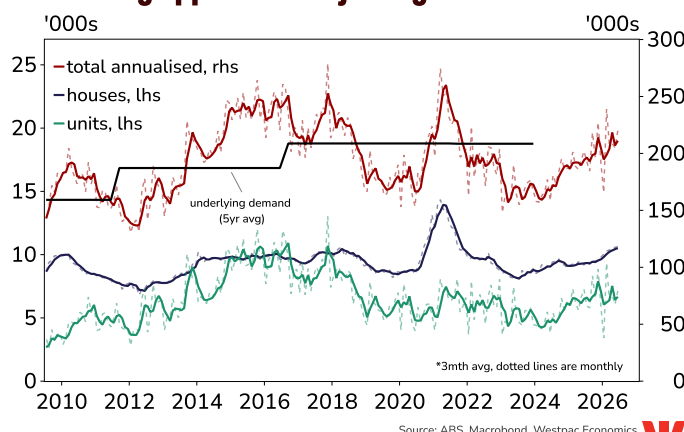
While unit approvals continue to drive month-to-month volatility, detached dwelling approvals have demonstrated meaningful resilience. Looking ahead, improving homebuyer sentiment (see [here](#)) and recently announced tax measures may provide some support to dwelling demand. However, recent RBA cash rate increases and still-elevated construction costs (see [here](#)) are expected to remain headwinds for the sector.

Building approvals – June 2026

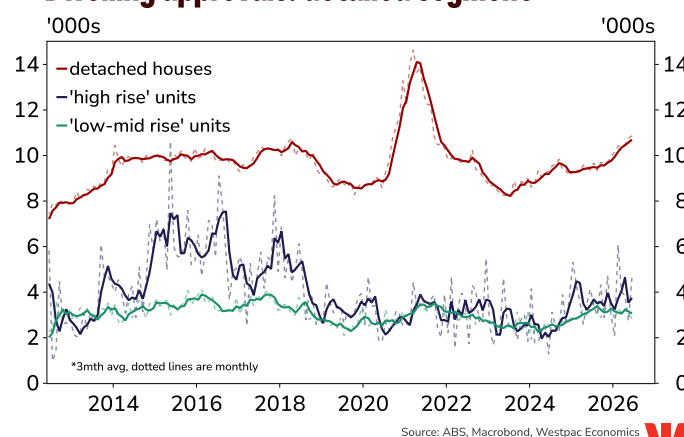
3mth avg	3mth %chg*			%yr	
	latest	May	Jun	May	Jun
Private houses	10,518	4.0	2.9	12.4	13.0
Private units	6,668	3.5	4.3	4.5	2.6
Public dwellings	412	29.2	6.2	6.4	11.3
Total dwellings	17,598	4.2	3.5	9.2	8.8
Total dwellings, mthly*	18,328	–1.6	7.2	5.5	8.9
– units in 'high rise'^	3,732	–1.1	–4.4	10.4	11.5
– units in 'low rise'^	3,000	0.5	–1.6	2.5	–3.6
Renovations, \$bn	1.351	3.5	0.2	15.2	11.7
Non-res., \$bn	9.010	4.2	16.9	11.0	16.3

*figures for 'total dwellings mthly' are monthly and mthly%ch, all others are rolling 3mth avg and 3mth%ch; ^all sectors, Westpac estimates
Sources: ABS, Westpac Economics

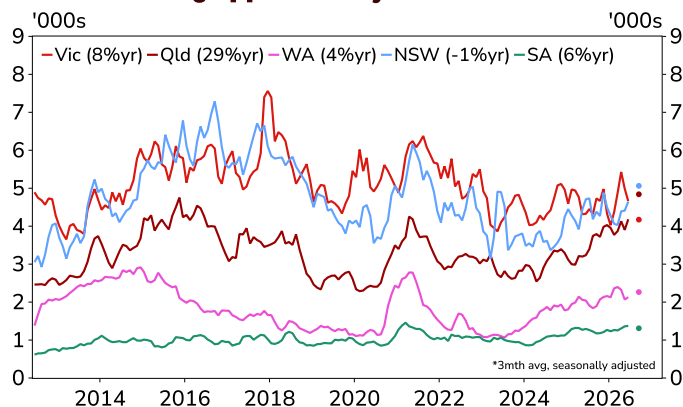
Dwelling approvals: major segment



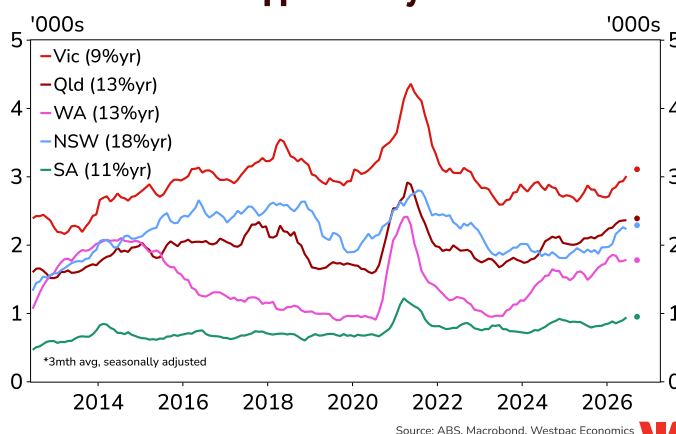
Dwelling approvals: detailed segment



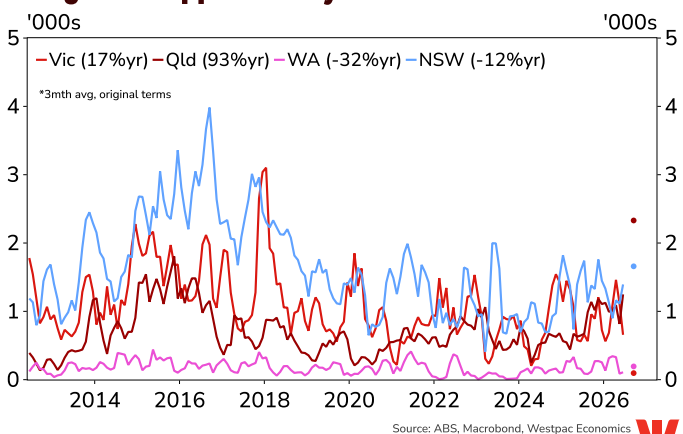
Total dwelling approvals: by state



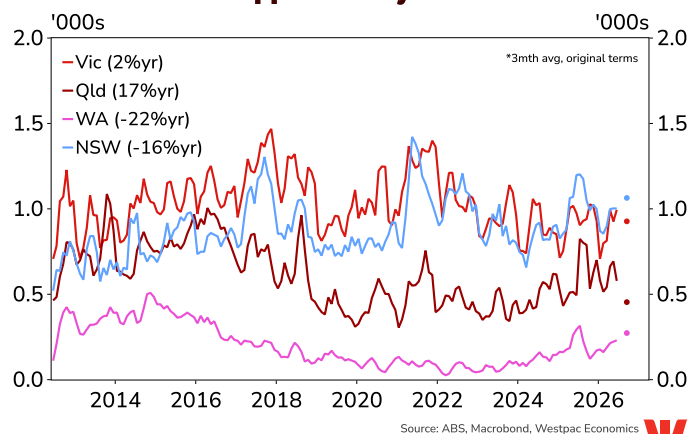
Detached house approvals: by state



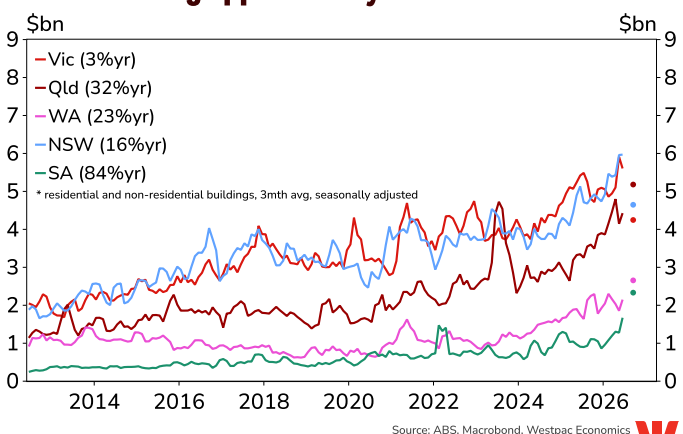
'High rise' approvals: by state



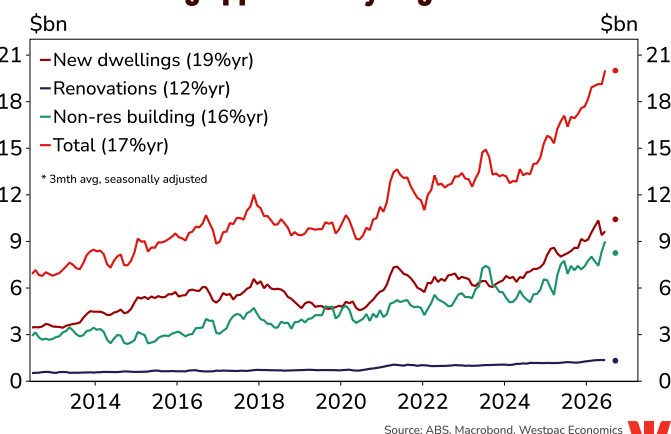
'Low-mid rise' approvals: by state



Total building approvals: by state



Total building approvals: by segment





Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au



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FOMC uncertainty to continue testing markets

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By [Elliot Clarke](#)

Head of International Economics, Westpac

08:24 July 30 2026

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Real data is unlikely to be decisive for policy in coming months, leaving market expectations to determine financial conditions.



At their July meeting, the FOMC voted 9-3 to leave the fed funds rate unchanged. Productivity growth and capital investment were characterised as “strong” and overall economic momentum “solid” despite considerable uncertainty. Labour demand and supply were assessed to be in balance, the

unemployment rate having “changed little”.

“Inflation [meanwhile] remains elevated... in part reflecting supply shocks that have driven price increases in certain sectors”. In both the statement and the press conference, the FOMC and Chair Warsh were resolute in their determination to bring inflation sustainably back to the 2.0%yr target. However, also apparent is that, at this juncture, it is unclear how far price shocks are permeating through the consumer basket. This applies to the current volatility in energy prices, due to the conflict in the Middle East, and the ongoing price surge for tech components. It will take many months to determine the full implications for underlying inflation; though, in the interim, expectations amongst households and businesses and the skew of risks will shape policy decisions.

In the press conference, Chair Warsh highlighted another area of debate for the Committee: the drivers and implications of long-term yields. Nominal and real yields have risen materially in recent months. The strength of economic activity, particularly investment, was cited as a factor, and potentially greater uncertainty over the FOMC’s reaction function. It seems the FOMC may be comfortable allowing the market to adjust financial conditions to balance inflation risks without an explicit contribution from the FOMC. The immediate response of the market to this idea was a material steepening of the yield curve, highlighting participants’ anxiety over inflation and policy uncertainty.

Overall, it appears the FOMC is not in a rush to determine whether the current stance of policy is appropriate to bring inflation back to target, or indeed if it is better to allow the market to balance expectations by itself. Several months of data and discussion are likely necessary to determine the next step based on economic data alone. However, it is entirely possible risks to inflation, or to the long end of the yield curve, will push the FOMC to a decision sooner. Policy will be live at coming meetings, particularly in September and October. On hold decisions are most likely, but by a very narrow margin.

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ECONOMIC BULLETIN

Preview of Q2 labour market surveys:
5 August, 10:45am.



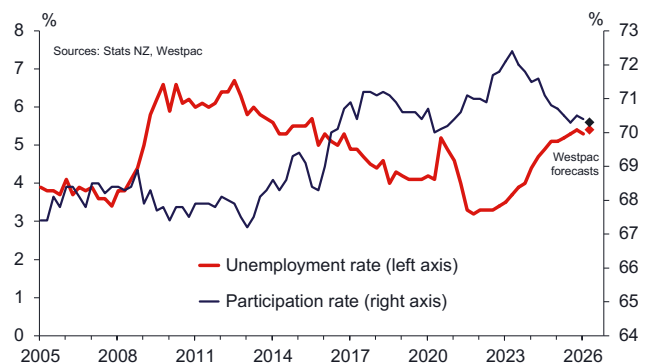
29 Jul 2026 | **Michael Gordon**, Senior Economist | +64 9 336 5670 | michael.gordon@westpac.co.nz

Job growth remains subdued.

- We expect the unemployment rate to tick up to 5.4% for the June quarter.
- The jobs market has held its ground through the Middle East conflict, but it hasn't gathered the momentum that we would have otherwise hoped to see.
- With employment not keeping pace with population growth, we would expect to see a rise in the unemployment rate and/or a fall in labour force participation.
- Wage growth is likely to remain subdued, given the existing slack in the labour market.
- Our forecasts are in line with what the RBNZ expected in its May statement. The labour market tends to be a lagging indicator, and June quarter data is unlikely to shed light on the extent of second-round inflation pressures.

	Q1 actual	Q2 forecast	
	Quarter	Westpac	RBNZ
Household Labour Force Survey			
Unemployment rate	5.3	5.4	5.4
Employment growth	0.1	0.1	0.1
Participation rate	70.4	70.3	70.3
Labour Cost Index			
All sectors, ordinary time	0.5	0.6	-
Private sector, ordinary time	0.4	0.6	0.6

Unemployment and participation rates



We expect next Wednesday's surveys to show a soft but steadying labour market over the June quarter. Employment has been gradually picking up again in recent months, but not quickly enough to keep up with population growth. That points to the likelihood of a further rise in the unemployment rate, although it's not obvious that it will extend beyond its recent peak of 5.4%. This comes after a slight fall to 5.3% in the March quarter, which was unexpected but not really reflective of the otherwise soft details in the survey.

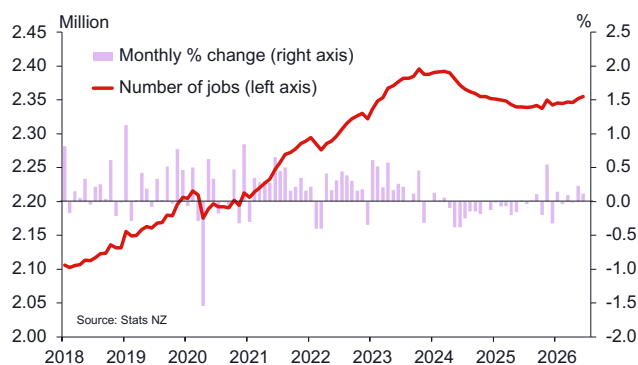
Our forecasts are in line with what the Reserve Bank expected in its May *Monetary Policy Statement* forecasts. While events in the Middle East have been moving quickly since then, it's unlikely that this would have changed the RBNZ's near-term assessment of the labour market – jobs tend to be a lagging indicator of the economic cycle. That's even more true of wage growth, which we think will continue to reflect the moderation in inflation pressures over 2024-25 rather than the recent uptick. Heading into the 2 September policy review, the question of how quickly OCR hikes will proceed from here is most likely to come down to the RBNZ's assessment of last week's inflation data, and their own inflation expectations surveys which will be released over August.

Forecast details.

We expect a 0.1% rise in employment over the June quarter, which is broadly in line with the rise in filled jobs in the Monthly Employment Indicator (MEI). Filled jobs began to gradually rise again from late 2023, and have held their ground through the uncertainty engendered by the Middle East conflict – but they haven't gained momentum in the way that they might otherwise have.

The MEI is drawn from income tax data and hence provides a fairly comprehensive record of the number of jobs. While there are some conceptual differences between this and the quarterly HLFS, any differences between the two will most likely reflect sampling error in the latter.

Monthly Employment Indicator filled jobs



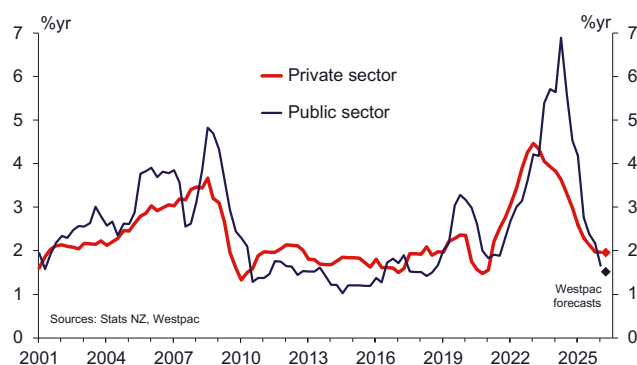
A 0.1% rise in employment wouldn't be enough to keep up with the growth in the working-age population (an already-reported 0.3% rise for the quarter). That means we'll likely see some combination of people either moving into unemployment, or dropping out of the active labour force. That said, we're talking about small increments – we expect a 0.1ppt rise in the unemployment rate to 5.4%, and a 0.1ppt fall in the participation rate to 70.3%.

The labour market can still be characterised as a “low-fire, low-hire” environment. Firms have looked to hold on to workers to the extent that they can, but that means they haven't returned to hiring mode even as conditions

have started to improve. Job vacancies have picked up from their lows, but they remain well below pre-Covid levels. Meanwhile, those who are out of work have found it increasingly difficult to get back in, and long-term unemployment has been a much greater issue than we've seen in previous cycles.

While cost-of-living pressures have reared up again as a concern for households, the existing degree of slack in the labour market is a crucial difference between now and the surge in wage growth that we saw in the post-Covid years. We expect a 0.6% rise in the Labour Cost Index (LCI) for the June quarter, keeping annual growth just below 2%. Public sector pay increases are probably running behind the private sector now, with the impact of past collective agreements dropping out of the annual calculations.

Labour Cost Index wage growth forecasts



Contact

Westpac Economics Team | westpac.co.nz/economics | economics@westpac.co.nz



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Kelly Eckhold, Chief Economist | +64 9 348 9382 | +64 21 786 758 | kelly.eckhold@westpac.co.nz

Satish Ranchhod, Senior Economist | +64 9 336 5668 | +64 21 710 852 | satish.ranchhod@westpac.co.nz

Darren Gibbs, Senior Economist | +64 9 367 3368 | +64 21 794 292 | darren.gibbs@westpac.co.nz

Michael Gordon, Senior Economist | +64 9 336 5670 | +64 21 749 506 | michael.gordon@westpac.co.nz

Paul Clark, Industry Economist | +64 9 336 5656 | +64 21 713 704 | paul.clark@westpac.co.nz

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First Impressions: NZ Consumer Prices, June quarter 2026

#inflation

#newzealand



By Satish Ranchhod

Senior Economist, Westpac NZ

09:12 July 21 2026

 Share

Consumer prices rose 1.5% in the June quarter. That saw the annual inflation rate rise to 4.1%. The result was in line with our forecast but slightly above the RBNZ's July assumption.



Consumers Price Index, June quarter 2026 – key stats

Headline inflation

Quarterly change: +1.5% (prev: +0.9%)

Westpac forecast: +1.5%

Market median: +1.5%, range +1.3% to. +2.0%

Annual change: +4.1% (prev: +3.1%)

Westpac forecast: +4.1%, RBNZ: +3.9%, Market: +4.0%

Non-tradables

Quarterly change: +0.6% (prev: +1.1%)

Westpac forecast: +0.6%

Annual change: +3.4% (prev: +3.5%)

Tradables

Quarterly change: +2.7% (prev: +0.7%)

Westpac forecast: +2.6%

Annual change: +4.9% (prev: +2.5%)

Consumer prices rose 1.5% in the June quarter. That saw the annual inflation rate rising to 4.1% – up from 3.1% in the year to March and the highest level in two years. The result was in line with our forecast.

The result was slightly above the RBNZ's updated July forecast for 3.9% annual inflation. However, much of that surprise is likely related to volatile items like holiday accommodation. Consequently, today's result will not be a major surprise to the RBNZ.

Much of the rise in inflation has been due to increases in global oil prices. Under the surface, core inflation has been softening, but it remains above the RBNZ's 2% target midpoint. That's despite the downturn in economic growth and softness in the labour market.

With core inflation softening, the result was not as worrying as the RBNZ might have feared. But inflation is still high. We continue to expect further OCR hikes at the September and December meetings.

What contributed to inflation in the June quarter?

The main driver of June's spike in consumer prices was the sharp rise in fuel prices since the start of the Middle East war. While prices have dropped back in recent weeks, petrol prices rose 20% over the June quarter and diesel prices were up an eye-watering 47% (together, those costs account for around 4% of the CPI).

Recent months have also seen further large increases in household energy prices (3% of the CPI). Electricity prices rose 4% over the June quarter and are up 12% over the past year. That was slightly lower than the 12.5% rise in the year to March. But before that the last time we saw increases this large was 1989.

Also adding to inflation has been the 0.4% rise in food prices over the quarter (18% of the CPI).

Notably, the June quarter also saw a 1.6% rise in the cost of a newly built home following very muted gains of over the past year. Construction firms have been reported increases in building costs in recent months, with at least some of that stemming from the increase in global oil prices. That's flowed through to higher transport costs, as well as higher costs for materials like PVC piping.

On the downside, rents were up just 0.1% over the quarter and have risen only 0.5% over the past year. That's the weakest annual rise in rents in more than two decades. With abundant supply and low population growth, average housing rents have shown no growth since late last year, and regions like Wellington have seen outright falls. We expect housing rental growth will remain muted for some time.

Annual and core inflation

The annual inflation rate rose to 4.1% in the June quarter, up from 3.1% in the year to March and the highest level in two years.

Looking under the surface, prices in the domestically oriented non-tradables group rose 0.6% over the quarter (as expected). That saw annual non-tradables inflation edging down just slightly to 3.4%, down from 3.5% last quarter.

While there continues to be firmness in administered prices (like household energy and local council rates), inflation in other domestic prices has been easing. In part, that's due to the softness in housing rents. However, the cooling in domestic prices has been more widespread, with non-tradables excluding housing and utilities costs (which also omits rates) slowing to 3.2%yr, down from 3.5% in the year to March.

On the imported front, tradables prices rose by 2.7% over the June quarter, just slightly more than expected. Tradables prices were up 4.9% over the past year. That's up sharply from the 2.5% rise in the year to March.

Higher fuel costs have been a significant driver of the rise in imported inflation. However, the lower New Zealand dollar is also playing an important role, with the NZD trade-weighted exchange rate down almost 4% over the past year. Excluding food and fuel costs, tradables prices were up 1.9% over the past year – the largest rise since 2023. Furthermore, with significant increases in operating costs in the wake of the Middle East war, imported inflation pressures are set to remain firm over the coming months.

While fuel prices did push inflation sharply higher over the past few months, a key focus for the RBNZ is what's been happening to other prices in the economy. In particular, are we seeing signs of a broader pick-up in inflation pressures?

At this stage, underlying inflation pressures are still looking relatively contained. That was reflected in most of the measures of core inflation, which generally eased slightly over the past few months. (Note: core inflation measures smooth through the quarter-to-quarter swings in inflation and track the underlying trend in prices). In terms of specifics, we saw:

- CPI ex-fuel inflation: +2.9% yr (vs +3.2% previously)
- CPI ex-fuel and food: +2.9% yr (vs +3.0% previously)
- CPI ex-fuel, food and household energy: +2.5% yr (vs +2.6% previously)
- 30% trimmed mean: +2.6% (vs +2.3% previously)

Stats NZ also helpfully provide a measure of inflation excluding food, household energy, vehicle fuels (which still covers two-thirds of the inflation basket). This group rose 2% over the past year, vs 1.9% in the year to March. It's been running around those levels for a year now.

While measures of core inflation are tracking within the RBNZ's target band, they're not 'low'. Despite a sharp slowdown in economic growth and softness in the labour market, the various measures of core inflation have lingered above the 2% midpoint of the RBNZ's target range for an extended period. However, the RBNZ will likely take some comfort from the fact that core inflation is still relatively well contained despite many firms reporting increases in operating costs in recent months.

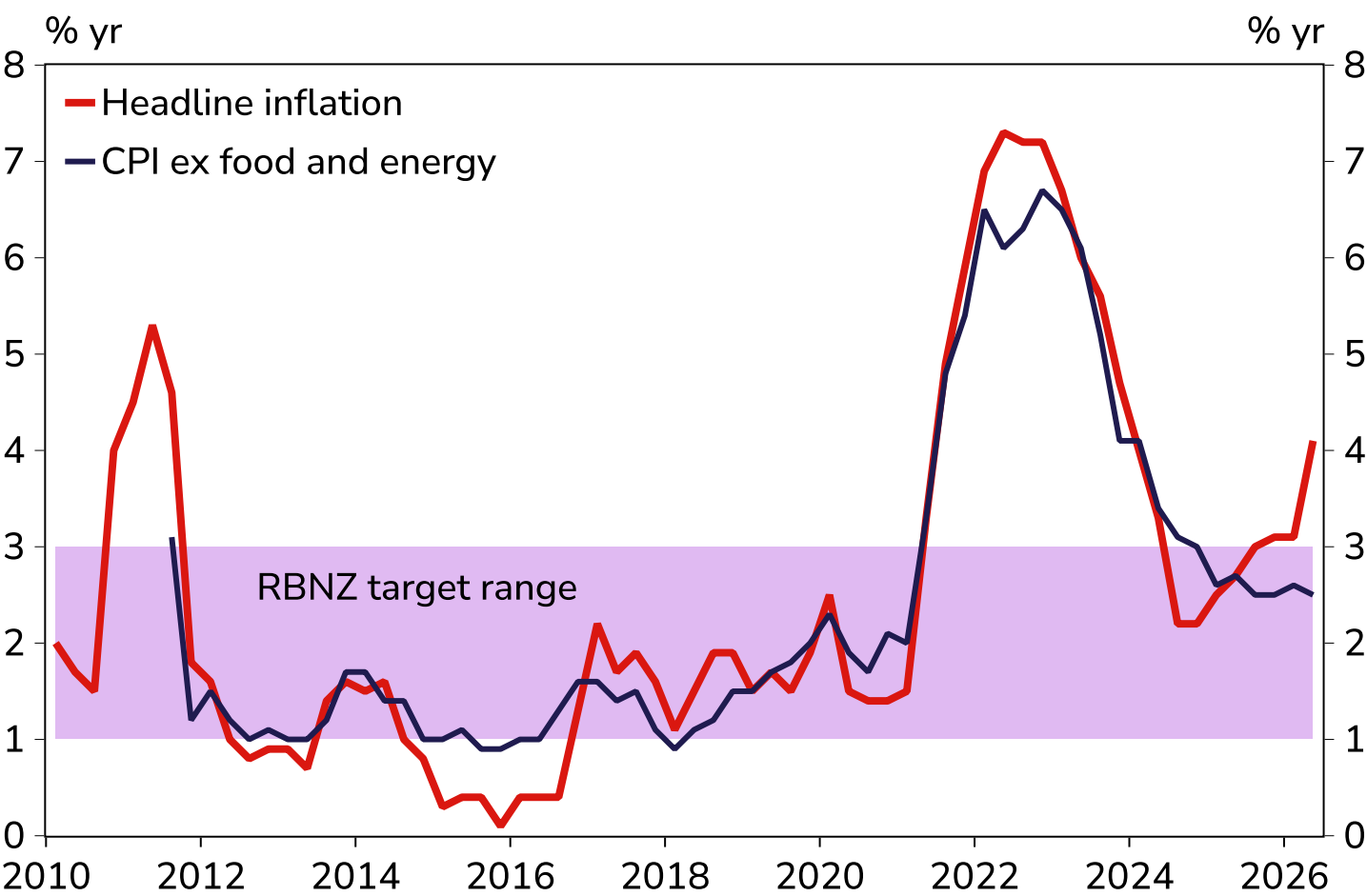
Outlook

While oil prices have pulled back from their initial highs, ongoing geopolitical tensions could keep them elevated for some time. Consistent with those developments, we expect that headline inflation will linger above 3% through the latter part of the year.

Under the surface, while core inflation has been contained, it has lingered above 2% for some time. Furthermore, recent business surveys point to the risk of a broadening in pricing pressures.

Overall, today's result wasn't as worrying as it could have been, with limited signs of widespread spillover from high oil prices. But inflation is still high. We continue to expect that the RBNZ will deliver further increases in the OCR through the back part of the year. However, the pace of those increases remains dependent on the strength of economic conditions more generally. We think that hikes are most likely at the RBNZ's September and December policy meetings.

CPI inflation



Source: Stats NZ, RBNZ, Macrobond, Westpac Economics

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ECONOMIC BULLETIN

CPI preview, June quarter 2026 –
Tuesday 21 July, 10:45am.



17 Jul 2026 | **Satish Ranchhod**, Senior Economist | +64 9 336 5668 | +64 21 710 852 | satish.ranchhod@westpac.co.nz

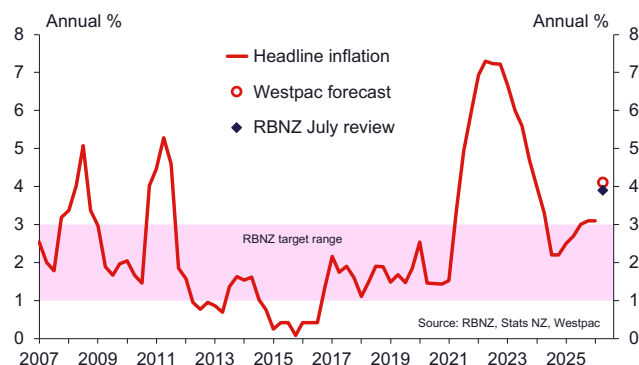
Pain at the pump

- With the war in the Middle East pushing oil prices sharply, consumer price inflation is set to rise to a two-year high.
- We estimate that New Zealand consumer prices rose by 1.5% in the June quarter. That's slightly higher than our previous forecast, consistent with the firmer than expected increases in prices for volatile items like holiday accommodation in Stats NZ's June update.
- The annual inflation rate is expected to rise to 4.1% (up from 3.1% previously).
- Core inflation has been softening but remains above the RBNZ's 2% target midpoint. That's despite the downturn in economic growth and softness in the labour market.
- Our forecast is close to the RBNZ's updated forecast for 3.9% annual inflation.

Consumer price inflation

	Mar-26 actual	Jun-26 forecast	
		Westpac	RBNZ (Jul MPR)
Headline inflation			
Quarterly	0.9%	1.5%	
Annual	3.1%	4.1%	3.9%
Non-tradables inflation			
Quarterly	1.1%	0.6%	
Annual	3.5%	3.4%	
Tradables inflation			
Quarterly	0.7%	2.6%	
Annual	2.5%	4.8%	

Annual headline inflation

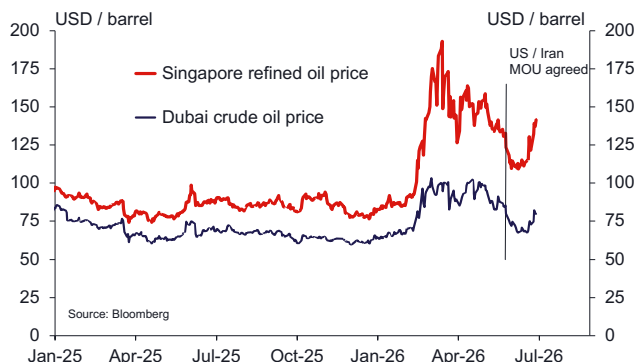


We expect the June quarter inflation report (out on 21 July) will show that New Zealand consumer prices rose 1.5% over the past three months. That would see the annual inflation rate rising to 4.1% – up from 3.1% in the year to March and the highest level in two years.

The main driver of June's spike in consumer prices has been the sharp rise in fuel prices since the start of the

Middle East war. While prices have dropped in recent weeks, petrol prices have risen 20% over the June quarter and diesel prices were up an eye-watering 51% (together, those costs account for around 4% of the CPI).

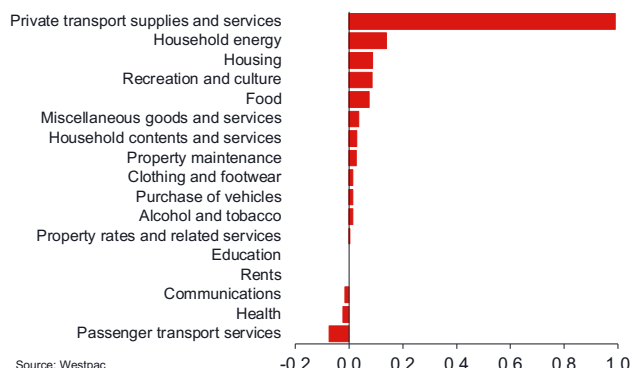
Oil prices



Recent months have also seen further large increases in household energy prices (3% of the CPI). Electricity prices rose 4% over the June quarter and are up 12% over the past year. Similarly, household gas prices rose 2% over the quarter, leaving them up 11% over the past year.

Also adding to inflation has been the 0.4% rise in food prices over the quarter (18% of the CPI).

Contributions to June quarter inflation forecast (percentage points)



Oil spill(overs).

With a sharp rise in energy prices, many businesses have reported large increases in other operating costs, including transportation and materials. For instance, in the construction sector, the cost of PVC piping and other inputs rose sharply in recent months. Consistent with that, we expect the cost of building new home (which makes up close to 10% of the CPI) to take a step higher this quarter after muted gains over the past year.

But while production costs have been rising, soft demand has been a brake on many businesses' ability to pass those higher costs through into output prices. That will limit the rise in overall consumer prices but does mean continued pressure on businesses' margins.

The risk that increased fuel costs spillover into broader inflation pressures is a significant concern for the RBNZ. With that in mind, measures of core inflation will be a key focus. (Note: core inflation measures smooth through the large quarter-to-quarter swings in individual prices and instead track the underlying trend in inflation). In terms of specifics, we expect:

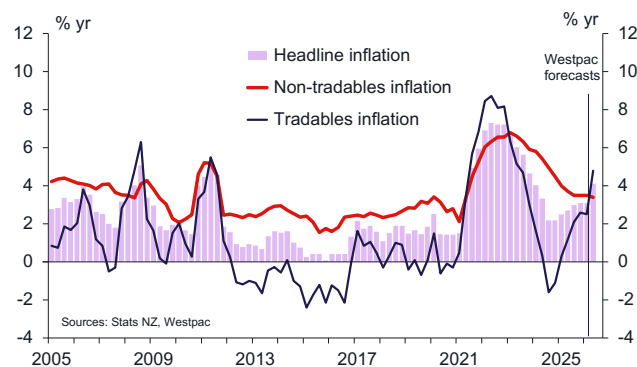
- CPI ex-fuel inflation: +2.8% yr (vs +3.2% previously)
- CPI ex-fuel and food: +2.9% yr (vs +3.0% previously)
- CPI ex-fuel, food and household energy: +2.5% yr (vs +2.6% previously)
- 30% trimmed mean: +2.4% (vs +2.3% previously)

Although the various measures of core inflation have been dropping back, we're reluctant to describe them as 'low.' Despite a sharp slowdown in economic growth and softness in the labour market, the various measures of core inflation have lingered above the 2% midpoint of the RBNZ's target range for an extended period. And with the recent oil related lift in inflation pressures, recent business surveys point to the risk of at least a temporary broader lift in inflation over the coming months.

Much of the firmness in core inflation has been due to increases in domestically oriented non-tradables prices. We expect these prices will rise 0.6% over the quarter. That would see annual non-tradables inflation softening to 3.4%, down from 3.5% last quarter but still well above average levels. Much of that strength has been related to continued large increases in administered prices, like council rates and electricity.

Bucking that trend of general firmness in non-tradeable prices, however, has been notable softness in housing rents (11% of the CPI). With abundant supply and low population growth, average housing rents have shown no growth since late last year, and regions likely Wellington have seen outright falls.

Inflation components



On the imported front, higher fuel costs are expected to see tradables prices rising by a huge 2.6% over the quarter. That would result in annual tradables inflation rising from 2.5%yr previously. But while higher fuel costs have been a significant driver of the rise

in imported inflation, the lower New Zealand dollar is also playing an important role. Excluding food and fuel costs, we estimate that tradables prices were up 3.2% over the past year. The average value of the trade-weighted exchange rate (TWI) in the June quarter was almost 4% lower than a year earlier.

How do our forecasts compare to the RBNZ's assumptions?

Under the direction of new Governor Anna Breman, the RBNZ has made efforts to strengthen its communications. That includes the releases of additional information and forecasts updates at its interim policy reviews (previously, such information was only released when the more detailed quarterly Monetary Policy Statements were released). This has been a very welcome move from the RBNZ, especially given the significant and rapid changes in the global economic backdrop in recent weeks.

The RBNZ's July update shows inflation peaking in the year to June at 3.9%. The RBNZ didn't publish a quarterly inflation track in July, but we estimate that their annual forecast is consistent with a 1.4% quarterly rate in consumer prices.

Our forecast for a 4.1% rise in consumer prices is slightly higher than the RBNZ's expectations. However, given the rapid changes in the economic outlook over the past few weeks and related uncertainty about the outlook, a result in line with our forecast would not be a major surprise to the RBNZ.

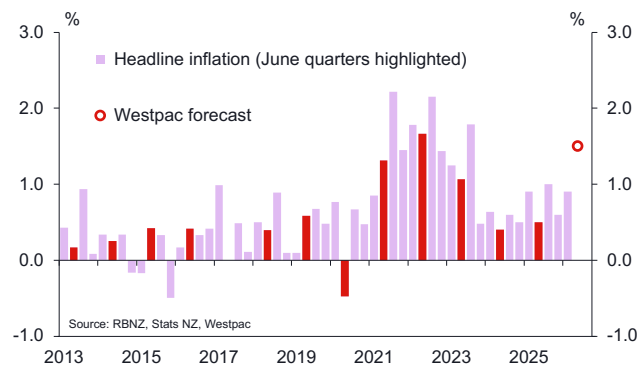
However, even if the overall inflation result is close to forecasts, the underlying detail will be a key interest. The RBNZ will be watching closely for signs that high fuel prices are spilling over into other prices, especially with global oil prices taking another step higher recently. With that in mind, the strength of the various core inflation measures will be a key focus for the RBNZ.

Updates from the June Selected Price report.

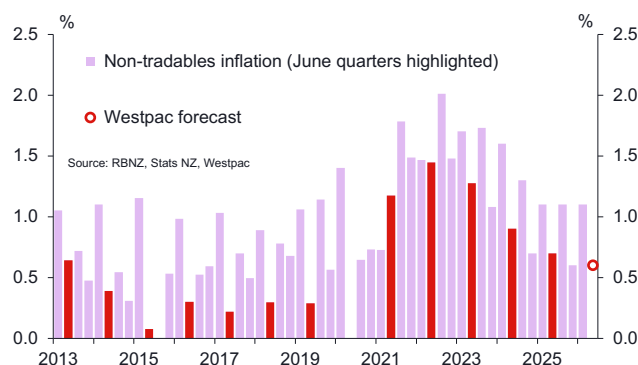
Our updated forecast for a 1.5% rise in consumer prices in the June quarter is slightly stronger than our previous forecast for a 1.4% rise. That reflects updated data from Stats NZ's June Selected Prices report. Of note, June saw a larger than expected increase in the volatile holiday accommodation category. That more than offset a more modest than expected rise in electricity prices.

In the other big categories, food prices were up 0.6% over the month as expected. Housing rental growth remained very muted, rising just 0.1% over the month.

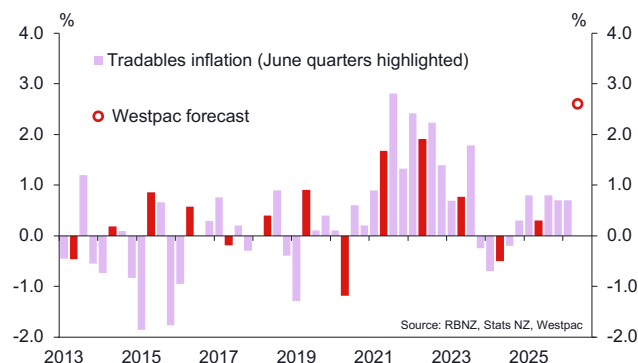
Quarterly CPI inflation



Quarterly non-tradables inflation



Quarterly tradables inflation



Contact

Westpac Economics Team | westpac.co.nz/economics | economics@westpac.co.nz



Connect with us

Kelly Eckhold, Chief Economist | +64 9 348 9382 | +64 21 786 758 | kelly.eckhold@westpac.co.nz

Satish Ranchhod, Senior Economist | +64 9 336 5668 | +64 21 710 852 | satish.ranchhod@westpac.co.nz

Darren Gibbs, Senior Economist | +64 9 367 3368 | +64 21 794 292 | darren.gibbs@westpac.co.nz

Michael Gordon, Senior Economist | +64 9 336 5670 | +64 21 749 506 | michael.gordon@westpac.co.nz

Paul Clark, Industry Economist | +64 9 336 5656 | +64 21 713 704 | paul.clark@westpac.co.nz

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August 2026



MON	TUE	WED	THU	FRI
3	4	5	6	7
AUSTRALIA Cotality Home Value Index Jul exp -1.0% prev -0.1% (12:01am) MI Inflation Gauge Jul y/y prev 3.9% (11:00am) CHINA RatingDog Manufacturing PMI Jul exp 52.0 prev 51.7 (11:45am) NEW ZEALAND Building Permits Jun prev -4.0% (8:45am) UNITED STATES ISM Manufacturing Jul exp 54.0 prev 53.3 (12:00am) Construction Spending Jun exp 0.2% prev 0.1% (12:00am) GLOBAL S&P Global Manufacturing PMI Jul (F)	AUSTRALIA ANZ-Indeed Job Ads Jul prev -0.2% (11:30am) Household Spending Indicator Jun (11:30am) m/m exp 0.1% prev 1.3% y/y exp 5.2% prev 5.5% UNITED STATES Trade Balance Jun exp -US\$73.0bn prev -US\$77.6bn (10:30pm) Factory Orders Jun exp 0.4% prev -1.3% (12:00am) JOLTS Job Openings Jun exp 7250k prev 7594k (12:00am) Durable Goods Orders Jun (F) prev 0.3% (12:00am)	CHINA RatingDog Services PMI Jul exp 53.9 prev 54.1 (11:45am) EURO ZONE PPI Jun y/y prev 5.9% (7:00pm) NEW ZEALAND Labour Force Survey Q2 (8:45am) Employment prev 0.2% Unemployment Rate prev 5.3% Private Wages Ord. Time prev 0.5% UNITED STATES ADP Employment Change Jul exp 75k prev 98k (10:15pm) ISM Services Jul exp 54.3 prev 54.0 (12:00am) GLOBAL S&P Global Services PMI Jul (F)	AUSTRALIA Goods Trade Balance Jun exp -\$1.8bn prev -\$3.0bn (11:30am) EURO ZONE Ger. Factory Orders Jun exp 1.0% prev 1.9% (4:00pm) Retail Sales Jun exp 0.1% prev 0.2% (7:00pm) UNITED STATES Wholesale Inventories Jun (F) prev 0.3% (12:00am) Fedspeak - Musalem (7:30am)	CHINA Trade Balance Jul exp US\$113.4bn prev US\$125.62bn Price Indices Jul (11:30am Sun 9 Aug) CPI y/y prev 1.0% PPI y/y prev 4.1% EURO ZONE Ger. Industrial Production Jun exp 0.5% prev 0.9% (4:00pm) JAPAN Household Spending Jun y/y exp 1.0% prev -0.4% (9:30am) UNITED STATES Employment Report Jul (10:30pm) Nonfarm Payrolls Chg exp 88k prev 57k Unemployment Rate exp 4.2% prev 4.2% Avg Hourly Earnings exp 0.3% prev 0.3% Fedspeak - Barkin (12:00am) NY Fed 1-Yr Inflation Expectations Jul y/y prev 3.67% (1:00am) Consumer Credit Jun exp US\$12.1bn prev -US\$0.182bn (5:00am)
10	11	12	13	14
EURO ZONE Sentix Investor Confidence Aug prev -3.1 (6:30pm) JAPAN Current Account Jun prev ¥3968.3bn (9:50am)	AUSTRALIA NAB Business Survey Jul (11:30am) Conditions prev 3 Confidence prev -5 RBA Policy Decision exp 4.35% prev 4.35% (2:30pm) UNITED STATES NFIB Small Business Optimism Jul prev 97.4 (8:00pm) Existing Home Sales Jul prev -2.4% (12:00am)	AUSTRALIA Wage Price Index Q2 (11:30am) q/q exp 0.8% prev 0.8% y/y exp 3.2% prev 3.3% Dwelling Finance Q2 (11:30am) Total exp -4.5% prev -3.8% Owner-Occupier exp -2.7% prev -4.3% Investor exp -7.2% prev -3.0% UNITED STATES CPI Jul prev -0.4% (10:30pm)	EURO ZONE Industrial Production Jun prev -0.2% (7:00pm) NEW ZEALAND RBNZ 2yr Inflation Expectation Q2 prev 2.53% (1:00pm) UNITED KINGDOM GDP Q2 (P) prev 0.6% (4:00pm) UNITED STATES PPI Jul y/y prev -0.3% (10:30pm) Fedspeak - Barkin (10:40pm)	CHINA Current Account Q2 (P) prev US\$184.3bn EURO ZONE GDP Q2 (S) prev 0.4% (7:00pm) Trade Balance Jun prev -€5.0bn (7:00pm) NEW ZEALAND BusinessNZ Mfg PMI Jul prev 59.7 (8:30am) Net Migration Jun prev 1860 (8:45am) UNITED STATES Retail Sales Jul prev 0.2% (10:30pm) UoM Consumer Sentiment Aug (P) (12:00am) Business Inventories Jun prev 0.3% (12:00am)

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Economic Calendar

August 2026



MON	TUE	WED	THU	FRI
17 CHINA Monthly Activity Data Jul ytd y/y (12:00pm) Retail Sales prev 1.3% Industrial Production prev 5.4% Fixed Asset Investment prev -5.7% JAPAN GDP Q2 (P) prev 0.5% (9:50am) Industrial Production Jun (F) prev 1.3% (2:30pm) NEW ZEALAND Monthly Price Indices Jul (8:45am) Retail Card Spending Jul prev -1.4% (8:45am) UNITED KINGDOM Rightmove House Prices Aug prev -1.0% (9:01am) UNITED STATES NY Fed Empire Manufacturing Aug prev 15.6 (10:30pm) NAHB Housing Market Index Aug prev 34 (12:00am)	18 AUSTRALIA Westpac-MI Consumer Sentiment Aug prev 83.9 (10:30am) RBA's Jones - Fireside Chat (11:00am) EURO ZONE EU ZEW Expectations Aug prev 23.4 (7:00pm) UNITED KINGDOM ILO Unemployment Rate Jun prev 4.9% (4:00pm) UNITED STATES Import Price Index Jul prev 0.3% (10:30pm) Housing Starts Jul prev 19.0% (10:30pm) Building Permits Jul (P) prev -2.6% (10:30pm) Industrial Production Jul prev 0.1% (11:15pm) Pending Home Sales Jul prev -5.4% (12:00am)	19 JAPAN Core Machinery Orders Jun prev -12.4% (9:50am) EURO ZONE CPI Jul (F) (7:00pm) NEW ZEALAND PPI Q2 prev 0.8% (8:45am) UNITED KINGDOM CPI Jul y/y prev 2.6% (4:00pm) UNITED STATES FOMC Minutes (4:00am)	20 AUSTRALIA MI Inflation Expectations Aug y/y prev 4.7% (11:00am) Labour Force Survey Jul (11:30am) Employment Change exp 15k prev 76.3k Unemployment Rate exp 4.5% prev 4.4% Participation Rate exp 67.0% prev 67.0% UNITED STATES Phily Fed Manufacturing Index Aug prev 41.4 (10:30pm) Leading Index Jul prev -0.2% (12:00am)	21 EURO ZONE EC Consumer Confidence Aug (P) prev -15.9 (12:00am) JAPAN CPI Jul y/y prev 1.7% (9:30am) NEW ZEALAND Trade Balance Jul prev NZ\$23mn (8:45am) UNITED KINGDOM GfK Consumer Sentiment Aug prev -17 (9:01am) Public Sector Borrowing Jul prev £16.0bn (4:00pm) Retail Sales Jul prev 1.0% (4:00pm) GLOBAL S&P Global PMIs Aug (P) Manufacturing Services
24 NEW ZEALAND Retail Sales Volumes Q2 prev 0.9% (8:45am) UNITED STATES Chicago Fed Nat Act Index Jul prev -0.02% (10:30pm)	25 AUSTRALIA RBA Minutes (11:30am) EURO ZONE IFO Business Climate Survey Aug prev 86.6 (6:00pm) UNITED STATES FHFA House Prices Jun prev 0.3% (11:00pm) S&P CoreLogic CS House Prices Jun prev 0.2% (11:00pm) Richmond Fed Manufacturing Index Aug prev 5 (12:00am) New Home Sales Jul prev 628% (12:00am) Consumer Confidence Index Aug prev 90.8 (12:00am)	26 AUSTRALIA Westpac-MI Leading Index Jul ann'd prev -0.36% (10:30am) Monthly CPI Jul (11:30am) Headline m/m prev 3.8% Headline y/y prev -0.1% Construction Work Done Q2 exp -1.5% prev 3.4% (11:30am) UNITED STATES Personal Income Jul prev xx% (10:30pm) Personal Spending Jul prev xx% (10:30pm) PCE Deflator Jul prev xx% (10:30pm) GDP Q2 (S) ann'd prev xx% (10:30pm) Durable Goods Orders Jul (P) (10:30pm)	27 AUSTRALIA Private Capital Expenditure Q2 exp -0.6% prev 6.5% (11:30am) Household Spending Indicator Jul (11:30am) CHINA Industrial Profits Jul y/y prev 15.1% (11:30am) EURO ZONE M3 Money Supply Jul y/y prev 3.3% (6:00pm) UNITED STATES Kansas City Fed Manufacturing Index Aug prev 9 (1:00am)	28 EURO ZONE EC Economic Confidence Aug prev 96.9 (7:00pm) EC Consumer Confidence Aug (F) (7:00pm) JAPAN Tokyo CPI Aug y/y prev 2.0% (9:30am) Jobless Rate Jul prev 2.5% (9:30am) NEW ZEALAND Filled Jobs Jul prev 0.1% (8:45am) UNITED KINGDOM Nationwide House Prices Aug (Sun 30 Aug) UNITED STATES Chicago PMI Aug (11:45pm) UoM Consumer Sentiment Aug (F) (12:00am)

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Economic Calendar



August 2026

MON	TUE	WED	THU	FRI
31	1 Sept	2	3	4
AUSTRALIA MI Inflation Gauge Aug y/y (11:00am) Private Sector Credit Jul prev 0.8% (11:30am) GDP Partials Q2 (11:30am) Company Profits prev -1.3% Inventories prev 0.5% CHINA NBS PMIs Aug (11:30am) Manufacturing prev 49.2 Non-Manufacturing prev 49.0 JAPAN Industrial Production Jul (P) (9:50am) NEW ZEALAND ANZ Business Confidence Aug prev 56.1 (11:00am) UNITED STATES Dallas Fed Manufacturing Index Aug prev 1.3 (12:30am)	AUSTRALIA Current Account Balance Q2 prev -\$27.1bn (11:30am) Net Exports Cont'n Q2 prev -0.8ppts (11:30am) Dwelling Approvals Jul prev 7.2% (11:30am) CHINA RatingDog Manufacturing PMI Aug (11:45am) EURO ZONE CPI Aug y/y (P) (7:00pm) Unemployment Rate Jul prev 6.3% (7:00pm) UNITED STATES ISM Manufacturing Aug (12:00am) Construction Spending Jul (12:00am) JOLTS Job Openings Jul (12:00am) GLOBAL S&P Global Manufacturing PMI Aug (F)	AUSTRALIA GDP Q2 (11:30am) q/q prev 0.3% y/y prev 2.5% NEW ZEALAND Building Permits Jul (8:45am) RBNZ Policy Decision prev 2.50% (12:00pm) UNITED STATES ADP Employment Change Aug (10:15pm) Factory Orders Jul (12:00am) Durable Goods Orders Jul (F) (12:00am)	AUSTRALIA Goods Trade Balance Jul (11:30am) CHINA RatingDog Services PMI Aug (11:45am) EURO ZONE PPI Jul (7:00pm) NEW ZEALAND Terms of Trade Q2 prev -2.0% (8:45am) UNITED STATES Trade Balance Jul (10:30pm) ISM Services Aug (12:00am) GLOBAL S&P Global Services PMI Aug (F)	EURO ZONE Ger. Factory Orders Jul (4:00pm) Retail Sales Jul (7:00pm) JAPAN Household Spending Jul (9:30am) NEW ZEALAND ANZ Consumer Confidence Aug prev 99.3 (8:00am) UNITED STATES Employment Report Aug (10:30pm) Nonfarm Payrolls Chg Unemployment Rate Avg Hourly Earnings Federal Reserve's Beige Book (4:00am)

Corporate Directory

Westpac Economics / Australia

Luci Ellis
Chief Economist
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Kelly Eckhold
NZ Chief Economist
E: kelly.eckhold@westpac.com.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.com.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.com.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.com.nz

Paul Clark
Industry Economist
E: paul.clark@westpac.com.nz

Westpac Economics / Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au



 westpaciq.com.au

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AGRI BITES

Still on top.

31 July 2026



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Paul Clark, Industry Economist
+64 9 336 5656 | +64 21 713 704
paul.clark@westpac.co.nz

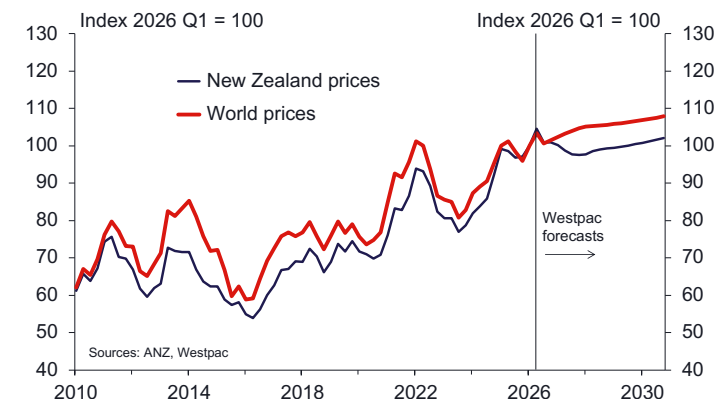


SUMMARY

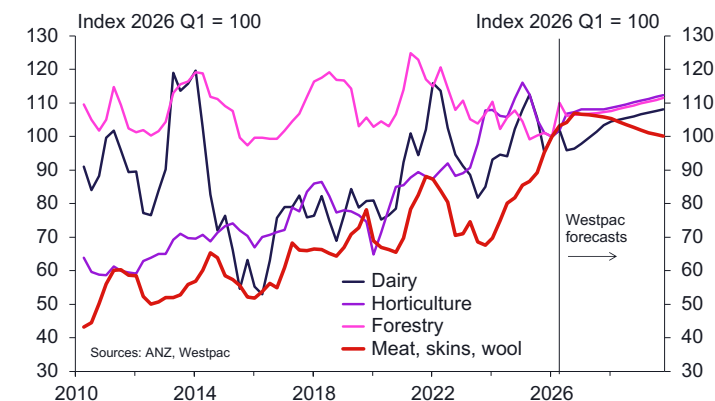
Despite uncertainties, agricultural export prices to remain elevated.

- The twist and turns associated with the conflict in the Middle East is increasing volatility in energy and related prices. At the current point in time supply is uninterrupted but prices remain elevated relative to pre-conflict levels. If this continues, this will place upward pressure on farm input costs, potentially eroding some of the gains from still-elevated commodity prices.
- Our forecast for the 2026/27 farmgate milk price remains at \$9.50/kg, noting that the range of uncertainty is particularly wide at this stage of the season. Global milk production remains ample but is slowing from its highs.
- Meanwhile, global beef and lamb prices are expected to remain well supported over the coming year, reflecting strong demand and constrained supply. Beef prices are being underpinned by lower production in the US and Brazil, while lamb prices face some headwinds from rising Australian supply and slower demand growth in Europe, the US, and China.
- Meanwhile, strong demand for premium kiwifruit and apple varieties is set to keep prices and grower returns at elevated levels, despite higher input costs, soft market conditions in China and aforementioned geopolitical headwinds.
- Forestry prices should improve moderately, supported by tighter supply and recovering demand, but China's still weak property market will cap upside.

Commodity prices – World and NZ dollar denominated



Commodity prices by category

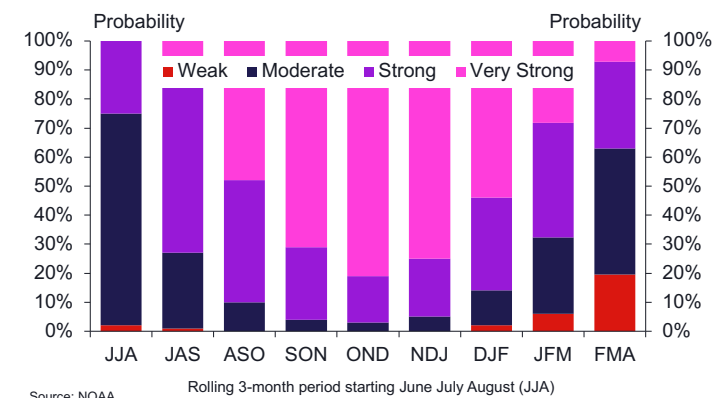


POSSIBLE IMPACTS OF EL NIÑO

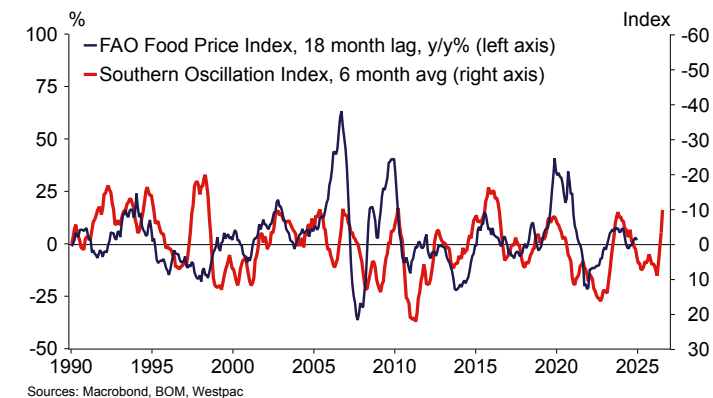
El Niño events could support commodity export prices.

- Climate forecasts indicate an increasing likelihood of El Niño developing through summer 2026/27, raising the risk of dry conditions across northern and eastern New Zealand.
- New Zealand agriculture enters this period in relatively good condition, with normal soil moisture and adequate feed supplies. However, conditions could deteriorate if a strong El Niño persists.
- Poor pasture growth could reduce dairy production through earlier cow dry-offs. If other dairy-exporting regions are similarly affected, tighter global supply could support dairy prices and farmgate returns.
- For sheep and beef farmers, weaker pasture growth may initially increase slaughter rates and pressure prices. Later, herd and flock rebuilding could tighten supply and support beef and lamb prices.
- Kiwifruit, apples and viticulture are generally more resilient, but prolonged drought, heat stress and water restrictions could reduce yields. Lower production may be partly offset by firmer export prices if global demand remains strong.
- Given the uncertainty surrounding El Niño, we have assumed no material impact on commodity prices over the coming year.

El Niño – Probability of severity



El Niño (SOI) and food prices

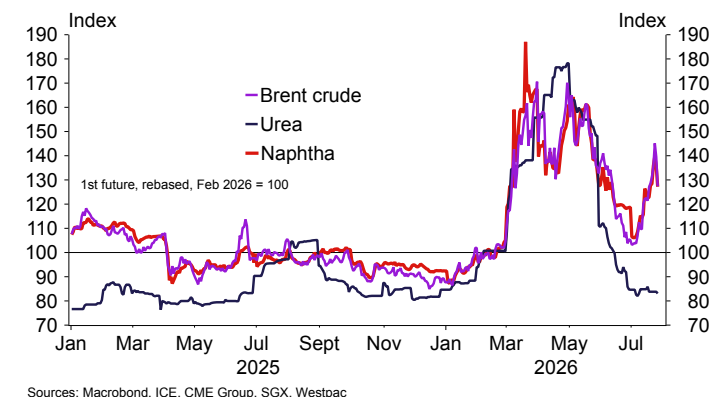


UPDATED IMPACTS OF WAR IN IRAN

Conflict-related disruptions could push input costs higher than expected.

- Global geopolitical risks have re-emerged as a significant source of uncertainty. The temporary easing in tensions that had helped stabilise markets in June has faded, with renewed US-Iran hostilities and ongoing attacks on commercial shipping in and around the Red Sea increasing concerns about global trade flows and energy supplies.
- These developments have contributed to heightened volatility in energy markets. Crude oil prices have fluctuated sharply in response to shifting perceptions of supply risk, with flow-on effects for petroleum products, gasoil, and petrochemical feedstocks such as naphtha, an important input for plastics manufacturing.
- Fertiliser markets are also under pressure. Sanctions on Russia and Belarus, trade restrictions, and shipping disruptions have constrained global supplies of sulphur, phosphate, potash, and some nitrogen fertilisers. However, urea prices have remained relatively stable, supported by recovering international supply and increased exports from China, which have helped offset conflict-related disruptions.
- For New Zealand farmers, the key risk is that more volatile energy and fertiliser markets could result in input costs increasing faster than what we have already pencilled in.

Crude and derivative product prices



Farm input cost index

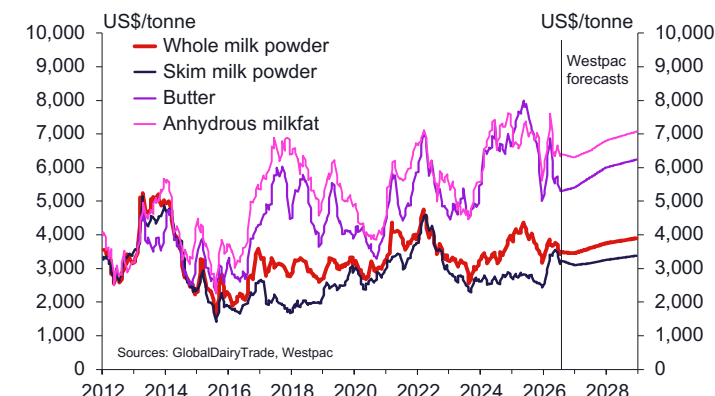


DAIRY

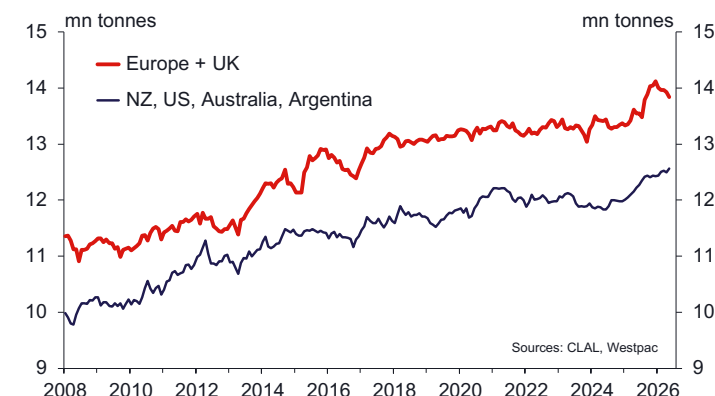
Dairy prices expected to remain favourable.

- World dairy prices have declined in recent months, though overall they have remained at favourable levels. Skim milk powder prices have fared better than other products as global demand has turned from fats and towards proteins.
- Global milk production remains strong but is easing back from last year's rapid pace of growth. Milk collections in the main exporting countries are up about 2% on a year ago. The Iran conflict has put pressure on energy, feed, fertiliser and freight costs, while the heatwave in Europe has weighed on milk production in some countries.
- Our farmgate milk price forecast for the 2026/27 season remains at \$9.50/kg. This assumes that world prices remain around current levels on average over the rest of the season.
- There are upside and downside risks to this view, and the range of possibilities remains wide at this early stage of the season. Fonterra recently revised down its forecast midpoint from \$9.75 to \$9.25, with a range of \$8.00-10.50.
- The main downside risk to prices stems from higher fuel costs having a larger than expected impact on global consumer demand. The key upside risk is that El Niño could lead to a substantial shortfall in milk supply over the New Zealand summer and autumn (which is already starting to be reflected in futures prices over this period).

GlobalDairyTrade auction prices



Milk production by top 5 exporting regions

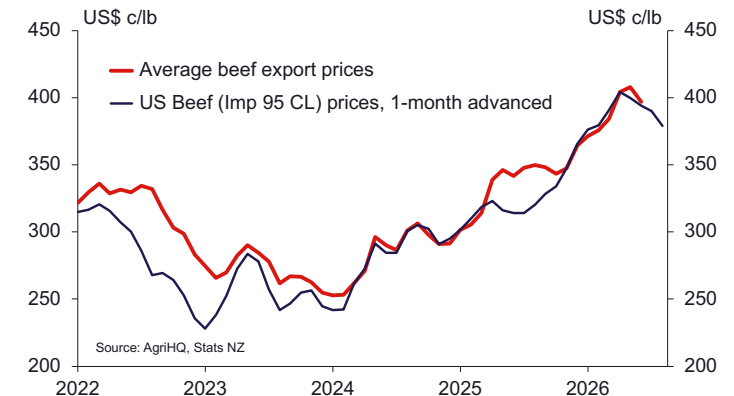


BEEF

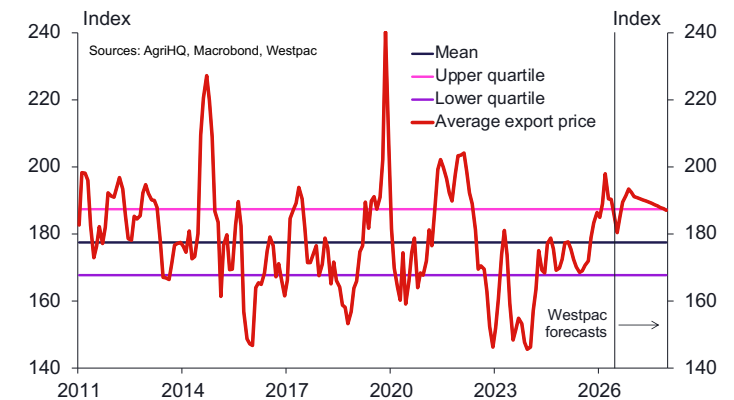
Fundamentals continue to support NZ beef export prices.

- Global beef supply remains structurally constrained, which is expected to continue supporting export prices for NZ farmers.
- US import demand is likely to be a key driver of global beef prices for the foreseeable future. While the US cattle herd is rebuilding, a meaningful increase in US beef production is not expected for another 2 to 3 years.
- The supply outlook is also being tightened by developments elsewhere. Brazil, the world's largest beef exporter, has entered a herd rebuilding phase, which is likely to slow export growth over the coming year.
- At the same time, China and the European Union are expected to see lower beef production due to shrinking cattle herds, tighter environmental regulations, and rising production costs. This is expected to more than offset stable to higher output from Australia, New Zealand, Mexico, and Canada.
- Demand for beef is expected to be supported by rising incomes and consumption in Asia and other emerging markets, continued foodservice demand, and strong consumer preference for beef in key markets.
- These factors are likely to help keep global beef prices at firm levels, despite some downside risks from weaker economic growth and/or softer Chinese demand, and with cost of living pressures favouring cheaper forms of protein.

Average monthly beef export prices - nominal



Average monthly beef export prices - real



US INVESTIGATION INTO NZ LAMB EXPORTS

The US formally launches investigation into lamb meat exports.

- On 13 July 2026, the Office of the US Trade Representative (USTR) requested that the US International Trade Commission (USITC) investigate whether rising lamb imports are causing serious injury to the US sheep industry.
- The American Sheep Industry Association argues that imports have increased substantially and now account for roughly 70% of the US lamb market. The investigation covers fresh, chilled, and frozen lamb meat, which is primarily imported from Australia and New Zealand.
- For New Zealand lamb exporters, this remains a risk rather than an actual tariff event. No safeguard measures are in place yet. From a market perspective, the investigation introduces uncertainty for NZ lamb exporters, but export flows continue normally at present.
- Decision day is 13 November 2026. That's when the USITC decides whether imports are causing serious injury. If the finding is yes, the Commission will recommend remedies to the US President, who will decide whether to impose tariffs, quotas, tariff-rate quotas, or other restrictions in 2027 Q1.
- It's not clear how the recent increase in tariffs on a range of New Zealand exports, from 10% to 12.5%, including lamb, will affect any decisions made by the President in this regard.

Investigation timeline

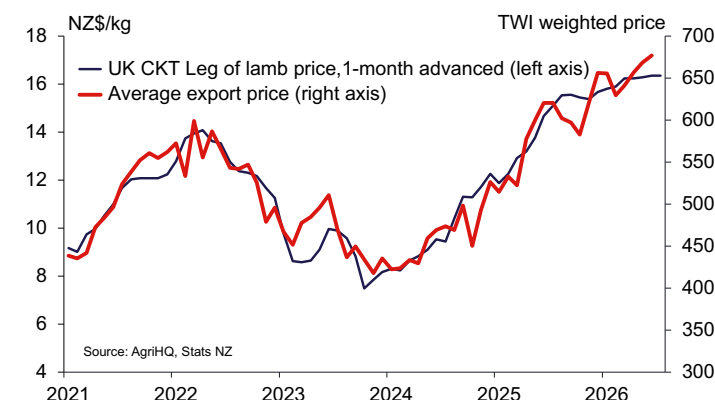
Phase	Timing
Public	Mid-2025
Formal request lodged (ASI)	Oct 2025
Pre-investigation activity	Nov 2025 – early 2026
Policy trigger (tariff ruling overturned)	Feb 2026
Investigation initiated	Jul 2026
Public hearing	Oct 2026
Injury determination	Nov 2026
Remedy hearing	Dec 2026
Final report to President	Jan 2027
Presidential decision	Jan 2027 – Mar 2027

SHEEP MEAT

Lamb export prices to remain elevated, but downside risks increasing.

- Lamb prices are expected to remain well supported over the coming 12 months, underpinned by constrained global supply and strong demand from premium markets in the UK, Europe, North America and the Middle East.
- On the supply side, sheep flocks have been declining in New Zealand, the UK, and parts of Europe for several years, reducing the volume of lamb available for export. Further flock declines should continue to support prices.
- Offsetting this to some degree, Australian lamb production and exports are expected to rise, supported by a large breeding flock and higher lambing rates. Given Australia's dominant share of global lamb exports, this is likely to temper price gains.
- Demand in European markets has been slowing for some time. There are signs that this might also be happening in the UK with weak domestic pricing prompting a switch away from New Zealand lamb exports.
- US demand, although buoyant, continues to track sideways. The imposition of a slightly higher tariff on New Zealand exports by the US could well result in a softening in demand in that market for New Zealand lamb.
- Ongoing economic weakness in China is encouraging some consumers to trade down to cheaper cuts which could limit further price growth.

Average monthly lamb export prices - nominal



Average monthly lamb export prices - real



HORTICULTURE

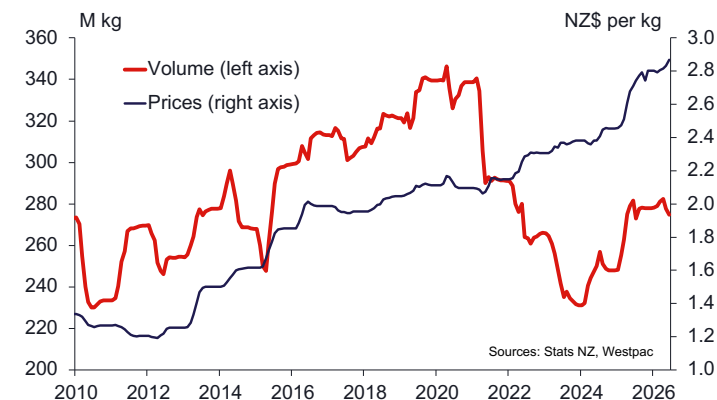
Demand for quality is helping to keep prices at firm levels.

- Strong global demand and growth in premium varieties are expected to keep kiwifruit prices firm over the next year, supporting grower returns at around current strong levels.
- Rising sales of SunGold and RubyRed kiwifruit should help sustain high per-hectare returns and profitability for New Zealand growers despite larger crop volumes.
- That said, higher freight costs, pricing pressure in China, and geopolitical uncertainty may limit further price increases, but grower returns are still expected to remain favourable.
- Strong demand from Asia, North America and other premium markets is expected to keep apple prices firm to slightly higher over the next year, supporting grower revenues and orchard profitability.
- Limited supplies of premium apple varieties should maintain price premiums, benefiting growers with newer, higher-value cultivars and strong export market positions.
- Improved market access, including India, and a shift toward higher-value cultivars are likely to provide further support for prices, although a larger global crop could moderate gains.

Kiwifruit – average export prices and volumes



Apples – average export prices and volumes

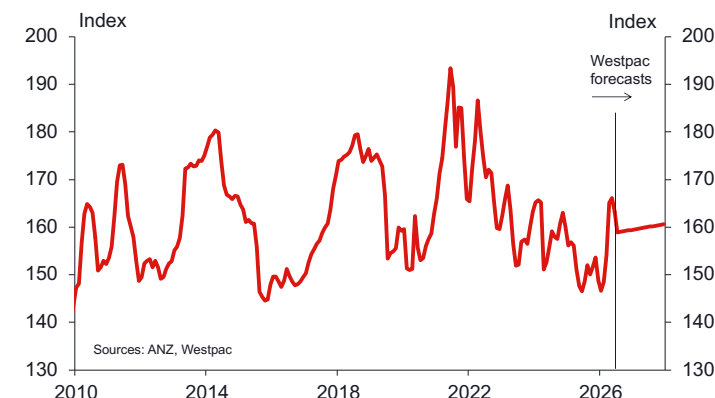


FORESTRY

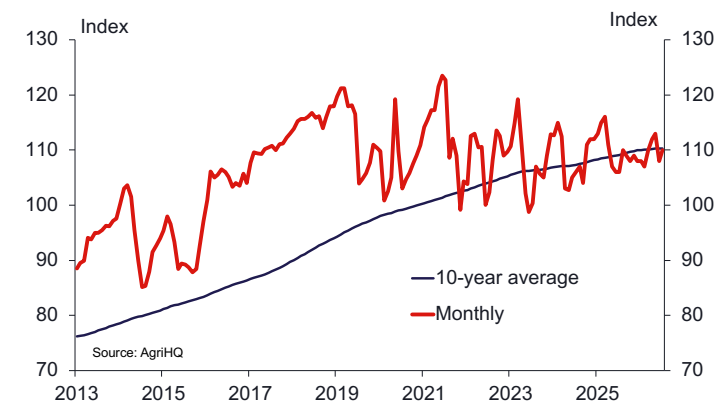
Limited upside for log prices for the foreseeable future.

- Forestry prices are expected to strengthen modestly through the second half of 2026 as market conditions improve.
- On the supply side, lower harvesting volumes and the wind-down of salvage logging following Cyclone Gabrielle and other storms are expected to tighten log supply and support prices. Elevated freight and energy costs, combined with a still-soft New Zealand dollar, are likely to weigh on returns.
- Demand conditions are improving, with domestic timber demand supported by a stronger residential construction outlook and rising building consents.
- Meanwhile, the NZ-India Free Trade Agreement has improved the competitiveness of New Zealand logs and timber in the fast-growing, albeit still relatively small, Indian market. This should support a recovery in exports following the disruption caused by the 2020 biohazard dispute.
- Despite these gains, China remains the key driver of forestry markets. A recovery in Chinese construction activity would boost log demand. Ongoing weakness in the property sector is, however, likely to constrain price growth.
- Overall, forestry prices should remain stable to moderately firmer over the next 12 months, supported by tighter supply and improving demand, although weakness in China's property market is likely to limit significant upside.

World forestry prices



Combined log price – monthly vs 10-year average

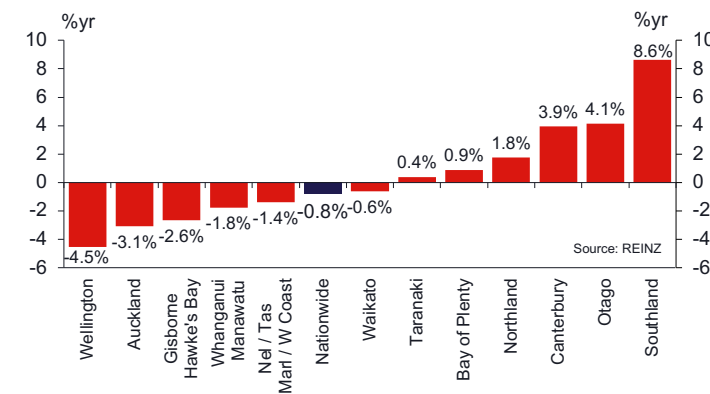


INDICATORS OF REGIONAL PERFORMANCE

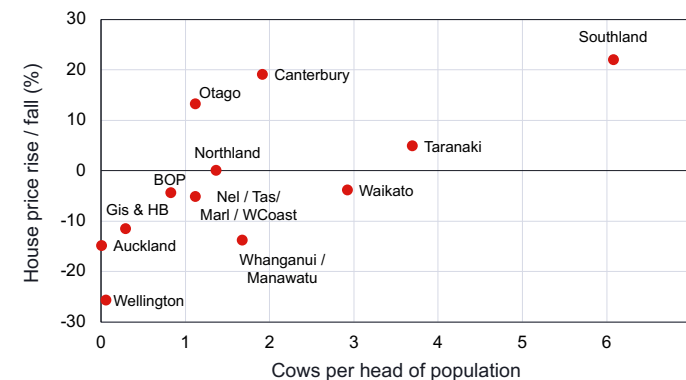
An unlikely indicator of regional economic performance.

- It should come as no surprise that agriculture has been the standout performer in the New Zealand economy over the past few years.
- Strong commodity prices, supported by robust global demand, constrained supply, and a favourable exchange rate, have boosted incomes for farmers and orchardists alike.
- Farmers have used those higher earnings in several ways, including reducing debt and investing in new plant and equipment.
- Spending on vehicles has also increased, with new registrations in agriculturally focused regions generally outpacing those elsewhere. A similar trend is evident in retail spending, with southern regions typically outperforming the north.
- House prices tell a similar story. Over the past five years, prices across New Zealand's agricultural heartland have outperformed most other regions. Since 2021, Southland house prices have risen around 22%, while Wellington prices have fallen by about a quarter.
- With tongue firmly in cheek, we suggest this may reflect Southland's status as the region with the most cows per capita in New Zealand. Wellington, with relatively few cows per person, has also recorded some of the largest house price declines. The policy implications, of course, are obvious.

House price growth by region (year to June)



House prices and cows



Source: figure.co.nz, Stats NZ, Westpac

FORECASTS

New Zealand commodity prices (end of period)

	Latest	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
NZ commodities index	406	397	401	404	407	410	413	415	415	416	417
Dairy price index	333	317	319	324	329	335	342	345	347	349	351
Whole milk powder USD/t	3,425	3,480	3,500	3,530	3,580	3,640	3,720	3,770	3,810	3,850	3,890
Skim milk powder USD/t	3,135	3,190	3,130	3,110	3,140	3,180	3,230	3,270	3,300	3,330	3,370
Lamb price index	677	683	685	682	678	674	670	663	655	647	640
Beef price index	394	390	408	407	408	408	408	407	405	402	400
Forestry price index	163	159	159	160	160	160	161	161	162	163	164

New Zealand commodity prices (annual averages)

	Levels				% change			
	2025	2026f	2027f	2028f	2025	2026f	2027f	2028f
NZ commodities index	390	400	408	416	9.2	2.5	2.2	1.8
Dairy price index	348	326	333	348	9.7	-6.4	2.0	4.6
Whole milk powder USD/t	3902	3573	3617	3829	13.5	-8.4	1.2	5.9
Skim milk powder USD/t	2702	3183	3165	3319	0.7	17.8	-0.6	4.8
Lamb price index	587	669	676	651	27.0	14.0	1.0	-3.6
Beef price index	337	396	408	403	19.1	17.4	3.0	-1.1
Forestry price index	152	158	160	162	-4.9	4.4	1.2	1.4

Forecasts as at 29 July 2026.

Contact

Westpac Economics Team
westpac.co.nz/economics
economics@westpac.co.nz



Connect with us

Kelly Eckhold, Chief Economist
+64 9 348 9382 | +64 21 786 758
kelly.eckhold@westpac.co.nz

Satish Ranchhod, Senior Economist
+64 9 336 5668 | +64 21 710 852
satish.ranchhod@westpac.co.nz

Darren Gibbs, Senior Economist
+64 9 367 3368 | +64 21 794 292
darren.gibbs@westpac.co.nz

Michael Gordon, Senior Economist
+64 9 336 5670 | +64 21 749 506
michael.gordon@westpac.co.nz

Paul Clark, Industry Economist
+64 9 336 5656 | +64 21 713 704
paul.clark@westpac.co.nz

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Westpac Banking Corporation.



Week beginning 27 July 2026

AUSTRALIA & NEW ZEALAND WEEKLY

Analysis and forecasts for this week's key releases.

In this week's edition:

Economic Insight: High on their own (estimates of) supply.

The Week That Was: Markets on edge.

Focus on New Zealand: Inflation back at a two-year high, upside risk building.

For the week ahead:

Australia: CPI, dwelling approvals, private sector credit, Q2 export and import price indices, PPI.

New Zealand: Employment indicator, business confidence, consumer confidence.

Japan: BoJ policy decision, Tokyo CPI, jobless rate, industrial production.

China: Industrial profits, NBS manufacturing PMI, NBS non-manufacturing PMI.

Euro Area: Q2 GDP, HICP inflation, unemployment rate, economic confidence.

United Kingdom: BoE policy decision.

United States: FOMC Policy Decision, Q2 GDP, Q2 employment cost index, PCE deflator, personal income.

Information contained in this report current as at 24 July 2026.

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High on their own (estimates of) supply



Luci Ellis
Chief Economist, Westpac Group

- **Monthly labour market data can be noisy, so it pays not to put too much weight on one month's figures. Assessing trends over several periods is one way to cut through the noise, though this means you are partly using stale information. Measures that deal with outliers in current-period data are another.**
- **Also important is cross-checking using related data. Not only does this allow us to smooth through noise, but sometimes it reveals something about how we should interpret fluctuations in top-line data. This is clearly the case for current labour market data, which are behaving differently to the past, but exactly how we should expect when the labour market is roughly in balance.**
- **In any assessment, it is crucial to avoid excessive focus on demand-side frames of analysis. When demand and supply are roughly in balance, supply shocks and trends are at least as important as the demand-side factors that dominate when economic slack is significant. The RBA seems to be downplaying the role for short-term noise in supply in its labour market analysis, as well as taking a different view of supply trends than Treasury.**

Recent labour market data highlight how important it is not to put too much weight on one month's figures. As our colleague Ryan Wells [flagged](#) ahead of the April release, the timing of Easter dampened employment growth in the month, only to bounce back in May. Not everyone saw that coming. The June monthly number might also have a timing-related noise component to it, in the opposite direction.

Assessing trends over several periods is one way to cut through the noise, though this means you are partly using stale information. Removing outliers from the current period's data is another, as with the trimmed mean and similar measures of underlying inflation. Also useful is triangulating across a whole dataset and related data. This is one reason why the richness and detail of the ABS's labour market data are so valuable. It affords multiple ways to cross-check.

One way to cross-check is to use a different frame for the same concept. This could mean triangulating heads employment growth with growth in hours worked, or the ratio of employment to population instead of a simple growth rate. The ABS uses estimated population growth to scale up employment changes in the sample of people it surveys into an economy-wide figure. Because official population statistics are published with a lag, this scaling (and so reported employment growth) is prone to revision, especially when population growth

is changing. And as one of my old bosses used to remind us, revisions to history are one of the main causes of a change in your view about the economy. The employment-to-population ratio is robust to this issue, and an important cross-check.

Even better cross-checks on employment growth can be found in measures of labour market slack. Unemployment, underemployment and job vacancies are currently a much clearer – and less noisy – through-line on the state of the labour market than employment growth has been lately. That was not the case a few months ago, when reported underemployment was surprisingly low. As another of my old bosses always reminded us, though, if the data look wrong, they probably are. Ryan highlighted in his [preview](#) of the June labour data that, after the May release, the ABS reported some systems errors that had resulted in underemployment being understated. The corrected data line up with the recent gentle upward trend in unemployment, and might be view-changing for some observers.

“These correlations in short-term dynamics are exactly what we should expect to see when the labour market is roughly in balance...”

Fluctuating separately and together

The real benefits of cross-checks go beyond smoothing through noise. They reveal how we should interpret fluctuations in employment. Currently these are much more about labour supply than they are about labour demand. Each surprise on monthly employment lately has been accompanied by a broadly equivalent movement in labour force participation. Measures of slack such as unemployment have moved much less.

Indeed, these correlations in short-term dynamics are **exactly what we should expect to see when the labour market is roughly in balance**. For most of the past few decades, labour market slack has prevailed. Additional labour demand would therefore mostly draw from workers already seeking work. In that world, positive surprises on employment would mostly correlate with negative surprises on unemployment and related measures, and participation would move relatively less.

When the labour market is tighter than full employment, you would instead expect to see employment growth constrained by supply. Positive surprises on employment would only occur alongside a positive surprise on supply, that is, participation. Measures of slack such as unemployment would be flat to down in the face of such a move.

In an over-tight market, though, you would not expect to see an increase in both employment and participation also correlating with *rises* in unemployment, as we saw in June. The current pattern suggests supply and demand are roughly in balance, but with both subject to small fluctuations around rising trends. This means that sometimes employment, unemployment and participation all rise together, while sometimes they all fall together. Still other times unemployment breaks the other way, depending on which noise was larger in the month.

This pattern cuts against the traditional, demand-driven approach that pervades economic analysis in central banks and elsewhere. For example, in its *May Statement on Monetary Policy*, the RBA motivated its flat-to-down forecast for the participation rate as workers responding to dwindling job opportunities by withdrawing from active participation in the labour force. In that world, labour demand leads labour supply.

It seems a little odd to use a framing suited to a situation of labour market slack in your forecasts when you believe, as the RBA says it does, that the labour market is if anything tighter than full employment. This might be suggesting that it expects that its current forecasts of below-trend growth generate a reasonable amount of spare capacity quite soon. This is, after all, what it believes is needed to return inflation to target.

Bend to the trend

Perhaps more perplexing is how embedded a downbeat view of labour supply trends is in the RBA's published forecasts. [Recall](#) that Australia, along with most other advanced economies, has seen a rising trend in labour force participation rates for several decades. Ageing populations actually encourage this: Japan, where demographic ageing is considerably more advanced, now has a participation rate that exceeds the US. For many years, though, ageing populations were assumed to shrink the workforce and lower participation rates. This assumption was built into the RBA's forecasts for most of the 2010s and was the driving assumption behind Treasury's Intergenerational Reports (IGRs) – and even the need for them.

More recently, Treasury appears to have thrown in the towel on the declining labour participation narrative. As Ryan [highlighted](#) back in May, this year's budget incorporated a change in Treasury's view, which now has a rising trend forecast for participation almost identical to our own forecasts. This contrasts with the flat profile assumed in MYEFO and flat-to-down trend in past IGRs. This puts their view of the outlook for labour supply at odds with the RBA's.

To be fair, there is also a cyclical element to labour force participation. On top of the demand-leads-supply view that workers decide whether to search actively for work (and thus be recorded as unemployed as well as boosting their chances of getting a job) according to their perception of available opportunities, recent RBA research has shown how important cost-of-living pressures are for people's decisions around participation and hours worked. These dynamics were less salient before the pandemic, when inflation and interest rates were low and stable.

These dynamics are especially evident for younger workers (age 15–24), where the boundaries between work and study are more permeable and flexible work more common. The [chart pack](#) accompanying Ryan's note this week shows larger monthly swings in participation and underemployment for this age group than for older adults. But there is a demand-side element here, too, evident in trends by sex. In recent months, unemployment and underemployment rates have risen faster for female workers than for males. This is consistent with the relatively tougher times for consumer-facing businesses highlighted in our refreshed [Westpac Business Signal](#) report.

All of this points to the need to triangulate across data and adapt frameworks for a world that is roughly in balance but subject to considerable noise. Right now, the RBA appears to be using analytical frames suitable for a world of high slack, at the same time as believing there is no slack. If we are right about the longer-term trend in participation, the RBA may find itself back in that world before too long. But not in the near term. The risks of high inflation are front of mind now. Emerging slack will be more of a story late this year and early next year, and a consideration for the ultimate unwind of tight policy.

Cliff Notes: markets on edge

Elliot Clarke, Head of International Economics

Ryan Wells, Economist

Illiana Jain, Economist

The [June Labour Force Survey](#) offered both noise and signal. Employment surprised materially to the upside, rising 76.3k in the month. However, the gain was matched by a sizeable lift in labour supply, the participation rate bouncing 0.3ppts to 67.0%, a 13-month high.

The ABS noted in the June release that there was a large group of individuals outside the labour force with a job lined up in May, and that they began work in June. With the employment gain driven by new labour force entrants, the unemployment rate held steady at 4.4% (edging up from 4.37% to 4.43% at the second decimal place). Rising unemployment and the sharp lift in underemployment over recent months both suggest labour market slack is building steadily.

Unlike previous readings which implied a sudden loss of momentum, employment growth now looks to have been steadier over the first half of the year, albeit with significant month-to-month volatility. This is in line with our belief that any further softening was more likely to occur in the second half once the drag from higher inflation and recent interest rate rises works through the economy.

The [Q2 Westpac Business Signal](#) showcased that cost pressures are growing and consumer-facing industries are most exposed to deteriorating growth prospects. Together with weaker employment intentions from other business surveys, this points to a sluggish outlook for employment through the turn of the year when we expect the unemployment rate to peak around 5.0%.

“Rising unemployment and the sharp lift in underemployment... both suggest labour market slack is building steadily.”

Offshore, the Middle East remained the market's focus as tensions continued to ratchet higher. Overnight, President Trump stated he was close to deciding on a "massive attack" against Iran and threatened "major military punishment" for the Houthis and Iran if the Houthis attack any other ships in the Middle East after they targeted two Saudi ships a day earlier. This follows yesterday's threat that US forces "will bomb and destroy ONE BRIDGE OR POWER PLANT, including those located next to, or in, the Capital City of Tehran" any time Iran's military "shoots at a ship in the Strait of Hormuz". Iran continues to hold to their position on retaliation, with like-for-like strikes on regional military installations and infrastructure threatened. Brent oil reached USD102 overnight and currently trades just under that level.

Fresh for markets today are the potential implications of the imposition of an announced 10% to 12.5% tariff by the US on 99% of its imports effective 12:01am Friday Washington time. The basis for the tariff is an assessment by US authorities of 60 countries' restrictions on the use of forced labour in their production chain, though the tariff catches exporters to the US to almost the same degree. This measure replaces the temporary 10% tariff set to expire at 12:00am. As a result, it should have little-to-no net impact on US inflation or growth. That said, it maintains pressure on US households and businesses at a particularly inopportune time and so is a threat to sentiment.

Against that backdrop, the ECB left rates unchanged while emphasising the full inflationary impact of higher energy prices are yet to be felt and that risks remain skewed to the upside. While June inflation surprised to the downside and the ECB, as yet, has seen no evidence of secondary effects from 2026's energy price spike, heightened uncertainty and the skew of risks favour another hike in September along with the possibility of another late in the year, if conditions do not improve.

Turning to the UK, attention centred on the first week of UK Prime Minister Andy Burnham's government. Aside from cabinet appointments, Burnham indicated he would operate within existing fiscal rules while pursuing a "new economic model" aimed at boosting growth, likely through cost-of-living measures. He has already removed VAT from household electricity bills and is expected to announce initiatives targeting youth employment and further education. Markets are anticipating a generous Budget in November, although higher-than-expected borrowing is likely to constrain policymakers.

Economic data recently received for the UK is broadly reassuring. Labour market indicators pointed to stabilisation, the unemployment rate holding at 4.9% in the three months to May and employment rising by 148k. That said, alternative measures, including the Bank of England's Decision Maker Panel, suggest the labour market is at risk of weakening further. The latest inflation data is consistent with a gradual easing in domestic pressures. Consumer prices rose 0.1% in June, slowing annual inflation from 2.8%yr to 2.6%yr. Services inflation was little changed at 3.6%yr, however, indicating that underlying price pressures remain. Taken together, the data did little to materially alter expectations for Bank of England policy.

Inflation back at a two-year high, upside risk building



Satish Ranchhod
Senior Economist

Inflation in New Zealand has risen to a two-year high, boosted by large increases in fuel and electricity costs. Under the surface, the various measures of core inflation have remained contained thus far, but they've lingered above 2% for an extended period various measures pointing to spare capacity in the economy. More recently, fuel prices have been charging higher again as tensions in the Middle East have flared, and business surveys point to the risk of a broadening in price pressures. Against that backdrop, the risks for inflation are firmly to the upside and the RBNZ is set to continue hiking the OCR through the latter part of the year.

Gassed up

New Zealand consumer prices rose 1.5% in the June quarter. That saw the annual inflation rate rising to 4.1%, up from 3.1% in the year to March and the highest level in two years.

The rise in inflation was in line with our expectations. However, it was above the RBNZ's updated July forecast which anticipated 3.9% annual inflation.

The June quarter rise in inflation was predominantly due to increases in fuel costs in the wake of the Middle East war, with petrol prices up 20% over the June quarter and diesel prices up nearly 50%.

There have also been continued large increases in electricity charges, which rose 4% over the June quarter, leaving them up 12% over the past year. That was slightly lower than the 12.5% rise in the year to March. But before that, the last time we saw increases this large was 1989.

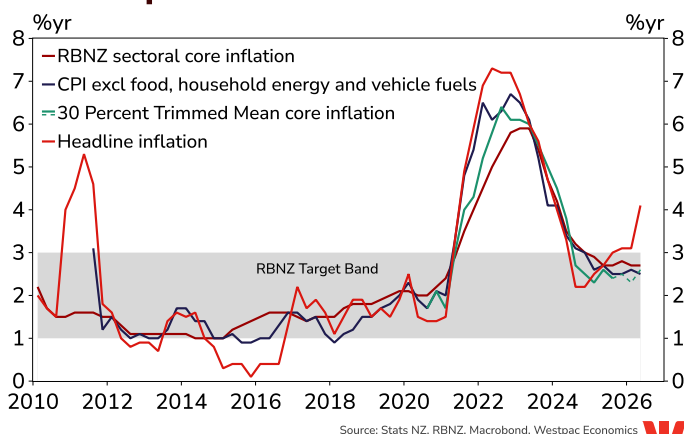
The key concern for the RBNZ is that those large increases in energy costs could spillover into a broader lift in consumer prices, with many businesses reporting sizeable increases in their operating costs over the past few months. The June quarter did see a sizeable 1.6% rise in the cost of a newly built home following very muted gains over the past year. Construction firms have reported increases in building costs in recent months, with at least some of that stemming from the increases in global oil prices. These increases have flowed through to higher transport costs, as well as higher costs for materials like PVC piping.

Core inflation contained, but not 'low'

However, while increases in fuel prices and related operating costs are flowing through to higher output prices in some specific sectors, at this stage we haven't observed evidence of any "second round" impacts that would point to a more

generalised increase in inflation. Most measures of core inflation (including those that exclude the direct impacts of higher fuel costs) remained contained within the RBNZ's target band in June, and several edged back slightly.

Consumer prices and core inflation



While the lack-of-a-pickup in underlying inflation in the June quarter was welcome news for the RBNZ, core inflation is not 'low'. The various measures of core inflation have lingered above the 2% midpoint of the RBNZ's target range for an extended period, and some are still close to 3%. That's despite a sharp slowdown in economic growth and softness in the labour market.

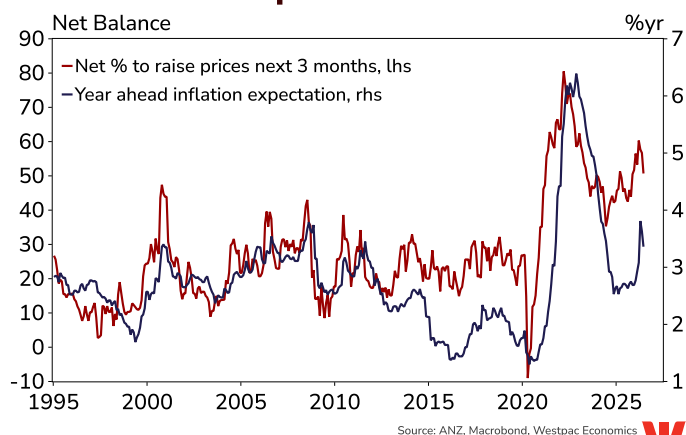
Looking under the surface at the big inflation groups, prices in the domestically oriented non-tradables group rose 3.4% in the year to June. That was a slightly smaller rise than the 3.5% increase seen in the year to March, but still firm.

Non-tradables inflation has trended down over the past couple of years as economic growth and the labour market have softened. We've also seen housing rent inflation (which is the largest single component of the CPI) slowing to its lowest level in more than two decades in response to increases in housing supply and low population growth.

However, the easing in domestic inflation looks like it has flattened off in recent quarters. We're continuing to see large increases in central and local government charges, which were up 8.3% over the past year. We're also seeing inflation in more market-oriented and labour-intensive areas holding at above average levels despite softness in the jobs market.

On the imported front, tradables prices were up 4.9% over the past year. That's up sharply from the 2.5% rise in the year to March. Higher fuel costs have been a significant driver of the rise in imported inflation. In addition, the lower New Zealand dollar is also playing an important role, with the NZD trade-weighted exchange rate down almost 4% over the past year. Excluding food and fuel costs, tradables prices were up 1.9% over the past year – the largest rise since 2023. Furthermore, given significant increases in operating costs in the wake of the Middle East war, imported inflation pressures are set to remain firm over the coming months.

Business inflation expectations



3.3% by the September quarter. With June quarter inflation coming in ahead of their forecasts and oil prices even higher than they were before the MOU was signed, at this stage it seems increasingly likely that inflation will run well ahead of the RBNZ's expectations over the latter part of the year.

Against this increasingly worrying outlook for inflation, we expect that the RBNZ will deliver further increases in the OCR through the back part of the year. We're forecasting 25bp hikes at both the RBNZ's September and December policy meetings. However, with energy costs bubbling away and growing risk of passthrough to other prices, an additional rate hike in October can't be ruled out. Of course, much will depend on how the economy responds to the policy tightening already underway and to the renewed global uncertainty.

With upside risks mounting, inflation is set to outstrip the RBNZ's forecast

The outlook for inflation through the second half of the year hinges on what happens to oil prices. We've been forecasting that inflation would slow modestly to a still hot rate of 3.5% by the end of this year. However, with oil prices rising sharply as tensions have again flared up in the Middle East, the risks for inflation are firmly to the upside.

Local petrol prices have nudged slightly higher over the past couple of weeks. However, if sustained, the recent sharp rise in global oil prices could see local pump prices for 91-unleaded rising back up to around \$3.20 to \$3.30 ltr. Even if we saw a more modest rise back up to \$3.10 ltr, overall inflation would remain around 4% through the back part of the year.

Those higher oil prices would also mean that there is a greater risk of related increases in other prices. While softness in demand has limited increases in consumer prices thus far, business surveys were already pointing to pressures on operating costs and margins before the latest rise in oil prices. The longer oil prices remain high, the more likely it is that rising cost of production will flow through to higher prices for consumers.

In its July update, which was prepared soon after the signing of the Memorandum of Understanding (MOU) between the US and Iran, the RBNZ assumed that inflation would slow to

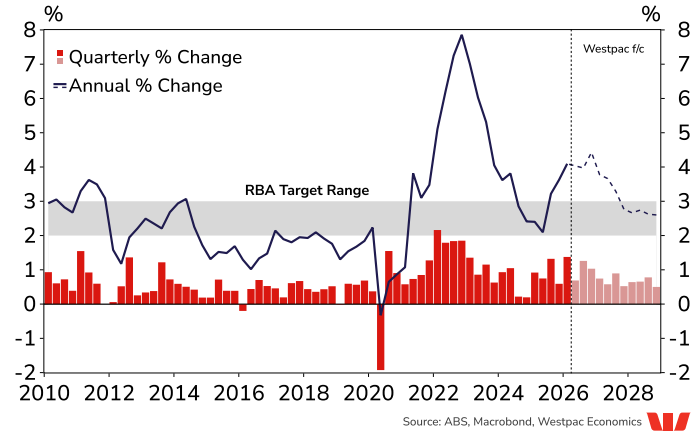
AUS: Q2 Headline CPI (%qtr)

Jul 29, Last: 1.4, Westpac f/c: 0.7
Mkt f/c: 0.7, Range: 0.6 to 1.1

Headline CPI rose 1.4%qtr in Q1, lifting annual inflation to 4.1%yr and signalling a renewed pickup in price pressures. The early impacts of the Gulf crisis were a key driver, particularly through higher automotive fuel prices.

For Q2, we expect headline CPI to increase 0.7%qtr, nudging the annual rate down to 4.0%yr. While the temporary halving of the fuel excise has weighed on the quarterly outcome, other potential sources of upside pressure, particularly holiday travel, have been softer than feared. For June, we expect the monthly CPI to rise 0.4%mt, taking annual inflation to 4.2%yr (see [here](#) for our full preview).

Headline CPI Inflation



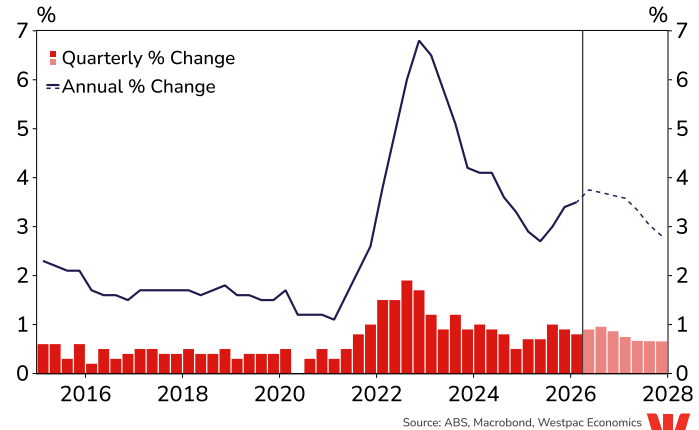
AUS: Q2 Trimmed Mean CPI (%qtr)

Jul 29, Last: 0.8, Westpac f/c: 0.9
Mkt f/c: 0.9, Range: 0.8 to 1.0

Trimmed mean inflation rose 0.8%qtr in Q1, with annual inflation up 3.5%yr. The quarter was likely too early to capture any meaningful second-round effects from the Middle East conflict, with the strength instead reflecting the demand-driven pick-up in prices that was playing out through the second half of 2025.

We expect trimmed mean inflation to be 0.9%qtr in Q2, taking the annual pace to 3.7%yr. Some spillovers from the conflict are already appearing in categories such as new dwelling purchase costs, repairs & maintenance, and meals out & takeaway. For June, we expect monthly trimmed mean inflation to rise 0.4%mt/3.7%yr.

Trimmed Mean Inflation



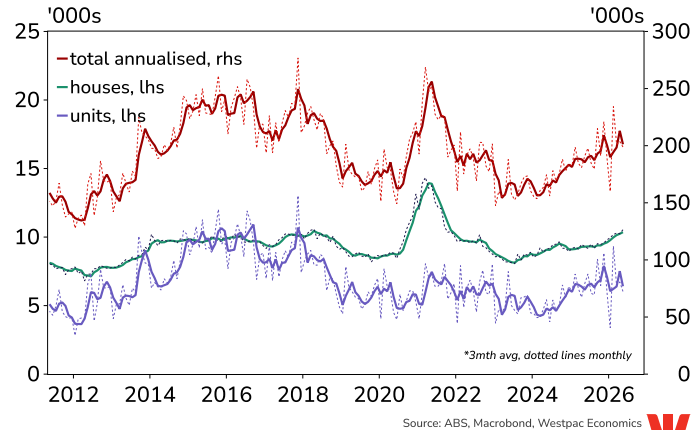
AUS: Jun Dwelling Approvals (%mt)

Jul 30, Last: -1.1, Westpac f/c: -2.0
Market f/c: -0.5, Range: -5.2 to 3.0

Dwelling approvals fell 1.1%mt in May, the annual pace easing to 5.3%yr. Approvals have settled back from the elevated levels seen in Feb but have yet to really 'roll over', with little overtly negative impact from rate hikes to date. The private detached dwelling approvals component for example continued to rise in May, up 2.8%mt and 13.2%yr.

June may start to see more of an interest-rate softening effect show through, potentially with higher building costs and uncertainty around fuel costs and tax policy changes also in the mix. We remain wary of the positive momentum coming into this and the support coming from both extremely tight supply and various government policy measures aimed at lifting new building. However, on balance, June is expected to show a clearer softening with a 2% decline in approvals.

Building approvals



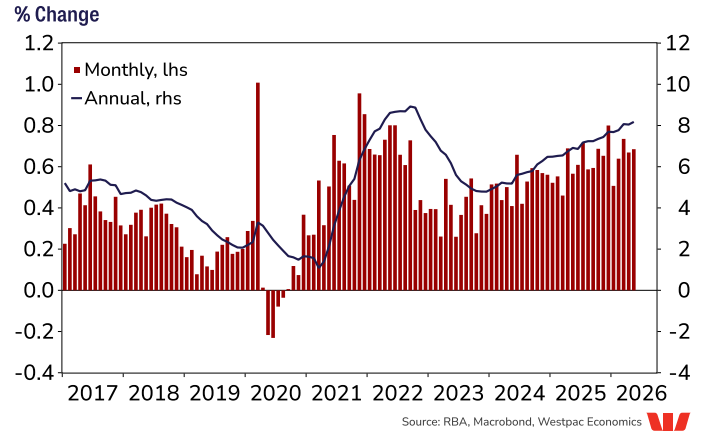
AUS: Jun Private Sector Credit (%mth)

Jul 31, Last: 0.7 Westpac f/c: 0.6
Mkt f/c: 0.6, Range: 0.3 to 0.7

The May private sector credit data surprised to the upside, with growth of 0.7%_{mth} aligning with the average over the past twelve months. The components showed diverging trends – housing credit growth eased, while business credit growth accelerated to a five-month high.

The latest numbers are likely to show that a similar dynamic across the major categories continued in June. Higher-frequency indicators are consistent with slowing housing credit, with the tax changes announced in the federal budget acting as a major catalyst. Meanwhile, the underlying trend in business credit should remain firmer, although some payback after May's increase is possible. Overall, this suggests that a tick down to 0.6%_{mth} in the private sector credit growth is the most likely outcome.

Private Sector Credit Growth

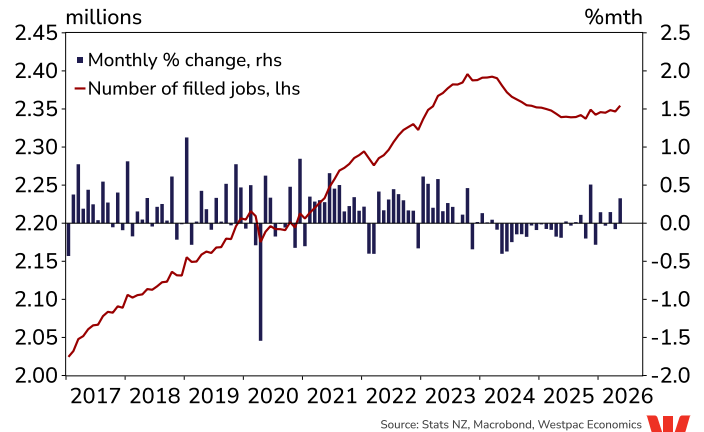


NZ: Jun Monthly Employment Indicator (%mth)

Jul 28, Last: 0.3, Westpac f/c: 0.2

The MEI has been showing a modest uptick in employment since late 2025, adding to the evidence that the New Zealand economy was regaining momentum prior to the Iran conflict. The weekly snapshots provided by Stats NZ suggest that the labour market has held its ground during the conflict, with the number of filled jobs continuing to track slightly above year-ago levels. Given that the MEI tends to be overstated on the first release, we expect to see a 0.2% rise for June initially, which is then likely to be revised closer to flat. The May increase is also likely to be revised lower.

Monthly Employment Indicator

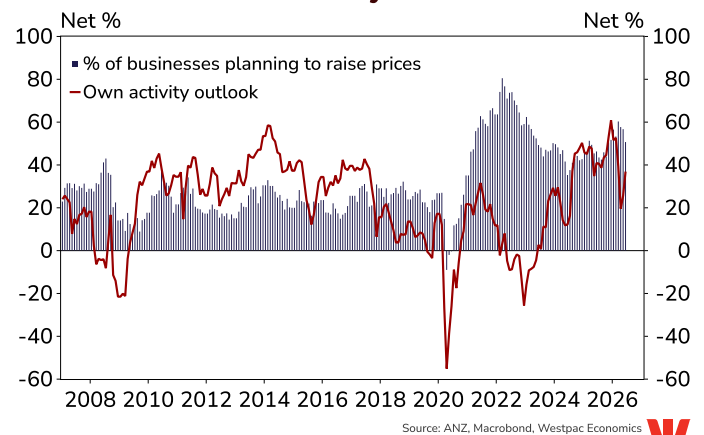


NZ: Jul ANZ Business Confidence (index)

Jul 30, Last: 36.6

Business confidence rose strongly in June, reflecting the US-Iran peace deal and the decline in oil prices at the time. The resumption in hostilities means that the headline measures of confidence are likely to head lower again for the July survey (though noting that fuel prices at the pump had not yet lifted during the survey period). The various inflation gauges will be of particular interest, given the RBNZ's concerns about the possibility of second-round price pressures. Firm's pricing intentions eased in the June survey but have remained elevated for several years.

ANZ Business Outlook survey



US: Jul FOMC meeting (%)

Jul 28-29, Last: 3.625, Mkt f/c: 3.625, WBC f/c: 3.625

In July, the FOMC is likely to focus their discussions and post-meeting communications on short and medium-term inflation risks while keeping the policy stance unchanged. Between the June and July meetings, consumer price data has been benign and the labour market broadly neutral for inflation. That said, capacity is tight, Brent oil has surged back through USD100 again this week, while the outlook for AI-related investment remains strong and, at least in the near term, price inelastic.

If the conflict in the Middle East abates again, our base expectation is that, by September, the FOMC is likely to be comfortable to look through residual price risks for the foreseeable future. But, if risks are as they are today, there is a material chance of a tightening, as market pricing suggests.

Expectations being closely monitored



US: Q2 GDP (%ann'd)

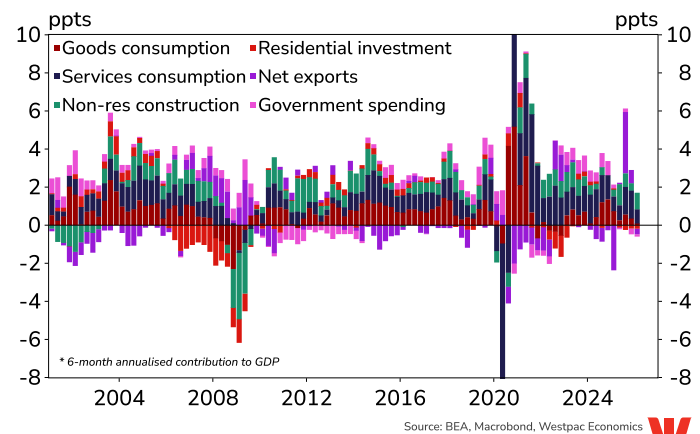
Jul 30, Last: 2.1, Mkt f/c: 2.3, WBC f/c: 1.8

Q1 GDP was lopsided, household consumption having effectively stalled and housing investment contracting while business investment surged. Business investment also had a narrow base, however, with equipment investment and intangibles related to tech driving the result.

Q2 is likely to be quite similar. On the latest partial data, the consumer remains under pressure and is cautious on discretionary spending. Business investment outside tech also remains subject to considerable headwinds and uncertainty.

We forecast a 1.8% annualised gain in Q2, broadly in line with the Atlanta Fed's nowcast, but modestly below the consensus estimate. As has been the case for recent quarterly readings, outsized volatility is likely estimate to estimate for Q2.

Consumer demand brittle



What to watch

	For	Data/Event	Unit	Last	Market f/c	Westpac f/c	Risk/Comment
Mon 27							
Chn	Jun	Industrial Profits	%ann	21.1	–	–	Profit growth still faces demand-side headwinds.
Ger	Jul	IFO Business Climate Survey	index	85.6	86.0	–	Recovering after the energy price shock.
US	Jun	Durable Goods Orders	%mth	–4.5	1.5	–	Business investment trends in focus.
	Jul	Dallas Fed Manufacturing Survey	index	0.0	–	–	Manufacturing activity continues to face headwinds
Tue 28							
Aus		RBA Governor Bullock	–	–	–	–	Annual Anika Foundation speech, 1:05pm AEST.
NZ	Jun	Employment Indicator	%mth	0.3	–	–	Jobs have held their ground through the Iran conflict.
US	Jun	Advance Goods Trade Balance	\$bn	–105.9	–100.0	–	Deteriorated sharply in May.
	May	S&P/CS Home Price Index	%mth	–0.04	–	–	US house price growth is turning negative.
	Jul	Richmond Fed Manufact Survey	index	4	–	–	Sentiment turned positive in recent months.
	Jul	Conf. Board Consumer Confidence	index	91.2	92.3	–	Consumers remain downbeat.
Wed 29							
Aus	Jun	Monthly CPI	%ann	4.0	4.0	4.2	The signing of the MoU in June helped to soften the rise...
	Jun	Monthly Trimmed Mean CPI	%ann	3.6	3.7	3.7	...but upside risks will remain front of mind for the RBA.
	Q2	Quarterly CPI	%qtr	1.4	0.7	0.7	Fuel excise cut will limit upside pressures to headline CPI ...
	Q2	Quarterly Trimmed Mean CPI	%qtr	0.8	0.9	0.9	... but underlying pressures will firm.
US	Jul	FOMC Policy Decision	%	3.625	3.625	3.625	Fed on hold, assessment of inflation in focus.
Thu 30							
Aus		RBA Assistant Governor (Economic)	–	–	–	–	Hunter fireside chat at Barrenjoey Forum, 8:40am AEST.
	Jun	Dwelling Approvals	%mth	–1.1	–0.5	–2.0	May begin to see interest rate rises have an effect.
	Q2	Export Price Index	%qtr	0.5	0.7	0.5	Commodity prices the main driver.
	Q2	Import Price Index	%qtr	0.1	–0.2	2.3	Inflationary impulse, mainly due to higher energy prices.
NZ	Jul	ANZ Business Confidence	index	36.6	–	–	Resumption of Iran conflict will weigh on confidence.
Eur	Jul	Economic Confidence	index	95.0	–	–	Likely to signal that recovery gathers pace.
	Q2	GDP	%qtr	0.0	0.2	–	Low growth, but contraction is likely to be avoided.
	Jun	Unemployment Rate	%	6.2	6.2	–	Stable labour market conditions persist.
UK	Jul	BoE Policy Decision	%	3.75	3.75	3.75	Weak labour market offsets the energy price impulse.
US	Jun	Personal Income	%mth	0.7	0.3	–	Household incomes continue to support spending.
	Jun	Personal Spending	%mth	0.7	0.4	–	Consumers remain key to growth momentum.
	Jun	PCE Deflator	%mth	0.4	–0.1	–	Inflation progress remains under scrutiny.
	Q2	GDP	%ann'd	2.1	2.3	1.8	The consumer and non-tech businesses face growing headwinds.
	Wkly	Initial Jobless Claims	000s	187	205	–	Have been broadly stable for a while.
Fri 31							
Aus	Q2	PPI	%qtr	0.4	–	–	Input costs on the rise.
	Jun	Private Sector Credit	%mth	0.7	0.6	0.6	Evidence of slower housing credit following int rate increases.
NZ	Jul	ANZ Consumer Confidence	index	91.3	–	–	Living costs incl. fuel remain major concern for households.
Jpn	Jul	Tokyo CPI	%ann	1.7	1.8	–	Leading indicator for the national prices.
	Jun	Jobless Rate	%	2.5	2.5	–	Low and stable.
	Jun	Industrial Production	%mth	0.1	1.0	–	Has been moving broadly sideways for a while.
	Jul	BoJ Policy Decision	%	1.00	1.00	–	Policy on hold after the June hike,
Chn	Jul	NBS Manufacturing PMI	index	50.3	50.1	–	Manufacturing activity appears to be broadly stable.
	Jul	NBS Non-Manufacturing PMI	index	50.2	50.0	–	Domestic demand for services in focus.
Eur	Jul	HICP Inflation	%ann	2.8	2.9	–	Looking for signs of broadening inflationary impulse.
US	Q2	Employment Cost Index	%mth	0.9	0.8	–	Stable inflationary pressures in the US labour market.
	Jul	Chicago PMI	index	56.7	–	–	Manufacturing momentum remains uneven.
	Jul	Uni. Of Michigan Sentiment	index	54.4	54.2	–	Final estimate, sentiment remains near historical lows.

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Economic & financial forecasts

Interest rate forecasts

Australia	Latest (24 Jul)	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
Cash	4.35	4.85	4.85	4.85	4.85	4.60	4.35	4.10	3.85	3.85	3.85
90 Day BBSW	4.54	4.90	4.90	4.95	4.80	4.55	4.30	4.05	3.95	3.95	3.95
3 Year Swap	4.70	4.60	4.60	4.50	4.40	4.30	4.20	4.10	4.00	3.95	3.90
3 Year Bond	4.72	4.60	4.60	4.50	4.40	4.30	4.20	4.10	4.00	3.95	3.90
10 Year Bond	5.08	4.90	4.90	4.90	4.85	4.85	4.85	4.85	4.85	4.85	4.85
10 Year Spread to US (bps)	37	40	40	35	30	25	20	15	10	5	0
United States											
Fed Funds	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625
US 10 Year Bond	4.71	4.50	4.50	4.55	4.55	4.60	4.65	4.70	4.75	4.80	4.85
New Zealand											
Cash	2.50	2.75	3.00	3.50	3.75	4.00	4.00	4.00	4.00	3.75	3.75
90 Day Bill	2.91	3.00	3.40	3.75	4.00	4.20	4.20	4.20	4.15	3.95	3.95
2 Year Swap	3.78	3.70	3.95	4.10	4.25	4.20	4.20	4.15	4.15	4.10	4.10
10 Year Bond	4.77	4.55	4.65	4.80	5.00	5.05	5.05	5.05	5.05	5.05	5.05
10 Year Spread to US (bps)	7	5	15	25	45	45	40	35	30	25	20

Exchange rate forecasts

	Latest (24 Jul)	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
AUD/USD	0.6977	0.71	0.72	0.72	0.73	0.73	0.73	0.73	0.72	0.72	0.72
NZD/USD	0.5781	0.59	0.60	0.62	0.64	0.65	0.66	0.66	0.66	0.66	0.66
USD/JPY	163.82	162	160	159	158	156	154	152	150	148	146
EUR/USD	1.1381	1.16	1.17	1.18	1.19	1.20	1.21	1.22	1.22	1.21	1.21
GBP/USD	1.3312	1.35	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.40
USD/CNY	6.7752	6.75	6.70	6.60	6.50	6.45	6.40	6.35	6.35	6.30	6.30
AUD/NZD	1.2076	1.20	1.19	1.16	1.14	1.12	1.11	1.10	1.10	1.10	1.10

Australian economic forecasts

	2026				2027				Calendar years			
% change	Q1	Q2(f)	Q3(f)	Q4(f)	Q1(f)	Q2(f)	Q3(f)	Q4(f)	2025	2026(f)	2027(f)	2028(f)
GDP %qtr	0.3	0.0	0.1	0.3	0.4	0.4	0.4	0.4	–	–	–	–
%yr end	2.5	1.6	1.3	0.7	0.9	1.2	1.4	1.5	2.5	0.7	1.5	2.6
Unemployment rate %	4.2	4.4	4.6	4.9	5.0	4.9	4.9	4.9	4.3	4.9	4.9	4.5
Wages (WPI) (sa) %qtr	0.8	0.8	1.0	0.8	0.8	0.8	0.8	0.8	–	–	–	–
%yr end	3.3	3.2	3.4	3.4	3.4	3.4	3.2	3.2	3.4	3.4	3.2	3.4
Headline CPI %qtr	1.4	0.7	1.3	1.0	0.7	0.6	0.9	0.5	–	–	–	–
%yr end	4.1	4.0	4.0	4.4	3.8	3.7	3.3	2.8	3.6	4.4	2.8	2.6
Trimmed Mean CPI %qtr	0.8	0.9	1.0	0.8	0.8	0.7	0.7	0.7	–	–	–	–
%yr end	3.5	3.7	3.7	3.6	3.5	3.3	3.0	2.8	3.4	3.6	2.8	2.4

New Zealand economic forecasts

	2026				2027				Calendar years			
% Change	Q1	Q2(f)	Q3(f)	Q4(f)	Q1(f)	Q2(f)	Q3(f)	Q4(f)	2025	2026(f)	2027(f)	2028(f)
GDP %qtr	0.8	–0.1	0.6	0.7	1.0	0.5	0.6	0.7	–	–	–	–
Annual avg change	0.8	1.6	1.8	1.9	2.0	2.1	2.4	2.6	0.3	1.9	2.6	3.2
Unemployment rate %	5.3	5.4	5.4	5.3	5.2	5.1	5.0	4.9	5.4	5.3	4.9	4.4
CPI %qtr	0.9	1.5	0.7	0.4	0.5	0.2	0.7	0.4	–	–	–	–
Annual change	3.1	4.1	3.7	3.5	3.1	1.8	1.9	1.9	3.1	3.5	1.9	2.0

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Corporate Directory

Westpac Economics / Australia

Sydney

Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis

Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan

Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke

Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner

Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk

Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante

Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas

Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells

Economist
E: ryan.wells@westpac.com.au

Illiana Jain

Economist
E: illiana.jain@westpac.com.au

Neha Sharma

Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic

Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland

Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold

Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon

Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs

Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod

Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark

Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva

1 Thomson Street
Suva, Fiji

Shamal Chand

Senior Economist
E: shamal.chand@westpac.com.au



 westpaciq.com.au

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27 JUL 2026

WESTPAC-DATAX CARD TRACKER

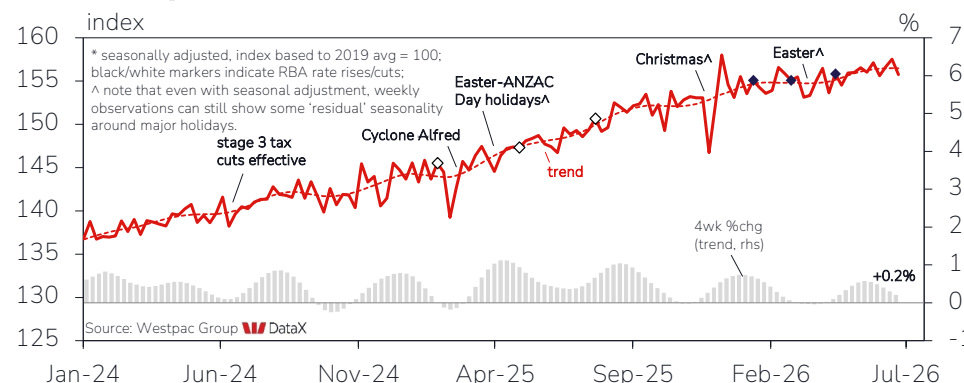
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Card activity bumping around a flat trend

- The **Westpac-DataX Card Tracker Index*** has continued to move around a flat trend in the first three weeks of July. At 155.8, the latest Index read is up very slightly on the 155.6 recorded in the last week of June with the rolling four week trend growth pulse essentially flat.
- Quarterly growth momentum has been a little firmer, lifting from 0.2% at the end of June to around 0.7% in the latest week. That said, this is still well off the 1.3% pace seen in Q1 and the 1.8% average over the second half of 2025 with the monthly and weekly reads still not convincing.
- The detail shows a lot more going on under the surface.
- By category, there has been a relatively sustained revival in discretionary services, growth now tracking at 2.8%qtr (some of which may be price-related). Other segments are much weaker, discretionary goods showing only a muted lift, growth still tracking a weak 0.5%qtr. Meanwhile essentials are contracting, partly due to lower fuel and electricity prices but with growth lacklustre in most other sub-categories as well.
- By state, the quickening in quarterly momentum has been a little better in Victoria and Western Australia, but lagged noticeably in New South Wales. While small, Victoria's out-performance is notable given the material under-performance through most of 2025 and early 2026. It is also somewhat surprising given what still looks to be a weaker state economy.
- Overall, the final wash-up for June and some small upward revisions to previous estimates now have a 0.4%qtr gain for nominal consumer-related card activity in Q2. The Q2 CPI, to be released on July 29, will help pinpoint how much of the gain is due to prices. Our forecasts continue to suggest that the wider measure of consumer spending – to be released with the national accounts on September 2 – is likely to show consumption growth essentially stalled flat in real, inflation-adjusted terms in Q2.

“... consumption growth essentially stalled flat in real, inflation adjusted terms in Q2”

1. Westpac-DataX Card Tracker Index*



The **Westpac-DataX Card Tracker** presents indicators based on the millions of credit and debit card transactions processed by Westpac every day. The measures are a timely guide to shifts in spending. See p10 for a detailed explanation.

This report is produced by Westpac Economics.

Matthew Hassan, Head of Australian Macro-Forecasting

Email: economics@westpac.com.au

This issue was finalised on 27 July 2026.

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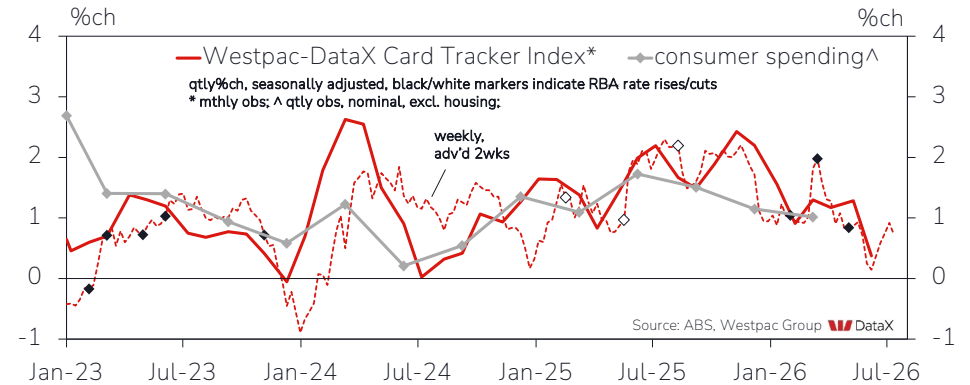
Latest growth pulse a little less weak but still not convincing

- Chart 2 shows how quarterly growth in the **Westpac-DataX Card Tracker Index** compares to growth in nominal consumption as reported in the quarterly national accounts. All estimates are adjusted for regular seasonal variations.
- Quarterly momentum has recovered somewhat since the start of July, the weekly pulse rising from just 0.2% back to 0.7% currently. This is still well below the 1.3% gain in Q1 and the relatively strong 1.5-2.2% gains posted in the second half of 2025. The signal from higher frequency measures is also unconvincing with the monthly growth pulse flat-lining again the latest week (Chart 3).
- Note that fuel price effects have buffeted monthly activity, the initial war spike contributing to the big positive in March, some unwind and the temporary halving in fuel excise tax contributing to the pull back in April and the partial roll-off of this cut in the mix again in July.
- As noted previously, the ABS household spending indicator recorded a 1.3%^{mth} rise in May, fully reversing April's -1.1%^{mth} fall but broadly in line with the signal from our card tracker (see [here](#)). The June update, to be released on August 4, is likely to show another, more subdued gain of ~0.5%^{mth}. It will also include estimates of real spending for Q2.

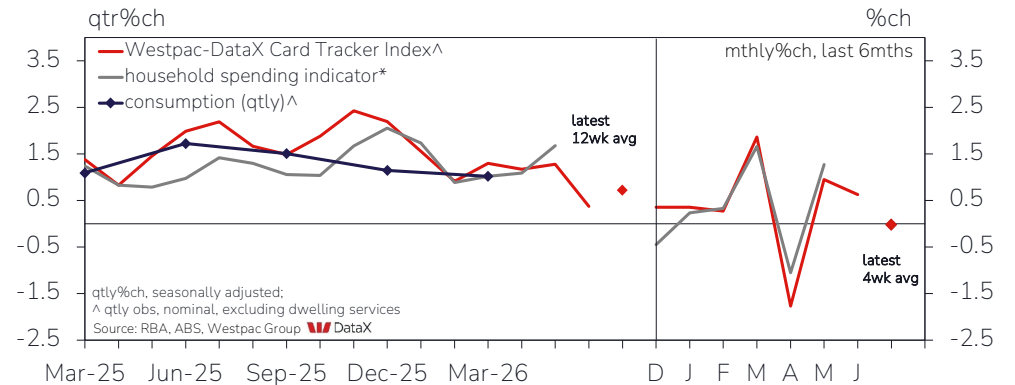
qtly%ch	Q3	Q4	Q1	latest [^]
Westpac-DataX Card Tracker	1.5	2.2	1.3	0.7
ABS monthly household spending indicator*				
Nominal	1.1	2.1	1.0	1.7
Real*	0.1	1.0	0.7	n.a.
ABS consumer spending (qtly)#				
Nominal	1.5	1.1	1.0	n.a.
Real	0.5	0.4	0.5	n.a.

All series seasonally adjusted. Latest is either the latest weekly obs (12wks %ch on previous 12wks) or latest monthly obs (3mths %ch on previous 3mths). See p10 for more details.
 * ABS monthly household spending indicator based on domestic card transaction and new vehicle sales data. Real estimates are quarterly.
 # Consumer spending excludes housing costs.
 Sources: ABS, Westpac Group

2. Card activity and spending: growth momentum



3. Consumer spending: selected indicators



Discretionary services a pocket of strength; surprise lift in Victoria

- Chart 4 shows quarterly growth in card activity across broad categories. The slowdown in Q2 was fairly broad-based but slightly more pronounced for essentials (noting that for essential goods this is partly due to the unwinding fuel price spike).
- The more recent lift has centred on discretionary categories, services in particular. Indeed, at 2.8%, momentum across discretionary services is tracking at its strongest quarterly pace since mid-2025. Momentum is much softer everywhere else, tracking a more lacklustre 0.5%qtr for discretionary goods and contracting at 0.6-0.8%qtr for essentials categories.
- The charts on p7 provide some more detailed sub-category growth measures. Across essentials, gains for food and health are being swamped by softer education spend and price-driven declines in fuel and electricity. For discretionary goods, housing-related spend has been firm until the last few weeks but a lift in vehicle-related spend is offsetting some of the more recent softness.
- Chart 5 shows card activity across the major states. The latest quarterly momentum reads range from a surprisingly solid 1.5% in Victoria to 1.1% in WA, 0.6% in Queensland and an insipid 0.3% in NSW.

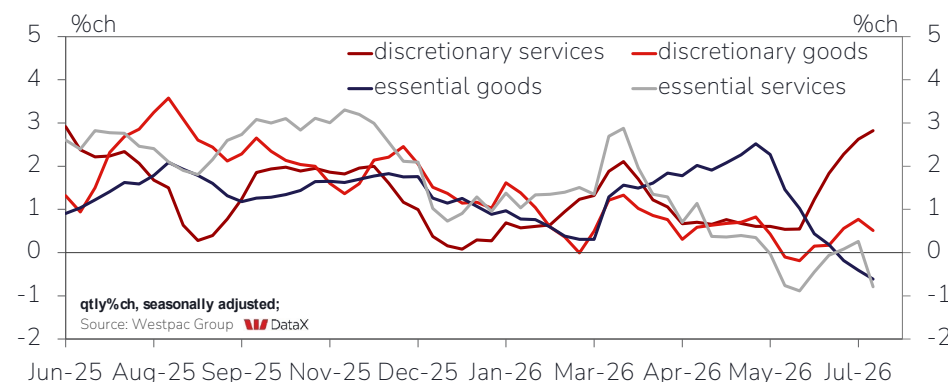
	Apr	May	Jun	18/7
Westpac-DataX Card Tracker	154.5	155.9	156.9	155.8
By category				
– discretionary*	154.5	157.5	158.8	158.5
– essential*	151.9	151.4	151.6	150.8
By state				
– NSW	148.5	148.8	149.7	150.3
– Vic	145.0	147.4	148.0	149.3
– Qld	168.9	168.3	171.5	172.7
– WA	167.9	171.2	173.6	176.5
– SA	161.7	163.3	163.5	163.2

All indexes based on the value of spending-related transactions, seasonally adjusted, 2019 avg=100, see p10 for more details including classifications.

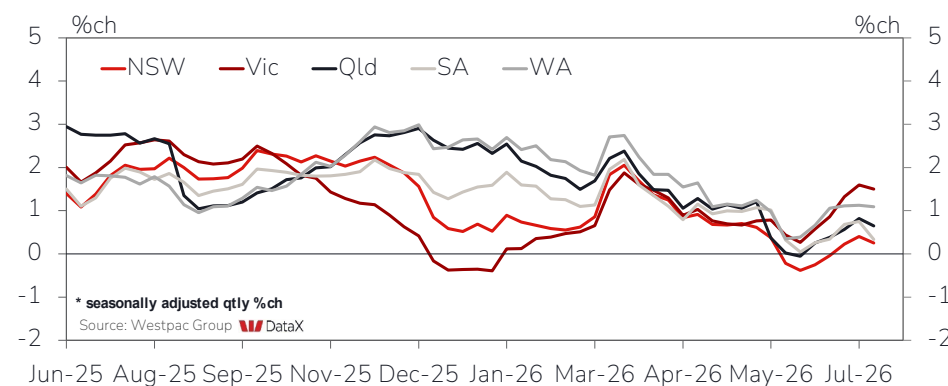
* indexes revised due to re-classification.

Sources: ABS, Westpac Group

4. Card activity by broad category



5. Card activity by state

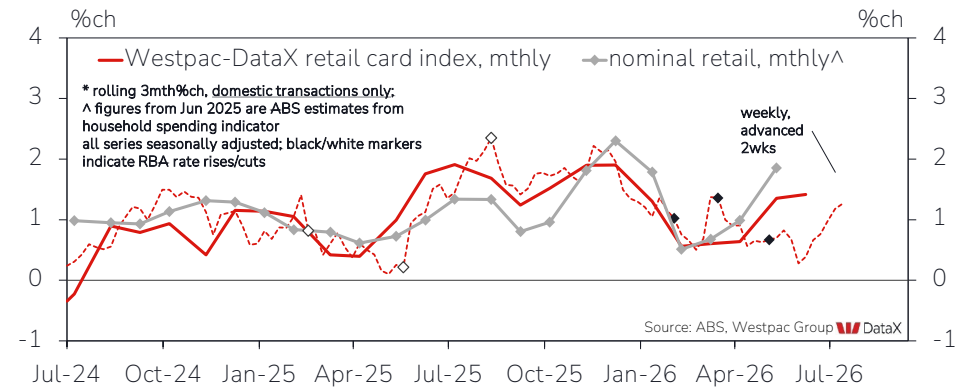


Retail doing okay, hospitality leading the way

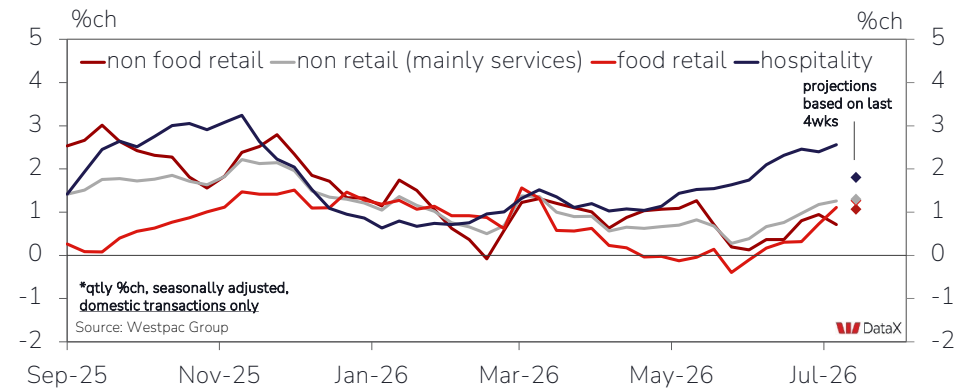
- Our MHSI and retail card indexes are composites based on transactions in categories that are in scope for the ABS monthly household spending indicator and ABS retail sales surveys (based on MHSI) respectively.
- Both measures show quarterly momentum outpacing the WCTI overall, by a particularly wide margin for retail. Note that fuel spend is in-scope for the MHSI measures but out of scope for the retail card index.
- As noted, the latest ABS MHSI showed a 1.3% rise in May, quarterly growth lifting to 1.7%qtr.
- Our MHSI index had the quarterly pace running at 1.8% in May, dropping back to 0.7% in June and 0.6% in the latest week. This suggests the official measure will see a significant cooling pull-back when the June month is released on August 4.
- Our Retail card index is looking much firmer, holding at 1.4% in June, in line with May and only dipping slightly to 1.3% in the latest week. As Chart 7 shows, gains have been particularly strong for the hospitality retailers but momentum has been lifting across basic food and non food retail as well.

	Apr	May	Jun	18/7
MHSI card index	152.5	153.5	153.5	153.9
– qtly%ch	1.2	1.8	0.7	0.6
– qtly, ann%ch	6.3	6.2	5.0	4.9
ABS MHSI				
– %ch	-1.1	1.3	n.a.	n.a.
– qtly%ch	1.1	1.7	n.a.	n.a.
– qtly ann%ch	5.6	5.4	n.a.	n.a.
Retail card index	151.8	154.3	154.4	154.0
– qtly%ch	0.6	1.4	1.4	1.3
– qtly, ann%ch	5.5	5.6	5.3	5.4
ABS retail sales				
– %ch	-0.6	-0.4	n.a.	n.a.
– qtly%ch	1.0	1.9	n.a.	n.a.
– qtly ann%ch	5.0	4.8	n.a.	n.a.

6. Card activity: retail



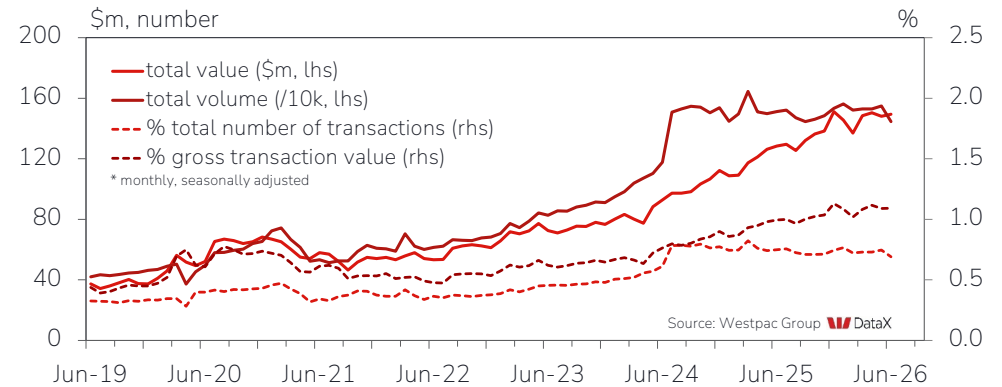
7. Card activity: retail segments and non-retail



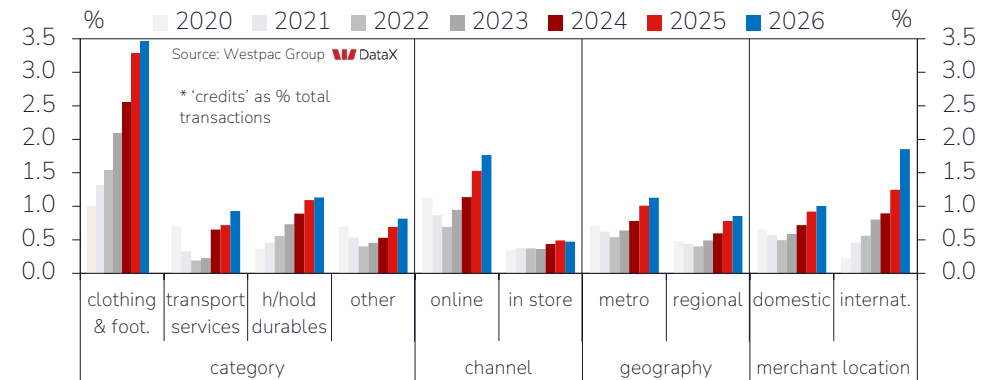
Return to sender: what do ‘refunds’ tell us about spending behaviour?

- The **Westpac Card Tracker** transaction data includes many ‘nooks and crannies’ that can offer some interesting points of interest about consumer behaviour. One such area worth exploring are ‘refunds’: transactions where the payment flows from the merchant to the cardholder. While these only make up a small share of all card transactions the flows capture some interesting shifts in the wider consumer landscape.
- Broadly, ‘credit’ transactions to cards appear to capture two main flows: refunds; and payments associated with ‘cashback’ deals.
- For calendar 2025, there were saw just over 18m of these transactions, totalling \$1.5bn with an average value of \$85. While the latter has been largely unchanged in recent years, volumes have been rising at over 30%yr since 2022, essentially doubling as a share of total transaction, to 0.74% in number terms and 1% in dollar value term.
- Chart 6 shows the full monthly evolution of ‘credit’ transactions since 2019. Notably, refunds were significantly higher in 2020 due to widespread COVID-linked cancellations. The share of total transactions has risen relatively steadily since then.
- Of particular note is the much sharper rise in the share of transaction numbers relative too values in mid-2024. A few factors likely contributed to this including: the entry of ultra-low cost cross-border retailer Temu; and the introduction of automated ‘cash back’ features on some credit and debit cards.
- Chart 7 shows how the annual transaction share compares across key categories, channels, geographies and merchant locations. At 3.5%, the share is especially high for clothing & footwear, where it has more than doubled since 2022. Refund policies are particularly generous in this category, especially for online purchases where the share is 5.4%. This has given rise to buyers often purchasing items in multiple sizes then returning those that do not fit – a behaviour known as ‘bracketing’.
- Another big mover since 2022 is ‘transport services’. Here, automated refunds by ride-share providers like Uber may be the driver with refunds accounting for 3.4% of online transactions in this category.
- All-up, ‘credits’ may be a rounding error (and in many cases an actual error) but their trends seem to capture some interesting real world shifts.

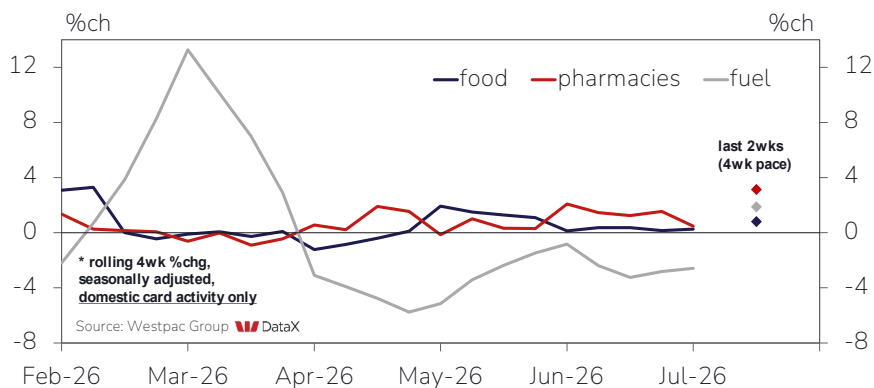
6. Card activity: ‘credit’ transactions



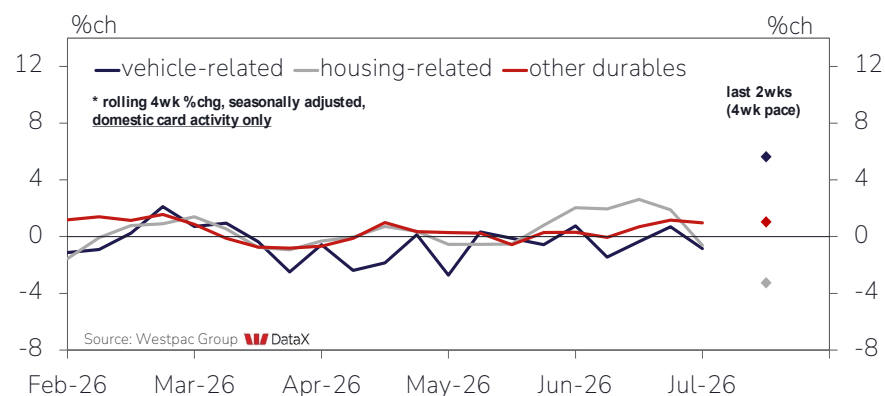
7. Card activity ‘credit’ transaction share: selected segments



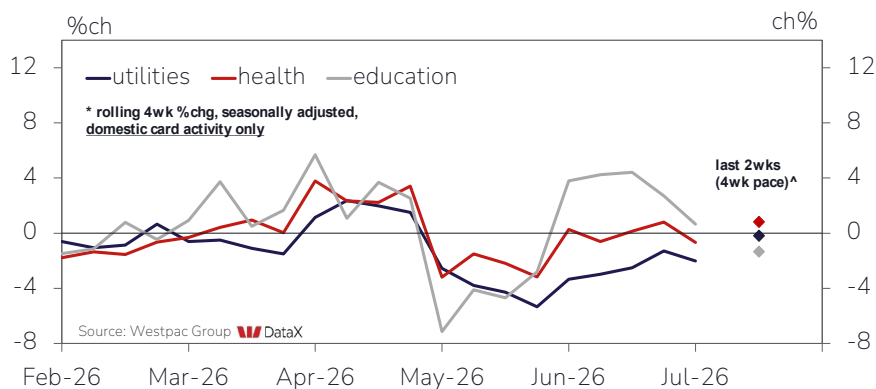
12. Card activity: essential goods



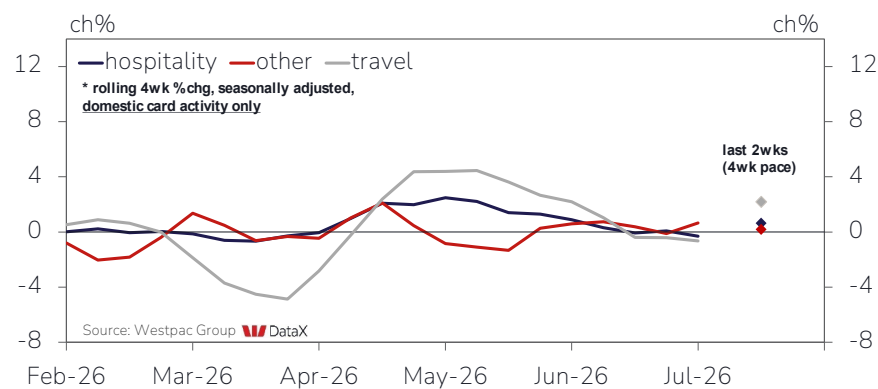
13. Card activity: discretionary goods



14. Card activity: essential services

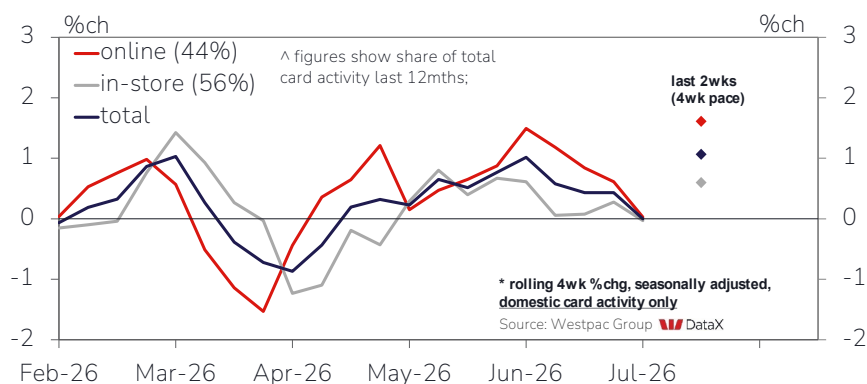


15. Card activity: discretionary services

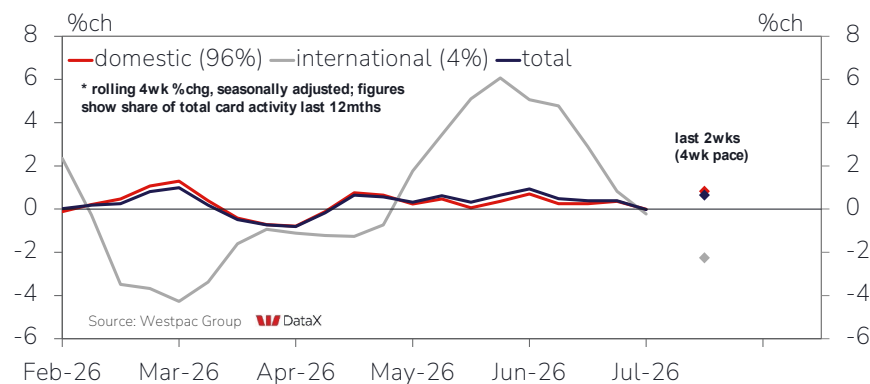


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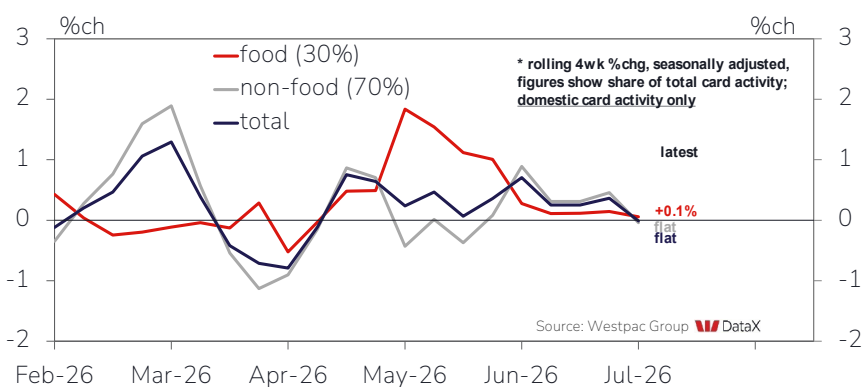
16. Card activity: online and in-store



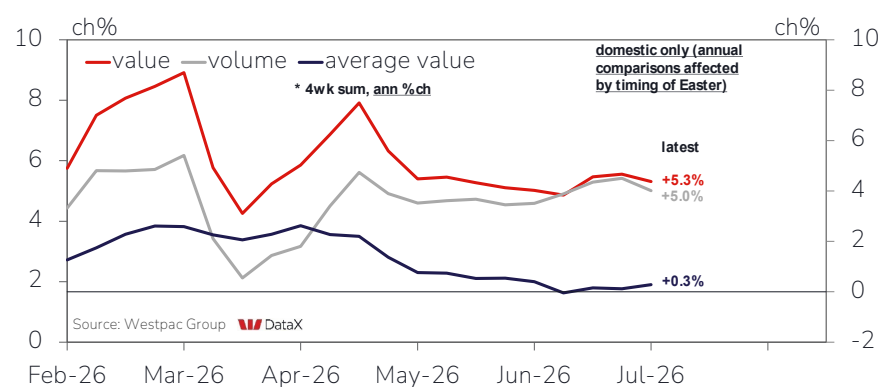
17. Card activity: domestic and international



18. Card activity: food and non-food



19. Card activity: value and volume



	2024			2025			2026			week ending:					
	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Apr	May	Jun	27/6	4/7	11/7	18/7
Westpac–DataX Card Tracker Index	140.5	141.1	142.9	144.8	147.7	149.9	153.2	155.2	154.5	155.9	156.9	155.6	156.6	157.5	155.8
qtly%ch	0.9	0.4	1.3	1.4	2.0	1.5	2.2	1.3	1.2	1.3	0.4	0.6	0.8	0.9	0.7
qtly, ann%ch	4.3	3.9	5.3	4.0	5.1	6.3	7.2	7.2	7.0	6.4	5.5	5.6	5.9	5.8	5.5
By category															
– discretionary	141.8	143.0	145.5	146.1	149.2	151.5	155.1	155.8	154.5	157.5	158.8	158.5	160.7	161.7	158.5
– essential	138.0	137.9	138.4	141.4	143.8	146.0	148.2	151.3	151.9	151.4	151.6	150.0	150.5	151.2	150.8
services	146.1	147.4	150.1	152.9	156.8	160.0	163.8	165.7	162.9	165.6	167.7	167.0	167.4	168.6	167.3
– discretionary services	148.7	150.8	154.0	155.1	159.1	161.2	165.9	166.7	163.5	167.6	169.9	169.7	170.3	171.6	170.2
– essential services	142.5	142.6	144.7	149.8	153.5	158.3	160.9	164.3	162.0	162.8	164.5	163.3	163.4	164.3	163.3
goods	135.0	134.9	135.4	136.3	138.1	139.6	141.8	143.7	145.2	145.4	145.1	143.9	146.0	146.7	144.4
– discretionary goods	134.6	134.7	136.4	136.6	138.7	141.1	143.6	144.3	144.8	146.8	147.0	146.6	150.4	151.1	146.1
– essential goods	135.4	135.0	134.6	136.1	137.7	138.4	140.3	143.2	145.6	144.3	143.5	141.7	142.4	142.9	143.0
MHSI card index*	140.2	140.7	142.2	143.3	145.8	147.5	150.4	152.1	152.5	153.5	153.5	153.1	154.9	155.9	153.9
qtly%ch	0.5	0.4	1.1	0.8	1.7	1.2	2.0	1.1	1.2	1.8	0.7	0.6	0.7	0.8	0.6
qtly, ann%ch	3.4	3.1	4.6	2.7	4.0	4.8	5.8	6.1	6.3	6.2	5.0	5.2	5.4	5.3	4.9
retail card index*	140.0	141.1	142.7	143.3	145.8	147.6	150.4	151.4	151.8	154.3	154.4	154.2	156.4	157.0	154.0
qtly%ch	-0.5	0.8	1.2	0.4	1.8	1.2	1.9	0.6	0.6	1.4	1.4	0.8	1.0	1.2	1.3
qtly, ann%ch	2.6	2.8	4.1	1.8	4.2	4.6	5.4	5.6	5.5	5.6	5.3	5.3	5.6	5.6	5.4
By state															
– NSW	135.7	136.6	138.6	139.4	142.3	144.5	148.2	148.3	148.5	148.8	149.7	150.4	151.5	152.1	150.3
– Vic	135.0	135.4	136.8	138.6	140.3	142.4	144.7	146.5	145.0	147.4	148.0	148.7	150.4	151.4	149.3
– Qld	148.8	151.4	153.1	154.6	159.1	162.7	167.7	168.6	168.9	168.3	171.5	171.8	172.8	174.0	172.7
– WA	147.8	150.8	154.0	157.1	158.7	162.8	168.0	171.4	167.9	171.2	173.6	175.2	176.0	177.3	176.5
– SA	147.0	147.7	150.1	152.0	154.4	157.3	160.2	162.2	161.7	163.3	163.5	162.8	164.6	165.9	163.2

All indexes based on the value of spending–related transactions, seasonally adjusted by Westpac, 2019 avg=100. See p10 for more details.

* composite based on transactions in categories in scope for ABS monthly spending indicator and ABS retail sales surveys respectively.

Sources: ABS, Westpac Group

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About the Westpac card data indicators

The indicators presented in this report are based on the millions of credit and debit card transactions processed every day. Transactions covering over ten million merchants are classified into over 700 categories. These are in turn grouped into higher level aggregates that provide a timely guide to wider economic trends.

The main focus of these indicators is consumer spending. Where possible, we have sought to exclude 'non spending' transactions such as: money transfers; tax payments; loan repayments; charitable donations; and superannuation contributions.

It should also be noted that these indicators will also be affected by shifts between card and non card transactions. This was a significant factor during the COVID-19 pandemic – health concerns about the use of physical cash leading to significantly higher use of cards vs cash, particularly where contact-less transactions are available. Transaction flows also include reversals/refunds which were also a significant phenomenon during the onset of COVID, especially in areas such as travel.

All transaction data is compiled at a highly aggregated level so that individual customer or merchant data is never revealed.

Index construction

The key metrics used in this report are indexes of spending-related card activity where the base of 100 is average activity in 2019. As an example, if transaction flows are 5% above their average level in 2019, the index read for the period is 105. If flows in a subsequent period are 8% above the average level in 2019, the index read for this period is 108. Growth between the two periods can be calculated simply as the change between the two index reads, i.e. 2.9%.

All measures are adjusted for regular seasonality. Weekly estimates are generated using the US Bureau of Labor's MoveReg weekly seasonal adjustment program. Note that in some cases, high levels of volatility during the COVID mean it is not possible to produce seasonally adjusted estimates for some historical periods.

Also, note that previous versions of this report used different approaches to seasonal adjustment and measurement more generally. This means Index reads are sometimes not directly comparable. See the 'About the Westpac card data indicators' sections from earlier reports to more detail.

Classifications

Note that the measures used for card data and in this report do not align completely with the those used in official ABS statistics, including the ABS household spending indicator, ABS retail trade survey and ABS estimate of consumer spending published in the national accounts. There are a range of differences including around both coverage and classification. As such, the card data should be treated as broadly indicative.

The transaction data is grouped into 26 categories that are then combined into four main as follows:

Discretionary goods: alcoholic beverages, tobacco, clothing & footwear, furnishings & household equipment, household appliances, vehicle-related, recreational & cultural goods, newspaper, books & stationery, and other personal effects.

Discretionary services: transport services (part), recreational & cultural services, gambling, catering services, accommodation services, other personal care, insurance & financial services, other services.

Essential goods: food & non alcoholic beverages, medical products, appliances & equipment, and operation of personal transport equipment.

Essential services: electricity, gas & other fuels, health services, transport services (part), communications and education.

The report also uses two additional classifications:

MHSI/Retail: based on the extent to which categories cover activity that is in scope for the ABS monthly household spending indicator and ABS retail trade survey.



Corporate directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clark@westpac.co.nz

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Week beginning 20 July 2026

AUSTRALIA & NEW ZEALAND WEEKLY

Analysis and forecasts for this week's key releases.

In this week's edition:

Economic Insight: AI-carus?

The Week That Was: Frayed nerves.

Focus on New Zealand: Soggy activity data ahead of key CPI report.

For the week ahead:

Australia: Westpac-MI Leading Index, labour force survey.

New Zealand: Q2 CPI, trade balance.

Japan: CPI.

Euro Area: ECB policy decision, bank lending survey, consumer confidence.

United Kingdom: CPI, unemployment rate, retail sales, consumer sentiment, public borrowing.

United States: Leading index, new home sales, regional manufacturing survey.

Global: S&P Global PMIs.

Information contained in this report current as at 17 July 2026.

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

AI-carus?



Luci Ellis
Chief Economist, Westpac Group

- **Is AI a bubble? The extraordinary valuations and scale of investment raise the question. Missing, though, is the speculative behaviour of buying an asset now with the intent of resale for profit later.**
- **It is natural to want to look for parallels in history. Neither the late 1990s/early 2000s ‘dot com’ nor the 19th century railway booms quite match the current episode. Better analogies may be found in other price cycles stemming from investment booms, spurred by structural shifts. In the rush to build for the new technology, construction costs and end-product prices rise before eventually correcting. Time-to-build and resource constraints can create price cycles even where classic speculative behaviour is absent.**
- **Non-financial goals around geopolitics or a rush to build a god-like intelligence could blind investors to commercial reality and encourage investments that do not pay off. To avoid a mad flap that takes us, Icarus-like, too close to the sun, choices must be based on cost and ROI.**

The exceptional valuations on AI-adjacent firms are matched only by the extraordinary scale of capital expenditure on data centres, both overseas and [in Australia](#). The use of leverage and sometimes opaque financing structures twitch the antennae of those of us who have been through financial boom–bust cycles before. Naturally, people question the return on investment and whether this is a “bubble”. But is it?

It helps to define terms. The usual definition of a bubble is a deviation of asset prices from “fundamental” value, but this is only as good as your model of fundamentals. The distinctive feature in episodes labelled as bubbles is speculative behaviour: investors buying an asset mainly or solely because they expect its price will rise so they can resell at a profit. (In technical terms, the current price of the asset depends on expectations of future price growth). In the extreme, the market is in “Greater Fool” territory, where investors admit that they do not think the revenue warrants the price, but believe they will find a Greater Fool to buy it later.

Property assets are one of the main areas where “bubbly” boom–bust cycles can occur, because investors can use more leverage than for other assets. The asset also does not become obsolete quickly and much of the value is in the non-depreciating land or location component.

Data centres are a kind of property, and leverage is clearly being used to finance their construction. Even so, the speculative behaviour that typically characterises property

bubbles is missing: nobody is making these investments in expectation of reselling data centres to make a quick buck. It is all about the expected value of the computing services these data centres will provide. Currently the “cost of compute” seems to be on the rise as the firms building the models try to shift their customer bases away from free and flat-rate subscriptions onto higher-cost pay-by-use plans. Yet everyone knows that AI can only achieve the desired returns by expanding usage, which means it needs to be cheaper than the human labour it seeks to replace. Even if investment decisions are based on expected returns on services provided by that capital, the realism of those return expectations can and should be scrutinised.

It is natural to want to look for parallels in history.

The seemingly obvious one is the ‘dot com’ boom of the late 1990s/early 2000s. But while there are some similarities to that episode, there are also important differences. Back then, the tech firms building the new technology were not so financially intertwined with the telco firms buying the spectrum, laying the fibre – and borrowing the money.

There are also similarities to the railway boom of the 19th century, except that location is not as inherent to a data centre. You can train an LLM anywhere you can access the electricity, water and construction inputs. A railway, by contrast, goes from somewhere to somewhere else, and the returns to duplicating the route decline rapidly.

“Data centres do not have the same network effects or location-based natural monopoly characteristics.”

Better analogies to the current AI/data centre boom can be found in other price cycles. Many boom–bust cycles start from something real and substantial. A new technology might instigate an equities boom. Opening up a new region might instigate a land boom there. The value underlying the boom remains even after the period of over-exuberance ends. We did not regret creating the Internet, or building that fibre network, or opening up regions through better transport.

What we did sometimes do, though, is pay too much for what we got. If everyone is rushing to build the infrastructure, hoping not to be the [Slower Builder](#) who ends up losing money, pressure on construction resources rises, and so do construction prices. We have seen similar cost surges during the mining

boom and more recently in the cycle of infrastructure projects in the eastern seaboard states. (This is likely one reason why suppliers of construction materials were so quick to pass increased fuel and transport costs into their prices.)

Along the way, the cost of the services also rise, precisely because of the lags involved in expanding the infrastructure. There is an analogy here in things like [shipping costs](#), which show boom–bust price cycles even though there has obviously never been a bubble in shipping services. In shipping, office property and now data centres, demand might increase but supply is fixed in the short term because it takes time to build that infrastructure. The price of the service therefore rises in the upswing phase.

This upswing phase can also spill over into related sectors, as seen this time in the broader tech sector. Export prices for Korean semiconductors have exploded in the past 6–9 months, up more than 150% over the year. Pass-through to US import prices is more muted, given lags and the usual pricing to market, but tech inflation has increased. As well as the much-publicised price increases for iPads and Macs, the CPI components covering computers and other tech goods have picked up recently in Australia and other advanced economies, to inflation rates close to the peak of the pandemic. This is a departure from their usual deflationary pulse and shows that the current inflationary environment is about more than the US–Iran conflict.

The high costs of the upswing phase nonetheless contain the seeds of their reversal. They discourage use of the underlying service, so adoption is slower than its boosters assume. They also encourage further innovations to economise on the expensive input; routing algorithms to choose the most cost-effective AI model are one example. Over time, as data centres are completed, the supply of computing power expands and its price falls. Investments that only made sense when the service's price was high will become distressed.

“What worries me about the current boom is how far financial considerations seem to sit in the background”

Capitalism has its drawbacks, but at least raw commercial incentives limit people's appetite to overpay for things. When all the focus is instead on geopolitical rivalries or being the first to build god-like intelligence, commercial discipline is lost. A potentially beneficial innovation wave instead risks becoming an Icarus-like mad flap that takes us too close to the sun. That is the perfect environment for a price cycle, including in the tech sector more broadly.

The end result need not be a meltdown. That depends on the debt: how much there is relative to revenues after the price downswing, who borrowed it and who lent it. The role of deep-pocketed tech firms eases some concerns. Some borrowers are substantial firms with other revenues. In addition, other tech firms who have not leveraged themselves to the data centre build-out have big enough cash piles to pick

up the pieces (at discounted prices) should some projects come unstuck. Regulators will be most concerned about whether the lenders who lent to the hyperscalers and AI firms in turn funded themselves from parts of the financial system that amplify shocks through their leverage and connection to the regulated banking system.

The answer is not to regulate AI out of existence or stymie its further development – a point the federal government has clearly heeded in the PM's latest announcements. The advice I'd give now is the same as I gave [a decade ago](#), in a different context: in the face of structural change giving rise to a boom, go in with your eyes open. Don't get ahead of yourself. And have something to catch you when you fall.

Humans have managed to transcend Greek mythology and master the art of flying without melting. Yet the message of Icarus's story endures: there are dangers when hubris goes unchecked. To avoid getting ahead of yourself, it helps to let commercial considerations shape decisions, especially around borrowing. Far better than basing decisions on imagined scenarios that do not survive contact with real-world economics.

Cliff Notes: frayed nerves

Elliot Clarke, Head of International Economics

Ryan Wells, Economist

Illiana Jain, Economist

The [Westpac-MI Consumer Sentiment Index](#) rose 4.1% in July; but at 83.9, the index is still in the bottom decile of historical outcomes, pointing to deep pessimism. Lower fuel prices have provided some breathing room, contributing to a less-negative assessment of 'family finances vs a year ago' (+5.6%) and 'family finances next 12mths' (+13.4%). Consumers remain sensitive to developments in the Middle East, however, last week's re-escalation of the conflict resulting in a progressive deterioration in daily responses while the survey was in the field.

Views on the economic outlook are weak and little changed, the one- and five-years ahead sub-indexes lifting just 0.6% and 0.7% in the month; more encouragingly, concerns over the jobs outlook have eased. Most consumers still expect mortgage rates to rise over the next year, though the share has declined from 66% to 60%, with a rising proportion reporting uncertainty about where rates are headed. Ultimately, the survey reported a reprieve from worst-case fears but is also evidence of the scale of challenges ahead.

The latest [NAB business survey](#) echoed similar themes. Business confidence continued to retrace the sharp falls seen at the onset of the Middle East conflict, rising +9pts to a less-pessimistic reading of -5. Lower fuel prices contributed to slower growth in purchase costs and final prices, but the cumulative impact of these pressures have weighted on capital expenditure plans and labour demand. Business conditions remain subdued, holding at +3 for a third consecutive month having weakened earlier in 2026.

“This is consistent with sluggish activity growth as households and businesses approach the outlook with caution.”

Offshore, US inflation data was supportive of interest rates remaining on hold in coming months. Headline prices fell 0.4% in June as energy prices responded to the Middle East ceasefire agreed mid-month, pulling annual inflation down from 4.2%yr to 3.5%yr. Of greater significance for monetary policy, however, was the flat monthly read for core inflation, 2.6%yr.

Members of the FOMC want to see further evidence of disinflation towards the 2.0%yr target. In our view, the multi-month trends are consistent with such an out-turn, with core goods prices broadly unchanged year-to-date and core services inflation averaging just below 0.3% per month. The June PPI report corroborates this view, headline producer prices falling 0.3%, while May was revised down sharply from 1.1% to 0.6%. Ex food and energy, prices rose a modest

0.2%mt, and the prior month's gain was revised lower from 0.4% to 0.1%. The latest readings on consumer demand are also consistent with inflation returning to target, nominal control group retail sales up a modest 0.5% in June after a 0.8% gain in May, and the latest [Beige Book](#) also pointing to consumer demand being constrained by cost-of-living pressures. The duration and severity of the renewed conflict in the Middle East will be critical to the US growth outlook given University of Michigan consumer sentiment remains stuck near multi-decade lows.

Over in Asia, [China's Q2 GDP and June activity data](#) provided a mixed read on their economy. Q2 GDP met expectations at 0.9%qtr, although the annual rate disappointed at 4.3%yr. Year-to-date, growth remains broadly consistent with our expectation of 4.7%, but such an outcome would be at the lower end of authorities' 4.5–5.0% full-year target. The industrial sector continues to drive aggregate momentum, production growth rebounding to 5.3%yr in June from around 4.0%yr through April and May. But the domestic growth story remains fragile, primarily owing to declining investment, -5.7%ytd in June. Retail sales growth recovered from -0.6%yr in May to 1.0%yr in June, though that still leaves it at the lower end of the historical range. Together, the state of domestic investment and household consumption call for urgent pro-active stimulus to support cyclical momentum as well as structural change to help the gains of trade flow to the wider economy.

The Bank of Korea raised rates by 25bp this week and signalled further tightening is likely. Inflation remains elevated, due to a combination of higher energy, exchange rate and food costs alongside resilient domestic demand. But the BoK's greater challenge is managing an increasingly two-speed economy, with tech-related sectors benefiting directly from the AI and data centre investment boom while others wait for those gains to spill over. For now, policymakers appear comfortable leaning against inflation and expecting the benefits of AI production and investment to broaden; although, in the interim, this leaves Korea exposed should enthusiasm around AI turn. Investment and the implications for growth and policy is a focus of this month's edition of [The Wrap on Asia](#); and, with a particular focus on AI investment, [Chief Economist Luci Ellis' weekly essay](#).

Soggy activity data ahead of key CPI report

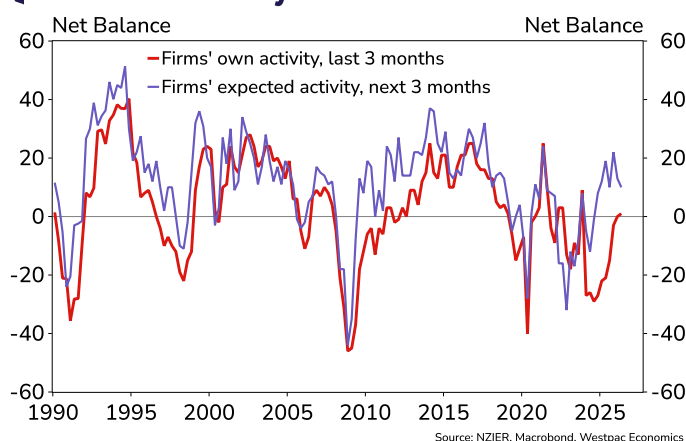


Darren Gibbs
Senior Economist

Following last week's RBNZ meeting, which resulted in the first OCR hike in three years, the market has turned its attention to the prospect of a follow-up rate hike at the next meeting on 2 September. The past week has provided numerous economic reports and a key RBNZ speech for the market to digest, covering topics such as business sentiment, consumer spending, housing, the labour market, tourism and inflation.

Early in the week, the QSBO – New Zealand's premier business survey – pointed to a modest lift in business sentiment in the June quarter. The survey period ran from 10 June to 7 July. The average response over that period meant that the headline confidence index rose 11pts to +12. Early responses were a net 5% negative, while the second major batch of responses – mostly arriving after the signing of the Memorandum of Understanding by the US and Iran – were a net 20% positive. Given the renewed hostilities in the Middle East this month, the earlier responses may be more representative of where sentiment would stand if the survey was re-run today. Firms' expectations of their own activity, which tend to have a closer correspondence with GDP growth, were little changed for the quarter. Other activity indicators were mixed. Investment and hiring intentions were less negative than in the March quarter, but profitability was expected to worsen further. Meanwhile, the rise in fuel prices since March was clearly reflected in the pricing measures. A net 41% of firms reported raising their prices in the June quarter, up from 22% last quarter and the highest reading since September 2023. In the next three months, a net 54% of firms indicated an intention to raise their prices – the highest since March 2023.

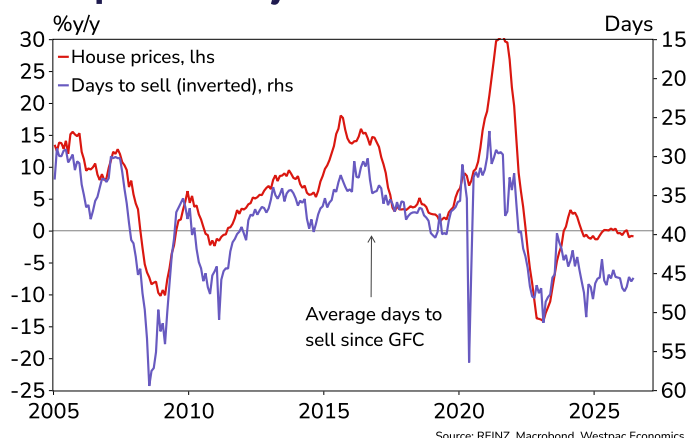
QSBO business survey



News from the retail sector was more downbeat than expected in June, with the value of retail spending processed through the electronic payments system declining 1.4%, reversing the step higher seen in May. Of note was a 4% decline in spending on household durables, while spending on apparel and hospitality both fell 2%. The only category that saw a rise in June was spending on groceries. Given the June result, total spending over the June quarter increased just 0.4%, driven entirely by a 7.3% lift in spending on fuel. Core retail spending fell 0.1%, marking the first decline since the March quarter last year.

Our own recent survey of households confirmed that consumers remain cautious. In response to developments in the Middle East, 36% of respondents reported having wound back their discretionary spending and around 15% have delayed or cancelled travel plans. Even when it comes to spending on essentials like groceries, around 30% said they've changed how they shop e.g., by purchasing fewer or cheaper items. Looking ahead, the pressure on fuel costs looks likely to persist, especially given the rebound in oil prices this week due to renewed tensions in the Middle East. Combined with other cost of living pressures, a soft labour market and continued economic uncertainty, we expect growth in consumer spending will remain comparatively subdued.

House prices and days to sell



The housing market data also struck a soggy note in June, with house sales edging lower and so added to a cumulative 9% decline since the start of the year. The median time to sell was little changed and so remained well above the historic average. Reflecting buyers' lack of urgency, the REINZ house price index fell by 0.3% for the month and was down 0.8% on

a year ago. National average prices have moved sideways for the last three years, though with some marked distinctions across regions. Wellington and Auckland have seen the largest price declines over the last year, while regions with stronger links to agriculture and tourism, such as Canterbury and Otago, have seen prices continue to set new highs.

Fixed-term mortgage rates have risen since the start of this year, in anticipation of the next RBNZ tightening cycle (which is now in motion). Looking ahead, we expect that higher interest rates will continue to weigh on the housing market, leaning against any improvement in incomes as the economy gets back on its feet. Meanwhile, demand for housing remains constrained by relatively weak population growth. New Zealand saw a net inflow of just 1,860 migrants in May, with a downward revision to earlier months reducing the annual inflow to less than 19,000. Given historically weak natural growth in the population due to a declining fertility rate, annual population growth is running at less than 1%.

In some better news, MBIE's measure of job advertising picked up in June, perhaps helped by – at the time – a recovery in business confidence amidst easing tensions in the Middle East. The level of advertising remains low by historical standards but is now 13% higher than a year earlier. Not surprisingly, the strongest lift in job vacancies was seen in the primary sector, reflecting buoyant prices for almost all of New Zealand's key exported commodities. This is also reflected in the regional breakdown, with the major urban area of Auckland yet to see any lift in vacancies from the cycle low point.

Moving on, tourist data for May suggests some impact from the Middle East conflict with non-resident arrivals declining 2.4% to be 3.6% below their recent February peak. Even so, arrivals were around 7% higher than a year earlier reflecting the strong growth seen since around the middle of last year. Much of that growth owes to arrivals from Australia – New Zealand's largest market – and Asia, including a significant uplift in arrivals from China (the latter up more than 30% from a year earlier). By contrast, arrivals from major North American and European markets were lower than a year earlier. Looking ahead, we continue to expect a soft patch in tourism arrivals over the second half of this year due to the impact of high airfares and Middle East uncertainty on long haul forward bookings.

On balance, today's Selected Prices data for the June month – covering around 47% of the CPI – provided a modest upside surprise. Fuel prices – especially diesel – were lower, as expected. Food prices posted their expected seasonal increase while rental inflation remained very subdued. Electricity prices rose by less than expected, but the very volatile international accommodation component rose a much stronger-than-expected 9% during the month. Given this information, we have nudged up our earlier forecast and now think that [next week's June quarter CPI report](#) will reveal a 1.5% lift in the headline index, raising annual inflation to 4.1% from 3.1% at present. We view the risks around this forecast as balanced. Our estimate of

annual inflation is 0.2ppt above the updated estimated provided by the RBNZ at the July Monetary Policy Review.

Finally, this week the RBNZ's Chief Economist, Paul Conway, gave a speech on pricing behaviour. He emphasised that the key monetary policy challenge facing policymakers is to prevent the oil shock from becoming embedded in expectations and business pricing behaviour. In that regard, he noted several findings from recent research – some of which is ongoing at the Bank – which in his view raise the risk of inflation persistence:

- Businesses and households pay much more attention to inflation when it is above the 1-3% target range, making expectations more sensitive to current inflation outcomes.
- Household inflation expectations have risen and become more dispersed since the Middle East conflict, indicating greater uncertainty about future inflation.
- Firms now change prices more frequently than in the past due to lower repricing costs and digital technology.
- Businesses are more willing to pass through cost increases than they are to reverse price rises when costs fall, creating a greater risk that temporary shocks become lasting inflation.
- These effects appear particularly strong in the services sector, where inflation tends to be more persistent.

Conway noted that the RBNZ may need to respond more forcefully to re-anchor expectations if businesses and households begin to expect inflation to remain elevated. Balanced against this, he argued – correctly in our view – that the current situation differs markedly from the inflationary episodes of the 1970s and from the post-pandemic inflation surge. In particular, the New Zealand economy currently has spare capacity, which should make it harder for firms to raise prices aggressively and should help inflation return to target over time. Medium-term inflation expectations also remain relatively well anchored.

Nonetheless, the market interpreted the speech as “hawkish”, especially when set against the dovish comments that Conway had previously made in recent months. Combined with developments in the Middle East and elsewhere, the speech has consolidated the market's confidence that the RBNZ will deliver a further lift in the OCR at the 2 September meeting, with a 25bp hike now around 90% priced.

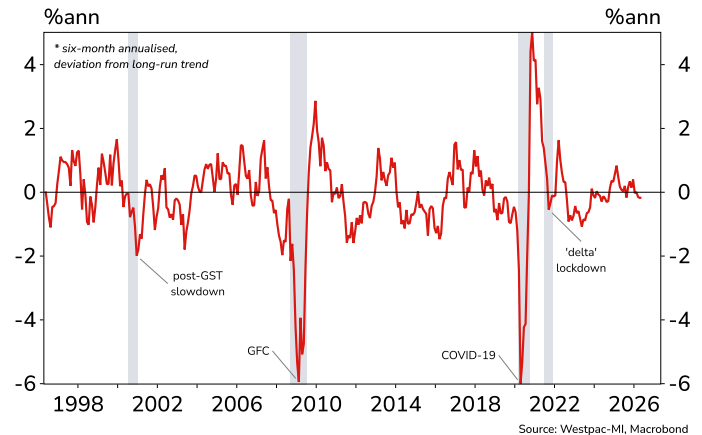
AUS: Jun Westpac-MI Leading Index (%ann'd)

Jul 22, Last: -0.17

The Leading Index growth rate ticked up slightly to -0.17% in May, the read still consistent with sluggish, below-trend growth momentum through the second half of 2026 and into early 2027.

The June read will include a mixed bunch of component updates. On the plus side, the ASX200 lifted 0.5% and consumer sentiment-based measures posted some recovery. However, there were a significant weakening across several other components including: commodity prices (-0.7% in AUD terms); dwelling approvals (-1.1%); total hours worked (-1.1%); and a further narrowing in the yield spread. That looks likely to see some further softening in growth momentum overall.

Westpac-MI Leading Index



AUS: Jun Labour Force – Employment Change (000s)

Jul 23, Last: 40.3, Westpac f/c: 15

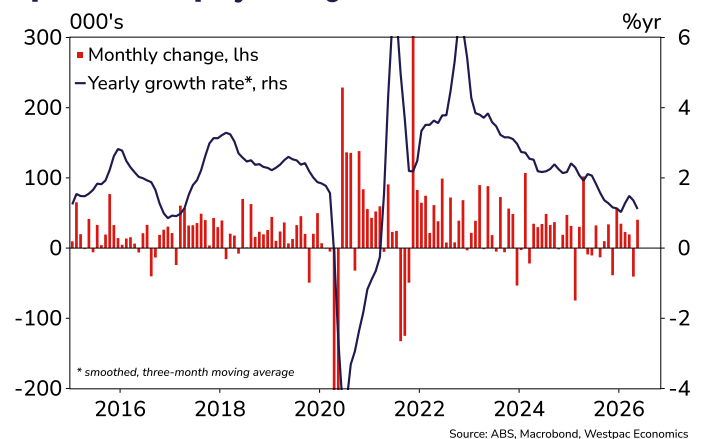
Market f/c: 15, Range: flat to 50

After expanding around +26k/mth in Q1, employment growth effectively stalled over April and May. On a three-month average basis, employment is growing well below the pace of the working-age population, leaving the employment-to-population ratio 0.7ppts below its recent historical high.

The brief recovery around the start of the year has well and truly faded. Higher inflation and recent interest rate rises will still take time to fully work its way through to the labour market, but for now, it is looking weaker than earlier in the year.

Forward-looking business survey measures point to sluggish employment growth ahead. We have pencilled in a +15k lift in June, and see risks tilted to the downside. See our [full preview](#).

Uptrend in employment growth halted



AUS: Jun Labour Force – Unemployment Rate (%)

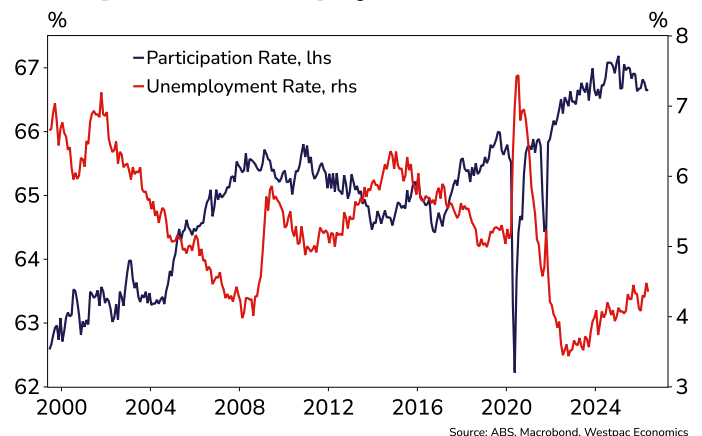
Jul 23, Last: 4.4, Westpac f/c: 4.4

Market f/c: 4.4, Range: 4.3 to 4.5

The unemployment rate also eased as expected, edging down from a cycle high 4.5% to 4.4% in May as various sources of noise faded. Given the participation rate has held up a bit better than employment, the trend for the unemployment rate has been a continued grind higher.

For June, we think both the participation and unemployment rates will hold steady. But as discussed in [our preview](#), re-published official data and new unofficial measures are pointing to a material increase in underemployment in recent months. Both demand-side (weaker employment) and supply-side (cost-of-living pressures) are likely at play, and it may be pointing to higher measured unemployment down the track.

Participation and unemployment rates

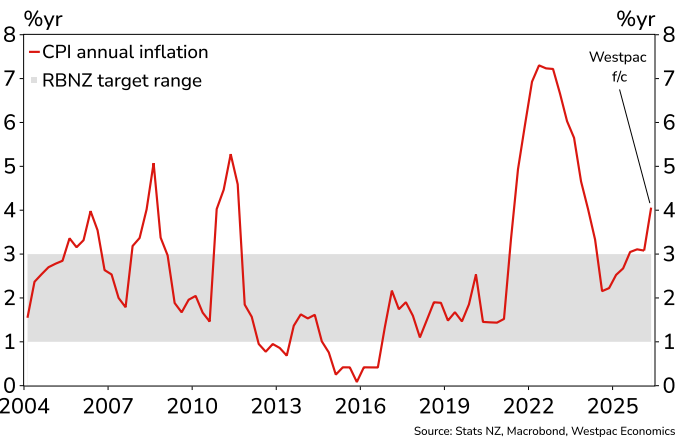


NZ: Q2 Consumer Price Index (%)

Jul 21, Quarterly, Last: 0.9, Westpac f/c: 1.5
 Annual, Last: 3.1%, Westpac f/c: 4.1, RBNZ f/c: 3.9

With the war in the Middle East pushing oil prices sharply higher, consumer price inflation is set to rise to a two-year high. We estimate that New Zealand consumer prices rose by 1.5% in the June quarter. The annual inflation rate is expected to rise to 4.1% (up from 3.1% previously). That's slightly higher than the 3.9% the RBNZ assumed in their recent July update, however much of the surprise is likely related to volatile items like holiday accommodation. More importantly, core inflation has been softening but remains above the RBNZ's 2% target midpoint. That's despite the downturn in economic growth and softness in the labour market.

Inflation to spike on higher fuel prices



What to watch

	For	Data/Event	Unit	Last	Market f/c	Westpac f/c	Risk/Comment
Mon 20							
NZ	Jun	Trade Balance	\$mn	800	–	–	A seasonal fall in exports & high fuel costs eliminate surplus.
US	Jun	Leading Index	pts	0.1	–0.1	–	Consumer the soft spot for activity gauge.
Tue 21							
NZ	Q2	CPI	%qtr	0.9	1.5	1.5	Boost from fuel and energy prices.
	Q2	CPI	%ann	3.1	4.0	4.1	Headline elevated, core inflation firm despite soft activity.
Eur	Jul	ZEW Survey Of Expectations	index	9.5	–	–	Confidence recovery to be tested by growth concerns.
	Q2	ECB Bank Lending Survey	–	–	–	–	Standards tightening amid lower tolerance for perceived risk.
UK	Jun	Public Sector Borrowing	£bn	23.3	–	–	Fiscal balances remain under scrutiny.
	May	ILO Unemployment Rate	%	4.9	–	–	Labour market tightening looks to have stabilised.
Wed 22							
Aus	Jun	Westpac-MI Leading Index	%ann'd	–0.17	–	–	Consistent with sluggish, below-trend momentum.
UK	Jun	CPI	%ann	2.8	–	–	Domestically-driven inflation pressures appears sticky.
Thu 23							
Aus	Jun	Employment Change	000s	40.3	15	15	Forward-looking indicators point to sluggish employment ...
	Jun	Unemployment Rate	%	4.4	4.4	4.4	... rising underemployment suggests slack is emerging.
Kor	Q2	GDP	%qtr	1.8	0.4	–	Growth outlook challenged by external demand risks.
Eur	Jul	ECB Policy Decision (Deposit Rate)	%	2.25	2.25	2.25	Markets focused on guidance beyond this meeting.
	Jul	Consumer Confidence	index	–17.7	–17.4	–	Yet to recover from Middle East driven decline.
US		Initial Jobless Claims	000s	208	214	–	Layoffs remain low.
	Jun	Chicago Fed Activity	index	–0.1	–	–	Broad activity measure may point to softer momentum.
	Jul	Kansas City Fed Manufacturing	index	11	–	–	Activity on uptrend despite persisting price pressures.
Fri 24							
Jpn	Jun	CPI	%ann	1.5	1.7	–	Weak yen a risk for higher import inflation.
	Jul	S&P Global Manufacturing PMI	index	54.8	–	–	New orders has the sharpest rise since January 2022 ...
	Jul	S&P Global Services PMI	index	52.2	–	–	... with input cost inflation seeing a marked rise.
Eur	Jul	S&P Global Manufacturing PMI	index	51.4	51.7	–	Manufacturing is losing some of its steam across Europe...
	Jul	S&P Global Services PMI	index	49.4	49.8	–	... but services activity has risen to a three-month high.
UK	Jul	GfK Consumer Sentiment	index	–23	–	–	Confidence recovery remains fragile ...
	Jun	Retail Sales	%mth	1.2	–	–	... posing another headwind for household spending.
	Jul	S&P Global Manufacturing PMI	index	52.5	–	–	Strategic stockpiling driving a rise in manufacturing output ...
	Jul	S&P Global Services PMI	index	48.8	–	–	... meanwhile services sees sharpest decline in 3.5 years.
US	Jul	S&P Global Manufacturing PMI	index	53.9	54.4	–	Signs of pressures emerging in manufacturing employment ...
	Jul	S&P Global Services PMI	index	51.2	–	–	... as services continues a steady recovery.
	Jun	New Home Sales	%mth	–7.3	4.6	–	Higher borrowing costs still weigh on housing.

Economic & financial forecasts

Interest rate forecasts

Australia	Latest (17 Jul)	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
Cash	4.35	4.85	4.85	4.85	4.85	4.60	4.35	4.10	3.85	3.85	3.85
90 Day BBSW	4.47	4.90	4.90	4.95	4.80	4.55	4.30	4.05	3.95	3.95	3.95
3 Year Swap	4.48	4.60	4.60	4.50	4.40	4.30	4.20	4.10	4.00	3.95	3.90
3 Year Bond	4.50	4.60	4.60	4.50	4.40	4.30	4.20	4.10	4.00	3.95	3.90
10 Year Bond	4.90	4.90	4.90	4.90	4.85	4.85	4.85	4.85	4.85	4.85	4.85
10 Year Spread to US (bps)	36	40	40	35	30	25	20	15	10	5	0
United States											
Fed Funds	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625
US 10 Year Bond	4.55	4.50	4.50	4.55	4.55	4.60	4.65	4.70	4.75	4.80	4.85
New Zealand											
Cash	2.50	2.75	3.00	3.50	3.75	4.00	4.00	4.00	4.00	3.75	3.75
90 Day Bill	2.88	3.00	3.40	3.75	4.00	4.20	4.20	4.20	4.15	3.95	3.95
2 Year Swap	3.62	3.70	3.95	4.10	4.25	4.20	4.20	4.15	4.15	4.10	4.10
10 Year Bond	4.66	4.55	4.65	4.80	5.00	5.05	5.05	5.05	5.05	5.05	5.05
10 Year Spread to US (bps)	11	5	15	25	45	45	40	35	30	25	20

Exchange rate forecasts

	Latest (17 Jul)	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
AUD/USD	0.6979	0.71	0.72	0.72	0.73	0.73	0.73	0.73	0.72	0.72	0.72
NZD/USD	0.5834	0.59	0.60	0.62	0.64	0.65	0.66	0.66	0.66	0.66	0.66
USD/JPY	162.42	162	160	159	158	156	154	152	150	148	146
EUR/USD	1.1435	1.16	1.17	1.18	1.19	1.20	1.21	1.22	1.22	1.21	1.21
GBP/USD	1.3457	1.35	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.40
USD/CNY	6.7754	6.75	6.70	6.60	6.50	6.45	6.40	6.35	6.35	6.30	6.30
AUD/NZD	1.1961	1.20	1.19	1.16	1.14	1.12	1.11	1.10	1.10	1.10	1.10

Australian economic forecasts

	2026				2027				Calendar years			
% change	Q1	Q2(f)	Q3(f)	Q4(f)	Q1(f)	Q2(f)	Q3(f)	Q4(f)	2025	2026(f)	2027(f)	2028(f)
GDP %qtr	0.3	0.0	0.1	0.3	0.4	0.4	0.4	0.4	–	–	–	–
%yr end	2.5	1.6	1.3	0.7	0.9	1.2	1.4	1.5	2.5	0.7	1.5	2.6
Unemployment rate %	4.2	4.4	4.6	4.9	5.0	4.9	4.9	4.9	4.3	4.9	4.9	4.5
Wages (WPI) (sa) %qtr	0.8	0.8	1.0	0.8	0.8	0.8	0.8	0.8	–	–	–	–
%yr end	3.3	3.2	3.4	3.4	3.4	3.4	3.2	3.2	3.4	3.4	3.2	3.4
Headline CPI %qtr	1.4	0.7	1.3	1.0	0.7	0.6	0.9	0.5	–	–	–	–
%yr end	4.1	4.0	4.0	4.4	3.8	3.7	3.3	2.8	3.6	4.4	2.8	2.6
Trimmed Mean CPI %qtr	0.8	0.9	1.0	0.8	0.8	0.7	0.7	0.7	–	–	–	–
%yr end	3.5	3.7	3.7	3.6	3.5	3.3	3.0	2.8	3.4	3.6	2.8	2.4

New Zealand economic forecasts

	2026				2027				Calendar years			
% Change	Q1	Q2(f)	Q3(f)	Q4(f)	Q1(f)	Q2(f)	Q3(f)	Q4(f)	2025	2026(f)	2027(f)	2028(f)
GDP %qtr	0.8	–0.1	0.6	0.7	1.0	0.5	0.6	0.7	–	–	–	–
Annual avg change	0.8	1.6	1.8	1.9	2.0	2.1	2.4	2.6	0.3	1.9	2.6	3.2
Unemployment rate %	5.3	5.4	5.4	5.3	5.2	5.1	5.0	4.9	5.4	5.3	4.9	4.4
CPI %qtr	0.9	1.5	0.7	0.4	0.5	0.2	0.7	0.4	–	–	–	–
Annual change	3.1	4.1	3.7	3.5	3.1	1.8	1.9	1.9	3.1	3.5	1.9	2.0

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Corporate Directory

Westpac Economics / Australia

Sydney

Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis

Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan

Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke

Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner

Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk

Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante

Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas

Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells

Economist
E: ryan.wells@westpac.com.au

Illiana Jain

Economist
E: illiana.jain@westpac.com.au

Neha Sharma

Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic

Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland

Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold

Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon

Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs

Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod

Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark

Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva

1 Thomson Street
Suva, Fiji

Shamal Chand

Senior Economist
E: shamal.chand@westpac.com.au



 westpaciq.com.au

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